Birlasoft Ltd (BSOFT)

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August 8, 2022

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip ID: BSOFT
Scrip Code: 532400

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.

Symbol: BSOFT
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of Earnings Call held on August 3, 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company held on August 3, 2022.

The same is also available on the Company’s website at the link https://www.birlasoft.com/company/investors/policies-reports-filings , under the head – Quarterly Reports ■ Earnings Call ■ Transcript.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer

“Birlasoft Limited's Q1 FY23 Earnings Conference Call”

August 3 , 2022

MANAGEMENT : MR. DHARMENDER KAPOOR – CHIEF EXECUTIVE
OFFICER & MANAGING DIRECTOR
MR. CHANDRASEKAR THYAGARAJAN – CHIEF
FINANCIAL OFFICER
MR. ROOP SINGH – CHIEF BUSINESS OFFICER
MR. SHREERANGANATH KULKARNI – CHIEF DELIVERY
OFFICER
MR. ARUN RAO – CHIEF PEOPLE OFFICER
MR. VIKAS JADHAV – HEAD, INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to Birla soft Limited Q1 FY23 Earnings Conference Call . As a reminder, all participant lines will be in listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please sign al an operator by pressing '*' then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikas Jadhav from Birlasoft. Thank you and over to you sir.

Vikas Jadhav : Thank you, Tanvi . Good evening to everyone. This is Vikas from investor relations team and joining us on this call, we have our CEO and MD , Mr. Dharmender Kapoor , DK as we call him ; CFO , Mr. Chandra sekar Th yagarajan , Chandr u as we call him ; Mr. Roo p Singh , our Chief Business Officer ; Mr. S hreer anganath Kulkarni, SK as we call him , our Chief Delivery Officer and we also have Mr. Arun R ao, our Chief People Officer .

We will begin the call with opening remarks from Mr. Kapoor. Please note that anything that we say on this call on the company's outlook for the future is a forward -looking statement and must be read in conjunction with the disclaimer mentioned in our Q1 FY23 Investor Update which has been sent to you and also uploaded on the stock exchanges.

With this, I now hand over the call to DK. Over to you, DK.

Dharmender Kapoor: Thank you, Vikas. Good evening, and welcome to Birlasoft Q1 FY 23 Earning s Call.

We have begun the new financial year on a st eady note. Q1 revenue was at $ 148.6 million , registering a sequential growth of 1.5% and a YoY growth of 1 5.8%. Sequential growth in constant currency terms was at 2.3% and YoY constant currency growth was at 17.7% for Q1.

New deal momentum continues to be good with wins of $112 million in Q1, which is up by 19% on a YoY basis. The total TCV wins were also healthy at $185.1 million . EBITDA margin stood at 14.7%. We have seen margin getting impacted due to high cost hiring and mid and junior level promotions, drop in utilization, investment s and were aided by rupee depreciation .

We have switched to reporting attrition, which is more in-line with the industry and factors early attrition. The good news is that we have seen a drop in our LTM attrition number , which fell from 29.4% in Q4 to 27.9 % in Q1 , a drop of about 150 bps. However, needless to mention, it still remains elevated and we expect to see a further drop going ahead, which will help support margins going ahead .

Our PAT stood at $15.5 million and w as up 0.7% YoY and down 12% QoQ . INR PAT was at Rs.121 crores , up 6.2% YoY and down 9.2% QoQ .

In vertical s, the growth was led by BF SI and manufacturing verticals ; BFSI saw a growth of 5.1% QoQ and 17.9% YoY , while manufacturing was up 2.8% QoQ and 22.4% YoY.

Horizontal growth was led by business & technology transformation services wi th high growth of 7.4% QoQ and 20.7% YoY . It clearly shows that slowly and surely we are becoming an enterprise digital company and our revenue around digital is growing faster than the traditional services.

Growth continues to be driven by larger accounts with Top 5, Top 10 and Top 20 customers growing at 16.5% , 22.7% and 21 .0% on a YoY basis respectively.

Our YoY customer count of 5 mn+ revenue improved by 3 and that of 1 mn+ improved by 5.

Active customer count remains steady at 300 .

The headcount at end of Q1 stood at 12,565 and saw an addition of 361 professionals QoQ , and an addition of 1,057 professionals on a YoY basis . We have hired 280 fresher s in Q1 and plan to hire 500 fresher s in Q2.
Birlasoft continues to get various recognitions. It was named again as a top -15 sourcing stand out by IS G and among the lead

ing provider s in the Booming 15 category globally, as well as for
the America s region based on annual contract value won over the last 12 months. This is the ninth consecutive time that Birla soft ha ve been featured across name category by ISG.
During the quarter, Birla soft adopted RISE with SAP to transform its global landscape on the cloud . With enterprises adopting a cloud f irst strategy , this move will enable Birlasoft to accelerate their clients transformation journey substantially. Most of the clients today are alr eady looking at modernizing their ERPs, especially SAP and SAP on RISE is definitely a promising one, and we are very happy that we are the first few who have moved to RISE and I think that will help us go and take those opportunities in the market very co nfidently.
In conclusion, I would reiterate that the IT demand outlook over the next three years looks healthy despite some of the recession challenges. However, opportunities are multi -fold especially in digital and cloud ecosystem, which augurs well for Birlasoft . We continue to remain optimistic and are well positioned on capitalizing the growth opportu nities.
With this, I would like to open the floor for questions.
Moderator: We will now begin the question -and-answer session. The first question is from the line of Sandeep Shah from Equirus Securities . Please go ahead.
Sandeep Shah: DK, I think the Q4 results has come late on 24th of May and during that day, we were bullish both in terms of near-term growth as well as for FY 23 kind of a growth . We were also expecting utilization to remain more or less stable . On all these counts, looking at the 1Q result s again being soft, where are we going wrong in terms of execution and even predicting the near-term earnings visibility?

Dharmender Kapoor: Thank you, Sandeep. No, I don't think that we are going wrong anywhere , but I think there are a few reasons that are to be looked at considering the situation that is there . I think the first big reason was that there is a delayed start on couple of engagement s that we have won in the previous quarter . It is not part of the wins that we have there , because one of the win s actually is part of the wins that we have shown , a part of $185 million . But the client wanted to start in Q1, but they delayed it because they are into a m erger situation and they decided to delay it by a quarter . So, that revenue that we thought earlier would start flowing in did not come. Similarly, there is another deal that we have won , but there again it was a delayed start where client wanted to wait f or some time and they did not want to go for that in Q1. It will get close d in Q2 and some revenue will start coming into Q2. So, that also impacted the Q1 revenue. These are the two engagements that are the large customer s for us , one of them is a new customer , large engagement , but second is an existing customer , again, a large engagement , which is where we could not get the revenue that we thought and it was part of the plan. And it is primarily due to the transformation that the y are doing or undergoing in their organizations and they took more time than what we thought they will be able to do that. So, that is one challenge that was there.
Second, as I said in the previous quarter, there is going to be a revenue normalization fo r us in one particular vertical for the two quarters. We took that normalization first-hand in the previous quarter and the second was in this quarter , that was a planned one and that is also the another normalization that happened . Third, there is a littl e bit of supply constraint that continue s to happen . Despite that, we are seeing lesser attrition, but at the same time for every organization, the joining ratio drop ped during this time . You would have seen some of the reports where there

are regrets with the new joine es, have they joined the right place and will that fit into their scheme of things or not. We have seen that ratio dropping a little bit and that also had an impact because when you do not get those people join in time, you end up not getting the revenue that you planned for. So, these are the three reasons . The reason I say that there's nothing wrong is because the wins wise I continue to see that the wins are happeni ng. I continue to see that the clients who planned for the programs, they continue to come and sign the contract with us. So, there also is no slow down as of now. While I know that we continue to hear the constraint , continue to hear the recession fear , and that probably becoming more and more as the time passes. But I believe that it will be clearer in the Q3 for us. The project s that we are doing today are happening, except in a couple of cases where there is a delay, but the delay is not for the recessi on re asons, it is actually for their own transformation program of integration post -merger that has given them a little bit of delay in starting t hose project s.
Sandeep Shah: But this we were not knowing on 24th May where we were already two months in the quarter for

the Q1 as a whole . It has been a surprise for all three elements being used for post 24th of May .
Moderator: Audio was not very clear. Sandeep Shah, can you please repeat your question?
Sandeep Shah: Thanks fo r the explanation. So, what I'm asking me is all these three reasons which you have said w as not known on 24th of May when we were already two months into the quarter ?
Dharmender Kapoor: We actually started some discussions and plan s already considering th at the discussion on the contract will get finalized in a week or two weeks and we never knew that it will not begin. In

fact, that is what has actually hit us on the utilization as well. When that gets delayed, it hits your utilization and it increases your b ench because we had hired the people to go ahead and start working on the project. So, no, it was not clearly known, but we had already started, then we had to scale back because the di scussion with the client was that we will have to move it by a few weeks before we start these engagement s.
Sandeep Shah: DK, can you update about your FY23 outlook ? Both in terms of US dollar revenue growth and on EBITDA margin for FY23 versus last time you said both will surpas s what we have done in FY22 b ecause even to achieve a 15% growth in US dollar terms, we have to do 4.8% compounded QoQ growth rate in the next three quarters which looks stretched (Inaudible 14:36) . And then I have a follow up ques tion for Mr. Chandru just on the DSO .
Dharmender Kapoor: I think we are continuing with the goals that we took in the beginning of the financial year. There is no change in our internal plans that are there for the growth perspective. We have not change d anything and we continue to push aggressively on how we go and meet the objectives and the goals that we set for ourselves . Right now, we are not scaling down anything from the goals perspective. On the margin side also, while there are going to be more headwinds during the Q2, as you know that we will have to give the increments, there are some of the levers that we are already working on so that we remain at least a flat or do a little better than what we have done in Q1. So, that's the plan that we do . It is a steep improvement that we want to bring in . There is a huge amount of focus on improving our margins. At least for Q2, I would like to remain flat or improve a little bit on top of that, but then in Q3, there are other productivity leve rs, and all that will kick in, and probably we will improve in Q3 and Q4 again , so that we deliver more than 15%. This quarter came with a significant ly higher

headwinds for a simple reason that we did not get the revenue that we thought as I explained earlier whereas we had taken the cost already . There was a little bit of disappointment in the delays that we saw but we are not seeing this with the other client s. So, it is not too widespread, it is only focused on one or two clients.
Sandeep Shah: Last question to Mr. Chandru on the D SO, if I look at the absolute increase in US dollar DSO is $2.3 million, while your debtor increase is as big as $7.2 million and including unbilled , the increase is $ 11.3 million and we have reported a flat DSO on QoQ . So, I'm confused how these calculations are arrived at?
C Thyagarajan: Firstly, the DSO is bil led DSO . So, to that extent, the calculation is correct, because DSO is obviously a function of the rolling three months , debtors as a function of the rolling three m onths revenue, right? So, the DSO number is correct. To your question on absolute increase in DSO , there are two parts to it. One is of course, the forex translation differen ce cost about 45% of the increase, and the balance 55% was the real increase in the absolute number of the billed receivable coming from the increase in revenue that we've seen over the past two quarters. So, in essence, therefore, the DSO number of 58 is in relation to the receivables as a function of the average revenue. Now, our unbilled also in real terms has gone up , but if you look at it as a percentage to revenue it is still staying flat on a QoQ basis . So, two metrics that we watch fairly closely . Let me also tell you that there were two clients that delayed payment, the payment

actually came on the second of July versus the last week of June . That could have actually reduced my DSO from 58 down to 55. But it does happen sometimes , right.
Moderato r: The next question is from the line of Shradha from AMSEC . Please go ahead.
Shradha Agrawal : Hi, D K, a couple of questions. First, if I look at your other expenses , that have seen a significant increase of 10% . So, what has gone in th e other expenses lin e item ?
C Thyagarajan: The other expenses have a couple of components. One is the subcontractor payout that still accounts for a big portion of the other expenses. While we've seen a marginal reduction in subcontract ors because we've started to replace them with regular employees , we still have to accelerate that bit as we are able to get more people, more regular resources deployed against subcontractors both onsite and offshore , primarily onsite. So, that is one area . Two, also as part of our growth strategy, we continue to invest in the newer areas . One of the things is around hiring talent , hiring capability . Some of the cost of hiring goes into the other expenses, while the

resources themselves are part of the salary expen ses. We continue to look at the cost of hiring
staying where it is . While we spoke about reduced attrition, we are also ramping up for additional
growth in the coming quarters, like DK spoke about . So, that that gets accounted for. And the
third item that gets accounted here is that we have engaged third -party to work with us on our
billion -dollar strategy and that also a set of cost that we've been incurring for our growth as we
spoke about the investments that we continue to do . So, that's the third item .
Shradha Agrawal: Would it be possible to call out the one -off expense in this quarter , consulting charges that is
paid, which will probably not get repeated in the next quarter ?
C Thyagarajan: Shradha , there are some ongoing costs that will come for the next three to four quarter s. To be
honest with you, there will be some repeat costs whic h we will incur in the second quarter as
well. In that sense, I would n't call it one -off.
Shradha Agrawal: Sir, you mentioned that sub-contractor expens

es are high, but if I look at that number, it was
almost 15.8% of our revenue last quarter . Is it possib le to give out the percentage number for
this quarter so that we know where directionally are we headed ?
C Thyagarajan: I will get back to you on that , Shradha . Give me some time.
Shradha Agrawal: And sir, a related question is your other unallocable expen diture, that item remains very high at
almost 10% of revenue. What basically goes into that line item?
C Thyagarajan: Yes, I'll come back to both of these questions. I'll get the answers while we work through the
rest of it.
Shradha Agrawal: DK, to you, our cloud services, though we have been talking very positively on this service line,
but that saw a decline in this quarter. So, how do we read that? And also, the deal TCV number
was soft on a QoQ basis.

Dharmender Kapoor: On the cloud side, one of the work that is going on, on the strategy for a billion dollar. One is
actually around the cloud. In fact, with the cloud, we are seeing a significant traction. So, little
bit of up and down in the quarter, I don't think that should be seen as a tr end because with the
cloud, we are going to definitely grow significantly higher than the rest of the traditional
services. You would have seen , now we have joined hands with Google also. And after that, we
made two wins as well, along with Google and ther e is a significant amount of focus to set up a
new GTM keeping in mind the partners with Microsoft as well as with Google and AWS. So,
on the cloud side, I am absolutely upbeat that the revenue for us is going to grow. In fact, if we
look at, even today, w e are very much at par with what we see with the industry. But being a
smaller company, we see the upside potential in a big way and we will continue to work on that.
And the spend that we're doing on the strategy, actually, good part of that spend is on t he
direction of really increasing our revenue in the cloud and associated areas.
Shradha Agrawal: On the deal TCV numbers though on a YoY basis it's up, but we have seen some softness on
both new deals and renewals on a QoQ basis?
Dharmender Kapoor: Correc t, because it is not just cloud, because in that bucket it is the cloud plus the base services.
So, one of the engagements I talked about that got delayed, so we have won large deal, that we
could not finish the contracting at that point of time and the cl ient wanted to go through a little
longer process with an advisor. So, it took time. That actually was going to be in the base services
and that will be followed by cloud, but that will come later. So, if that was going to be there, our
percentage could ha ve been higher in the QoQ base as well.
Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please
go ahead.
Mihir Manohar : DK, you mentioned about the two engagements which got delayed in this particular quarter. If
you could quantify them, and how should we see these accounts ramping back? And the second
was on the Europe. We saw quite a sharper contraction in Europe. So, how should we read this
and what is leading to this contraction in Europe?
Dharmender Kapoor: If you look at these deals, these are in the range of $15 to $20 million, both the deals are of that
range. Hopefully we will now go and declare that in the Q2, and I wish it was started at that
time, as it would have given some good revenue in Q1 as well. So, that's the size of the deal .
Contraction on the Europe side is more towards when you look at , and Chandr u, let me know if
I am correct with that , we are actually flat, but percentage wi se it looks smaller because the
dollar has appreciated against the euro as well and when you convert that revenue into the dollar,
the dollar equ ivalent becomes smaller. But we are pretty much flat in Europe QoQ .
Mihir Mano

har: Lastly on the Google Cloud and digital transformation , the update that you mentioned. So, how
should we read this, what significance does it have , if you could throw some ligh t on that ?
Dharmender Kapoor: So, on the cloud side, we mostly kept our focus on digital services as a larger umbrella. While
we have been working with our partners as well as with our clients and going and taking up the

opportunity . It is the first time that we are putting the GTM in place for cloud, while within every vertical, and with every horizontal, we were addressing it. But now we are putting a GTM focus, that means there will be someone who will be focused just on the cloud, becaus e cloud doesn't come only in the cloud & base services . There is a significant amount of cloud that has started to happen in the business & technology transformation services as well. And we should look at not only migrating organization to the cloud, but what is that we can achieve once they are already on the cloud, because there's a lot of transformation that happens once someone moves to the cloud. So, now we have broaden ed our horizon from that perspective . What we are doing is we are picking up cloud as the bucket and we are looking at what kind of services can be there at various stages, starting from the consulting to the migration , to the modernization, and then finally , transforming . We are looking at what could be the offerings and how do we go and address every offering, rather than trying to restrict ourselves only to fewer offerings and going there . Now that we have a significant amount of cloud revenue with us . We believe that we are in a good position where we can actually pa rticipate in the transformation program also for our customers, and that is the focus that we are working on.
Moderator: The next question is from the line of Abhishek Shindadkar from InCred C apital . Please go ahead.
Abhishek Shindadkar : I think I heard yo u say that one of the challenges in the customer impacted the cloud & base services business . If you can just highlight, was there any enterprise solutions related work there as well? From a vertical standpoint, is it largely reflected in the energy and li fe sciences vertical or the manufacturing piece is a lso witnessing the moderation because of these customer specific issues ?
Dharmender Kapoor: I talked about the two clients . One of the client s is purely enterprise solutions. The other client has a smaller piece, because it is more into the kind of total IT outsourcing. So, definitely enterprise solution s is also a piece , but a smaller piece. The other engagement that I talked about , it is purel y the transformation program on the enterprise solutions si de. So yes, if I put both of them together , about 50% of that will actually be enterprise solutions.
Abhishek Shindadkar: In the past, we've been highlighting that the enterprise recovery, which started in the H2 of fiscal '22 might continue in fiscal '23. So, based on your assessment, and what you saw recently, you think that the enterprise projects that we had run a risk w here some of them may be delayed or there could be some other instances, any color on that si de could be really helpful ?
Dharmender Kapoor: During the COVID time, yes, it became a binary situation where somebody clearly said that, no, I don't think that we sho uld take up the project, and they kind of stopped it . At that point of time, not for the reason of the investment s, but for the reasons that even the talent was not available onsite for them to really execute those projects, because most of those projects actually begin with a lot of planning and consulting, where you require onsite pr esence along with the customer . It is very different now. Actually, when we look at going forward, when the discussion is on the slow

down or on the recession or something like that , I always believe that there is always a blessing in disguise for IT services when we talk about recession, but at the same time, the sentiments also have their own impact. What I believe is that one thing everybody realizes that

they need to adopt digitalization in a very stronger way and in a faster way , so it is all about that matter of survival . But the biggest question all those are asking is that – will I succeed with digitalization if I do not modernize my SAP , my Oracle , my JD or my other ERP or Enterprise Solutions below that ? So, what is happening is that they have realized during this time that they will need to take the underl ying transformation also if they want to get the right benefits for all the digitalization because you can very easily imagine that most of the data and the pro cesses lie within the enterprise solutions. And when you have to get the digitalization done, yo u need to invoke the value of the processes and the data that lie s in the enterprise solution s. So, they definitely want to continue to modernize , they want to continue to go ahead. That's the discussion that I am seeing most of the time. Nobody is saying that – no, right now , we will drop and we will only look at doing it in the next year. So far that discussion is not coming up.
C Thyagarajan: There was a question from Shradha Agr awal. I thought I will respond to the two outstanding questions . One was on subcontract or expenses – what is the percentage of revenue in Q1? The percentage of revenue in Q1 was kind of flat QoQ at the overall level . Like I said, we've started to see a reduction at the end of the quarter. So , we should see improvement in the second quarter. The unallocated expenses in the segment report relates primarily to SG&A which is our selling , general & admin expen ses. It also has spend on our practice (inaudible 34:14) , which is the leaders in practice (inaudible 34:19) that we have hired in the first quarter .

Moderator: The next question is from the line of Sameer Dosani from ICIC I Prudential A MC. Please go ahead.
Sameer Dosani : Just want to understand this $ 15 to $ 20 million deals that we have signed. Want to understand how big is the tenure of these two deals? And as you said, these got delayed in Q1 and as on date or in mid of this quarter, have th ese projects actually started ramping up in your view , if you can g ive color?
Dharm ender Kapoor: On the two deals , one of the deals is about for about one to one and a half year, that's the timeframe that we see . The other deal which is total IT outsourcing is for three years.
Sameer Dosani: And second is on the margin . We have delivered 13% EBIT margins and Q2 would have some wage hikes where we probably are saying it would be flat or maybe some improvement. But to improve your margins on a YoY basis for FY23, you will have to substantially take up your margins maybe even more than 15% which you have delivered in last year. So, how do you think that journey will be for us … how confident are we around that number? One more point is that we have started a quarter with 2% to 3% kind of dollar CC growth. To reach up to 15 or deliver more than 15 %, 16% what we deliv ered in last quarter would need 4% to 5% growth for next three quarters. So, how confident are you around both these numbers if you can just speak about that?
Dharmender Kapoor: On the margin side , very clearly there are headwinds and the headwind is about the increase that we had to give to our employees. So, that definitely is a headwind. But if I look at the planning that we have done with respect to where all we pull the lever s for getting the cost saving

advantage, I anticipate , and this is not a

guida nce, that we should remain flat. That is how I look at it. I do believe that there could be few unknowns because as you know that in the last quarter also, nobody thought that there will be a drop, because there is so much that is changing on the talent front, supply front, and the cost of hiring which are really making us think again and again that should I go and capture the growth or should I really contin ue to look at the margin . Of course, the d ecision s are different at different times. But these are some of the things for the decisions or the choices that we had to continue to make . So far that I see, I believe that we want to remain flat QoQ and I think as the time passes, probably another month or so , we may have more clarity with respect to how things are unfolding. But with the current plans that we have, hopefully, QoQ will be flat . Now coming to the growth side , as I told you that in this quarter, we had some revenue normalization that we had to do, and some delays that also happened. That tells me that I think we want to continue to look at much better growth in the rest of the quarter and that is what we are gunning for. We don't give the guidance, but definitely the plan is to do much better than what we have done in this quarter.
Sameer Dosani: But do we stay with the overall directional picture that we would be able to deliver better EBITDA margins than FY22?
Dharmender Kapoor: So, my view is that it will be in the ballpark , that is what I see. You would have seen in the industry -wide, there is a lot of talk and there are different views about the recession, there are different views about the budg ets that clients are going to come u p and the adoption of the technology that they want to go for. So, everybody is coming up with those kind of plans . My view would be that how do we do same or a little better than what we did in the previous year .
Sameer Dosani: That's fair , we can't control the macros evolving . Also, we have spoken about a lot around that how recession or downturn would be much better for IT as a sector. Because what happens is the scale players benefit more , but obviously, times have changed in the last two years. So, can you throw some light around the capabilities that we would have built that will help us actually take the benefit of the downturn like the scale players do usually ?
Dharmender Kapoor: I don't think capability in addressing the opportunities is an iss ue. But we need to look at it from the ecosystem perspective, for example, one of the major focus that we have right now is that how do we improve the talent supply chain . For example, we focus ed on the talent acquisition for a very long time, but with the twist that is there with the talent availability and the resignations or the attrition and also this work -from -home somehow these six to nine months had been a perfect storm that nobody wanted t o really see in their lifetime, but then it always happens, that we get to see the unexpected in the market. So, when that period was going on, we have looked at one thing – now that the recession is there, when we come out of the recession, how do we get into similar situation again at that point of time . Let us assume the recession is there and from Q3, Q4, Q5 we see the slowdown, and it impacts everybody. But when we are coming out of the recession, we should not be saying sorry to ourselves at that poin t of time and we should have anticipated the higher growth or see growth a t that point of time. So, it's not about getting ready only for this and next quarter, it is also about getting ready for six or seven quarters down the line, that if there is a gain a steep demand that we encounter, we should be able

to manage the talent supply chain in a much better way. That's the reason our intake on fresher s is much h

igher, o ur intake on the junior s is very high . We are spending money on the learning and development , we are spending money on various other initiatives so that we are able to address this better if we confront the situation, let's say three, four quarters down the line again . It is a more lo ng-term solution . I did talk about in the previous meetings also that we need to work on the longer -term solution. Even if we ha ve to sacrifice a little bit of margin now, so that I get much better benefit in the future, we should do that, because that wou ld be the right approach in order for us to have a predictable revenue and margin.

Sameer Dosani: I think one question got unanswered was , are those two contracts which were delayed has started ramping up as we speak, or is it yet to actually start ramping for us ?

Dharmender Kapoor: For that, we already did the ramp up actually . It is only that now we need to deploy and work on those and work on one of them has already actually started . So, we did the deployment in the previous quarter itself. It is just that it did not start and it ended up hitting our utilization and the margin and of course, the revenue as well.

Sameer Dosani: One contract started at the end of Q1 and second is yet to start ?

Dharmender Kapoor: That's right , yes.

Moderator: The next question is from the line of the Dipesh Mehta from Emkay Global . Please go ahead.

Dipesh Mehta : DK, a couple of questions. Starting with the deal pipeline, if you can help us understand how the deal pipeline is shaping up? I think earlier, you used to give some numbers. If you can provide deal pipeline number at the end of Q1 and give some comparable number maybe QoQ, YoY, whichever yo u're comfortable with? Second question is about the revenue normalization, which you earlier alluded, which partly experienced weakness in Q1. Can you provide some more detail on it, what you mean by revenue normalization and which vertical largely you refer to, whether life sciences is what you are referring to, and how you expect it to evolve over next few quarters? Third questi on is about the Microsoft relationship. I think a couple of quarters back, you indicated $ 100 million aspiration by FY24. So, if you can provide some update where we are in that journey from that relationship and how is it scaling up? And last question fo r Chandru is about the OCF. OCF remain ed weak this quarter, it was negative. So, if you can provide some sense, what explains it?

Dharmender Kapoor: Let me go one -by-one. If you look at our pipeline , I'm talking about the sales pipeline, that we continue t o pursue with our customers, it actually moved up significantly. At the end of the previous financial year, we were at about $1.2 billion , we are touching already $1.7 billion . When it comes to the billing pipeline, I do not have the number upfront with me , but let me check and come back by the time I answer other questions. Let me come back to the revenue normalization. The revenue normalization as you know it is the same account that we talked about and the same vertical that we talked about in the life s ciences last time also. It is the planned normalization, because generally when you have the large deal, and when you have the

run and change part at different times, when the project finishes, your revenue will get softer and get more steady going forward and that is where we are and we have to do that over the two quarters. We have done most of it already. It is only about half a million that is there, which probably we will do it in the next quarter. But we may actually be able to get that also. But we were supposed to do that over two quarters, which finishes with the Q1 , most of it. So, that was the revenue normalization. The third is on Microsoft. We continue to do very well. In fact, now we have started getting

revenue from Microsoft as a customer as well. So, that is a good change that has happened in the last three, four months where now we are not only discussing, going to market with the offerings , which are Microsoft offering, but also going to Microsoft and delivering services to them . So, we remain very upbeat on the Microsoft side and I believe that we should be able to achieve our goals of being a $100 million partnership in time for us to really achieve that.

C Thyagarajan: To your question on the operating cash flow , there are a c ouple of items ; one, we spoke about the increase in receivables , both the billed and unbilled receivables , we spoke about that a little earlier that is one item . The other , we also had lower financial liabilities coming from the fact that we had the variab le performance incentive pay-out in the first quarter based on our performance in FY22. So, net result of that is we did have movement in working capital that caused are lower operating cash flow in Q1 versus the prior quarter.

Dipesh Mehta: What should one look at OCF -to-EBITDA conversion, if you can provide some sense from full

year perspective ?
C Thyagarajan: Sorry, ask that question again please.
Dipesh Mehta: OCF -to-EBITDA conversion , what is the right number or optimal number , one should expe ct on full year basis?
C Thyagarajan: Let me get back to you on that question while we go ahead, I'll come back to you in a moment.
Moderator: We'll move to the next question from the line of Dev ang Bhat t from IDBI Capital . Please go ahead.
Devang Bhatt: So, how much utilization can improve in the next quarter based on your deal ramp ups? And what kind of su bcon cost you expect to reduce? What kind of quantum of wage hike in Q2 will be there in the impact? And is there any transition cost in the lar ge deals that would impact the margin?
Dharmender Kapoor: Sorry, j ust repeat the last line that you said ?
Devang Bhatt: So, is there any transition cost in the large deals that might impact the margins in the near term?
Dharmender Kapoor: Utilization , I be lieve that we should be able to come back to the levels that we used to be anything between 84 % to 85% . That is something we have delivered very consistently . So, I don't think

that should be a too much of an issue for us. When it comes to looking at the quantum of wage hike, I expect that it will be approximately closer to 3% , average that we believe will be an impact due to the wage hike . There is some wage hike that we have done in parts for some of the people in order to retain them o ver a period of time. So, that means that we will have to do it in such a way that we keep the impact to around 3%. That plan is there in place, and I expect anything from 2.5 % to 3% is the impact we will get on that perspective . On the trans ition side, there will be a minor transi tion impact that might come in . I don't think it'd be very significant one in the overall scheme of things. So, it is not going to change , but yes, we do have the transition for one of the deal s that we are talking about, but I don' t think it will be too much of an impact on that front , because some of the costs that we had to take in order to create the plan have already been taken , so incremental we will not have much .
Devang Bhatt: How much subcon cost you expect to reduce ? And se condly, if the macros turn worse, what percentage of revenue w ould be impacted?
C Thyagarajan: Can you ask the second question again, please?
Devang Bhatt: So, if the macro s turn worse, what percentage of revenue you think wo uld be impacted because of the macros or there might be delay in ramping up those kinds of deals .
C Thyagarajan: Let me answer the first question on reduction in subcon cost. T he expectation is that we will gradually improve on our subc

on spending from the cu rrent level of sub-15% of revenue . My expectation is that we should be able to shave off at least 100 to 150 basis points in Q2 and Q3 . Maybe Q3 will be a little less than Q2, but we should be able to shave off 150 basis points over the next quarter or so.
Dharmender Kapoor: One additional point that I will talk which is more qualitative on the subcontractor side is that traditionally we have always seen subcontractor to be very cost -consuming. But with this whole flip on the costs increasing across the boa rd for onsite and offshore people , many times we are seeing that the subcontractors are now either at par and in some of the cases it is also lower, because it is quicker to get them on the project and off the project , whereas with the employees, there is always a bench time that comes into the play. So, over a period of time, I don't think that right now is the right time to really change the way we look at the subcontractor , but over a period of time, probably , we will have to look at subcontractor in a way where we do the planning in such a way that it is a quick onboarding and off boarding so that both the directions when you end up losing the utilization when somebody is onboard as an employee, you can actual ly sa ve on that money . At the same time, this work -from -home is going to lead more and more people opting for the subcontractor. So, we need to really improve our process in the way we manage that and reduce the costs rather than just looking at the count of the subcontractors. So, from that perspective also we are working on . So, this is being looked at with a new lens. I think it is very important that we look at with a new light . But we will continue to come back as it is something that is emerging now as a new reality for the business and we may have to decide our benchmark s going forward accordingly.

Devang Bhatt: On the macro part what percentage of revenue can be impacted if the macro turns worse.
Dharmender Kapoor: It is very difficult to say that. I hope that it doesn't turn for the worse. But it is very difficult because people talk about different range and everybody has a jury that how wrong it can go. In my opinion, there is not going to be one yardstick through which you can define , becau se it will

be different for different industr ies, geos, and companies within the same industry also . So, it is very difficult to right now say how much will be the impact on us? We hope not. We hope that we continue to grow the way we have plann ed and ther e is no adverse impact. We are preparing ourselves for that, for only one reason , keeping in mind how can we reduce the impact on the margins in case that happens? So, that's the focus area that we are looking at. But it is very difficult to really put a f inger on what figure that would be.

C Thyagarajan: There was a question on OCF. I will quickly respond to that. The OCF number as we go forward for the rest of the year, will clearly depend on a couple of things . One is of course managing our working capi tal, managing to make sure that we continue to drive hi gher collection s, keep our receivables in check and also make sure that we manage the unbilled component, as I spoke earlier. T he ideal of course is 100% . But we will have to work through this for the rest of the year given some of the headwinds we spoke about at the macro level. While I do not see any concerns from a credit standpoint, and from our receivable standpoint . I also think we'll have to look at what kind AR day s we end up , having to sign up with some of our new clients in the new geographies , where we are having a lot of push , particularly in Europe where typically payment days are longer than in the US . It is something that we will continue to watch closely.

Moderator: The next question is from

the line of Sandeep Sha h from Equirus Securities . Please go ahead.

Sandeep Shah: Just on the previous question, for the two delayed contracts, as we are in the first week of August, you said , one of the delayed contracts has already started at the start of the quarter and another is yet to start , is it the right understanding ?

Dharmender Kapo or: The other one is yet to start , yes, correct.

Sandeep Shah: DK, in terms of enterprise solution s, are you worried about you r growth plans and the budgeting for the enterprise solution s if recession happens, because that could be termed as a discretionar y IT spend for some of the clients as a whole ?

Dharmender Kapoor: No, I don't think so . In my opinion, if you look at the enterprise solutions , slowly what is happening is that they are also becoming digital and hence their growth also is coming in the newer area of modernization. So, everybody's going up in the digitalization and when anybody is doing in the span of the enterprise solution s, then that continues to happen. Traditional solutions, yes, it will be lesser growth overall, because that will happen, but the newer area within the enterprise solutions, they are g rowing as good as digital, though the quantum may be much lesser than the overa ll digital pie that is there around us. And it also depends upon how and where you count the revenue. So, I don't think that there should be too much of an issue. But

on the traditional side, slowdown will always have an impact. But I believe that it will be limited and lesser than what we actually saw during the COVID times.

Sandeep Shah: Just a clarification , DK . What could have been a quantitative impact of these two deals which got delayed , if they could have been realized on time ? How the growth could have looked like in the first quarter? And second o n the wage increase of 2.5% to 3% , are you saying a margin impact in 2Q or a re you saying it's an average wage hike to be given to the employees as a whole? And where are we in terms of the annu ity revenues or sticky revenues as a percentage to the total revenues, which we used to disclose a year as a whole ?

Dharmender Kapoor: The 2.5% to 3% was not the margin impact , but it's a percentage of the revenue . Is that right , Chandru, that percentage we computed ? Yes, it's a percentage of the revenue that is there. There are other factors through which we are improving it also. So, that's the case on the revenue side. And when it comes to the deal, I believe that we could have got approximately $2 million of revenue if it was go ing to start in time .

Sandeep Shah: In terms of annuity revenue ?

Dharmender Kapoor: Annuity revenue stands at 70% - 71%.

Sandeep Shah: So, we are slightly off-track in terms of our target of 75% which we were targeting by Q4 of FY'22, right?

Dharmender Kapoor: What has happened is that now the deals that are coming as we have I think taken that point multiple times that the deals are shorter, and the quicker dea ls and not the long-term deals. So, from that perspective, it does have impact on the annuity revenue. And second, more and more digital deals or the transformation deals are becoming project based . And in fact, this is being seen that the project revenue for almost every company has become more than what it used to be earlier. We thought that we should be able to reach at 75% which is ideal, but 71% is a good percentage for us to continue to follow and we remain at 7 0% - 71%.

Moderator: The next question is from the line of Mihi r Manohar from Carnelian Asset Management . Please go ahead.

Mihir Manohar : DK, in between the remarks , you mentioned you' ve started providing services to Microsoft as a customer and you are aspiring of roughly $100 million kind of partnership here. Is this $100 million number include the earlier Microsof

t Cloud revenue that we were aspiring, because that
target was also $100 million. Are both of them similar or different?
Dharmender Kapoor: $100 million is our revenue for th at practice . It will include revenue being sold to Microsoft as a client, plus the revenue that we sell on the services on the Microsoft platforms to any other customer. It includes everything , yes.
Mihir Manohar: So, this $ 100 million number includes Micr osoft Cloud plus Microsoft to the customer ?

Dharmender Kapoor: That's right , yes.
Mihir Manohar: What kind of services are we giving to Microsoft , just any understanding on that?
Dharmender Kapoor: Most of these are actually either on the Microsoft Dynamics side. It could be CRM or it could be the other enterprise solutions that they have, and on the cloud as well.
Moderator: This was the last question for today. I now hand the conference over to Mr. Dharmend er Kapoor for closing comme nts.
Dharmender Kapoor: Thank you very much everyone for your participation and the questions that you ask ed. Yes , we could have done better in the Q1, b ut there are always going to be some time where there are unforeseen items that come in front of us . But from the capability perspective, from the client perspective, from the way we are winning the deals and how our pipeline has increased , we stay confident that we are on the right track. And I believe that should give the confidence to us and to everyone around us that we will continue to do better. With that , I wish good luck to all of you as well as to us for the next quarter. Thank you very much.
Moderator: On behalf of B irlasoft Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines .

(This document has been edited for readability purpose)

Registered office:
35 & 36, Rajv Gandhi Infotech Park, Phase – 1, MIDC,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Oct 2022

October 25, 2022

BSE Limited
Phiroze Jeejeebhoy Towers,
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Scrip ID: BSOFT
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Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.

Symbol: BSOFT
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of Earnings Call held on October 21, 2022

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company held on October 21, 2022.

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies-reports-filings , under the head – Quarterly Reports ■ Earnings Call ■ Transcript.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer

"Birlasoft Limited Q2 FY23 Earnings Conference Call"

October 21, 2022

MANAGEMENT MR. DHARMENDER KAPOOR -- CEO AND MD,
BIRLASOFT LIMITED
MR. CHANDRASEKAR THYAGARAJAN – CFO,
BIRLASOFT LIMITED
MR. ROOP SINGH -- CHIEF BUSINESS OFFICER ,
BIRLASOFT LIMITED
MR. SHREERANGANATH KULKARNI -- CHIEF
DELIVERY OFFICER , BIRLASOFT LIMITED
MR. ARUN RAO -- CHIEF PEOPLE OFFICER ,
BIRLASOFT LIMITED
MR. ANIRBAN THAKUR – HEAD, TREASURY &
INVESTOR RELATIONS

Moderator : Ladies and gentlemen, good day, and welcome to Birlasoft Limited Q2 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*"then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anirban Thakur. Thank you, and over to you.

Anirban Thakur : Thank you, Faizan, and welcome, everyone. This is Anirban from Investor Relations team. And joining us on this call, we have our CEO and MD – Mr. Dharmender Kapoor, DK as we call him; our CFO – Mr. Chandrasekar Thyagarajan; Chandru as we call him; Mr. Roop Singh – joining from U.S., our Chief Business Officer; Mr. Shreeranganath Kulkarni, SK, as we call him – our Chief Delivery Officer; and we also have with us Mr. Arun Rao – our Chief People Off icer.

We will begin the call with opening remarks from Mr. Kapoor and then Mr. Chandru.

Please note that anything that we say on this call on the company's outlook for the future is a forward -looking statement and must be read in conjunction with the discl aimer mentioned in our Q2 FY '23 investor update, which has been sent to you and also uploaded on the stock exchanges.

I now hand over the call to DK. Over to you, DK. Thank you.

Dharmender Kapoor : Thank you, Anirban. Good evening, everyone, and welcome to Birlasoft's Second Quarter Financial Year '22 -'23 earnings call. We continued our steady performance in the second quarter with revenue at $148.8 million, registering a sequential growth of 0.1% and a year -on-year growth of 8.7%. Sequential growth in cons tant currency terms is at 1.1% and year -on-year terms to constant currency growth is at 11% for Quarter 2.

New deal momentum continues to be good with new deal wins at $138 million in quarter 2, up by 32.6% on a year -on-year basis. In fact, this quarter is probably the best quarter in the last 4 or 5 quarters that we have seen from the wins perspective. The TCV for the quarter was also healthy at $166 million.

EBITDA margin stood at 14.8%, up 9 bps quarter -on-quarter. Chandru will provide more color on the margins later. In Quarter 1, we had switched to reporting attrition, which is more in line with the industry. The good news is that we have seen a further drop in our LTM attrition number, which fell from 27.9% in quarter 1 to 27.4% in Q2, a drop of 50 bps . While it still remains elevated, we expect to see further improvement going ahead, this will help to support our margins in the future. When I look at the impending attrition for the current quarter, which is quarter 3, it is already showing very healthy sign with respect to that attrition lowering down to the level where it will start getting comfortable for us.

Profit after tax stood at $14.4 million and was up 2.9% year -on-year and down 7.6% quarter -on-quarter. When we look at the PAT in rupee terms, i t was at Rs. 1,151 million, up 11.6% year -on-year and down 4.7% quarter -on-quarter.

In terms of verticals, the growth was led by BFSI and CMT under manufacturing, BFSI was up 15% year -on-year and 7.7% quarter -on-quarter while CMT was up 19.4% year -on-year and 5.6% quarter -on-quarter. Horizontal growth was led by business and technology transformation

with high growth of 17.5% year -on-year and 3.4% quarter -on-quarter. And cloud and based services with high growth of 10.4% year -on-year and 6.2% quarter -on-quarter.
So, if you really look at the services or the Horizontal, it is very much on the expected lines. And the trend that we are seeing in the industry, and we are able to align ourselves very well with the industry. Growth continue

s to be driven by larger accounts. With top 5, top 10 and top 20
customers continue to grow at 13.8%, 13.4% and 13.1% on a year -on-year basis, respectively. Our year -on-year customer count of $ 5 million plus revenue improved by 7% and that of $10 million plus improved by 2%. Acti ve customer count remains steady at 301. The head count at the end of 30th September stood at 12,758 and saw an addition of 193 professionals quarter -on-quarter and 693 professional on year -on-year basis. We have hired 253 freshers in Q2 and plan to hire a pproximately 500 in the next half of the financial year '23.
Birlasoft continues to get various recognitions. Birlasoft has been recognized as a U.S. mid -market leader in the SAP S/4HANA system transformation in the ISG Provider Lens SAP ecosystem report. This is the second consecutive year for Birlasoft to be positioned as a leader in the U.S. mid -market in SAP S/4HANA System Transformation space. Birlasoft has strengthened its relationship with SAP by leveraging the rise and SAP to transform its digital landscape on to the cloud with enterprises adopting a cloud for strategy. This move will enable us to accelerate our clients' transformation journey substantially.
In conclusion, as the uncertainty around the macros have increased with respect to the impend ing recession and the geopolitical issues, we continue to remain watchful. However, we expect opportunities in the digital and cloud ecosystem to remain very resilient.
With this, I would like to hand it over to Chandru. Chandru, over to you.
T. Chandrasek ar: Thank you, DK. Good morning, good afternoon, good evening, everyone. Hope you're doing well. Let me take you through some financial highlights for the quarter Q2 FY '23. Revenue, as DK said, was at $148.8 million, growth of 10 basis points quarter -on-quarter, 8.7% year -on-year. In rupees terms, the revenue was Rs. 1,192 crore, a sequential growth of 3.3% and a year -on-year growth of 17.8%. Our constant currency revenue growth was at 1.1% for Q2 sequentially. Year -on-year, the revenue growth was 11%.
EBITDA for Q2 was at $22 million versus $21.9 million in Q1, which resonated growth of about 70 basis points quarter -on-quarter and 7.2% year -on-year. In INR terms, EBITDA was Rs. 176 crore versus Rs. 170 crore in the prior quarter, and that's a growth of 3.9 % quarter -on-quarter and 16.2% year -on-year. EBITDA margin stood at 14.8% as DK said, and that's an improvement of 9 bps on a quarter -on-quarter basis. Margin improvements were aided by lower cost of service delivery, lower travel cost based on the various actions that we take. We took internally higher

offshore mix and productivity improvement overall. Margins were impacted by higher cost hiring, which continue due to the attrition, 4 points that DK made. We also had some retention cost. And in addition, w e had increment stack kicked in effective July 2022.
We have had significant improvement in our operating cash flow and free cash flow in the previous quarter. Our operating cash flow was $20 million, and that represents around 92% of EBITDA as against a n egative EUR 0.2 million in the first quarter. Our free cash flow was $16.8 million, 78% of EBITDA, and it was a negative number in Q1 as well.
Our Q2 PAT stood at $14.4 million versus $15.5 million in the prior quarter, it was down 7.6% quarter -on-quarter, and up 2.9% year -on-year. The call -off here I wanted to make was, one, we did have lower finance income because of the payouts that we made towards buyback in the past quarter. In addition, there was an impact on account of exchange translation on a quart er-on-quarter basis and that cost reduction in PAT for the quarter.
In rupee terms, the PAT stood at Rs. 115.1 crore versus Rs. 120.7 crore in Q1. The ETR in the past quarter was lower at 21.8% versus 25.7% in Q1, and this was because of some tax refu

nds
that we got in the U.S. for prior period. We expect the steady state ETR to be between 25% and 26%.
DSO stood at 56 days, that's an improvement of 2 days sequentially. As I said, we did have good cash collections and our cash performance last quarter reflec ting a DSO as well. Cash and cash equivalents, including investments, stood at $97.7 million, that is Rs. 794.7 crore for Quarter 2 versus $152.5 million or Rs. 1,204 crore in Q1. The reduction is largely in account of the share buyback program that we com pleted in the second quarter.
In conclusion, I believe that we are building on our steady performance. We’ve been seeing healthy new wheel wins, improved DSO and moderating attrition. At the same time, we're closely tracking the macro and geopolitical deve lopment across markets. With it, let me turn it open for questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Shradha Agrawal from Asian Market Securities. Please go ahead.

Shradha Agrawal : The question was given the demand environment that we are in, how do we look at the revenue trajectory in the second half? And also, do you expect the usual seasonality of 2H to play out? And if that is the case, then we might fall short of doing double -digit growth in '23 versus earlier expectations of doing 15% growth. So, of your comments on demand environment and how do you see 2H stacking up?

Dharmender Kapoor : Yes. Thank you, Shradha. If I look at the demand environment, so fa r the discussions that I have been having with our clients and the response that we have seen so far, I would say that the clients are being cautious, I would say that. They know that the initiatives that they have to take, those are very, very important i nitiatives for their business.

So, they are not saying that they are going to drop those initiatives. But very clearly, I can see the trend where they are taking longer than before to decide and take a decision on awarding the projects. At the same time, t hey are extending the timeline. That means that they are not dropping the project, but they may take longer to finish the project so that the outflow in the cash is lesser, but they still have to continue to go ahead with the initiatives that they planned. So, that would mean that the execution will become slower because I can clearly see in the quarter 2 that the number of wins if you look at, our number of wins are very good. The new wins that we had, EN plus NN is better than the previous quarters.

But i f I continue to look at many of the programs, the execution has slowed down where the client is taking time to begin the projects, okay? They are taking longer on that. At the same time, they are saying that can we finish the project in a longer period of time so that then their cash outflow is planned accordingly. So, that is what I'm seeing.

Now are we really looking at double -digit growth, we are still looking for the double -digit growth because we believe that we have some significant wins that have bee n made in this quarter and some of the previous quarters, that will start giving us better revenue as the attrition goes down because one of the reasons the execution goes slow from our side is the high attrition and the joining ratio, okay, getting droppe d because of the people not joining in time. And this is pretty much with everyone in the industry.

We are seeing that our impending attrition is now dropping by 4%, 5% in the quarter 3. We are still in the first month, but we are already seeing that it is going to be lower than the quarter 2. But that is the case that would mean that we will be able to realize our revenue in a much better way than what we have been able to do in the quarter 1 and quarter 2. So, we have the wins. We have the projects that h ave to start. At the sa

me time, we had to take the revenue realization done in time. And I think that quarter 3 from that perspective will be better.

However, there are certain headwinds that you said that seasonality for quarter 3 is always there where it is a relatively shorter quarter from the number of days perspective because of the number of holidays that are there. But we are working on how do we keep our people productive and how do we plan the vacations or other things in such a way that the impact is minimal.

At the same time, we are working with our clients in order to really look at what should be the strategy in case any one of them decide that they have to have a furlough? Because we saw 2 cases coming for furlough in the quarter 2 as well. So, we are working on that. And at the same time, we are able to negotiate with our clients as to how will we have a better approach to manage giving the services in the continuous basis. So, from that perspective, we remain hopeful that, yes, we will show th e double -digit growth for the year overall.

Shradha Agrawal : And another question is, I mean, we saw very strong growth in BFSI. So, was it to do with some deal ramp -up? And likewise, we saw a decline in Life Sciences. Could you call out the reasons for the performance in these 2 verticals?

Dharmender Kapoor : Absolutely. Yes, BFSI absolutely that there is a good deal. There are some new deals. At the same time, we are growing very well with a couple of large customers, okay? So, our strategy of cross -selling is working very well. And as I have been saying that BSFI as a sector is really finding their feet in the digital space in a much more confident way now because they had taken care of their legacy modernization during this time of last 3, 4 quarters or a little more than that. I think BFSI is coming back.

With Life Sciences, I don't see anything wrong with the sector per se. But as you know that we have been rationalizing some of our revenues in the last quarter because of some of the projects getting finished. But in the quarter 2, we did have the furlough also. If that was not going to be

there, probably it would have ended up flat. But unfortunately, we got the furlough on the Life Sciences side. But if I look at the conversation that we are having w ith our customers, I don't see if there's any impact on the demand or any challenge with the sector per se.
Shradha Agrawal : And the revenue moderation that we were seeing in the large account in health care, is that over? And is that a steady account for us now?
Dharmender Kapoor : Yes, it is a steady account for us now.
Moderator : The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain : Sir, just a follow -up on the previous one. Sir, I'm not clear why we are not seein g growth in health care vertical or Life Sciences vertical for many quarters now. It has been, I think 4, 5 quarters. So, how should we see growth in that vertical? And what is causing the stagnation in the health care life business?
Dharmender Kapoor : So, I would not say the stagnation. If you look at traditionally, and I think we have to look at the vertical presence that we have in the light of the horizontal work that we have been doing for both customers. If you look at in the Life Sciences, we were ve ry strong in the enterprise solutions, okay? And we have started growing on the digital direction there. If you look at in the Life Sciences vertical because of the presence in the enterprise solutions or the ERP, those are the nature of the projects that will eventually finish at some point of time. And the support revenue will be lower than the revenue that was there in the project execution.
So, there is no movement with respect to whether we have closed any account or something like that. In fact, we co ntinue to win more number of clients also. But because

our project -based
revenue and ERP revenue was higher in the Life Sciences, it has shown the impact because we will take -- we are taking time in really converting that into the digital. We are growing in the digital data area, cloud area. But of course, it will take time for us to really turn the tide in that direction.
Mohit Jain : So, as a follow -up, if we don't have to look at it from a vertical perspective and more from a service line perspective, wh at is your view on the enterprise solutions given the deal pipeline

and the TCVs you have? It is certainly not growing, but should we expect some declines ahead in enterprise solution?
Dharmender Kapoor : No, I don't think that we should expect the declines ahead because slowly, we are reaching to a point where we continue to win and deliver almost similar to what we will continue to have any drop due to the ERP project completion. So, now I think we are in a stage where we should start growing our digital r evenue as well as our annuity revenue in this particular area as well.
I don't think that we need to look at this on the service line perspective. I'm only giving the color right now because of the shift in the revenue that we have been making in a way as a part of thought -out strategy because we have been able to do very well in the manufacturing space for high-tech and CMT space actually, or even if you look at in the BFSI space, we have been able to grow our annuity and digital revenue much, much faster. I think we need to pick up the speed on the life sciences also on that front. And I don't think that this is going to be the case where we'll continue to see the decline.
Mohit Jain : But sir, on ERP, do you have any split available like how should we see ERP service line split like anything which can help us project some trajectory?
Dharmender Kapoor : No, absolutely, we have. But it will be like too much of granular information that we will end up reporting because then there are multiple parameters that w e look at, but at the vertical level, at the horizontal level, okay, we always have a metric structure. And when we create the budget as well as when we focus our revenue, report our revenue internally for the MIS purpose, we look at every dimension in ord er for us to look at what are the areas that need more attention and where is that we need to really put our sales force behind the offerings that we need to sell more.
Mohit Jain : And last, was there any account transition from on -site to offshore during the quarter? Any project?
Dharmender Kapoor : There are a few, but there is nothing significant that I would say that there is a significant change that has happened. Yes, there is 1 large account where we have moved a significant number of people from on -site to offshore, okay, because of the compliance -related aspects that our client has, okay? So, we have moved a significant number of people in that particular account. But then there are some of the other accounts where, yes, we have moved the services to offshore in order for us to address the margin -related issues also because at the onsite, it is becoming difficult to have people as employees, more and more contractors are joining. So, we do not want to be in a position where we have overdependence on t he contractors. So, there is a clear focus on that so that we can move that work to offshore. And that does impact us a little bit on the top line, but it does help from the bottom line perspective because as you know that we had to go through the incremen ts and everything and the impact of that was about 2.1%, whereas we were able to really claw back approximately 1% to 1.2% from the operating levers, the margin

improvement levers and that required us to move away from subcontractors moving work from on-site to offshore as well.

M

ohit Jain : And sir, last is on margins. Like, now supply side issues going behind, wage hikes done for the year, and our margins were quite low compared to previous year. Should we expect a claw back towards 16%, 17% in the next fe w quarters?

Dharmender Kapoor : It will. I think could be movement -- not movement actually, but the quarter when our attrition starts coming down closer to 20%, okay, then I believe that we can start looking at the upward trend on the margins because there is nothing fundamentally wrong in the execution, except that the cost of people has gone up significantly during these 3, 4 quarters. But as we normalize, as we bring more and more freshers on board, as we correct our pyramid, as we migrate some of the wo rk from on -site to offshore by letting some of the subcontractors go, this is going to come up.

So, yes, I am confident that we will eventually come up to the same level but it is generally a slow movement, but we are confident that we will come back to the same level.

Mohit Jain : Is there any headwind ahead in terms of margins, which we are missing? Like, there are a plenty of…..

Dharmender Kapoor : The only headwind that I'll see will be in the quarter 3, if there is any furloughs that come up, okay? Bec ause if there are any furloughs at the client after so far, there is no pending furlough that we have or client has requested and we had to think about it, so far no. But quarter 3 is generally known for that. So, if that happens, then that would mean that we will end up taking a little bit of hit and that definitely a headwind on the margin side.

And then for the support staff, we have shifted the increments to a later month, okay? So, that will happen in this month. But it will not be as much impacted as we saw in the quarter 2. So, that is another headwind. But at the same time, we have planned the margin improvement levers also. We continue to work on the pyramid correction. We continue to make the projection of billable and continue to bring junior peop le for or against senior people to all that we continue to do in order for us to improve the margins also.

Mohit Jain : So, how much wage hike is left? Like how much impact would it be on cadence and how much is done?

Dharmender Kapoor : How much impact is l eft meaning, I didn't get the question.

Mohit Jain : For the third quarter, the wage hike that are planned for support staff, how much impact in terms of basis points.

Dharmender Kapoor : I believe about 0.8% to 1%, not because significant piece, about 65%, 70% hit we have taken already in the quarter 2.

Mohit Jain : So, quarter 2 is around 2% impact, is it?

Dharmender Kapoor : That's correct. Yes.

Mohit Jain : And 1% will come in third quarter?

Dharmender Kapoor : Correct.

Moderator : The next question is from the line of Dipesh Mehta from Emkay Global Financial Services. Please go ahead.

Dipesh Mehta : Just want to get sense about the quarter 2 performance. Whether it played out in line with your expectation at the beginning of quarter, if better or weaker than what you expected. Can you help us understand what sectors played out? Second thing is about what areas of weakness or pocket of weakness, if you can help us understand where you are seeing signs of weakness emerging?

Dharmender Kapoor : It was lower than o ur expectations because I expected it to be much better, okay? Because when I look at the wins, okay, we were confident that I think we'll be able to realize the revenue, but we have not been able to realize as much as we would have liked it to be, okay?

For example, I talked about 2 programs in the quarter 1, which got delayed. One of the programs started in the middle of the quarter 4, quarter 2, but the other one did not, okay? So, our expectation definitely from the quarter were high. Then the other hea dwind that I talked about that happened wa

s furlough, okay? Then there was a project that got finished. While we knew that the project will finish but it was known that the client will actually go for some of the extended work on that direction before they get into the support and maintenance. But they decided that they will do that extension only in the later part of the financial year. So, that also

did not come.
So, there were those things that had happened, which at macro level I talked about that there is a slower execution or slower realization that has happened during the quarter 2. So, to answer your question in short, what we have delivered is definitely lesser than what we thought we could deliver.
Dipesh Mehta : And just to probe it further, is it more execution kind of issues? If it is execution kind of issues, what we are doing it to improve from here on so such similar things should not happen into coming quarters? And the second question is, I think yet to be answered about pocket of weakness, w hich areas you are seeing from weakness?
Dharmender Kapoor : Yes. So, if I look at, do we know that what are the areas that we need to focus, okay? Because what question that you have asked both the questions or the parts are very similar in nature that do we know what are the weaker areas that we need to address? Or what is that that we don't repeat in the coming quarters? So, yes, absolutely, we have identified.

One that if you look at, we need to look at how do we get the better realization of the revenue for the deals that we have won, okay? And that required speed at whi ch we can hire the talent, and we can upskill or reskill the existing employees so that we can redeploy them into the other engagement. So, that is one very clear focus area that we're identifying not only in the quarter 2, but we identified actually in th e quarter 4 and quarter 1 that we will have to address that because attrition is not going to go away very, very soon and hence we need to be better prepared.
And even when the attrition becomes better, to correct our pyramid, we will have to reskill and redeploy our people, okay, over the junior engineer that we hire. So, from that perspective, you would have even noticed that we have partnered with Coursera and we came out with that partnership this week. We announced that partnership this week. And the o bjective is very clear that how do we now get connected with the collegiate so that we train them there and bring.
Now will that give me the benefit in quarter 3? No. But in quarter 4 and quarter 1, I'll start seeing some benefits coming from the students that I get who get trained initially and then we hire them for that. The time to make them productive in our organization is much shorter. At the same time, we are making all the content available to each employee within the organization so that the traini ng can happen in a far more effective manner and cross -selling enough skilling can happen in a far more effective manner.
That's one revenue realization because of the speedier talent acquisition and all that as something that, in my opinion is a major foc us area because it's not that we have not been hiring, we have been hiring, but at the same time, when the attrition is high, the incremental hiring is only so much, and that means that you are not able to realize the revenue that you thought you will be able to do because you continued having wins.
So, that is the challenge that is the top most in our mind. I talked about the life sciences just in the previous questions that, where is that we need to grow our annuity revenue, where is that we need to grow our digital revenue is also another focus area. Because of the digital projects and the enterprise projects, okay, the annuity revenue always stood at around 70% for us. But looking at the way market is moving, now we are planning that how do we go after t he deal so

that we
can actually move our annuity revenue from 70% to 75% so that we can become more sustainable going forward.
So, I think those are the specific area on top of my mind that strategically, we need to address in order for us to become more p redictable and sustainable with the revenue.
Dipesh Mehta : Understood. And the last part is about in which verticals or which subvertical you are seeing signs of weakness?
Dharmender Kapoor : Yes. So, I believe that we will remain strong in the manufacturin g and manufacturing, CMT and BFSI. We will remain strong, and we continue to see very good momentum coming from our key clients. The life, I say, as well as the emergent utilities one where we have to really push

harder. I am very hopeful that we should be able to turn the tide and start moving up in both of the verticals very soon.
Moderator : The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Just wanted to understand, DK, what is the definition of ou r double -digit growth aspiration for FY 2023? Would it be close to 10%? Or will it be less than 15% as a whole?
Dharmender Kapoor : Yes. I mean I believe that it will be higher than 10% and lesser than 15%. They are looking more and more apparent there, oka y. While it may appear that it will be closer to the 10%, but we are really pushing hard as to how do we recoup the lost ground that we had in the quarter 1 and

quarter 2 so that we can inch towards 15%. That's the way I look at current view with respect t o our annual growth where we will see ou rselves.
Sandeep Shah : And can you share what was the subcontracting cost in this quarter and the last quarter?
Dharmender Kapoor : Chandru, do you have that data handy with you if you can share that?
T. Chandrasekar : Yes, I do. The subcontractor spend in dollar terms was flat quarter -on-quarter. While we did have a reduction in subcontractors around the end of the quarter, we expect to see an improvement in the third quarter.
Sandeep Shah : So, DK, just wanted to under stand, in the reply to previous question, you still say that demand fulfillment because of supply side issues continues to remain an issue. So, if subcontractor has been available, why we are not able to fulfill? And the demand fulfillment as an issue beca use of attrition is actually now 4 to 6 quarters in purchasing for the industry. Why are we still not working on this and not getting a proper handle and we are still calling out that this is an issue in terms of an execution as a whole?
Dharmender Kapoor : No, I think we are addressing, but I would say that probably we haven't seen as much benefit as we would like to see for various reasons because it is also that the nature of people that you require, the nature of engagements and the deals that you're win ning, okay? So, there are multiple things that are there. At the same time, how do we try to have a fine balance between the top line and the bottom line so that we don't sacrifice the margin too much just by running after the top line also.
So, there are multiple factors that are there. I mean we expect that, I mean, we should have done better on that front. But the end result is that the net addition that we had, it was lower than that we planned for because the attrition did happen while they have shaped better than in the previous quarter, but it is still significantly high to the level that it is still uncomfortable for any business. And I think that is what we want to address.
It has started working not that we've not taken the action. We have taken th e action, it has started working. As I said that if I look at the impending attrition for the quarter 3, it is looking to be

much, much better than the attrition that we had in the quarter 2, okay? So, we need to continue to r

emain watchful. We need to con tinue to work on the cost of resources that we hire. At the same time, how do we continue to reduce the attrition. So, it is showing the result. But probably you are not able to see as much a result in quarter 2. I hope that you'll be able to see that more in quarter 3.
Sandeep Shah : And just a related question. We are doing well in terms of new business TCV quarter -on-quarter, but that is not getting translated in the revenue. Almost now 3 quarters in the row where our growth is lower than your internal bu dgets as well. So, is it the nature of the deals which we are signing are more project based versus our aspiration was to balance out both side and improve the annuity side of the business? So, why we have not focused this despite this was one of the key o bjectives that you highlighted when you actually merged the KPIT's revenue with yourself? Because at that time also, we have done well but still looks like the project -based revenue continues to remain higher and plant specific issue keeps cropping up desp ite that and because of which the new business TCV is not getting translated into the revenue.
Dharmender Kapoor : Correct. See, I think your question had the answer in it. We were doing well with 70%, 71% of the annuity when the project sizes were bigger, okay? As we are moving forward, the project sizes have become smaller. And the duration also have become smaller for those projects. And then the reason that the annuity at 70%, 71% may not be seen enough, okay? We did a good root cause analysis during thi s quarter as to what is that is not working well because we are having the wins that are required, okay? So, then why the realization is not there? And I'm not seeing realization from the perspective of the attrition or slower talent hiring. That is a know n fact, okay, or the market situation. But there is more that we can do with respect to the annuity revenue. And that's the reason how I'm upping our goal for moving from 70%, 71% to 75% because if this is the kind of nature of the project that is going to happen, probably we need a higher annuity revenue.
So, I think we need to really work on going after such deal where we can sign it for the longer period so that the runoff revenue that we have seen in the quarter 2 and some in actually in the quarter 1 a lso, if you can reduce that percentage, then it will be better. There will always be some cases where run -off revenue will be there. But then that percentage has to be reduced so that it leads us to the growth higher than we are seeing right now.
Sandeep S hah: Okay. And just last 2 questions. Is it fair to say these project -based revenues, which are not getting started are still there in the order book? And once the macro issue may stabilize, there could be blowout quarters or is it where clients are actual ly scrapping these projects and those impact may not come when the macro issue stabilizes?
Second, how to look at margins in the Q3, Q4? Is it fair to say it may remain flat or may not

decline or there could be an upward bias? And third, looking at offshor e transition, is it fair to say the volume growth is much higher versus the constant currency growth of 1.1%?

Dharmender Kapoor : Yes. So, if you look at on the margin side, we are working towards getting back the hit that we have because of the increments or higher people costs, okay, so that we continue to work on that. As I said, that it is a slower process, okay? And as the attrition comes under control, I think it will pick up, we pay, and we will be able to show the upward trend on our margin side. Giv en the headwinds that we have in the quarter 3, I believe that we should try to maybe move up a little bit, otherwise, even if I am flat quarter -on-quarter, I'd be very happy because if I'm flat quarter -on-quarter, that means they are taken care of the inc

rement headwind or any of the shorter quarter headwinds successfully.
And if I come flat in quarter that also mean that my quarter 4 is going to become much better. Because with the same run rate, okay, we will be able to deliver definitely much better mar gin in the quarter 4. So, it will move upward. But quarter 3 is a tricky quarter, as you all know. So, we need to be watchful on that front. Since you asked, I think a couple of questions in your statement, probably I missed, what was the other point that you were talking about? If you can repeat, then I can answer.
Sandeep Shah : Yes, two things because there is a longer conversion cycle of projects into revenue conversion. Is it fair to say these projects will stay in the order book or there could be scrap of projects because of macro?
Dharmender Kapoor : So, far, I haven't seen where the clients have dropped a project. I have seen the cases where they have slowed down. For example, one of our manufacturing clients, okay, who was supposed to go live in the q uarter 3, now they have extended that to the end of quarter 4. That means that now you are going to spread the same level of revenue across the 2 quarters, okay, remaining revenue across the 2 quarters. So, from that perspective, the project has not droppe d, but I had to reduce my team that is working on the program in order for me to finish it by that time. So, from that perspective, the revenue realization have become lower on those cases. But I haven't seen where customers said that let us drop the proje ct, I don't have the money because that is not the conversation. Thankfully, that's not the conversation that we are seeing.
And if somebody predicted the doom that because of recession, there will be a negative growth and all that, we are not anticipating that, okay? I know that our growth could have been better in this quarter, but that doesn't mean that now we are too worried on that front.
Sandeep Shah : And last question, which I asked was Chandru sir, if you can reply whether is it fair to say volume g rowth has been decently higher than 1.1% constant currency revenue growth because of the offshore flip?
T. Chandrasekar : Yes. So, a short answer to the question is yes. Because of the on -site offshore flip that DK was talking about, the effective volume wa s higher if you look at the number of hours that we've deployed, but the revenues are pretty low because of differential rates that you look at.
Sandeep Shah : Okay. Possible to disclose that volume growth?

T. Chandrasekar : It will be too much of information, Sandeep. But I can give you some broad details. I don't have it handy, but either Anirban or I will get back to you.
Sandeep Shah : No issue.
Moderator : The next question is from the line of Debashish Mazumdar from B&K Securities. Please go ahead.
Debashish Mazumdar : Wish you all a very Happy Diwali. So, most of my questions have been answered. One small query that I have is that it is very clear that situation has become uncertain, especially for us, maybe. And in this scenario, how the pricing thing is moving for us? Are we able to pass on the prices? I understand because of offshore shift, we are not able to improve realization in this quarter. But is the rate card improvement or COLA adjustments are happening or we are facing difficulty there also?
Dharmender Kapoor : Yes. So, it is happening. In fact, with a very large client, we just finished our negotiation on that front. And then we will be getting the price increase and all that very soon. So, all that negotiations are happening. The clien ts are agreeing also. There are other cases where we are getting the pushback also because clients say, they also have challenges on their side.
So, if I look at from that perspective, I think it is still moving up on the existing engagement, okay, in a manner that we are tracking i

t and we are taking it up with the client so that we
continue to sign up for the better prices. However, when it comes to the newer deals that we are signing, that all is coming with the higher margin and with the higher prices because we have updated our price list and any new deal that we go after, we go with the new price only. So, we continue to work on the multipronged s trategy in order for us to get the better prices for the services that we deliver.

Moderator : The current participant has left the question queue. The next question is from the line of Duby Rex from Cumulus Systems. Please go ahead.

Duby Rex : Sir, this is regarding our aspirational target of $1 billion. Is there a shift in it? And second would be on the acquisition plans. Is there any update on that?

Dharmender Kapoor : No. There is no change in our plan for being $1 billion. We continue to keep that as a ca ll because 1 quarter here and there can always happen. And that doesn't mean that we have to change our goal. So, right now, we are keeping that goal to become a $1 billion at the time that we decide it.

Duby Rex : And regarding the acquisition, sir, any u pdate on that, sir?

Dharmender Kapoor : On the acquisition side?

Duby Rex : Is there any update on that, sir?

Dharmender Kapoor : There's no new update as of now. I mean the only thing that I can say is that the hunt is on for the right candidate, but there i s no update worth mentioning where we have moved forward in a more definitive way.

Duby Rex : Because the reason I was asking is with the $1 billion target, there was a component of the inorganic ease also coming into it, right, sir? So, that is why I was a sking if there is any shift in the timeline or anything to add?

Dharmender Kapoor : Your question is absolutely correct question. Yes, that's the plan.

Duby Rex : So, the timeline won't be affected because of the acquisition plan, the target time line.

Dharmender Kapoor : No, we are keeping it as it is.

Moderator : The next question is from the line of Devang Bhatt from IDBI Capital. Please go ahead.

Devang Bhatt : Sir, sorry to prod you on the same thing. But since there are macro headwinds, there is chall enges in life science, E&U and furloughs in Q3. So, for us to even cross 10%, it seems difficult. So, what gives you the confidence that we would be able to manage?

Dharmender Kapoor : No. See, despite having the number of wins and the visibility that doesn 't mean that I don't have to call a headwind a headwind, okay? There are headwinds that are there, but at the same time, we continue to work on the plans that how do we significantly improve on our top line as well as on the bottom line. So, headwinds are supposed to be there and they are there. But to have plans, the objective should be that when we are hit, okay, a dapple of time, do we stand up and make a plan in order to correct the situation? And I think we are in control, and we know what action we ha d to take. For that, we improve on both our top line and bottom line.

Operator, if we don't have a question, I've just been closing remarks on that case there. So, once again, thank you very much for joining the call. Actually , my closing remarks are the s ame that I just said as an answer to the last question that we need to continue to look at what are the area of improvement for us. We need to dispassionately or sometime passionately also look at that these are the points that we need to address in order for us to become more and more sustainable and predictable. I think we moved the needle quite a bit okay, in the last 3 years, but it looks like that we once again have to work harder in order for us to improve our annuity revenue and also continue to look at that. We bring back the growth in the verticals where we have seen a decline. So, we'll continue to work on that, and I absolutely remain optimisti

c that we will be able to
bring back the growth and the margins that is going to cheer all of you.

With t hat, let me wish all of you a happy Diwali. Thank you.

Moderator : Thank you. Ladies and gentlemen, on behalf of Birlasoft Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2023

February 9, 2023

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip ID: BSOFT
Scrip Code: 532400

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.

Symbol: BSOFT
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of Earnings Call held on February 2, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company held on February 2, 2023.

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies-reports-filings , under the head – Quarterly Reports ■ Earnings Call ■ Transcript.

Kindly take the same on record.

Thanking you.

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer

Birlasoft Limited Q3 FY'23 Earnings Conference Call

6.30pm IST, 02 February 2023

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MR. CHANDRASEKAR THYAGARAJAN , CHIEF FINANCIAL OFFICER
MR. ROOP SINGH , CHIEF BUSINESS OFFICER
MR. SHREERANGANATH (SK) KULKARNI , CHIEF DELIVERY OFFICER
MR. ARUN RAO, CHIEF PEOPLE OFFICER
MR. ABHINANDAN SINGH , HEAD – INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator : Ladies and gentlemen good day and welcome to Birlasoft Q3 FY23 Earnings Conference Call . As a reminder all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
Please note that this conference is be ing recorded.
I now hand the conference over to Mr. Abhinandan Singh – Head, Investor Relations, Birlasoft . Thank you and over to you sir.

Abhinandan Singh : Thank you Aman and welcome everyone. By now you would have received or seen our results. Those are also available at our website www.birlasoft.com .
Joining me on this call , today are our CEO and MD – Mr. Ang an G uha, our CFO – Mr. Chandra sekar Thya garajan or Chandru as we call him , Mr. R oop Singh – our Chief Business Officer , our Chief Delivery Officer – Mr. Sh reeranganath Kulkarni or SK as we call him , and our Chief People Officer – Mr. Arun R ao. We will begin the call with opening remarks from Angan and then Chandr u.
Before I handover the floor to Angan , a quick reminder that anything that we say on this call on the Company's outlook for the future is a forward -looking statement and th erefore that must be heard or read in conjunction with the disclaimer that is appearing in our Q 3 FY23 Investor Update , which has been sent to you and also uploaded on our website as well as filed with the stock ex changes.
With that let me hand over the floor now to Mr. Ang an Guha, our CEO and MD . Over to you Angan .

Angan Guha: Thank you Ab hinandan and good evening and g ood morning to everyone wherever you are. I am pleased with the opportunity to be able to engage with all of you today for my first Earnings Call since I have come on board. As you are aware I joined Bi rlasoft on December 1st and over the past two months , I have spent a lot of time meeting with our teams , the sales teams , the account teams , the delivery teams , our service line teams and also many of our customers. I can tell you that I am incredibly excited with the response and the welcome that I have received. I will share with you later in the call with some of t he perspectives that I have picked up as we go along.
But before I get there let me quickly share with you the highlights of our quarterly operating performance , after which I will ask Chandr u to share some details around our results and financial highli ghts.
Our revenues for the quarter stood at 148.4 million , representing a growth of 5.5% YoY and flat QoQ in constant currency terms. This was despite the higher than usual furloughs that we experienced this quarter and as all of know it is by nature a seasonally weak quarter.

Our EBITDA margin performance for the quarter excluding the one -time provision of 1 9 million that has been made is 13.4%. Chandr u will explain to you in details the provision that we have taken. Our operating margin performance for the quarter also reflects the investments that we have done on some capabilities and the leadership hiring that we continue to do and these are just investments that will yield results as we go forward.
However , our deals wins have been very -very encouraging .. Our TCV signings for the quarter is at 231 million which represents a 39% growth QoQ and 27% growth YoY and I am happy to state that this has been one of the best quarters in our history in terms of deal signings. On the people front , we ended Q 3FY23 with a total headcount of 12 ,530, which is a growth of 5% YoY . But m ore importantly our attrition s have been improving. Our Attrition in Q 3 stood at 25.5% and this is an improvement of 27.9% in Q 1

and 27.4% in Q 2. As the attrition levels get better ,
we expect some of the benefits to accrue in margins as well as we go into the coming quarters.
As I deep dive into my business , let me share some initial thoughts that I gathered :
As all of there have been shifts in the external environment in the recent months due to the confluence of factors. These however are likely to be short term in nature. Customer organizations will continue to spend on I T, looking for better value from their I T spend and a much deeper relationship with their I T providers as we go forward . I strongly believe that the tech spends will continue to be strong and the spending will become more and more tuned towards the operational excellence , customer experience and cost efficiency.
At Birla soft, we have built relationships with our clients whom we have served for extended periods of time and clients do see us as their strategic partners. From an organization perspective , we have been able to nurture great talent pool , build strong capabilities in very high potential areas and we wil l continue to reinforce our leadership team as we go forward , to sharpen the market focus for better growth. It is this fundamental robustness in our business and the investments that we are making , that makes me extremely confident of our outlook.
With a longer quarter , no furloughs and some ramp -ups in deals , that we have added , we believe operationally our Q 4 will be stronger than Q 3. Operationally we are confident of delivering th e strong growth even for the financial year. Over the next few weeks and m onths , I will share with all of you a more sharpened go -to-market strategy , as we streamline our organization's structure , strengthen our execution and become much more predictable as a business .
I believe that consistent and robust execution , combined with the client centric organization that we are building , it will take us to the next phase of growth in our journey. At this point in time , I will ask Chandr u, our Chief Financial Officer , to share his perspectives on the quarter.
But before I hand over the floor to him , I would like to take a moment to thank him for his contribution during his time here. As you know Chandr u has decided to move on for personal reasons. I personally appreciate how he has built a strong finance organization and a sound layer of leadership under him and some incredibly mature processes.

So, Chandr u thank you for your contribution to Birla soft and with that I hand over to Chandr u.
C. Thyagarajan : Thank you for the kind words Angan . Good morning , good afternoon , good evening, everyone.
Hope you are doing well. It's a pleasure to talk to you again.
Let me take you through some operating and financial highlights in some level of detail :
Our performance for the quarter has been characterized by a higher than usual furlough with some project hold , some investments that we made in the business , all of which Angan alluded to and also a one -time impact from a provision that we have taken. At the same time , we also had good deal wins , we have had strong cash flows and continued improvement in our attrition metric. As a result , our revenue in dollar terms stood at 148.4 million and 12. 22 billion in rupee terms. We were flat on a constant currency basis sequentially. In INR terms our revenues were up 2.5% QoQ .
Our Q3 FY23 consolidated financials , as you know include a one -time impact of $19 million. This provision is on account of a customer called In vacare, that has filed a petition yesterday ie, February 1st in the US , for relief under Chapter 11 of the Bankruptcy Court in the US Bankruptcy Court. In line with our accounting policy , we have created a provision against the outstanding receivable s and also contract assets as of December 31st, 2022.

We are taking legal advice to
determine the future course of action.
Our EBITDA margin excluding this non -recurring provision for Q 3 stood at 13.4%. During our

discussions on this call , we will be referring to EBITDA excluding th is one-time impact as that reflects our operating profitability. Our operating margins for the quarter reflect the earlier mentioned factors with high er furloughs, incremental investment in reinforcing leadership across our vertical s, service lines and delivery and residual wage increases , which we had indicated if you recall in our previous quarter as well . More than offsetting some gains that we got from currency tailwinds , as a result EBITDA margins excluding t he one-time provision declined sequentially. We expect to bounce back in Q 4 with some of the investments made in Q3 beginning to yield results.

From a vertical standpoint , our BFSI business continue to do well and register a strong sequential growth QoQ . The Life Sciences vertical also recorded growth on a QoQ basis. The E&U and Manufacturing verticals though registered a sequential decline , mainly on account of the furloughs and some of the project hold impacts that I was talking about. Our top accounts have done well , with both the top 10 as well as the top 20 buckets delivering growth led performance QoQ and what you know is a seasonally weak quarter. Our top 5, top 10 and top 20 accounts now contribute 31.7 %, 47.9% and 64.1% respectively to total revenue.

The news on the cash flow front continues to be good. In Q 3 we had the best ever quarterly collection at $169.3 milli on. This is testimony to the quality of service that we have been delivering. Our DSO was down , was better as well at 55 days and we continue to be best in class there. Our total receivables including bill ed and unb illed are down QoQ , so the overall

receivable s position has improved noticeably. Our operating cash flow was 30.2 million during the quarter and that was 154% of the operating EBITDA. By operating EBITDA , I mean this excludes the one-time provision and our free cas h flow was healthy as well at 28.9 million which was 148% of our operating EBITDA. The resulting strong cash flow generation has led to cash and cash equivalen t crossing the R s. 10 billion mark , back again as of 31st December. You will recall that we had a share buyback with an outflow of about Rs. 4.75 billion earlier this financial year.

In conclusion , I believe that excluding issues related to Inv acare, we set for a growth led performance in the coming quarter. We expect ope rating margins to expand QoQ with impact from followers behind us. Our balance sheet is strong. We are generating ro bust cash and have made investments in building capability , that will help us scale our business going forward. With that I will open the floor for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sudh eer Guntupalli from Kotak Mahindra. Please go ahead.

Sudh eer Guntupalli : My first question is , you have been in the system for almost 2-2.5 months. Any preliminary thoughts on the fine tuning the strategy , be it on the G TM front, sales front or delivery side so on and s o forth? Of course, you mentioned that going forward you will keep interacting with us on that , but any preliminary thoughts on where do you think we will have to do some bit more of strengthening? Where do you think it is all okay and status quo can continue ?

Angan Guha: Sudhir f irst of all thank you for your good wishes. So , look I am in the company now for exactly 60 days . It's a little bit early for me to give a detailed view but like I spoke about earlier , we will be investing in all sides of the business. We will be investing on the front -end. We will streamline

the organization to become more client centric. We will be investing in our delivery leadership. But m ore importantly , we will be investing in our capability as well. Now, not to say that we don't have great capability , in fact I have met so many clients and we have got very -very strong capability and deep relationship with our clients. I think if we can get sharper foc us, I think we will be able to do very well. You have to give me some time , when I can lay out a formal strategy on all the three areas that I spoke about and I will do it in the next coming three to four weeks.

Sudh eer Guntupalli : Sure Angan, that's very helpful. Second question is on this Invacare part, just so that our understanding is correct. What is the run rate as per the latest quarter revenue run rate? What is the share that this client is accounting for in the overall scheme of revenue and going f orward how much of an impact do you foresee given that in their bankruptcy filing also it is not the entire entity is filing for bankruptcy ,only few subsidiaries are filing for bankruptcy ? Currently what is the revenue run rate and to what extent do you think that gets impacted?

Angan Guha: So, Sudhir, look the bankruptcy notice came to us only last night . We are now looking at all the legal opinion to figure out exactly what the impact is . It will be a little too early for me to talk about the impact. But I will tell you this , from a revenue standpoint it only contributes to less than 3% of our revenue. I would request you to look at our operational performance and keep

Invacare outside. S o, like we talked about a little while ago , operationally we will continue to deliver strong growth in Q 4, both on top line as well as on EBITDA. But what will happen to Invacare, it's hard for me to comment now , because we are taking legal opinion . For no w, based on what we knew we have taken the provision , but we will have to wait and see what happens.

Sudh eer Guntupalli : My last question is to Chandr u, just on this provision. What is the split between our billed receivables , un-billed and contract assets? A nd an extension of that question is what is the nature of this contract asset ? Is it some prior investment you had done into this client , which you are non-cash basis you are knocking it off ? Any further color on this will be helpful Chan dru.

C. Thyagarajan : Thanks for the question. First of all , this is as you already alluded to a combination of b illed, unbilled and contract assets. That's point number one. Point number two , the whole billing schedule is as pe r the deal structure that we signed back in 2019. We have been billing Invacare based on that structure and really what we have had to do is , we decided that we will take the provision for all of the bill receivables a s one date. So, we billed them, have a payment term that was agreed on which way we have been billing them. They have not paid us for the past couple of months that w as one. S econd , we also had un -billed receivables. Again , like I said , the billing was based on the deal structure that we signed up back in 2019 and as part of that deal structure there were still some of the receivables that we had not yet b illed as on yesterday and that is one part. Third element is the contract assets . Now the contract assets is nothing but our cost of third party vendors and licenses and some of those costs that we incur specific to this contract , that have been prepaid for and are still lying in the balance sheet. If you ask about the total quantum , roughly it is primarily bill ed plus un -billed that I would say constitute about 80% and contract assets contributing less than 20%.

Sudh eer Guntupalli : I am little surprised as to just two months of billed receivables and plus un -billed is contributing almost 120 crores. Given

that the revenue share as Angan pointed out earlier is hardly 2% to 3% , how come two months of b illed plus un -billed is resulting in almost 12 0 crores of provision here?

C. Thyagarajan : Yes, there is a bit of accounting nuance here, so I will probably not bore you with that , but y ou know that in a fixed price contract , the way you take revenue is very different from the way you do your billing , so these are two separate streams . In the early part of the co ntract , in any contract where you have transformation you take more , you spend more effort and therefore take more revenue and then you b ill it over a period. We are at a stage where the billing is roughly about two times the revenue that we take. So, the billing is obviously much larger than the revenue that we've been taking. That's one of the reasons why the bill ed plus un -billed as you see is significantly larger than the revenue that you potentially are estimating.

Moderator: The next question is f rom the line of Mohit Ja in from Anand Rathi. Please go ahead.

Mohit Jain: As a follow up to the previous one only , when you say contract assets prepaid , this was money paid in 2019 or is it something which was paid in say three months back or something?

C. Thyagarajan : So, Mohit I'll take this question. This is money that it's like a continuum , and I will just give you an example here. If there is a certain third -party contract that we have t hen renew ed as part of the deliverable , say we renewed in July 2022 and we did a renewal for a year. We would have consumed seven months of it already and five months would still be remaining in the balance sheet. The contract asset is the sum of all of that Mohit, so it's not back in 2019. It's more recent than that.

Mohit Jain: From a cash flow or revenue standpoint , what you're suggesting is that we should take this 3% hit immediately in Q 4 and then on that bas e you will possibly show some growth. Is that underst anding, correct ?

C. Thyagarajan : That's correct. If you knock off the 3% from both Q 3 and Q 4 and then do a comparison , you will…

Mohit Jain: Q4 w ill be automatically knocked off. You will not book revenue s going forward ?

C. Thyagarajan : That’s right.

Mohit Jain: Or will you book for the month of January?

C. Thyagarajan : Sorry Mo hit, we were talking over each other. Yes, Q3 you will knock it off and Q 4 you will not have it going forward. Therefore , on that basis if you compare , we do expect a QoQ improvement. Ye s.

Mohit Jain: Second one was on the other current liability etc. There was this increase on a QoQ basis. What is the nature of this increase? Is this also something to be paid up in the short term or how should we read that?

C. Thyagarajan : Yes, it is very unrelated to the conversation we're having around Invacare. We have a few customers that have given us advances and this is a typical of the thi rd quarter for B irlasoft every year, where you have certain customers that give us advances and that gets set off in the following quarters. There were advances amounting to about $12 million that's gone into the

other current liabilities line item.
Mohit Jain: Great. That represents part of the growth that you are anticipating ahead?
C. Thyagarajan : That is representing part of the growth that we're anticipating absolutely right.
Mohit Jain: One more on TCV , like you guys spoke about higher TC V, but if I look at net new it seems to have come off quite sharply QoQ and YoY. What is happening on the net new TCV which has given as $102 million?
Angan Guha: So, o n the net new , we have signed up $102 million for the quarter. But, what you should be also seeing is a funnel. Our funnel size is going up. While we have net news which is a little lower this quarter , but we have renewed a lot of contracts and that al

so shows the strength of our

relationship and strength of our delivery. We are confident that overall , on the TC V signings what we have delivered , it is a very strong quarter and we hope to continue that in the future quarters as well.
Mohit Jain: When you say continue , we should look at 102 million plus kind of a net , becaus e net new will determine growth in some sense for FY24.
Angan Guha: Yes, you should look at the past three quarters from a net new perspective. It's a cumulative thing because we are measuring TCV as you can imagine. S o, some of the net new will only flow in revenue two quarters out. You should look at it from that perspective.
Mohit Jain: And last is on the margin. You guys spoke about some margin expansion in 4Q, is it possible to quantify ? Because some of th ese costs appear like one -off and then t here is this moving part which is headcount. You were expecting some increase during the quarter , it actually came off when the cost went up. So, is t here some qua ntification on the margin front that you guys can give?
Angan Guha: Yes, so we can't quantify it. But I'll tell you what , in Q3 our margins showed a decline because of two reasons. One is because of the unusual furloughs that we took , which was not anticipated earlier. Second is the kind of investments that we are making. We have been making investment in sales ; we are making investment in leadership hiring. Some of it when I draw out my strategy you will see it very transparently in terms of the investments that we are making. Because of that we have taken a little bit of margin hit. The reason why we feel confident of the margin clawing back is because of two reasons. One , it is a longer quarter , 4Q is a longer quarter. We will not have the furloughs and they will come back and b ecause of the investments that we have made and the deals that we have won , it will obviously aid in some revenue uptick as well which will also aid margins. But w e can't really quantify an exact number as you can imagine.
Mohit Jain: When you say cl awing back , you are referring to 2Q margins ?
Angan Guha: We can't give you a forward -looking statement like that because we don't give guidance. But suffice to say that the margins will be better than Q3.
Moderator: Next question is from the line of Dipesh Mehta from Emkay Global . Please go ahead.
Dipesh Mehta: Couple of questions , first just to complete on Invacare part. Now if I refer to Inv acare release , they mentioned they have terminated MSA on January 27 with Birla soft and they mentioned some of the reason s, not satisfied with the service and breach of some of the conditions and all those things. I just want to understand whether the intimation came on yesterday or J anuary 27th?
Angan Guha: So Dipesh, w e have been having conversations with Invacare as you know pretty much for the last one month. In the last one week , we have had multiple conversations with them which ultimately culminated into the Chapter 11 filing which happened last night. I can't really comment exactly what happened , because that is client confidentiality. But w e have been having

conversations with them for the past seven days. Finally , we got the Chapter 11 notice last night , exactly 24 hours back.
Dipesh Mehta: Understan d, now if I refer to their MSA termination notice , it appears till January 27th billing may continue. So, when we look Q4 revenue , whether we will see roughly a month billing happen ing in Invacare account or it could be practically zero in Q 4.
C. Thyagarajan : So Dipesh I will take that question. It will be zero in Q 4 because this is as per our accounting policy , the moment a customer moves into Chapter 11, we recognize revenue only on collection. Which means

you should expect that we will not recognize any revenue in the fourth quarter , unless we are paid for that revenue and that will be a separate accounting treatment. But f or now , we should assume that t here will not be any revenue for Invacare .
Dipesh Mehta: And b ecause let's say there would be no revenue , so no incremental provision required in Q4

also.
C. Thyagarajan : In terms of the incremental provision required , there are two aspects to it . One is there's a revenue -related aspect and two there is a cost related aspect. We have to get to that after the assessment we do based on the legal inputs that we are getting Dipesh . As Angan said it's not even 24 hours , 22 hours to be precise since we got the notification. So , we are still working through this. We will probably get a litt le more information in the next few weeks on what impact if any , we will have in the fourth quarter.
Dipesh Mehta: Now coming to the business side , now we indicated Q 4 revenue growth to better than Q 3. Now in Q 4 we have to take some hit because of Invacar e, which is I think earlier in the call we indicated quantum of that revenue. It is including the Invacare, so on reported basis we will see improvement or it is adjusted for Invacare business ? The commentary which we made.
Angan Guha: So Dipesh like I sai d earlier you should keep Inv acare outside because we don't really know what is going to happen to Inv acare based on the legal advice that we get . What we can say and state is operationally outside of Inv acare we will show growth in Q 4, both on revenue and margins. But Invacare we do not know. It is hard for me to comment in terms of what will happen or how much provisions we will need to take.
Dipesh Mehta: So, revenue growth also - is it ex-Invacare in the commentary ?
Angan Guha: Outside of Invacare, t hat is correct yes .
Dipesh Mehta: Last part is about the EBITDA margin. I understand near term some of the investment plan and obviously S &M investment plus some of this one-off provision which impacted margin. But from aspiration per spective I think earlier we have aspiration to have 15 and improving it to 18 over next few years. So just want to understand your perspective , the way you plan investment to accelerate revenue growth in next few quarters ? What would be the range which you would consider as a floor beyond which you would not accelerate investment till the time results come

from the prior investment s? If you can give some sense about your thought process on margin trajectory ?
Angan Guha: So Dipesh we still stay committed to delivering the 15% EBITDA margin that we ha ve committed earlier , we are committed to deliver that . Now the question is , whether we get there in 4Q or the first quarter of next year ; we can't comment on that right now , but definitely we will get to 15%. Now on the long -term trajectory to get to 18% again , it will all depend upon the kind of investment we make. We want to bu ild a long -term strong growth -oriented business and for that we will need to make investments. But I am equally aware of the fact that we need to deliver the margins so we will say for now that our first port of call will be to get to 15% but continue to make investment as we go along.
Moderator : The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Just further to Sudhi r's question on the strategy , I also wanted to understand Angan do you believe that B irlasoft has enough entry door openers or right to win s or you have to invest into that also before making a call in terms of sustainable , considerable, consistent growth turnaround in the revenues ? And second the perception of the investor is Birlas oft also has witnessed lot of volatility in the growth in the past because of the proj

ect completion , project -based nature of the business. Do you believe even your time is required in terms of streamlining th e business to more sticky annuity base revenue or those things are actually already there and though time and investment may not be required much on that side of the business as a whole?
Angan Guha: Sandeep first of all again thank you for your welcome and thank you for your kind words. S o, Sand eep look does Birlasoft have the capability? Like I said right up front we have got great capability and we have got a great talent pool. We just need to sharpen our focus on the markets that we want to serve and th e clients that we want to serve. Chandr u also talked about the fact that our top accounts have started to turn around and are doing well. In fact, the top 20 accounts now contribute to 63% of our revenues. But clearly we want to continue to invest over time to shift the trajectory to become more annuity based. Am I happy with the situation that we are today from an annuity -based perspective? Obviously not. We need to continue to invest not only in talent , our sales capability but also our capability in t erms of the offerings that we take to market. But the good part though is all the clients that I have met or look at us as strategic partners. Back on the good client momentum that we have , we will shift our business and I will need time and investment to make that shift and we will work on it. We will work on it as we continue to execute on our quarter ly vision .
Sandeep Shah: Just further in terms of the client potential , do you believe e nough can be done in terms of mining and driving the growth in the business or you have to do a well -balanced job in terms of client mining as well as hunting new must have client addition as a whole?
Angan Guha: Sandeep like I said earlier our top 20 clients are growing. That obviously tells you that we have got momentum in those clients. Now can all of those clients take us to the next level. The answer

is mix. Some of them will , some of them will not. Obviously, we have a good hunting strategy

where we have a list of must win logos that we will build into this. By and large the confidence that we get as a management team is the fact that our top clients have started to do well. We are winning deals as you have seen and as a part of the net new bus iness that we have won we have also won some marquee logos that we want to then invest and start growing out.

Sandeep Shah: Apart from Inv acare is there any other large client specific issues? Why I am asking this is if I look at the margin ex of Invacare provision for doubtful debt s, there is a rupee depreciation , there is actually a utilization improvement as well. I do understand the other headwinds you call out is investments. But is there any other write -offs which we might have done in terms of discontinuation of some of the low margin business or deal accounts or you believe those things are not required on a going forward basis or not done in Q3 as well?

C. Thyagarajan : Sandeep let me take this question in two parts. Part number one, are there other large accounts that are like the Invacare account? The answer is an absolute no. I already told you that we have had a very strong DSO. We continue to have amongst the best DSOs across the peer group as you can imagine, one. Two our collection s for the past quarter , I also gave you the number it's been the best ever and we continue to do well on that front also. So, for us clearly that's an indicator of the fact that clients like the work that we do and pay us on time , that's point number one. Point number two, in terms of whether there are any other provisions one -time, there will be some little items that is coming on a QoQ basis sometime plus, sometime minus. We are not measuring minus here but I

can tell you that we have a very strong provisioning process. We have an estimated credit loss policy on which basis we take our provisions based on many factors that we consider including the geographies that we operate, the kind of cust omers, the industries that these customers work in, the overall credit rating for our customers in our assessment and factors such as payment terms; are there any payment delays in specific cases based on client behaviors and so on and on that basis we tak e provisions as well in addition to specific provision that we have taken on Invacare this time around. So short answer to the question is that there are no other significant one -time impacts that we anticipate in Q4 , except the fact that we need to assess what's going with Invacare , that's point number one. Point number two , with furloughs not being there one, the project holds being lifted two , and with some of the investments that we made in Q3 starting to yield results in Q4. We are confident that the uplift that we expect to see in Q4 will happen Sandeep.

Moderator : Next question is from the line of Manik Taneja from Axis Capital.

Manik Tane ja: So, my question was for Angan. You have talked about sharpening our focus both in terms of markets and clients. Now in this regard in case of Birlasoft over the course of last 3 -3.5 years since this company was carved out through a merger of the erstw hile Birlasoft business and KPITs IT Services business. You guys have been pruning your long tail of accounts and trying to focus on a smaller set of customers and mind them better. So, do you think we essentially continue in that journey going forward ove r the next 2 -3 years, that's question number one. The second thing is that in terms of building out additional capabilities to transform or accelerate growth, do you think we will look to leverage the cash in our balance sheet to build our capabilities?

Angan Guha: So Manik, first of all, to answer your first question, we will absolutely focus on the top accounts and again if you remember what Chandru said slowly our share from our top 20 accounts have risen to 64% and that is where our investments are g oing to go in disproportionately. We will disproportionately invest in our top 20, our top 40 accounts but equally we have a list of must - have accounts that will go in and we will continue to focus on them. So that is point number one. On the capability side , I feel the capabilities that we have created whether it is digital , whether it is in infrastructure , whether it is data and analytics is actually world class . What we will do though is we will get more and more sharp focus around the verticals where we can take the capabilities on and as you know that our clients actually buy business solutions in our technology solutions. So, the vertical veneer in terms of what do we mean for the banking industry, what do we mean for the Manufacturing industry is going to be crucial. So, a combination of our vertical focus and the technology focus with a focus on the top 20, top 40 accounts I think will be a big part of our strategy going forward.

Manik Taneja : And the question was on around using acquisition to essentially build capabilities or this could be an organic build out?

Angan Guha : First of all, we will execute on QoQ organically , that is the first thing we will do and we will

continue to do it for some quarters , till we feel very confident that we have gone into a QoQ growth mode and once we have got there then we will look at if there is an inorganic necessity. We do not really know whether there is an inorganic necessity right now. Right now , our job will be to execute top line growth and margin growth and create positive cash flow QoQ .
Manik Taneja : One last clarification question , you spoke a bout the need to increase investmen

ts, while I do understand that you have an aspiration from a long -term standpoint to get to 18% EBITDA margins and probably pull back margins to about 15% in the near term, but you think we should think about the next 12 months to 18 months in terms of some dilution in margins as we meet the investments in terms of client relevance?
Angan Guha : I cannot make a forward -looking statement . I can only say that we will continue to invest to build a long -term strong business and equally our aspiration will be to continue to deliver 15% EBITDA margins.
Moderator: Thank you. The next question is from the line of Ravi Menon from Macquarie Group . Please go ahead.
Ravi Menon : Are there a ny strength that you found at Birlasoft especially in BFSI that have been possibly surprised by ? When you said that you will sharpen this broader market by industry, anything that you think we have some possibility or opportunity for some easy pickings?
Angan Guha: In Financial Services obviously, we have got some very good clients that we are working on and we are mining and we are growing them and most of our clients you have seen through the results have restored a lot of faith in us and are working with us to kind of very closely. So, in my mind financial services will continue to be very strong, we have got great capabilities in the

banking sector and within banking a couple of very niche processes where we are very strong at and we will continue that growth trajectory.
Ravi Menon : Generally, it has been perceived at Manufacturing because of I guess primarily Oracle or SAP work it is seen as a laggard . Do you think that we now have a good cycle there Manufacturing when I say the HANA upgrade or anything else that we can look forward to have this vertical come in line with the company average ?
Angan Guha: First of all, we have a new leadership as far as Manufacturing and Hi-Tech is concerned . We are excited about the new leader who is coming into grow this business. On the second part the point that you made about S/4HANA creates a huge opportunity for us. We think the cycle is churning, we think the Manufacturing sector in general over the ne xt few years will see an upt ick and we want to capitalize on that upt ick. We are definitely very focused on that vertical, we are investing in that vertical like I told you we have a new leader now and on the back of the new leader we will see a lot of growth going forward.
Ravi Menon : Since you mentioned new leader for Manufacturing , any other changes that you could mention that you made so far in the go -to-market as part of the strategy?
Angan Guha: So, we have a new leader for our Life Sciences business, we have a new leader for our Energy & Utilities business. So, we are making a lot of changes as we speak some of the leaders are already on board, some of the leaders are coming on board. So, yes we are making a lot of investments and which is why Chandru talked about an investment cycle through October, November and December.
Ravi Menon : And one of those net new deal of 102 million , any further large deals or very long -term deals like a 10 -year deal signed with Invacare ?
Angan Guha: No, we do not have a 10-year deal, but we have three good deals. We cannot talk about those clients because it is confidential, but I can tell you we have three very good deals.
Ravi Menon : Chandru you talked about those fixed price deal with Invacare , you are recogniz ing revenue I think according to you what you had plan ned going by the milestone . Is that why to this cash conversion or the billing has actually been lagging the revenue or this is like particularly large milestone that we have not really been able to deliver on or the client is now without actually accepting it?
C. Thyagarajan : So, it is more of a former Ravi. The way

the billing schedule was agreed upon a part of the structuring was that the billing will lag revenue in the initial quarter s and then the revenue will lag billing in the later quarters. So, we are in this phase right now where we had more billing than revenue, but yes in the initial quarters when the maxim um effort was being put into the transformation was where we had more revenue than billing. This is part of the accounting policy which we have been consistently applying across all of our fixed price clients .

Ravi Menon : I think if I recall right in the July 2022 call by Invacare, I think they mentioned that they were pretty happy with the work that you guys have done and they have managed to save a lot of the G&A side structurally, billions of dollars in saving is I think what I called out, so now to move to a point where they are actually accusing you off contractual breach of MSA, have you been appraised of what they are saying that you have kind of reached?
Angan Guha: First of all we do not know what they are accusing us of , because it has been a string of conversations Ravi and then it culminated into chapter 11. I can only tell you that we are executing flawlessly and we were getting paid on time. So, we are not aware what they are accusing us of and that is all under dis cussion.
Moderator : Thank you. The next question is from the line of Shradha from Asian Market Securities. Please go ahead.
Shradha : Couple of questions firstly within Manufacturing we have good expertise in Hi-tech and that sub-verticals seems to have do ne well in the previous few quarters, but with what we are hearing on the Hi-tech verticals from other larger vendors, what is our outlook on the same and with respect to that how do we see growth in manufacture overall on then ?
Angan Guha: Manufactu ring has been a strong vertical for us and like I said we are seeing a lot of traction in Manufacturing both on the discrete Manufacturing side and the non-discrete side. Hitech is a big focus area for us and though the Hi-tech companies are currently going through a little bit of a tough cycle because of everything that we are reading in the papers, but at least from our client perspective we believe that business will turn around very soon as the cycle turns. So, we are very c onfident we will continue to invest both in Hi-tech as well as in Manufacturing .
Shradha : Secondly you have indicated that you are looking at improving margins, but it is just two months that you have been around, but you must have identified by now some areas that you would focus on initially for driving improvement, so can you mention those improvement areas that you are focusing on at the first g o?
Angan Guha: Shradha can you wait for couple of four weeks to a month for me to outline my overall strat egy. When I get an opportunity to meet all of you and outline my overall strategy you will automatically see , how we will save some cost to improve margins at the same time investing at the right places. It will be a little early for me to comment on that because it is a part of a much larger strategy Shradha .
Moderator : Thank you. The next question is from the line of Abhishek S from InCred Capital. Please go ahead.
Abhishek S : My first question is regarding your comment in your prepared remarks . You mentioned about a legal opinion related to bankruptcy, can you highlight what is this regarding the legal opinion is to and is there any onetime settlement that are we kind of contemplating that is question number one. The second is on the fungibility of the resources working on the Invacare project . What we

wanted to understand is that how soon they would be deployed on the newer projects ? And the third question is on the sub-contracti

ng numbers, can you just highlight wh at it was for the quarter and the previous quarter as well and would the Invacare contract or the closure of this contract would that mean that there could be some savings from the sub-contracting number or the sub -contracting expenses?
Angan Guha: First of all the reason we said that we are taking legal opinion is because as you can appreciate and Chandr u illicit to this earlier we got the notice only 22 hours ago. We have looked at and since they have filed for chapter 11 , we need legal opinion in terms of how do we need to proceed because I am sure you are aware , when any company files for chapter 11 then the courts get involved. So, it is important for us to take the legal opinion. So to your question how many people can be redeploy ed and how qui ckly, will all depend upon how this negotiation goes. So, very early for us to talk about, but over the next two or three weeks we will have a better situation. So, subcon I will ask Chandru to talk about.
C. Thyagarajan: You got a two-part question on sub con Abhishek so let me take both of that. First of all on subcon we did see a slight dip in Q3 versus Q2 also because as we got the furlough where we have the flexibility to put subcons on further as well. So, there was a slight dip, but it would not significant to be honest that is one. Second you also talked about the subcon on the Inv acare account and deploy ment right . You additionally alluded to employee on Invacare account and redeployment of these resources. So, on both my response would be we will wait for the legal advice on the go forward with respect to the Invacare account because I am sure that there are do’s and don’ts that we need to be educated on. We will get some more clarity on this Abhishek over the next several days before we can comment on what we will do going forward. We want to make sure that we are compliant with all regulatory requirement in the US.
Abhishek S : Just a last one from my side , now given that you are saying that you are awaiting the comments

from your legal side I presume that the TCV number would not have been adjusted for on a go forward basis for this client or it has already been in your press release?
C. Thyagarajan: So, the way we report TCV signing are only new signing when I say new signings it could be renewals it could be new signings from existing customer or new signings from new customers. So, the numbers you have do not include any past informa tion positive or negative .
Abhishek S : My question was not for us, but would you kind of readjust that and kind of highlight us in terms of on a go forward basis?
C. Thyagarajan: I am not sure I understand the question , our order book will have to obviously get readjusted based on what kind of advice we are getting from the legal advisors, but that will still like I said depend on the clarity that we will hopefully get over the next several days.
Moderator : Thank you. T he next question is from the line of Rishindra Goswami from Locus Investment. Please go ahead.

Rishindra Goswami : Just the same I think continuing the Invacare legal issue there I mean are we obligated to keep providing the service or there is some kind of contract exit clause from our end as well, just some clarity would be helpful?
Angan Guha: That is exactly what we are waiting for our legal lawyers to come back on , because these are the questions that we also have that when a company files for chapter 1 1 are we obliged to continue delivering the service and even if we do not get paid for it . We do not know the answer to that question like Chandru said over the next several days , we will know more once we know more we will intimate you .
Rishindra Goswami : Will that mean is there a possibility of us taking more provisions?
C. Thyagarajan : I answer ed this qu

estion earlier in the call , will just repeat . See there are two parts to it , there is a revenue side, there is a cost side. On the revenue side , we believe we have taken all of those provisions. We still have to make an assessment of what the lawyers come back with , to Angan’s point do we have to continue delivering services , if yes for how long, how much , in what capacity . Again there are nuances in the bankruptcy as well . Because at least the information that what provided to us says that the bankruptcy is in the US only not international operations , we supported operation globally. So, we got to get a lot more clarity on this Rishi before we can attempt to respond to you.
Moderator : Thank you. The next question is from the li ne of Chirag Kachhadiya from Ashika Stock Institutional Equities. Please go ahead.
Chirag Kachhadiya : My question in relation to the previous participants question in terms of provision on cost front can you repeat what provisions is supposed to be taken g oing forward if any extra amount will be required to be allocated ?
C. Thyagarajan: Again, I would not speculate on that one, but I will give you an accountant answer to this, with hypothetical information Chirag just for the benefit of you and the othe r on the call . Say for example , I am told that I should continue services, but I will not get paid. I already said on this call that any future revenue will only be against actual collection and there will be a timing difference to it. So, say I provide services for February and March a nd I get paid in April. I can only count revenue in April, but I will have cost cutting in February and March as an example. So, those are the kind of provisions I will continue to carry because I will have a cost for the period. So that is just an example of the kind of provisions that we could be making. Now again I am not speculating that it could be that , I am just giving you an accountant answer on what could be coming if at all. We do not know yet we will know the common shape that it will take as we get more clarity.
Chirag Kachhadiya : Sir our aspiration or expectation in terms of Q4 that it is better than the Q3, does this include all this assumptions or the provisions which is supposed to be there?

Angan Guha: Chirag what we have done is when we sai d that our Q4 will look better than Q3 , that is operationally. We have kept Invacare outside, outside of Invacare we will show better results and Q4 will be better than the Q3 quarters.
Moderator : Thank you. The next question is from the line of Shubham S hukla from Voyager Capital. Please go ahead.
Shubham Shukla : My question is around the provisions only , so we have created provision for whole receivables right?
C. Thyagarajan: That is correct we have created provisions for all of the receivables b illed and unb illed and for all of the contract asset that we have been able to access in the last 24 hours.
Shubham Shukla : And it is our like 3 % of our revenue?

C. Thyagarajan : The impact on revenue is around 3% going forward what the comment that we ma de Shubham .
Shubham Shukla : Our margins are largely impacted like from the other expenses not from the provisions we have created?
C. Thyagarajan: No, the provision that we have created is sitting in the other expenses line item. So, the other expense line item include 19 million of provisions.
Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah : Just one question in terms of Enterprise solution . At the one end , one can be excited because that is a differentiated positioning and services for the Birlasoft through positioning in SAP at the Oracle within the midcap basket . However, at the other end it has been a growth decelerator for Birlasoft as a whole, so whe

n you are taking over this portfolio do you believe a huge task is required or the time has come where this could be a growth contributor rather than a growth decelerator, so what all things you plan to do in terms of Enterprise solution as a whole?
Angan Guha: I definitely for one belief with the Manufacturing turnaround over the next three or four quarters even the ERP solutions will get into growth. You are right that has not delivered growth for us, but with S/4HANA creating an enormous opportunity as well as even JDE continuing to be steady not growing but continuing to be steady. I think there is an opportunity for us to show growth, but equally what we are excited about is our new age services, our digital services, our data analytics services, our infrastructure services they will g row far higher than the Enterprise solution business.
Moderator : Thank you. The next question is from the line of Kartik Gada from Multiple Wealth Management. Please go ahead.

Kartik Gada : Once again on the provision number , I could not understand one thi ng. So you mentioned the exposure to revenue was 3% which comes to around the same amount 150 crores, so I just could not understand is it like annual provision ? If you can explain and related to that itself would it be possible for you to provide a breakup not right away, but if it can be shared through the exchanges breakup for the provisions?
C. Thyagarajan: I did share this detail at least at the percentage level earlier on this call, but just to reiterate there are three elements to the provisions. There is a bill receivable, there is an unbill ed receivable and there are contract asset that is sitting in the balance sheet and I also explained about how accounting treatment works on fixed price contract and the fact that revenue and billing are parallel tracks they are not exact ly same this unlike in a CMM contract where billing and revenue will by and large b e the same set of numbers. So, the revenue right now that we have been accounting for is much lower than the billing that we have been doing and in the initial quarter into the contract our revenue will be greater than the billing. All of this has to do wi th the amount of effort that we provide in the particular month based on how the contract delivery schedule happened and the contract billing schedule was structured in a certain way. So, that is why you find that the revenue and the provisions are kind of asynchronous with each other. There is also contract assets that I explain which are predominantly prepaid third -party vendor cost that are unamortized and was sitting in the balance sheet as of yesterday which we have provided for as well.
Kartik G ada: Little bit more on this only so would there be some element which might be say 6 months, 9 months aged also and hence higher number of provisions?
C. Thyagarajan: I did explain this is well , we still need clarity on the go forward before we can talk a bout what provisions if any or what cost if any we will incur in Q4 and beyond and it will all depend on the legal advice we get . Like we have been saying it has been very early days it is not a full days since this incident happened, but we manage to account for it in time for our board meeting today. We will continue to work through this to understand what provisions if any we will be taking for the future. I thought you also talked about any of these provisions recoverable I can tell you that all stories subject to the discussions we will have and the opinions we will get from legal advice as we works with them.
Moderator : Thank you. T he next question is from the line of Mihir Manohar from Carnelian Asset Management . Please go ahead.
Mihir Manohar : I mean largely I wanted to understand around the Enterprise side of the thing . I mean we are seeing Enterprise bus

iness affecting us over th e last two, three quarters so what is largely hurting us over there . I mean a general market perception is that Birlasoft has more of legacy business on the Enterprise side of the thing, so if you could clarify if you could provide an understanding on the Enterprise side of the thing . I mean what kind of capability building is required on that side of the thing and how should one see this particular segment over the next , I mean from here on over the next one year . That was my first question and second question just a clarity on the provision part . I mean so we have created provision for all the money that was existing as on the

balance sheet, so having 150 crores was existing as bill receivable plus unbilled receivable plus contract , is that understanding correct or is there any more money pending on the balance sheet which is yet to be provided ? So that was my second question and lastly third question you mentioned that there is a good leadership hiring which has taken pla ce in Life Sciences, Energy & Utilities verticals, so just wanted to get a clarity which organizations are these people coming from and what is the overall thought process over there?

C. Thyagarajan: I will take the question on the provisions and I will ha nd it over to Angan for the rest of the questions . I hope we still remember the question, but we will try. On the provisions like we said we have taken all of what we had in the balance sheet as of yesterday that is all of the b illed, unbilled and contract asset as of yesterday. So, while we are still working with our legal counsels on exactly what this will mean to us in terms of implication, in terms of the way forward. As a prudent policy we decided that we will take all of it without waiting for advice .

Angan Guha : So Mihir let me take the first question that you asked about the Enterprise business like I was responding to an earlier question the Enterprise business which is so related to our Manufacturing business will take a couple of quarters to turna round, but I strongly believe in that business we will continue to stay invested in that business and like I said because of our relationship with some of our partners the S/4HANA story I think is a great story for us. To your question whether we are a legacy player and I am not going to say that we will remain a legacy player, we are pivoting ourselves to become more digital, more data, more analytics kind of a player, but even th e legacy business is not such a bad business because that will show growth considering the fact that even the Enterprise business is now starting to move slowly to cloud. So, overall in a nutshell I feel very strongly about both the business though our new -age business will grow faster than our Enterprise solution business as we go forward so that is one. In terms of the leadership hiring, we continue to hire from the best companies I would not like to give individual examples because that will not be corre ct, but I can only tell you , we are being able to attract top talent from the market and they will help us deliver strong growth going forward.

Mihir Manohar : Just on the legacy new-age part of the business how much if I can get an understanding what is the legacy percentage in your Enterprise business?

Angan Guha : Again, we do not report numbers like that Mihir so it is very hard for me to give a number of the hand but suffice to say that our new-age business is growing faster than that. Now exactly what is the percentage of legacy business is very hard because even in the Enterprise business only a part of it is legacy as you can imagine, part of it is the new age because there are lot of customers who are moving into cloud and that is also an opportunity that we will bank upon.

Mihir Manohar : And lastly I just had one quest

ion to Angan given the fact that you are having 25 years of experience at one of the large organizat ions handling more than $3.5 billion kind of an account, so just wanted to understand what is your thought process of joining a $500 million company from a personal career angle I mean just a question I have?

Angan Guha : I strongly believe and I am 60 days in the company that first of all Birlasoft is a great brand, it is a great asset like I said it is a great company and the people and the clients that have interacted are terrific. So, for me personally it is a great opp ortunity to kind of build on what we have already build over the past so many years. It is a very good business, it is a clean business Chandr u has talked about the positive cashflow generation that we have done, and the DSOs that we have been able to deli ver, our top 20 clients are growing. So, there is a lot of positivity around the company and with sharper focus I think we can only go places. So, like I said we will continue to invest and we will invest for the long term and which is pretty exciting for me.

Moderator : Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta : I think earlier in the commentary you have indicated about some projects are put on hold if you can help us understand what is th e progress ? Whether those projects are coming back from revenue conversion perspective ? And second question is about slightly medium term , if you can provide Angan I do not know whether you would like to take it now or maybe a month down the line, from ver tical composition perspective , do you expect these vertical composition would give you enough comfort for growth sustainability over three year, five year perspective or you intend to make certain changes in investment and accelerate investment in some of the vertical to make it more balanced compared to currently it is more skewed towards Manufacturing ?

Angan Guha: So, Dipesh second question I would prefer to take later because that would form a part of our larger strategy and whe n I am able to talk I will talk. On the project hold that was a very Q3 commentary because it is a short quarter, it is a seasonally weak quarter and some of our customers wanted to push out the start date to 4Q. We do not see that to be an issue and all o f those projects that got pushed out to 4Q will start in 4Q.
Moderator : Thank you. The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.
Anmol Garg : I have two questions firstly within our SAP practice how much installation would be towards HANA and currently what percentage of revenue is coming from Oracle and JD Edwards so that is one and secondly if you can highlight that how much portion of the Invacare deal has been executed as of now that is it?
Angan Guha: I will ask C handru to talk about the second question and I will take the first question after Chandru comments on the second one.
C. Thyagarajan: So, on the second question , the way this deal was constructed was a combination of implementation and applications service and Infrastructure Services . There were implementation of ERP in some of the ir geographies that we had concluded and few more were in flight when the ev ent happened yesterday that is one. The Application Management and the Infrastructure Management services are of continuum and that is being continuing right from day one hopefully that answered your question.

Angan Guha: And Anmol on the first question , look like I was saying earlier we do not report numbers based on partnerships because that will be something that we will work with the partners, but our Enterprise business is one common business and like I have said earlier that has

not grown for
the com pany, but I am confident that over the next three, four quarters that will be back in growth as the Manufacturing cycle turns around so that is point number one. Point n umber two is in terms of what percentage of business is legacy and what is new ? Again, hard for me to comment because every partnership will have a legacy component and the new component. I can only tell you two things our new component of our Enterprise business is growing above industry levels , our legacy business is flat, but our d igital business , our data business again is growing at ahead of industry and that gives us tremendous confidence that going forward we will be able to be back at industry level growth or higher.
Anmol Garg : Just one thing if Chandru you can quantify the n umber that how much of the deal has been executed as of now if we are quantifying that?
C. Thyagarajan: It is kind of complex , when I say complex because like I said the Application Management and Infrastructure Management is an ongoing exercise. So, I deliver 100% of that scope every month that is one. Second , in terms of implementation right we have been doing implementation based on the contract deliverable s and based on client requirement from time -to-time. So, ther e again whatever has been given to us has been delivered 100% and there are some that are in flight like I said and I really do not know what exact percentage that would be .
Moderator : Thank you. The next question is from the line of Anmol Grover from Albatross Capital . Please go ahead.
Anmol Grover : My question is on the $1 billion vision that the Birlasoft has given before . So given Invacare was quite a big client for us and facing challenges on that and there is a lot of uncertainty, so want ed to know your initial thoughts on the $1 billion vision going forward?
Angan Guha: Anmol look we are committed to growth and we are committed to build ing a long -term growing business. Now obviously like you rightly said with the Invacare situation we do not know where that will land and that is the last portion of our portion, but I would say that let us remove Invacare and just put it in a separate bucket. The ma nagement commitment to you would be that we will continuously sequentially grow our business and sequentially grow our profits as we go forward. We definitely will get to a billion, but when do we get to a billion , etc., is hard for us to say because of th e Invacare situation at this point.
Anmol Grover : Can we expect anything in your when you would be giving the go -to-market strategy in the future?
Angan Guha: So, I will give you the strategy going forward, but Invacare depending upon what we get from the legal opinion we will know where we stand on that one . I am not too sure whether that we will be able to give in one month, two months I have no idea like I have said we have just got

the notice 22 hours back, but like I keep saying I want to keep Invacar e outside and operationally continue to grow the business as we go forward.

Moderator : Thank you. Ladies and gentlemen that would be our last question for today. I now hand the conference over to Mr. Angan Guha – CEO and Managing Director, Birlasoft, for closing comments. Thank you and over to you, Sir.

Angan Guha : Thank you. So, I once again want to thank all of you who have joined us on the call today . Your questions have been very insightful and I appreciate your interest in Birlasoft. As we share our is a strong business with solid fundamentals and capabilities and we will be building upon that. I look forward to speaking with you again next quarter meanwhile please feel free to reach out to Abhinandan for any clarifications or feedback. Thank you once again and have a great evening or morning wherever you are.

Moderator : Thank you very much. Ladies and gent

lemen on behalf of Birlasoft Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

Contact Information :
Mr. Abhinandan Singh, Head - Investor Relations
Email : abhinandan .singh@birlasoft.com
Registered office:
35 & 36, Raj iv Gandhi Infotech Park, Phase – 1, MIDC,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: May 2023

May 15, 2023

BSE Limited Phiroze Jeejeebhoy Towers,
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Scrip ID: BSOFT
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Kind Attn: The Manager,
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Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051. Symbol: BSOFT
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Kind Attn: The Manager,
Listing Department
Subject: - Transcript of Earnings Call held on May 8, 2023.

Dear Sir/Madam,
Pursuant to Regulation 30 of the Securities an d Exchange Board of Indi a (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on May 8, 2023. The same is also available on th e Company's website at the link https://www.birlasoft.com/company/in vestors/policies-reports-filings# , under the head – Quarterly Reports ■ Earnings Call ■ Transcript.

Kindly take the same on record.

Thanking you.

Yours faithfully,
For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer

Birlasoft Limited Q 4 FY23 Earnings Conference Call

7.00pm IST, 0 8 May 2023

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator : Ladies and gentlemen good day and welcome to Birlasoft Q4 FY23 Earnings Conference Call. As a remin der, all participant lines will be in the listen -only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing '*' then '0', on you r touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh , Head – Investor Relations, Birlasoft Limited. Thank you and over to you, sir.
Abhinandan Singh : Thank you, and welcome folks. By now you would have received or seen our results . Those are also available on our website www.birlasoft.com .
Joining me on this call today are our CEO and MD – Mr. Angan Guha, and our CFO – Ms. Kamini Shah, who as you are aware joined us recently . We will begin the call today with opening remarks from Angan and then Kamini .
Befor e I handover the floor to Angan, a quick reminder that anything that we say on this call on the Company's outlook for the future could be a forward -looking statement and therefore that must be heard or read in conjunction with the disclaimer that appears in our Q 4 FY23 Investor Update, which has already been sent to you and is also uploaded on our website as well as filed with the Stock Exchanges .
With that let me hand over the floor now to Mr. Angan Guha , our CEO and MD. Over to you, Angan.
Angan Guha : Thank you Abhinandan. Good evening and good morning to everyone wherever you are and thank you for joining us today as we share some perspectives on our Q4 and financial FY23 performance.
As all of you know , this marks the full quarter of me taking o ver as a CEO and MD of Birlasoft. I am sure you 'll recall that I joined the Company on 1st December 2022.
I am also pleased to have our new CFO – Kamini Shah present in the call today. She is a highly accomplished finance leader with a proven track record of driving financial transformation and profitability at scale. I believe her financial and business acumen will add significant value to our business. I will ask her to share some perspectives on our financials after my initial remarks.
But before I delve into the results , as I had mentioned in the last call, allow me to share some details on our growth strategy and some of the actions that we have taken to sharpen our go -to-market focus and build a growth mindset.

As all of you know and I have spoken to you in the last earnings call , we have embarked into a big cultural as well as an organization transformation program. So, broadly speaking we are changing our organization on two dimensions :
I. To become sharply focus ed on select verticals and ser vice lines
II. To culturally become more nimble and an execution -oriented organization
Towards that end, firstly we are revamping our organization for better synerg ies, higher efficiencies, and deeper customer engagement. The organization has already been rest ructured with operations now aligned by verticals. More specifically the North American Geo which contributes to almost 85% of our global revenues will comprise of four verticals, Manufacturing,

BFSI, Energy Utilities and Life Sciences. These verticals , where we have accumulated significant domain expertise over the years , can act as clear differentiator s for us. Each of these verticals will have a P&L leader who will be responsible for the P& L and will report to the CEO for North America.

For Europe and the Rest of the World – we will have separate leaders whose mandate will be to expand the footprint in those geographies. Additionally, we will have a Chief Growth Officer, whose job will be to drive and create marketable solutions, stra

tegic partnership, improve our
industry as well as advisory outreach and manage our marketing function.

Coming to the India organization , we have created a Chief Operating Officer organization, under the COO. And the COO will be responsible for all delivery , building our capabilities through our service lines, running our CIO, InfoSec and the CTO function. As a result, with this move we will have a unified delivery organization which reports into the Chief Operating Officer, as well as very closely aligned to th e geography organization.

From an industry vertical perspective, I have already talked about our focus areas. In terms of service lines, we will again focus on four strategic service lines : Digital & Cloud, Data Analytics, Infrastructure and ERP. We are getting all our ERP practices under one leader so that we have one common ERP practice.

The second big transformation that we are driving within our organization is the cultural transformation, which will make our organization more responsive and client focused . These cultural changes as you know does not happen overnight so you have to give us some time for the cultural transformation to take effect, but we are well on our journey.

The Cultural Transformation Initiatives will be predicated on six big ten ets: High Say-Do ratio, Have a growth -oriented mindset , High customer centricity , Quick decision making , Employee centricity ; but overall, the #1 initiative on the cultural transformation t enet will be Organization First. The goal here is to reorient and optimize for greater accountability and swifter actions.

With this now let me move quick ly to our Quarterly and Annual Performance.

I am happy to report that we had a strong operating quarter in Q4, both on revenue and EBITDA performance. On revenue for the quarter, our revenue stood at $149.1 million, which was up 0.5% quarter -on-quarter (QoQ) in dollar terms. But if you really take Invacare out of the picture, the growth actually was 3.3% QoQ . This reflects the strong underlying strength in our business. And we hope to continue this performance.

Our EBITDA margins for the quarter under revie w also expanded 20 basis points QoQ . Looking at our full year performance, our revenue grew at 16.1% in rupee terms and 9.1% in constant currency terms. Again, ex of Invacare in dollar terms, from a constant currency perspective, we were able to manage a double -digit growth of 11.5%. Our EBITDA margins for the year stood at 14% before the one -time provision that we took for Invacare.

On deal signing s, again we had a very strong deal signing quarter . Our TCV signing for the quarter stood at $ 286 million . As I am sure you remember in 3Q we delivered $231 million for the TCV. And in this quarter we have even bettered that with $286 million worth of TCV signings. So, all in all, I think it's been a very strong quarter and a strong end to the fina ncial year.

Looking forward I just wanted to make one statement on Invacare, we have amicably entered into a settlement with Invacare. This is a significantly positive step forward for us, because as you know this will now allow us to focus our ful l attention on executing our growth plan, without getting worried about the Invacare situation that was upon us in the last quarter.

Over the last few months since I spoke to you, the macroeconomic environment is relatively subdued. And there are of course challenges in some of the sectors that I am sure , you all know about. We will expect slow client decision making as we go into the next couple of months , as their business priorit ies shift, and the landscape also shift s. Conversation s with clients indicate that their organization s will continue to spend on IT, but the spending would be to drive more improvements and operational efficiency and cost efficiency rather than

transformation work.

Consequently, the outlook for the coming year is one of growth, although the gap that is created due to the absence of contribution from Invacare means that on reported terms overall top -line growt h may look a little muted. Our suggestion is to meas ure us on QoQ performance going forward, because YoY performance will appear muted, thanks to the fact that Invacare will not show up in FY24.

As I have said in the past, I firmly believe that sharper focus, consistent and robust execution, as well as a very incentivized and vigorous team and a client centric organization with high Say-Do ratio can take us to our next phase of growth journey.

At this point I will ask Kamini , our Chief Financial Officer to share some perspectives on the quarter and the year under review .

Kamini Shah : Thank you Anga n. Good day to all of you. Thank you for joining us. And I hope you are all doing well. I am very happy to be part of the Birlasoft team. I am looking forward to working with Angan and the rest of the lead ership team to support the execution of our strategy while keeping a tight control on key performance and risk management metrics.

Quarter 4 Performance

As Angan had called out, we have reported revenues of $149.1 million for Q4 FY23, while this represents a growth of 0.5% QoQ , ex-Invacare the growth translates to about 3.3% on Dollar terms and 3.1% on constant currency terms. I am happy to say that we have delivered 13.6% EBITDA, which is an expansion of 20 basis point QoQ . This is a comparison against our Q3FY23 EBITDA, before the Invacare one -time provision. There has been a lot of focus on operational metrics, improving our utilization, our pyramid and lower attrition that ha s contributed to it, despite absorbing the ongoing cost o f providing services to Invacare.
PAT for the quarter was at $13.6 million, while our tax rate for the quarter appears to be lower, this has been due to a partial reversal of tax provisions in the previous quarte r. However , on a full year basis our ETR would remain comparable to the preceding financial year of about 25%, and that is the normalize d tax rate that we expect to operate with.

Full Year Performance

The revenue for the year increase d to 7.2% in dollar t erms, and ex -Invacare we would have been at about 9.6% in Dollar terms. Our Top -10 accounts have grown at 17% and our Top -20 accounts have grown at 11.6% YoY . We have reported an EBITDA of $84 million, implying an EBITDA margin of 14% for the year. This ex cludes the one -time provision on account of Invacare.
The PAT for the year is at $41.6, our other income ha s been lower due to lower interest income and forex loss on account of restatement of assets. You are aware that we have concluded our share buyback program in H1FY23 which has resulted in lower investible cash and hence a lower interest income during the year.

Key Balance -Sheet Items

Our cash and bank balances at the end of Q4 stood at $137.3 million, this is at 13% QoQ from the $121.1 million that we had closed. This reflects consistently good cash generation as eviden ced by our DSO, we are happy to say that our DSO close d at 53 days, which you agree would probably be the best -in-class.
Our operating cash flow for Q4 was at $19.2 milli on, which is at about 95% of our Q4 EBITDA and about 141% of our PAT. And from a full year perspective, our cash generation has been at $84 million, which has been at about 100% of our adjusted EBITDA.

In-line with our track record of prudent capital allocation and rewarding shareholders, the Board of Directors have proposed a final dividend of Rs. 2 per share, subject to shareholder's approval. This proposed dividend along with the interim dividend paid out, and the buyback that was

conclude d during FY23 would together translate to a total payout amounting to 126% of adjusted PAT for the one -time provision.
To conclude , we have en ded the year with a robust balance sheet. We are generating strong cash flows and we have the ability to make the in vestments necessary to drive growth in our business going forward. Thank you very much.
Moderator : Thank you. We will now begin the question -and-answer session. The first question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik T aneja : I actually had a question related to our segmental performance and we see that our segmental profitability across verticals with the exception of Life Sciences , which had a one-time cost for the quarter , but our margins ha ve improved sequentially across all other segments . So, just wanted to understand what is driving that and if you could talk about our aspirational margin s from a medium term standpoint?
Angan Guha : Yes, so if you look at our segmental performance there are two big segments, and I am assuming you are talking about the vertical performance. Our BFSI performance has been very strong, as you have seen it’s grown 17% YoY . Our manufacturing performance also has been strong. And if you look at our E&U performance that has been a little mu ted. Obviously because of Invacare, the operating performance for Life Sciences looks far more muted. However, if you look at it from our perspective, we have been able to reduce attrition over the last quarter and that has helped improve our margins in a significant way.

Manik Taneja : So, are there any other factor s that's driving the sequential improvement in segmental margin for these verticals?
Angan Guha : There are two factors - one is the attrition improvement that we spoke about. But apart from that I think the team has done a very good job in terms of driving operational efficiencies. As you also may recall, last quarter I had talked about the fact that we have driven a lot of synergies, thanks to the fact that we were able to consolidate our delive ry structure under one organization. So, it's really a combination of all of these factors that has helped us improve the margins as we have stated this quarter.
Manik Taneja : And any indication on medium term margin outlook?
Angan Guha : It's hard for us to give our outlook going forward because the situation in the market is very volatile, but suffice to say that our endeavor , like I have said even last quarter , will be to maintain the margins at 15% level, because you must also remember we ar e investing in the business going forward. So, keeping in-line with all the investments that we will do over the next six to

seven months, all the operational improvements that we will drive, I think we are confident to keep it within the range of 15% to 1 6%.
Manik Taneja : And last one before I get back in the queue, you have talked about the organizational restructuring for the organization , so where are we in this journey in terms of all the necessary changes?
Angan Guha : Yes, so we are already down this journey as you know, I mean we have been a t it for the past four months. The organization restructuring is now complete. We have the critical roles already filled up. Of course, certain roles we still have to fill and we are in a position of filling them really quickly. But I would say 90% of the work is done, probably 10% of the work is left and we are on the job. If I were to take a call, I would say that it will probably take me three more months, but by the time June or July comes in , I think we will be done with all the hires, as well as the new operating model will be in fo rce.
Moderator : Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta : Just one clarification. Whether

this Q4 performance in clude s Invacare related cost and if yes, what would be the normalized EBITDA margin, because now Invacare related cost may not recur post the settlement period , which is somewhere in May , so if you can provide that clarification.
The second question is about the broader trend what we are witnessing in four major verticals. Where do you think strength remains fairly high and you expect growth momentum to continue despite all the macro uncertainty and areas where you think some softness will b e visible, because this quarter if one look s at, it is fairly broad based, except Life Sciences . So, if you can provide some perspective on vertical related growth trajectory?
And last is about the enterprise solution, after a few quarters of softness, thi s quarter i t's showing some kind of positive growth trajectory. What's your expectation on that, ERP segment ?
Angan Guha : I will take all the three questions. So, the first question on Invacare , look Invacare , first of all , the margin that we have delivere d has Invacare cost built-in, in Q4. As you have rightly mention ed the Invacare cost will not be there hopefully starting 1st of June, but we can't really give you a specific in terms of what will be the percentage cost that will get released, because of the Invacare program getting closed out. We don't give customer specific commentary, so it will be hard for me to give a customer specific commentary. But suffice to say that the 13.6% EBITDA margin that we delivered had cost of Inv acare built in.
On the growth part, as you have seen our Financial Services busines s is very strong. I feel it will continue to grow over the next couple of quarter s. We see a lot of demand coming in our way, on the financial services side. But you must also realize our Financia l Services business is very

small. So, it's not really comparable to the other players in the market who have got large Financial Services businesses. So, that for us will continue to grow.
We see green shoots coming up in Manufacturing , I strongly believe that it will take us a couple more quarter s, but manufacturing will come back to growth. E&U will be a little soft for us going forward; we will have to closely watch how that sector g rows. And the last sector that we are focused on , Life Sciences, we are optimistic , but we will have to wait and watch that sector very closely , because there is lot of consolidation that is happening in that sector, and that sector in general , we are seeing some weak trends coming out. So, we are keeping a close watch on it, but if I were to be a betting person then the two businesses that we are betting heavily on will be

Manufacturing and Financial Services .
The last question on ERP, yes you are right, we are seeing a reversal of trend on the ERP business. Like I said that we have decided to consolidate all our ERP offerings under one leader. The new leader is on board, in fact the new leader just came on board a week ago. So, hopefully, once the new leader settles down, we will see how that business pans out for us. But I think that business is bottomed out for us and from hereon we will only see growth there.
Dipesh Mehta : Just one follow up, if I adjust your Invacare revenue it appears to be $4 million kind of contribution . And if one believe the cost would be proportionate to the general business kind of thing then your margin expansion seems to be very strong once this Invacare related normalization starts. So, then your margin trajectory will reflect it or you will see any headwinds entering into le t's say Q2 onwards.
Angan Guha : It is very hard for me to say what headwinds will come in. I can only tell you and I can't give specifics again on Invacare from a cost perspective. But I would like to point out the conversation that we were just having a l ittle

while ago, that we will continue to invest in the business. We
believe in investing in our front -end, in our domain capability, in our service lines capability and we will utilize this opportunity to continue to invest for the future.
Moderator : Than k you. The next question is from the line of Sandeep Shah from Equirus Securities Private Limited. Please go ahead.
Sandeep Shah : The first question Angan is, you in your opening remark s said that the growth momentum of 3.1% constant currency QoQ hope to c ontinue on a going forward basis. So, do you expect this trajectory to continue over all four quarters of FY24 or how do you see and how do we interpret this comment as a whole, that's the first question.
Second is, settlement amount of $2 million, which w e have with Invacare , will it be shown as a revenue in Q2 or will it be shown as cash flow against the debtors which have been outstanding in the book s. I believe that debtors have been written -off totally, so this would be shown as a revenue as a whole.

And third, the EBITDA margins of 15% to 16% which you have highlighted, that you are actually indicating excluding the Invacare cost as a whole. And what would be the wage hikes and which quarter would it be effective .
Angan Guha : So, you know first let me address the first question, the growth first. Now when I was saying the growth momentum will continue, I didn't mean the 3% growth will continue, right . The 3% quite frankly has been a great execution by us this quarter. This quarter was exceptiona l in many ways, because the deal wins that we were able to get in 3Q, we were able to convert that into revenue in 4Q. Quite frankly, I don't expect us to continue to grow at 3% every quarter going forward that will be a very big stretch. And again, we don 't know how the headwind comes in and when will the headwind come in. Because things are getting very softer and as far as the market is concerned, it is very volatile. So, it will be very hard for us to come to any conclusion that whether a 3%, 2%, 1% growth will be the real growth for us.
My only comment to that was that our growth momentum we hope to continue as we see today. Now tomorrow if the markets change, if the headwin ds are much larger tha n what we think then everything is off the table. But today as we stand today and we see the situation. I am hoping that the growth momentum will continue. I can't comment on the percentage.
Now second , as far as Invacare is concerned, so you are right I commented that we will want to keep our margins at 15% to 16%. And again, I can't really comment on how much amount of cost will go away from Invacare, because remember Invacare we only get out on the 1st of June, so two months of cost we still carry that's #1.
#2, like I have said earlier, we will continue to invest in our business. We will not cut back on our investment . For the medium term, we want to keep our EBITDA margins in that 15 % to 16% range, while we build our t eam and make our company future growth ready.
So, the wage hike, we will do a wage hike this year, as we have always done, and we will follow the policy as we did last year. The wage hike will come in, so you were actually right apart from investments, apart from the fact that we will continue to build ou r capability around domain even the wage hike will take away, some of the margin expansion that we are doing operationally , which is why I said, I can comfortably say that we will be within the 15% to 16% range.
Now as far as Invacare is concerned the sett lement is very clear, that settlement is $2 million which we will get, but we will only recognize the $2 million worth of revenue, when we get paid for it, right. So, we are waiting for the tenure to get over, and once the money comes in, then we will deci de how we take that as a part of our balance she

et. But Kamini will throw some light
on it.

Kamini Shah : With regard to the recognition of the $2 million of Invacare settlement, I think this is something that we will discuss with our auditors and decide on the right and appropriate accounting

treatment. So, I think at this point of time, it would be difficult for us to confirm as to exactly how that would be treated.
Moderator : Thank you. The next question is from the line of Shradha Agrawal from Asian Market Securities. Please go ahead.
Shradha Agrawal : Angan on the client bit, we have seen again another quarter of decline in our active client count. And we thought probably that the clientele rationalization is almost over. So, are we still looking at cutting down on some clients who are at the fag end of revenue or how should we look at the active client count going ahead?
Angan Guha : As we had indicated in the last call as well that we want to work with fewer number of clients so that we ca n build strong, deep relationships with them. So, as a part of the tail rationalization you will probably see a couple of more quarters of the tail coming down , because at our size and as we push forward, working with more than 250 or 300 clients becomes e xtremely difficult. So, you will see that rationalization going forward as well.
Shradha Agrawal : And another thing on cloud and base services, this segment has otherwise been strong for us for quite many quarters, but this time around we saw a decline of almost 5%. So, is it related to the Invacare deal or is it related to some other client project ramp down or how should we read the decline in cloud services?
Angan Guha : Yes, that is because of Invacare, you are correct.
Shradha Agrawal : And just last bit on the hiring front , so you have indicated that you have created a new office of Chief Operating Officer and Chief Growth Officer, can you give some indication on which companies have th ese people been hired f rom and what is the kind of hiring in sales team that we have done, because we have seen a smart increase in the sales count as well. Any incremental color on the kind of people you have hired would be helpful?
Angan Guha : Yes, so Shradha, I can only say that we are hiring the best talent in t he industry, we have been able to attract very good talent in our company. I can’t obviously give specifics in terms of which company they have come in from, because we have hired upwards of about 25 leaders externally, but equally I must also tell you tha t we have promoted 25 to 30 leaders internally. So, it’s not only about external hiring, it is also about internal promoting because we want to keep the balance right. But I can only say that we are hiring from the best in the industry, and we are able to attract very good talent.
Moderator : Thank you. We have the next question from the line of Mohit Jain from Anand Rathi. Please go ahead.
Mohit Jain : First is on FY24 outlook, now most of the commentary seems to be around macro, so can you give and should we assume that your growth will broadly be in -line with the industry, adjusted for Invacare?

Angan Guha : So, Mohit, again very hard to say and I would love to be at the industry level adjusted for Invacare, that is obviously our goal internally . But my only commentary, like I had said earlier, Mohit, measure us on QoQ performance, because YoY is very difficult when $14 to $16 million revenue has gone away on a base of $600 million .
Mohit Jain : Adjusted for Invacare, so when we look at the adju sted numbers then it should more or less be in this or do you think more as headwinds may come because of our higher exposure to maybe transformation service line or anything else that comes to your mind?
Angan Guha : No, so from where we stand today, Mo

hit , from where we stand today, we would like to drive ourselves for QoQ revenue growth that’s all I can say. Now whether I will be at industry level adjusted for Invacare etc ., only time will tell, we don’t give guidance for the year or for the quarter, but I can only tell you that we have put a very strong execution engine behind us and we will continue to execute well, Mohit.
Mohit Jain : And how much was Invacare for FY23 as a whole year?
Kamini Shah : It was about $14 million.
Angan Guha : Yes, $14 million is what was in the books. And the last quarter we did not recognize $4 million. So, technically it was $18 million, out of which $14 we recognize d $4 we didn’t .
Mohit Jain : $14 million for nine months.
Angan Guha : For nine months, that’s correct .
Mohit Jain : And last question on Healthcare . Now your commentary was relatively soft for Healthcare . And Invacare has gone in this quarter. So, going forward on a sequential basis, should we expect

some decline to sort of continue in healthcare or do you think healthcare now that it is ex - Invacare, should be back to growth?
Angan Guha : So, it's hard for me to say again and the only reason I say this Mohit is because the customers that we, the clients that we serve are also going through a enormously tough time, right. There is lot of consolidation, there is lot of layoffs by large pharma, healthcare companies globally as I am sure you know. So, it is hard for us to say because there is an issue, when it comes to discretionary spend. So, our endeavor will b e to continue to serve our customers, the customers that we have. And continue to open new logos so that we can be growing the business going forward. Immediately for the next couple of quarters, you will see a little bit of a softness and I keep saying we are continuing to invest in all the four verticals that we have identified.
Mohit Jain : So, the whole TCV thing that we are reporting for last two quarters, I am assuming it is, most of it is B FSI, Manufacturing as you said in the opening remarks, is that a correct --?

Angan Guha : No, not really, it is broad based actually, it is not, but if you look at the $231 million that we did in 3Q, and $286 million that we did in 4Q, actually the TCV is broad based. The issue is not so much about TCV, Mohit. We are winning deals. We are winning a lot of deals. We have a very strong pipeline. The issue is about project closures, and the runoff that one may have. Now I can't predict the runoff. We may still continue to win good deals, continue to drive a lot of signings, but we will have to keep a very close watch on the project conclusions and the project getting over or the runoff s that happens.
Moderator : Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal : So, my question was on the deal flow number, so as you mention ed that there is too much of uncertainties right now in terms of when those , the deal flow closure happens and when the revenue st arts getting recognized . But in terms of at least deal flow, do we have good visibility that similar kind of deal flow could actually continue for next two to three quarters ?
And do you think there are pockets where you could see some negative surprises or pockets of strength that you are seeing in our portfolio?
Angan Guha : Yes, so in our portfolio look our pipeline is only improving. Now the deal closure is also a manifestation of clients wanting to sign the deals, right? So, if you look at the performance that we delivered in 3Q and 4Q, i t's probably one of the better performances that we have had any quarters in so many quarters earlier, outside of the Invacare deal in 2019. So, from that perspective the last two quarters hav e been very strong.
Now going forward, it is a little hard for me to comment,

in terms of deal closures because we don't know whether the customers will sign, will push out the deal closures etc. But if the deal pipeline is any indication our pipeline is o nly going up, every month, every day, every week. The closures are a different issue and we will keep a very close watch on it.
Vibhor Singhal : And any color on the Manufacturing vertical, if you could just maybe provide how are we seeing the client conver sations in that verticals. Typically, when we have an economic slowdown or a recession as we are looking at in terms of the geography, typically the B2C companies tend to cut spends earlier and then followed by B2B companies like Manufacturing segment, any thing that we are seeing on that part or anything that you picked up in th e conversation with the client?
Angan Guha : Yes, so Manufacturing like I said, if you look at our performance, it has been the second biggest growth driver for us outside of BFSI. BFSI clearly has been a big growth driver. Now going forward, you are right we are seeing some softness in Manufacturing as well. But I feel Manufacturing will bo unce back much sooner than the Healthcare business, only because -- and that is also reflection of our ERP business.

Somebody ask ed me that question, is the ERP business going to turn around now. And I said ERP we are in the bottom going forward we will on ly grow. And that also has a big rub -off on the Manufacturing vertical as you know. I feel the discretionary spend will stop, but the spending will be actually moving into more efficiency -based conversation, rather than transformation based conversation. So, we will keep a close eye on it, but again the funnel is improving, so I am cautiously optimistic on manufacturing.
Moderator : Thank you. We have the next question from the line of Abhishek Shindadkr from InCred Capital. Please go ahead.
Abhishek Shindad kr: Two questions, the first is, is our commentary on ERP also hinged on what we heard from SAP, that is one. Or it is more about the Oracle practice, if you can just elaborate that.
And the second is, on the financial services side again encouraging commentary on Financial

Services , in the backdrop. So, what's driving and what are the kind of spends that we are seeing on the digital side, if you can just help us understand that ?

Angan Guha : Okay, Abhishek, first of all, let me take the Financial Services question. So, we must not confuse our Financial Services business with some of the other commentary that you are seeing, because like I said, our Financial Services business is very small, right. So, we are seeing, at least the clien ts that we serve in the Financial Services business are spending with us, may not be driving transformation program, but definitely driving cost and efficiency programs and we are benefitting from the client spend s in Financial Services , only because our base is small, and we hope to kind of capitalize and grow in that area.

On the ERP side, again I am not aware of the SAP commentary but I can only tell you that our growth on ERP is very broad based, whether it's JDE, Oracle , whether it's SAP, it is broad based. So, I am seeing green shoots of the ERP revival and that may have a rub -off effect on our manufacturing vertical as well.

Abhishek Shindadkr : Just a follow up on the Financial Services side, so we are not seeing any risk of vendor consolidation . I am trying to understand the risk in the vendor consolidation exercise that could come. So, that was the whole idea of asking the question.

Angan Guha : Yes, the clients we serve , we are benefit ting from vendor consolidation as far as we are concerned.

Moderator : Thank you. The next question is from the line of Sandeep Shah from Equirus Securities Private Limited. Please go ahead.

Sandeep Shah : Just, Angan wanted to understand becaus

e of some macro change , are you witness ing any client specific issues within your Top -10, Top -20 accounts as a whole?

Angan Guha : So, Sandeep, look, I mean again, whatever I say is a point in time, I can't predict the future. But at a point in time, as of today amongst all our Top -20, Top -30 clients, we don't see a client specific issue. But that is again today, I can't comment about to morrow or how things will change, because as you know, typically in the Financial Services industry, the Healthcare industry, things can turn overnight and can turn bad. So, I can only give you a comment that as we stand today, based on the conversations t hat we have had with all of our clients, I don't see any client specific issue in the clients that we serve.

Now our clients are also having a lot of challenge in terms of their discretionary spending going away, and they are wanting to stop spending aroun d transformation projects, which is why I talked about the run -off a little while ago, right. So, we can book all the orders that we are booking but if the run -offs become higher than it is very difficult to predict. But today we don't see that issue and I can't comment on the future.

Sandeep Shah : And the vertical wise demand color which you have provided, is it fair to say in the near term, BFSI where we are more optimistic which is roughly 20% to 25% of our revenues versus that from the portfolio we may see a better visibility and recovery starting from H2?

Angan Guha : Yes, I would tend to agree with that. So, Financial Services at our size, I think, will be a growth leader. But the other three verticals, we will probably have a better picture H2 onwards.

Sandeep Shah : And Angan, just a broad question, before you joined , Birlasoft ha d seen a lot of volatility in the growth rates where some of th at was also be en driven through some project -based nature of the revenue. So, in your restructuring, how are you addressing and repairing this issue as a whole? And second on the BFSI , is there any exposure to regional banks which we cater to, especially in the U.S.?

Angan Guha : Yes, so I will answer the second question first. So, we don't have any exposure to region al banks that we don't have. From the first question perspective, again it's a long-term journey, Sandeep. Look we understand that one of the reasons why it was becoming very difficult to predict revenue was because we had a lot project -based work. So, slowly and steadily we are moving away from just project based to more outcome based, more transformational work, more annuity work. So, we are incentivizing people, we are seeing the pipeline slowly move into annuity kind of work. But remember, this kind of a change does not happen over a couple of quarters, it will probably happen over the next 12 to 18 months. But we are committed to do that.

But again, we must also realize that the macroeco nomic situation is not very favorable. So, you may still see run -offs, I think that's what you are referring to. So, if the run -offs happen, then obviously it becomes very difficult for a management team to predict anything in the future. But I can only te ll you that as a management team and as team Birlasoft our endeavor will be to continue to deliver strong execution QoQ , while we work on the long term in terms of moving our revenue cycle into more annuity based, rather than project based.

Sandeep Shah : And last two question s if I can squeeze more clarity . When are we planning for wage hikes, effective which quarter ?
And your EBITDA margin commentary for 15% to 16% ex -Invacare, is it for the whole of FY24 or would be largely Q3 /Q4 driven kind of a target a chievement?
Angan Guha : Yes, so we will have our wage hikes in Q2, so Q2 is when we will

impact the wage hikes. So,
H2 is when I think we will be able to stabilize between 15% and 16%. So, I can't comment on the full year, Sandeep, as you know it's going t o be very difficult. But our endeavor will be to get to the 15% and 16% as we go to H2. And hopefully exit at 16% as we exit FY'24.
Moderator : Thank you. The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.
Anmol Garg : I had a couple of questions, firstly we have been declaring strong deal wins in the last couple of quarters , which is taking our book -to-bill ratio of almost at 2x for this quarter. From that perspective, just wanted to understand has there been any increase or change in the duration of the deals that we have won in the last two quarter ?
And secondly, just want ed to understand how are we looking at our M&A and what is the strategy behind the scenes?
Angan Guha : See, for the first question, if you look at our deal wins, Q3 $231 million TCV, in Q4 $286 million TCV , but out of the $286 million TCV, 40% was new, 60% was renewal. So, just to let you know and there is extreme clarity of the fact that 40% of that $286 million was essentially new signings. And like I said, we will convert all the new signings into revenue. Our problem is not that. Our problem is, how much amount of run -offs will happen and how much amount of run -offs can we avoid, is the key question, which is why the predictability on the revenue for the year becomes very hard, which is why I am not giving a forward looking statement in terms of revenue growth.
In terms of M&A, we will definitely look at it, but I don't think now is the right time. Right now we are focusing on hiring talents , making investments , creating a leadership team, which will be focused on execution for the next three, four, five quarter s. But, and like Kamini said, and you heard Kamini say this , we are generating free cash flow, we are strengthening our balance sheet and we will continue to add cash to our balance sheet. And whenever the right asset comes along we will definitely look at it.
Anmol Garg : Just one follow up on the first question th at I asked, is this $ 286 million includes any large deals wins?
Angan Guha : So, we don't give a deal commentary around individual customers, but I can tell you, we won one deal, from a customer of ours which was $50 million, that was our largest deal. And 60% of that was renewal, and 40% was new.

Moderator : Thank you. The next question is from the line of Abhishek Shindadkr from InCred Capital. Please go ahead.
Abhishek Shindadkr : Two questions o r data points, first is, is it possible to quantify the growth ex-Invacare for Quarter 3?
And second is, the $869 million TCV for FY23, what would have been that number if we kind of exclude Invacare, what we are trying to understand is has the book been adjusted for the loss of Invacare account, and what could have been the actual growth rate if we had back ed that in the numbers?
Angan Guha : Yes, so as you know in Q3 we had a flattish quarter including the $4 million of Invacare, right. So, if you were to back that $4 million, I mean you can do the math we'll probably be negative growth. But including Invacare we were at a flat growth 3Q. In Q4, however backing of Invacare we delivered 3% QoQ growth, but if you were to take Invacare operat ion as in reportedly we deliver ed about 0.5%.
Now as far as the TCV signing s are concerned as you know, our TCV signings grew at about 25% YoY . Now we have not consider ed any Invacare in that TCV signings, because Invacare was signed probably two years ago so that obviously did not reflect in FY23 signing. So, FY23 signings of $8 86 million which is a 24% growth is outside of Invacare.
Moderator : Thank you. The next question would be from the line of Sugandhi Sud from InCred Asset Ma

nagement. Please go ahead.
Sugandhi Sud : I just wanted to understand your margin guidance what kind of revenue expectation are you building in because there is a little bit of uncertainty and you have guided to a muted number given the macro and also Invacare. And also, if you could manage the levers you are building in terms of optimization, if you could break that down?

Angan Guha : So, Sugandhi, for us we are not working on revenue guidance at all. Like I said, we will continue to execute quarter -by-quarter taking each quarter at a time. And every quarter our endeavor will be to try and show positive revenue growth. On the other hand, operationally, like I said we have restructured the organization, we have driven a lot of synergy, thanks to delivery coming under one roof. And all of the other restructuring items have helped us to save a little bit of cost. So, that's one lever.

The second lever, of course, is our ability to get more pricing power from our clients, that's a second lever, but also to drive more pyramid. So, we are looking at all the parameters, but Sugandhi you must also understand operationally we will do a lot of stuff in terms of cutting cost out so that our EBITDA could improve, but equally we will make investments on the frontend as you would have seen our sales headcount and our sales investments have gone up so that will continue to go up.

So, you should look at our performance based on all the operating levels that we use to drive cost down. We continue to invest in our business and netting that off, we as a management team are confident to get to the 15% to 16% as we enter H2. And hopefully exit the year FY24 with 16%. Kamini, any comments.

Kamini Shah : No, I th ink, Angan you have covered it all . Yes, Sugandhi I think that covers all of it what Angan has called out, we will continue to optimize. And I think a lot would depend on the macroeconomic and the pricing power, if you are able to get that. And we will con tinue to invest in our business, because that would become a vehicle for growth for us.

Sugandhi Sud : And if you could just throw some color on trends that you see on the Enterprise ERP strategy -- what has changed that is leading to a little bit more optimism and being able to call out the bottom?

Angan Guha : Nothing has fundamentally changed, Sugandhi, t he only issue is, our ERP business quite frankly has not done very well over the last couple of years . So, from that perspective we are seeing a bottoming out of our performance and going forward we are only seeing a little bit of green shoot only because the pipeline is getting stronger as we go forward. But look, I don't want to call victory so early, we have just shown a little bit of growth, we have to sustain this growth over a period of the next two, three quarters before we can claim victory.

Modera tor: Thank you. The next question is from the line of Karan Uppal from Phillip Capital, India. Please go ahead.

Karan Uppal : Just one question in terms of vendor consolidation, so here you mention ed that within BFSI you are benefiting because of the client s you have. But for the rest of the three verticals the commentary was a little cautious. So, is it because of the competition getting more aggressive in these vertical and you are facing some challenges, vendor consolidation there ?

Angan Guha : No, so Karan it is only because you know BFSI, we are very small vertical, our other verticals are bigger than the BFSI. And it is also a manifestation of the kind of client s you serve, right. As you know vendor consolidation obviously happens in your own client base where you either benefit or you lose out. Or even in clients that you are not present in, and you can positively impact on it. So, remember our Financial Services business is small, it is still on the nascent stage and as a r

esult, the clients that we work on we are only benefiting .

And in many ways it is also a manifestation of the strong execution engine that we have in BFSI. We have a strong team, we have a good team, we have a good leader. And along with that I think we will continue on that execution. On the other segments, again we have built a very strong team in all segments, we have built a strong team in manufacturing, we have built a strong team in Life Sciences, we have built a very strong team in E&U. Like I was saying in the last ea rnings call and one of these earnings call, some of these vertical heads are very new, and they are building up their teams and they are building up their businesses. So, it is more than fair that we

look at these verticals over a next two, three quarter p eriod. And I am reasonably certain that at least in our clients that we are present in, we will only be on the positive side of vendor consolidation if at all.

Moderator : Thank you. The next question is from the line of Devang Bhatt from IDBI Capital. Plea se go ahead.

Devang Bhatt : In BFSI which segments particularly are you seeing good traction ? And in terms of you know you still have good cash in your balance sheet, so are you planning to go for some inorganic growth?

Angan Guha : Yes, so Devang I answer ed this question earlier also, we will definitely look at inorganic but right now, I don't know whether inorganic growth is the right thing to do for now . For now we will be focused on executing our QoQ performance. We will be focused on building our capabil ity and we will be focused on building our leadership. And once we have the talent and capability and everything in place then we will look at an acquisition in the future. But right now, we are not looking at anything actively.

In BFSI, two segments which are strong for us, one is lending and one is payments, and we are seeing big traction, both on lending and payments.

Moderator : Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets. Please go ahead.

Jyoti Singh : Just one question that I wanted to ask that if I , like you are very optimistic about the macroeconomic concern and about the growth in all these segments so what exactly your view for FY24, what we can expect as compared to FY23?

Angan Guha : No, so I am not optimistic at all, quite the contrary actually. I am not bullish about the macroeconomic environment , in fact I feel there is a lot o f headwind that is coming our way and it is very uncertain out there . So, far from being optimistic, I am actually a pessimist when it comes to the macroeconomic situation.

All I am saying is, for us, as Birlasoft the job will be QoQ execution. And because the situation is so volatile, it will be very hard to give a growth commentary for the year. I am getting the company to focus on QoQ execution. And that is something that we will be sharply focused on going into the next couple of quarters.

Jyoti Singh : Second question on the Financial side, like as we are doing great , has the company given any thoughts that we can increase revenue contribution in that segment as we are doi ng great in that?

Angan Guha : Sorry, which segment again?

Jyoti Singh : BFSI.

Angan Guha : Yes, so BFSI, we continue to be bullish, and we are continuing to invest in BFSI, but you must also understand we are investing in all our business es, it is not only about BFSI. BFSI has shown the highest growth in the quarter that just concluded. But that doesn't mean we are not invested in Life Sciences or Manufacturing or E&U, we are equally invested in all the verticals. These are the four verticals t hat we have chosen to go for, and we will be more than invested in all the four verticals.

Jyoti Singh :

Yes, definitely, but if we compare other competitors they have more revenue contribution as we have.

Angan Guha : Yes I know. So, like I said, BFSI is a small vertical for us. Obviously , we want to grow it ahead of the market so that the contribution of BFSI in our overall business continues to increase.

Moderator : Thank you. Ladies and gentlemen, that was our last question for today. I would now like to h and the conference over to Mr. Angan Guha , CEO and MD, Birlasoft Limited for closing comments. Over to you, sir.

Angan Guha : Thank you. Thank you so much. So, look I would like to thank each one of you for your interest in Birlasoft for the time that you h ave taken and spen t with all of us today and for your insightful questions. As we shared the solid fundamentals of our business, the momentum with which we are entering into the new financial year, and the investments that we are making to strengthen our c apabilities will position us very well to meet the challenges and the increasingly uncertain macro that we spoke about. But I look forward to speaking with you and interacting with you next quarter again. In the meanwhile, please feel free to reach out to Abhinandan for any clarifications or feedback. So, thank you once again, and have a great evening. Thank you.

Moderator : Thank you. On behalf of Birlasoft Limited that concludes this conference. Thank you for joining us and you may now disconnect your line s.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Aug 2023

August 3, 2023

BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai – 400001.
Scrip ID: BSOFT
Scrip Code: 532400
Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
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Symbol: BSOFT
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Kind Attn: The Manager,
Listing Department

Subject: - Transcript of Earnings Call held on July 27, 2023.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities an d Exchange Board of Indi a (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on July 27, 2023.

The same is also available on th e Company's website at the link https://www.birlasoft.com/ company/investors/policies-reports-filings# , under the head – Quarterly Reports ■ Earnings Call ■ Transcript.
Kindly take the same on record.

Thanking you. Yours faithfully,
For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer

Birlasoft Limited Q1 FY 24 Earnings Conference Call

5.00pm IST, 27 July 2023

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

Note :
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(1 crore = 10 million)

Moderator : Ladies and gentlemen good day and welcome to Birlasoft Q1 FY24 Earnings Conference Call . As a reminder all participant lines will be in the liste n-only mode . There will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call , please signal an operator by pressing '*' then '0', on your to uchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh , Head - Investor Relations, Birlasoft Limited . Thank you and over to you sir.
Abhinandan Singh : Thank you and welcome folks. By now you would have received or seen our results . Those are also available on our website www.birlasoft.com . Joining me on this call today are our CEO and MD Mr. An gan Guha and our CFO Ms. Kamini Shah.
We will begin the call today with open ing remarks from Angan and then Kamini. But before I handover the floor to Angan , a quick reminder that anything that we say on this call on the Company's outlook fo r the future could be a forward -looking statement and therefore, that must be heard or read in conjunction with the disclaimer that appears in our Q 1 FY24 Investor Update , which has already been sent to you and is also uploaded on our website as well as fi led with the Stock Exchanges.
With that let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you , Angan.
Angan Guha: Thank you Ab hinandan . Good evening and good morning to everyone wherever you are and thank you for your time today to join us for the discussion on our Quarter 1 financial and operational performance . I trust all of you have seen the results .
We are pleased to report a strong start to the current fiscal , delivering a robust performance during Q 1 both on revenue and on the margin front. Our performance during the quarter has been characterized by consistent execution , sustained investments in capability building and financial rigor. As you have seen , in dollar terms our quarterly revenue crossed the $150 million mark for the first time in our history increasing by 3.1% sequentially to $153.6 million in Q 1. In constant currency terms , our revenue grew by 2.7% QoQ . I'm particularly pleased to share that this growth has bee n accompanied by a noticeable expansion in our operating margin as well. Our EBITDA margin for the quarter under review expanded about 170 basis points Q oQ to 15.3%.
The quarter under review also demonstrates Birlasoft 's ability to consistently generate strong cash flows and Kamini will share with you more details during her remarks. A solid balance sheet provided us the ability to make investments for future growth , both organically and inorganically. On the deals fron t, we've signed the TCV of $146 million but this comes on the back of two very strong quarters. As you all know our Q 4 and Q 3 were record high signings in

FY23. Our pipeline remains healthy where some engagements are in active discussions and we expect our deal flow to improve noticeably in the next couple of quarters. Our growth led performance during the quarter reflects our sharp focus on execution during a period that has been characterized by a high degree of macroeconomic uncertainty. At the same time , we are making the investments necessary to strengthen our tech capabilities and be ready to capitalize upon the uptrend as and when the demand sees a rebound.
You might have seen our announcement earlier this week on the Generative AI Cent re of Excellence that we established in collaboration with Microsoft. This CoE brings together the combined strength of Birlasoft 's deep industry expertise and Microsoft Azure OpenAI Service. Through this we are also training 500 of

our consultants on Generative AI technologies. At
Birlasoft , we have been early adapters to new technologies such as Generative AI where we have

already developed multiple use d cases and solutions ac ross clients as well as fourth generation capability and multimodal solutions. For instance , we have rolled out GenAI solution for one of our Life sciences customers , a global leader in their space. We've also created an AI based closed loop autonomous solu tion for a customer in the manufacturing vertical that helps improve rate of production , quality , uptime of machines and saves energy consumption. In many cases , we have been co -innovating with our customers, which enables better risk assessment in terms of security or data privacy without losing sight of rewards such as the productivity gains. We have begun applying AI internally as well within our own ecosystem in our processes such as in talent transformati on where we are applying AI based tools to assist our talent pool and suggest personalized learning paths with a skills first mindset.

As I wrap up my initial comments , I would like to throw some light on the demand environment. Our performance during Q 1 results shift in the external environment over the past few months due to a conf luence of factors and I suspect the IT services industry will probably see the impact of the current macro situation for a good part of the current financial year. However , customers , organizations continue to spend on I T. There has been a change in the priorities as they look for better value from their I T spend and deeper partnership with the I T service providers. As a result , the overall tech spend should stay healthy with th e spending skewed towards operational excellence , customer experience and cost efficiency. This is what is driving our cautious optimism when it comes to our business . For Birlasoft therefore , the full year outlook remains unchanged and is one of growth wi th margin expansion.

As I mentioned in our earlier call as well , our suggestion would be to measure us on QoQ performance and the revenue that we generate through execution every quarter. We believe that our focus on execution , capability building and dri ving a client centric organization with a culture of high say-do ratio will enable the next phase of growth in our journey. At this point I would request Kamini , our CFO to share her perspectives on the quarter.

Kamini Shah: Thank you Angan. A good day to all of you. Thank you for joining us and I hope you are all doing well.

Let me take you through the Financial Highlights for the first q uarter of the current financial year.

We have reported revenues of $153.6 million in Q1 FY24 and this includes an inflow of $2 million that we have received from Invacare towards disengagement services that have ended on 31st May 2023. This represents a growth of 3.1% QoQ on dollar terms. Excluding the inflow from Invacare Q 1 revenues grew a t about 1.7% QoQ . If you have to look at it from a constant currency standpoint , our revenue growth has been at about 2.7% QoQ and excluding Invacare it's been at about 1.4% QoQ . The growth was driven by a combination of new projects , ramp up, account mini ng. We've seen growth across our top accounts with the top 20 accounts growing at about 2.7% QoQ .

As far as our verticals are concerned , our growth has been led by BFSI and Manufacturing whereas from a service line standpoint it has been largely driven by Infrastructure and ERP. As you might have already noticed , from this quarter onwards we have started aligning our verticals and service lines reporting with how we are drivin g our business. So , you will see our focus in terms of reporting from our four service lines and four verticals in a way that better reflects our business.

Moving on to the EBITDA performance , our E

BITDA for Q 1 was at $23.5 million versus $20.3 million in Q4. This implies a 15.3% EBITDA margin which is an expansion of about 170 basis points QoQ . This has been largely driven by better gross margin as well as lower SG&A . A lot of operational efficiencies , lean and automation , sustained improvement in attriti on rate and healthy utilization are all the factors that have contributed to our margin performance for the quarter. As a result , our P AT for the quarter increased to $16.7 million , up 22. 6% QoQ . PAT margin at 10.9% was an expansion of 175 basis point s QoQ . While our effective tax rate for the quarter stood at 24.3 %, we expect the full year E TR to be at about 25%.

Let me now briefly touch upon the key balance sheet items .

Our cash and bank balances at the end of the first quarter stood at $160 million . This reflects our ability to consistently generate strong cash flows , also evidenced by our stable DSO of 53 days. For the third time in five quarters , we have recorded a qua rterly collection that has crossed $150 million and our operating cash flow during Quarter 1 has been at about 101% of EBITDA.

To conclude , the growth and the margin performance that we have reported in the face of the macro headwind s the industry has bee n facing , demonstrates our ability to execute with financial discipline . It also gives us the confidence to deliver revenue growth and margin expansion for the full financial year as well. We are generating strong cash flow s and that enables us to make the investments necessary to drive growth in our business going forward.

Thank you very much. Back to you , Abhi .

Abhinandan Singh : Thank you. Mod erator , please open the line for questions .
Moderator: Thank you. Ladies and gentlemen , we will now begin with the question -and-answer session. The first question is from the line of V ibhor Singhal from N uvama Equities .
Vibhor Singhal: My question was basically on two things , one on the growth part and the other on the deal flow part. So , the deal flow as we know was a bit soft in this quarter and as you mentioned it is following two quarters of record high deal flow. But going forward how do you see the deal flow momentum continuing? Was it an aberration in this quarter that we had a softer deal flow? Some of the deals that might have basically spilled over to the next quarter or how's the overall demand environment and in that context how do you see this deal flow number going forward in the coming quarters of the financial year ? I'll probab ly take the answer to that question and then switch to my second question.
Angan Guha: Thank you for that question. The way you should look at deal flow is not on a quarterly basis but over a period of time because as you know , the closure of deals is not really in anybody's hands because it typically depends upon your client ’s ability to close deals. So , you should look at our performance in the Q 3 of last year , Q4 of last year and Q 1 of this year. We've had record deal closures in Q 3 and Q 4. I understand that this quarter we are seeing a little bit of softness and that is primarily due to the fact that some of our deal closures which were supposed to happen in Q1 has been pushed out to Q 2. But the good news is our pipeline is improving. We've not lost any deals to competition and we believe that our Q 2 signings will be better than the Q 1 signings. But the market is really uncertain. The uncertainty continues. So , it will be hard to predict QoQ performance when it comes to deal signings. But we will be focused on revenue expansion for sure .
Vibhor Singhal: And to tie that answer up with the growth that we reported , I think in this quarter even if we strip out the Inv acare settlement amount , I think the growth was pretty solid on the dollar revenue front . As we have se

en, multiple other companies , many of your peers report ed results in the past few weeks. It's been a mixed bag. Some companies are able to hold up in terms of demand and growth momentum. But I think one thing which i s across the board is that all of them are facing uncertainties regarding the execution timeline of the deals. So , keeping that in context and the weak deal flow momentum in this , given that we reported around 1.7% growth in this quarter adjusting for the Invacare number , do you see this growth momentum continuing in the coming quarters as well or do you believe there could be some acceleration or deceleration to the growth that we reported in this quarter and your reasons for it?
Angan Guha: So, it's a to ugh question to answer because , the market environment has not really changed much. The uncertainty continues and the market is a little volatile . Like I said in the last quarter , I think you should measure us on QoQ performance. We will stay focused on ex ecution like we have done in Q3, Q4 and now in Q1. We will continue the similar trend in terms of execution. Now how much will that reflect in our growth; I can't really commit and we don't really give guidance . But suffice to say that we will continue to execute the way we have executed and hopefully

things will look better . From the perspective of demand environment again, like I said the pipeline is growing which is a positive. We have not lost any deal to compe tition and that is also a positive. So , I wouldn't be too worried about one quarter of lesser signings because I definitely think that we can catch up in Q 2.
Moderator: The next question is from the line of Dipesh Mehta from Emkay Global.
Dipesh Mehta: Couple of questions ; first just want to get a sense about the normalized margin. Now as we indicated about the adjusted revenue growth if you can provide some sense about the margin because once we enter into Q 2 we might have salary hike impact . So, if one wants to understand like to like how margin is shaping u p for us , if you can provide some sense about normalized EBITDA or EBIT margin for us. The second question is about the service line performance. We reported it first time , so if you can provide some sense on how do we expect all these service lines to play out for us considering the overall demand environment plus the investment focus which we have ? The last question , which is to some extent linked with the margin , when do we plan to give a salary hike and the anticipate d impact of it and from medium term perspective what would be our aspirational EBITDA margin or EBIT margin ?
Angan Guha: Dipesh thank you for the questions. So I'll take the last question first. We intend to give salary hikes starting September 1st. So, you can actually bake in about one month of negative impact on margins due to the salary hike. However , we will continue our rigor when it comes to

execution. So , our endeavor will obviously be to mitigate the cost that comes into our books because of the salary hike. So that's point number one. Point number two which ti des back to our first question. See if you really look at Invac are, the amount of revenue that we got and the amount of cost that we took nets out itself. So , it's not a positive or a negative impact , it's a very small impact nothing to be talked about. So , you can take our normalized margin at the current levels that we have reported. So that's question number two. The answer for number three , in terms of the way we are going to report going forward is like Kamini said, we will continue to report performance on our service lines and performance on our verticals. As you have seen two of our verticals have done an incredible job , BFSI and Manufacturing. They have gro wn above company average and similarly on the service line side , Infrastruc

ture and ERP have grown above company average again . But not to say the other service lines are weak , other service lines are strong as well and they are growing at about company av erage. Our sense is that Financial services and Manufacturing will continue to do well. On the service line side, w e strongly believe that we've got great momentum with new leadership in both ERP as well as our Infrastructure business. Our Digital and Data business is also strong and you will see the momentum building up there as well. So , I hope I've answered all your questions Dipesh but I will also caveat everything that I said. It all depends upon how the macro environment moves which is why I keep sayi ng you must always measure us on QoQ performance and not on YoY performance.

Dipesh Mehta: Just two follow up questions. First about BFSI, if you can help us understand because BFSI most of your peers indicated some kind of weakness , either delay in decision making , elongated sales cycle , plus some kind of discret ionary spending weakness. We are seeing some positive trends ,

if you can provid e some sense about which subsegment is driving growth for us. The second question is about ERP , if you can provide in the revised service line break -up, how are we defining ERP as a service kind of player , is also part of ERP which is driving growth or eve n on-prem we are seeing some recovery signs?

Angan Guha: So Dipesh , let me answer the first question first . BFSI for us is a very small business. It is not going to be correct to compare our BFSI business with some of our larger p eers. If you look at our BFSI business , we don't really work with any banks, which is where the big negativity is coming in from. We work with lending companies , we work with payment companies , we work with some infrastructure companies. When I talk about infrastructure , I mean fi nancial services infrastructure companies. Those are our market segments, and those market segments are resilient, which is why you're seeing growth. Also , you must remember our BFSI business is very small. It's just about $130 million. Unlike some of the big peers who've got billions of dollars of exposure to financial services. So , in many ways that comparison is not right which is why we continue to see momentum in our financial se rvices business and we will continue to see that momentum. But eventually our goal is to work with banks. I'm not saying that we will never work with banks. We want to work with the larger banks and as we go forward , we'll put in a strategy to enter some o f the big banks not only in America but in Europe as well. Now on the ERP side the way we classify ERP is, all our ERP businesses whether it is our relationship with SAP , whether our relationship with Oracle , whether our relationship with Infor , all of tha t comes under one ERP business. Now as you also know , our ERP business was shrinking QoQ for almost eight quarters in a row. Last call I have told you that it's bottomed out and this quarter on we will see growth which we are seeing. And I'm hoping that th e ERP business has already bottomed out and will continue to see growth. Now on the question of whether the growth is happening on -prem or Cloud, our growth is happening on the Cloud. I think that is a big opportunity for us on the ER P business.

Moderator: We'll move on to the next question that is from the line of Mohit Jain from Anand Rath i.

Mohit Jain: First on the $2 million that you have booked in revenues from Inv acare, so can you just help me with the reclassification part? Like will it cut across the vertical revenues and the service line revenues as well?

Angan Guha: Yes, Moh it, it cut across only one vertical really because Inv acare was pertaining to one vertical which is a Healthcare vertical and from a service line perspective

it was predominantly Infrastructure and a little bit of Digital.

Mohit Jain: Not into ERP , is it?

Angan Guha: Not so much into ERP , no.

Mohit Jain: Okay and I am assuming the top client growth is adjusted for $2 million , the number that we are looking ?

Angan Guha: That is correct yes.
Mohit Jain: And the second is more related to your reclassification ; some manufacturing and healthcare I think , you have moved certain clients from one segment to another. So , if you could give us the revised definition on who sits where .
Angan Guha: So, Mohit again this is an internal reclassification. Doesn't affect our external reporting in any way but of cours e it gives you a view which becomes a starting point going forward. So , we've essentially classified our Life sciences business as Life sciences and Services which means any company that serves or delivers services to the Life sciences clients or delivers ser vices to the end client which is related to a life science kind of an activity , we will classify that under Lifesciences and Services which is why you see the movement. But that is only to baseline. That has no ramification on the overall numbers as you al ready know Mohit.
Mohit Jain: The medical device manufacturers , they will now sit in Manufacturing or will they still sit in Lifesciences?
Angan Guha: They will still sit in Lifesciences.
Mohit Jain: And last one on the full year outlook I think you tou ched upon this topic in the initial remarks. I missed that. So full year outlook given that everything is related to macro , is it fair to assume that for us it will be very similar to where industry would end up?
Angan Guha: Yes. I think so. I would say that you should benchmark us against industry. But again , I want to always put that caveat that don't benchmark us on a YoY growth because with Inv acare it kind of muddies the water. Just measur e us on a QoQ performance.
Mohit Jain: Sequentially , from a sequential growth standpoint ?
Angan Guha: Yes, sequentially you should measure u s. Sequentially our endeavor will be to do better than the industry.
Moderator: We'll move on to the next question that is from the line of Shradha Agraw al from Asian Market Securities.
Shradha Agrawal : A couple of questions. Do we still maintain our guidance of exiting 2024 at 16% margin given what we have performed in Q1?
Angan Guha: Shraddha , thank you for the question. We don't give a guidance as you know but like we've indicated even after doing all the investments and doing the salary hike as we had indicated starting September 1st, I still believe that we can exit the year which is Q 4 FY24 with a 16% EBITDA and that is something that we continue to maintain.

Shradha Agrawal : And secondly more from the strategy point of view , where are we on our journey of restructuring that we had undertaken since we took over in terms of hiring new leadership across vertical s and in terms of filling in the key roles , how much are we done on the restructuring cycle and how much is still left to be done?
Angan Guha: Shradha again a great question. Now as I have said even in the last call CXO minus one leadership is all hired . We have a new leader running our infrastructure business , we have a new leader running our ERP business. We've hired leadership across verticals. So , from a one down perspective , we've hired , we've made all the hiring. Now it is the question about putting our head down and executing . From a CXO perspective as I have said that we are in the process of hiring a Chief Operating Officer. We are still on course and we will have our Chief Operating Officer on board very soon. Similarly , we are on course to hire t he CEO for the Rest of the World business and that's als

o on course. So , in many ways a lot of the leadership has already got hired.
But, we continue to monitor our leadership performance which we will continue to do. The structure will not change but we w ill look at performance and we will be a performance driven organization. So that's all I can say at this stage .
Shradha Agrawal : Last question again on ERP reporting. So , what has changed under the new format versus the old one because we see a 3% drop. If I look at the contribution of ERP in Q 4 as per new reporting it is 3% points lower than what it was reported in the earlier format. So , what has been the change in terms of moving parts on the subsegment for ERP reporting ?
Angan Guha: We've just created sharper focus Shradha, so what we've done is in the earlier scheme of things we would call out enterprise solutions like Oracle , SAP separately . We've b rought all of that together and begun to formally report as ERP . Now as you also know that we are putting in sharper focus on lesser number of clients but we want to do good work with clients and that is something that you will see which is why last quarter , Q4 of last year we had the lowest revenues from ERP and in my commentary , I had mentioned that we will bottom out and start growing Q1 onwards which we have demonstrated.
Shradha Agrawal : Just a follow up on the ERP question ; so would it be possible for you to split the ERP revenue in terms of how much is legacy and how much is Cloud within ERP for us currently vis-à-visa

what it was few years back ?
Angan Guha: Even last quarter I had mentioned this that legacy versus Cloud is a little hard to bifurcate like that because a lot of work that happens on -prem also has a little bit of factor of cloudification if you will. So, no company does that and it's hard for me to give a breakup. I can only say at a macro level our endeavor going forward in the ERP business is to win more and more deals on the Cloud side rather than on the on -prem side. But equally I can tell you there is strong demand on the on -prem side as well and we'll be focused on both sides of the business .
Shradha Agrawa l: I was just asking as to how much you think we can benefit of the SAP upgrade cycle that we expected ?

Angan Guha: As we all know that we have a window between now and FY27 . When there'll be a lot of spend in terms of SAP moving from on -prem to on Cloud, which is why we put special focus on this business, hired new talent, got the organization together, and now we are well poised to capture a greater market share as the movement happens. And I can't give you specific numbers because it's a multibill ion-dollar opportunity, but yes, we will be focused on winning market share from similar like -minded companies going forward.
Moderator: The next question is from the li ne of Abhishek Shindadkr from InCred Capital.
Abhishek Shindadkr: My first question is on the segment results. The Life sciences reported number has doubled QoQ . What explains that , outside of the $2 million that we may have received from the customer? And the second question is to Angan. So last quarter, the good part this time was the new p ortion in the deal wins was much higher QoQ . So, is there a seasonality? Did you see a better conversion this time? And last quarter you mentioned that beyond the deal signings, we have to close the leakage pool of existing customers. So, any update on tha t could be helpful.
Angan Guha: So, from a deal signing perspective, let me comment on that . Like you pointed out, our net new deal signing has been healthy . And that also is a reflection of the fact that at least the deals that are getting decided in the market, we are winning our fair share. Now, the overall deal signings have been lower and that is only a seasonality issue. So, which is why I will not be too worri

ed
about that. From a leakage perspective, I think Kamini talked about it. We have put enorm ous focus on execution this quarter and that has yielded results. Not only from a revenue perspective, but because of lower leakage, our margins have expanded, as you can see, and we will continue that rigor. We will continue that focus both from a margin perspective as well as a revenue perspective.
Now, on the first question in terms of segment reporting, and again, I want everybody to understand this is the first time in our history that we are reporting Service Line wise results in this manner , only to give you a lot more transparency. So, there will be a little bit of numbers here and there and it'll be helpful for us to address those questions. The only reason you see the Lifesciences doubling up is not just because of Invacare, because Invacare is jus t $2 million. It is only because, like I answered the earlier question, we reclassified our segment as Life sciences and Services. So, some of the Services business , which was really Life sciences business , but was sitting in Manufacturing, we moved that into Life sciences. This is just good corporate governance so that we report the right customer in the right segment, which is why you see that uptick . But overall, I can tell you whether it is Manufacturing or BFSI, they will continue t he growth momentum from a like -to-like perspective, and we will also see a good rebound in Lifesciences going forward.
Abhishek Shindadkr: If I can just persist with your answer. I understand that you may have reclassified the segment margins, but if I compa re the absolute amounts, the other segments are more or less flat. So, I was just curious as to what moved into Life sciences. Anyways, we can take that offline. Thank you for answering my question.

Angan Guha: Yes, we will take that offline , Abhishek . I'll ask Abhi to meet with you and we can give you a detailed explanation around that.
[Offline Postscript : We have begun repo rting our verticals and service lines performances in line with how we are driving our business. As part of that exercise, we have also moved some “Services” business that catered to the Life Sciences industry into Life Sciences & Services (from Manufactur ing). The segment results numbers for Life Sciences & Services in Q1 reflect that as well as the inflow from Invacare and conclusion of disengagement services on May 31 .]
Moderator: The next question is from the line of Mihir Manohar from Carnelian Asset M anagement.
Mihir Manohar: Largely wanted to understand on the Microsoft part of the piece, I mean the tie up which we have done on the Gen AI side, what kind of significance, what kind of relevance and importance,

what is the number that we are looking at to train? How many number of people are we looking to train and what kind of business can we look to gain from this particular service line, this could be a partnership? Somewhere down the line we were trying to have good offerings on Microsoft. So, if you can throw some light around that, that will be really helpful. And my second question was just on the ERP side. I mean you have continuously maintained that ERP looks to be bottoming out from hereon. If you can throw just more clarity, why do you feel so, is there any change in industry structure or is there any realignment happening? Wh at do you feel about it? That would be really helpful. So those were the two questions.
Angan Guha: From my perspective it is pretty simple. We've committed to the Microsof t partnership in general from the time I have come into this organization. If you remember, even in the first quarter I said Microsoft is a strategic partner and we will commit to becoming a big

Microsoft partner
going forward. As a part of the same narrat ive, we tied up very recently just last week with Microsoft in their Gen AI practice. We believe this is a long -term partnership. This will benefit both the firms in a very big way, and we've committed to almost train about 500 of our colleagues on AI tech nologies along with Microsoft. Now, it's hard for me to give numbers in terms of how much numbers will we do in future quarters. But I can only tell you that at this point in time we have many of our clients who've come back to us, and we have started doin g POCs with them, used case by use d case to prove and sharpen our capability around AI. Going forward it will be a big business. Now whether it takes us a year, two years, I don't know. But eventually I want to get into a situation where Generative AI in itself becomes a service line.
Now, the second question, Mihir, you had was on ERP. With regard to ERP, fundamentally there is no change in the structure of the industry . The only one big opportunity is the very fact that eventually by 2027 or 2028 whenever the time is, lot of on-prem work on SAP will move onto the Cloud and that is an opportunity. But traditionally we've lost market share on the ERP business. Like I was saying over the last eight or twelve quarters we've degrown in the ERP business. We are just turning around the business now. So, you're seeing a big uptick, but that is over a very low base and eight quarters of degrowth. So, you should look at it from that perspective. So, I don't think anything has changed in the market. I t is only that we've got our act together and going forward we want to invest and continue to grow this business.

Moderator: The next question is from the line of Anmol Garg from DAM Capital.
Anmol Garg: Firstly, wanted to get your views on your strategy r egarding M&A. So how are we seeing M&A? Would it be based on capabilities or more of a geography kind of an expansion?
Angan Guha: Anmol, one thing that you must absolutely appreciate that we will not buy a company for aggregating revenue. That's not our s trategy. We will only buy a company if we need to plug a capability or, like you said, if we need to expand the geography. Those are the only two situations where we will buy a company. Now, our strategy in M&A is very clear, and I've said this in multiple forums, that we first need to execute on a couple of quarters of strong performance. We are on the journey; we've just started the journey. And once we are confident that we have delivered good growth QoQ , then we will look at doing an M&A to plug a capab ility. M&A is definitely a part of our future. It's a part of our strategy. But when we find the right company with the right capability, with the right cultural alignment, we will do an M&A at that point in time, but not for revenue aggregation.
Anmol Gar g: Secondly, I just wanted to understand that based on the pipeline that we are seeing right now, would it be fair to estimate that we would have, on an average, a $200 million run rate of deal wins in the next few quarters? Or given the environment right now, given that the deal closures are taking more time so it would be more patchy from that side?
Angan Guha: I can only give you my take and it's hard to predict the future. So, I would love to come back and say that every quarter at a minimum, we will ha ve signings of $200 million. That's our endeavor. But it's hard to predict. I would say, and if I'm a guessing person, I would say that for all companies it will be patchy and for us also, it will be patchy. But our endeavor is to do exactly what you said, at least deliver $200 million signings every quarter going forward.
Anmol Garg: And lastly, if I may, just wanted to understand that this quarter now if we do exclude the Invacare one time revenue

that we have got, so incrementally, do you think from that base we can still grow in Q 2 given that the deal wins we have or should we expect that sequentially, largely, we will be flat?
Angan Guha: I can't give a forward -looking statement here . But my commitment to all of you is we will continue to execute well, and we will deliver a quarter with good execution. Now, how much growth will it come by? I don't know. Are we going to grow? Sure, we're going to grow, but how much will we grow by? I can't comment .

Moderator: The next question is from the line of Chirag Kachhadiya from Ashika Institutional Equities.
Chirag Kachhadi ya: I have a couple of questions. From the next three to four years perspective, which service line and abilities we want to grow more compared to what we have today? And also, vertical -wise from M&A perspective, what are the key verticals which we are looking to increase the revenue

of those related verticals? And on manpower front, what trends are we experiencing right now compared to what it was a year back.
Angan Guha: Three to four years is a long time in our industry, it's hard to really comment what's going to happen three to four years. But I will tell you directionally what we will do. Directionally, whether it's the Digital business, the Data business, now the AI as a business, all will be our focus. In fact, we decided and strategically we've only picked up four service lines that we're going to focus on . Data , Digital, Infrastructure and ERP. So, all the four service lines we will focus on. Now, we may cull out AI service line from this as AI becomes bigger and bigger, but that's only strategically done. But at a fundamental level, these are the four service lines that we've called out. We will be committed to these four service lines, and we will grow these service lines.
From a vertical perspective, I think we are underpenetrated in Financial Services. I think that is a big opportunity ahead of us. Now, not to say that Manufacturing will not grow. Manufacturing is the core of our existence . We've got a very large, almost 46% of our revenues come in from manufacturing and I think that business is turned around as you see current quarter results and that will show steady growth. But if I were to deliver exponential growth, that will be Financial Services and Lifesciences only because the market is very big and there is a lot of opportunity. So, in an ideal world, the M&A question that you asked, if I can find a company which is in the intersection of AI and one of these industries, would be the ideal place that we woul d want to put our money in. But like I said, we have to deliver strong QoQ performance over the next three or four quarters. And only then we will look at doing an acquisition.
Moderator: The next question is from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management.
Sudheer Guntupalli: Hi, Angan. Congrats on a good quarter. It has been around seven, eight months since you have joined, and despite the initial setbacks of Invacare and a poor macro, I think it's impressive to see the execution in this quarter. Just with the strategy interventions you have put in place, and with the leadership additions that you have put in place, given where our portfolio is today, how confident are you that this company will be able to deliver sustainable indus try leading growth on a medium -term basis?
Angan Guha: That's our endeavor, Sudheer. That's the reason why we all exist. We have to, as a management team, deliver sustainable QoQ performance . Of course, I'm confident. But will the macro change and tomorrow I may falter a quarter? I may. I don't know, it's hard for me to answer that question. But inherently, that's the management team's philosophy, that we consistently deliver QoQ performance, both on margins and reve

nue.
Sudheer Guntupalli: For the new leadership team also, and in general, overall, the executive team, is there any ESOP sort of a scheme which was in place or which you are planning to put in place to tightly link the performance with shareholder returns?

Angan Guha: So, the long-term incentive, LTI as we call it, is linked to performance driven metrices. Again, it's a long explanation, which I can't do it now, we can probably do it offline and Abhi can set up time with you. But suffice to say that we have a large component of L TI, not only for the CXOs, but even for myself, which is linked to performance . So, we've made a significant impact or change rather from a compensation standpoint.
[Offline Postscript : A discussion of its LTI appears in the company’s FY23 annual report]
Moderator: We will move on to the next question that is from the line of Sandeep Shah from Equirus.
Sandeep Shah: My first question is , in any company looking for a turnaround in this industry, two things have to be addressed. One is t he right set of leaders who can cross -sell, upsell, do client mining and hunting, and the second is having the right mix in the service portfolio. So, I think under your leadership, it looks like the first thing has been addressed. In terms of the second t hing, do you believe further restructuring is required in the service portfolio? Why I ’m asking is, looking at ERP as one third of the portfolio, does it excite you or makes you slightly nervous? And second, in terms of the hyperscaler relations, if I ’m no t wrong, we are strong with Microsoft. But what to be done in terms of Amazon and Google Cloud as well as with some of the other SaaS based CX/UX kind of a company or cloud based CX/UX kind of a company? So, what is your take in

terms of any restructuring is required in the service portfolio as of now.
Angan Guha: Sandeep, terrific question. So, first of all, I think we have intentionally mindfully rolled out an organization structure. And I have no intention to changing the organization structure in the foreseeable future. And the foreseeable future could be three years. But after three years, of course, our industry changes so quickly we may relook at it. But for the next three to four years, I think we will stay with the current organization structure. Bu t I think your fundamental question was that are we happy with ERP business? Now, I can tell you something, ERP is not a bad word. It is still a growing business; it still delivers a lot of profitability and we 'll be invested in that business. But the exci ting part of our business is going to be digital, is going to be AI, is going to be Data Analytics. And by the way, even Infrastructure, which is a very small part of our business, but showing incredible growth. So , if I were to look at four or five years down the line, I want my Digital and Data business to be as big as the ERP business then or maybe even bigger. So obviously the growth rates there will be much higher. So, we 'll be invested. We 've just taken these fo ur areas to invest on and we will stay invested. Now, AI probably will be a downstream of one of these service lines. It could either fall in Digital or Data. We 'll have to see how that looks. But broadly, these are the four service lines.
From a leadershi p perspective again, like I had said, most of the leaders are already on board. They are focused on execution. But we do not want to claim victory, because it 's just been three quarters of execution . We need to consistently execute QoQ , 4, 5, 6, 7, 8, quar ters in a row. And only then we will feel a little bit more satisfied about this. So, I hope I 've answered your question, but we are focused on all of our businesses. I mean, no business is bad work for us.

Sandeep

Shah: And also, a question which I ask in terms of hyperscaler relationship, is it fair to assume that work needs to be done besides Microsoft Azure Platform or you still believe we have a strong relation even outside Microsoft Azure to Google Cloud and AWS?
Angan Guha: A company of our size, we can't do everything with everyone . It's very hard for us to become a meaningful partner for a Microsoft, for a Google, for an AWS, it 's just not going to work. So, we've committed to the Microsoft relationship, but that said, we will also have relationship s with other hyperscalers, but that will be in very specific niche areas, and we can discuss that. But in our mind, the strategy is very clear ; 80% of our hyperscaler or Cloud revenues will come in from Microsoft over the next foreseeable future. The other businesses will contribute, but they will be very client specific. And internally, we clearly know the areas where we will work with AWS for instance, those areas are identified and signed off with AWS.
Sandeep Shah: Just last two things. In terms of Q oQ growth visibility, is it fair to say that with the execution confidence which we have, even 1.4% CC growth which we have done in this quarter ex of $2 million, we can actually maintain or improve the momentum going forward? And second, wage increase, in fa ct, you said it would be effective 1st of September. So how it will impact the Q2 and Q3 numbers in terms of EBITDA margin?
Angan Guha: We can't give guidance really Sandeep. But I can only tell you that our endeavor will be to continue performing at the same level. But it is hard to say . I can 't comment whether next quarter I'll grow at 1%, 2%, 3%. But of course, our endeavor will be to maximize revenue. On the margin front like Kamini talked about, we will give a wage hike starting 1st September. But even after accommodating that wage hike, we will try and deliver the margin performance that we 've delivered this quarter. We will not go down on margins, we will only try and improve margins. But our commitment to all of you, like Kamini ha s said earlier, and I say it again, by the time we exit Q 4 FY24, we will deliver upwards of 16% EBITDA .
Moderator: We will take the next question from the line of Jyoti Singh from Arihant Capital Markets Limited.
Jyoti Singh: If you can kindly elaborate on the headcount situation, if you saw its decline d YoY and stable QoQ . So, we have any planning for the hiring? And also, if you can elaborate on the lateral and fresher hiring front.
Angan Guha: Our headcount has increased. I 'm sure you 've noticed it. We 've added. So, not only has our volume increased, but we have had a volume growth and we have had a headcount growth. So, we are in the process of hiring more people. Our demand environment currently is like we have said, we are cautiously optimistic, and we hope to add headcount even in Q2.
Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to Mr. Angan Guha , CEO and MD, Birlasoft Limited for his closing comments.

Angan Guha: So, I once again thank all of you for join ing the call today. As always, your questions have been

insightful, and I really appreciate your interest in Birlasoft . We've made a very good start to this financial year, with good profitable growth and solid fundamentals. We will continue to build on ou r capabilities and sharpen our go -to-market strategy. I look forward to speaking with you again next quarter. Meanwhile, please feel free to reach out to Abhinandan for any clarifications or feedback. Thank you once again.
Moderator: Thank you, members of the management team. Ladies and gentlemen, on behalf of Birlasoft , that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited for r

eadability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Nov 2023

November 3, 2023

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Subject: - Transcript of Earnings Call held on October 31, 2023 .

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on October 31 , 2023 .

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript .

Kindly take the same on record.

Thanking you .

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer

Birlasoft Limited Q2 FY24 Earnings Conference Call

7.30pm IST, 31 October 2023

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator : Ladies and gentlemen , good day and welcome to Birlasoft Q2 FY2 4 Earnings Conference Call . As a reminder , all participant lines will be in the liste n-only mode and t here will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded .
I now hand the conference over to Abhinandan Singh – Head, Global I nvestor Relations, Birlasoft limited . Thank you and over to you , Mr. Singh .
Abhinandan Singh : Thank you and welcome folks. By now you have received or seen our results. Those are also available on our website www. birlasoft.com. Joining me on this call today with me are our CEO and MD Mr. Angan Guha and our CFO Ms. Kamini Shah . We will begin the call today with opening rema rks from both Angan and Kamini.
But b efore I hand over the floor to A ngan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement and therefore that must be heard or read in conjunction with the disclaimer that appears in our Q2 FY24 investor update, which has already been sent to you and is also uploaded on our website as well as file d with the stock exchanges . With that, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. O ver to you.
Angan Guha : Thanks, Abhi . Good evening and good morning to everyone, wherever you are. And thank you for joining us today as we share some perspective s on our Q2 FY24 performance. But before I delve into our quarterly results , I would like to welcome our new Chief Operating Officer, Selvakumaran Mannappan to our leadership team. You would have seen an announcement on this earlier this month. Selva is a seasoned leader with over 29 years of experience in the IT services business. He brings with him a wealth of expertise and a global perspective to our organization thanks to the various pivotal roles that he has held over the years including as the COO of several large units while spearheading some numerous strategic initiatives at a tier 1 tech services firm.
You will recall that I had earlier outlined the two dimensions along which we are transforming our company to become sharply focused on select verticals and service lines and to culturally become more nimble and execution -orientated . Key to this has been a creation of a refreshed and a reinforced leadership team at Birlasoft, most of which is already completed. And when we last spoke , there were a couple of open posit ions that we spoke about, the CO O being one of them . With Selva coming on board, we now have a unified delivery organization reporting it to him, closely aligned to the geography organ ization. As the Chief O perating officer of our firm, Selva will be at the helm of refining our operational efficiency, driving transformation initiatives to enhance customer centricity , and capability building for sustainable growth. He will oversee our global delivery and operations , our service lines , business excellence, along with our CTO and the C ISO function s and this will ensure that Birla soft remains a t the forefront of IT services.

Now let me quickly come to our Q2 Results :
Coming to our Q2 Results , which I trust all of you have seen, we are very pleased to report a very strong financial and operating performance, delivering robust growth on all three fronts ; revenue , margins and deal wins. Our revenue for the quarter has grown by 3.1% Q -o-Q in constant currency and 3% Q -o-Q on reported currency. Our reported currency figures are $158.3 million, whereas our constant currency figures are 159.1 million . This was possible because of great account mining and d

eal ramp ups. If you take the 2 million disengagement services fee that we receive from Invacare in Q1 out of the picture, then our growth in Q2 has been even stronger at 4.4% Q -o-Q. In rupee terms , our revenue for the quarter increased to Rs. 1,309.9 crore, a growth of 10% year -on-year. Again, if you were to take Invacare out of the equation, this will represent a growth of 13% year -on-year.
We also recorded an expansion in our EBITDA margins and this is despite implementing an organization wide compensation hike and promotion that was effective 1st of September. Our EBITDA margins expanded by 50 basis points Q -o-Q to 15 .8% in Q2 . We have also seen our cash flows and cash balances improve d. These sustained improvements are an outcome of both of our operating leverage as well as our push to enhance our operational efficiencies. Kamini in her section will take you through more details around those.
Now , our performance comes on the back of a very strong 1st Quarter where we recorded a 3.1% sequential growth in dollar terms and also 170 basis point increase in our EBITDA margins.
On the deal front, you would remember that our Q1 was a little muted. In Q2, we have reversed that trend. We have signed TCV deals worth $271 million and this included one very large deal, which is a deal with TCV upwards of $100 million from a Fortune 500 company in North America . As a part of this partnership, the customer and Birla soft will establish a strong foundation towards application maintenance, modernization and migration to cloud.
Additionally, we will build capabilities around customer experience, enterprise data governance and management in our data and analytics practice. This contract is for a period of 5 years and includes renewal plus incremental business and I'm sure you would’ve guessed that it is from an existing client. This is a milestone deal for us which reflects our unwavering commitment to shaping a brighter data -driven future along with our customers . Our ability to successfully go after and execute such large engagements also demonstrates our ability to create and close complex deals. But there is one more point I would like to draw your attention on : this deal will have a transition period of almost 6 months and we will start seeing the revenue uptake only from April onwards.
On the capability front, we continue to scale up our emerging tech skills followi ng the generative AI Center of E xcellence, which we established in the last quarter along with Microsoft. Our initial training included 500 of our colleagues, but as we go forward, we have now extended it to cover all of our around 12,500 colleagues to be trained on generative AI. This is a big

investment from our perspective. We firmly believe in making these investments to reinforce and enhance our long -term competitive edge .
In terms of looking forward, we have had some good deals. We also have a very, very strong pipeline. But as you are aware, the macro environment is still very unfavorable and the high interest rates that persist in the mature d geographies and economic deceleration that is happening in the West will have some impact on our business. The current quarter, Q3 , as we all know is a short quarter with lot o f furloughs. So, I can say that the Q3 quarter will be a muted quarter for us, b ut obviously we cannot give g uidance and , like I have always said , we will focus on in -quarter execution to land wherever we have to land. Our approach has been to stick to and leverage our strength s and actively d rive proactive deals. We are seeing this play out in all areas where we enjoy strong competency, whether it's cloud, whether it's infra , digital and even the ERP business, which is now spanning out and starting to see growth.
Our strategy of retaining and mining existing accounts with both cross selling and upselling

is

delivering solid and positive results and this is visible in our deal flows . Our TCV in the past nine months, which is 3 quarters , is 21% higher than the total T CV during the preceding 9 months. Our effort is to exit the financial year with a highe r total T CV than last year and that should set us up for a good growth year even for next year. We intend to remain very focused on execution as we go forward.
With this, I hand it over to Kamini, our CFO.

Kamini Shah : Thank you, Angan . A very good day to all of you. I hope all of you are doing well and thank you for joining our call.
Let me take you through the financial highlights for the 2nd Quarter of the current Financial Year :
We have reported revenues of Rs. 158.3 million in Q2 FY'24. This re presents a growth of 3% quarter -on-quarter in dollar terms. If you had to exclude the impact of Invacare , the inflow of 2 million that we received in Q1 , our revenues would have grown at about 4.4%. On a constant currency basis, the comparati ve numbers are 3.1% quarter -on-quarter and ex of Invacare 4.5%.
This strong growth has been driven by a combination of sustained account mining and ramp up in the deals that are already secured. We have seen growth across all our key accounts with our top 20 accounts growing h igher than the company average.
Among the verticals , our gr owth during Q2 has been led by BF SI and Manufacturing that have grown by 5.3 % and 4.2% quarter -on-quarter respectively . From a service line s standpoint , while the growth has been largely driven by digital and cloud, the ERP and infrastructure service lines did not have any inflow from Invacare in Q2, but adjusting for that , these two have also grown quarter -on-quarter.

Moving on to marg in performance , our EBITDA for the quarter s tood at $25 million versus $23.5 million in Q1. This implies a 15.8% EBITDA margin which is an expansion of 50 basis point s quarter -on-quarter. This margin performance has been achieved even after implementing an organization wide compensation and promotion increase effective September 1st , absence of the one -time Invacare disengagement fee flow , and continuing to make the investments which are necessary to drive growth in our business. These headwinds have been offset by sustained execution of multiple operational efficiencies that w e have been driving, enhancing our utilizat ion level , and optimizing our SG& A and discretionary spends . As a result, our PAT for the quarter increased to $17.5 million, resulting in a PAT margin of 11.1%. Our effective tax rate for the year is expected to be at about 25%.
Let me briefly touch upon some of the key balance sheet items . We have seen a sequential improvement in our quarterly collection during Q2 resulting in better DSO days, which now stand at 52 days. I'm very pleased to share that this is the fourth time in six quarters that we have recorded a quarterly collection above the $150 million mark and our operating cash flow to EBITDA is at about 93%. As a result, our cash and bank balances at the end of the quarter have increased by 13 .5 million to $173.5 million . As you would have noticed, the board has recommended an interim dividend of Rs. 2.50 per share. This reflects our intention to reward shareholders for their ownership while also keeping in mind our capital allocation requirement, the record date for this dividend payout is 8th November 2023 .
In conclusion , I would like to reiterate that our performance during the quarter reflects our ability to execute with financial rigor as we navigate our way through the macro headwinds that our industry has been facing. As I mentioned earlier, we have been making investments in our business and we will co ntinue to do so which is required to create and scale up the capability that is required for long -term sustainable growth. We will be fo

cused to win deals, generate cash
flows and we are also seeing moderating attrition levels. All of this gives us the con fidence to deliver a healthy performance for the full financial year.
Thank you very much. Back to you , Abhi .
Abhinandan Singh: Thank you, Ang an and Kami ni. Mod erator , we can open th e floor for questions, please.
Moderator: Thank you very much. We'll now begin the question and answer session. The first question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.
Apurva Prasad: Congratulations on strong execution in the current environment. A ngan , my first question is on the $100 million + large deal, if you could throw some light on aspects that led to this outcome, perhaps in terms of deal sourcing , the competencies that supported this win, nature of competition and the margin profile ?
Angan Guha: So, Apurva, f irst of all, thanks for attending the call and thanks for asking the question. The large deal, like I said, is in one of our existing clients. So, we know th e client well, we 've worked with

the client for many years. So, we understand the client 's landscape significantly well. The client has trusted our past execution capability and has given us an opportunity to do a large piece of work . Now , this has a combination of existing as well as net new and I can only say that net new is significant. I can't give you precise numbers because as you can imagine, I'm under NDA from the client and as a result , we can't talk about the client 's name or which industry it belongs to.

But suffice to say that it is a client that we know of . Now, I feel the reasons Apurva, why we won the deal are three: 1) we have executed flawless ly with the client over the last year or so ; 2) we were able to gain the customer's confidence when it came to the application maintenance and the modernization bit of it ; and 3) our ability to move the application of the cloud played a pivotal role. So, from a combination of great execution in the past, great relationships that we have built with the client and our ability to display some of the great capability both around the core modernization and the cloud migration helped us win the deal. We displaced an existing vendor and the vendor is a Tier 1 vendor. Obviously, I can't give any more details around this . Now, we don't talk about individual margin profiles, but suffice to say the current deal that we picked up was higher than the current account margin s.

Apurva Prasad: Thanks for the color on that. My second question is how should we look at the trade -off between growth and margins? And I'm asking this in terms of the room to expand margins further from here as you att ain higher end of industry growth , this is more medium term ?

Angan Guha: So, Apurva, you would recollect that I've always maintained that we will exit this year , 4Q, at 16% EBITDA, right ? Our 3Q will be muted and I will admit 3Q is a shorter quarter. It has got furloughs and it's an industry phenomena. So, 3Q will be muted for us , as it will be for the industry. But what we are committed to as a management team is to exit 4 Q with a 16% EBITDA . Now in the medium to long term, I would like to keep the company in that range of 15.5% to 16 .5% EBITDA range as we invest for future growth. See , we are still in an investment phase. You know we are going to hire more leadership. We are going to sharpen our domain. We are going to create newer and newer service line s and internally we are also investing in our own tech transformation which is investing in technologies and tech stacks that we use to run our company . And like I keep saying, we are here to build a long term sustainable profitable business and n ot necessarily a quarter -on-quarter business. So, my sense is if I can get to an industry level growth and keep the margin at th e narrow band of 15

.5% to 16 .5% or maybe even to the 17 % ranges , I think that will be a good solid execution on our part.

Apurva Prasad: Just one final bookkeeping one . On the other expenses side, what led to the 10% sequential increase?

Angan Guha: We will come back to you on this . [Post script: Please page 11 of this transcript for the response to this query]

Moderator: Thank you. Next question is from Krish Beriwal from Nomura. Please go ahead.

Krish Beriwal : My first question is on your new unified delivery structure. When should we expect the benefit from it to come in and what kind of margin tailwind can we expect from this initiative in the medium term?

Angan Guha: So, Krish , we just have hired Selva as our Chief Operating Officer, but our new unified delivery structure has been in practice right from 1st April as I have said in the past. So, some of the benefits have already accrued which is why if you recollect, last year our margins were at 14% EBITDA and now we have almost touched 15.8% EBITDA even after giving salary hike starting 1st September. So, the benefits of unified delivery organization . some of the kind of work that we execute for our customers , are already in play. As I've said , in the long run we would want to report EBITDA margins anywhere between 15 .5% to 16 .5% to 17% range . Now we may make more money than that, but we will invest in our business going forward because we want to build a long term sustainable business, so our investment profile will only go up and while our investment goes up, we want to keep the margins in that narrow band, which I spoke about, Krish .

Krish Beriwal : Understood. That's very helpful. So, Angan , we have now had three quarters of growth with consistent margin expansion . Now do you think it is the right time to maybe start looking for inorganic opportunities and if yes, then what kind of capability vertical or maybe geography that you have in your mind where we can look to improve our position ing?

Angan Guha: So, there are a couple of things I would want to mention. You're right , we've had 3 quarters of consistent performance, but we want to deliver consistency over a long period of time. So, we are not celebrating victory just yet. That's point number one . Point number two , as I've said earlier and I want to mention that again, Q3 will see muted performance. Now I can't obviously say what exact the growth we will deliver , hard to say. And of course from an execution perspective, the management team will do everything to deliver strong execution led performance, but it will be a muted performance just to bring that out on the table. So, you know, if you were to take Q3 out of the picture , by Q4 we should be back on good execution led performance again . Our belief in the company is that we need to at least deliver 4 , 5, 6 quarters of good performance, continue to generate positive cash flow as we've been generating, and strengthen our balance sheet further before we look for an acquisition . We will definitely get an acquisition done , but I can't tell you the time frame and quite frankly, we've not even started looking at it because we are still building the organization, hiring leadership, settling down leadership. But my commitment to all of you is that we will focus on in -quarter execution even going forward and then once we feel comfortable, then we will look at an acquisition . Acquisition , whenever we decide to do it, we will do it in a couple of areas. We will do it in a domain that we are comfortable in and a doma in that will see tremendous growth. We will do it in a technology or a service line that we feel can give us t remendous pivot. It could be a g en AI service line, it could be an engineering service line , and we will do an acquisition that helps us build capability. We will never acquire a company for revenue aggregatio

n or revenue growth,
but that has to give us solid capability around the two domains or the two service lines that I spoke about.

Moderator: Thank you. Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Couple of questions. First about the la rge deal, I think you've covered a lot of detail, but just want to understand the number of services or overall offerings covered under it. Just try ing to understand in terms of cross service index , what progress we are making because this is a fairly large deal , so if you can provide some sense how we are able to cross sell number of services in our bucket. Second question is about utilization. Now we are already above 86 % this quarter. So, how one should look utilization over medium term, whether we are comfortable at this or you think further scope for expansion ? And last question is , just want to get your sense considering overall macro uncertainty an d different commentar ies which we hear from different management s. So, if you can provide some sense about vertical outlook , the 4 major vertical s where we operate? And geographically, Europe seems to be weak, but if you can provide some sense, thanks.
Angan Guha: So, Dipesh , couple of things. First of all, the large deal that we have won, we have won from an existing client like I have s aid and like I talked about, we've been able to cross sell lot of our services. So, this is application maintenance which is a big service line for us. We are also participating in our client 's modernization effort. We are helping the client migrate to the cloud. In many ways we are touching all of our service line s, including data and advanced analytics. So, it's a combination of multi service line s. And that shows our strength and our customer 's confidence in us to trust us with work which is across service line s. In terms of our utilization, I think we are on the top end of the i ndustry and improving from here on is going to be impossible quite frankly . We would be happy to keep our utilization in a narrow band of 84 % to 86% and I think that is the right number to go with. You must also remember Dipesh , we are continuing to invest , investing in talent for future growth, including training our people on AI, identifying leaders and resources and associates from the market to enable to funnel our future growth. So, delivering better utilization I think will stutter our long term growth and we would like to keep it in that narrow band. What was your third question? I couldn't get the third question. Can you repeat that please?
Dipesh Mehta: So, just about the major vertical s, if you can provide some demand drive rs and geographically, US, Europe ?
Angan Guha: Thank you , Dipesh . So, look, we are seeing tremendous traction in BFSI and like Kamini also called out even in this quarter , the two verticals that led growth for us were Manufacturing and BFSI. Healthcare has been a little soft, but I'm very confident that healthcare will sooner or later bounce back . Energy & Utilities is our soft sector, but it's an industry trend. If you look at the industry in general , the E& U sector has been soft and it's been soft for us. I can't really comment when that business will turn aroun d, but that business is definitely a focus business for us . From a geograph y perspective, Americas continue to deliver strong growth to the tune of the fact that Americas are now touching 85 % to 86% of our overall revenues, but we are focused on the Europe market also as you know. And I've said this before, we are hiring a leader to lead our

rest of the world business, not because of anything else but because we want to diversify and grow the other geographies as well as America continues to deliver strong growth for us.
Di

pesh Mehta: If I can squeeze one question , because I think you made two or three comments about utiliz ation, moderation , earlier we gave increment s intake and then furloughs related Q3 muted ness. So, whether these factor s put together weigh on Q3 margin trajectory? Thanks.
Angan Guha: So, I can't give exact guidance, Dipesh. A s you know, we don't give guidance. I can only say that Q3 will be muted, but equally the management team's job is to drive good execution within

the muted quarter.
Moderator: Thank you. The next question is from the line of Shradha Agrawal from Asian Market Securities. Please go ahead.
Shradha Agrawal : Couple of questions here, Angan. F irst is we've seen very solid growth in our top 6 to 10 clients bucket. So, was it led by some particular account in that bucket or was it some widespread grow th that you've seen in that band ?
Angan Guha: Shradha, first of all t hank you for asking that question. So, look, in our top 10 accounts, we see widespread growth, but what is even more heartening is that our top 20 accounts have also grown ahead of the company average, which is obviously very heartening because that tells us that our mining strategy of our top 20 accounts is worki ng well. So, there's no one particular account that is growing, I think universally all our top 10 accounts have shown reasonable growth. In fact, all our top 20 accounts have shown reasonable growth as well, Shradha .
Shradha Agrawal : Right. And in terms of margins, if I look at the segmental margins, margins in Life Sciences have seen a sharp decline on a Q-on-Q basis. So, barring the Invacare adjustment, is there anything else to read into it?
Angan Guha: No, there is nothing else to read into it. It is basically the Invacare adjustment . But traditionally, you know, if you look at our margin profile , our traditional margin on the healthcare business has been a little soft, but we are investing in the healthcare business. This is one of the called out verticals that we want to invest in , going forward. We are doing well in Manufacturing and BFSI. We are very small. We are still growing and we want to invest in it and we want to invest in healthcare. So, it is because of the investment profile , you are seeing a little bit of downtick on the margins, but I will not be too concerned about it because we are in the investment phase and as you see the business turnaround and get back to growth , you will see the margin also improving going forward.
Shradha : And just last question , with appointment of Mr. Selva kumaran , is our leadership team in place broadly or are we looking at more senior leadership hiring over the next few quarters?
Angan Guha : Yes, Shradha like I said, we are very focused on the Rest of the World geography as well. So, we will hire a CEO for the Rest of the World that is pending. We have made an offer and

hopefully the leader will join us towards the end of November or starting December and when the leader joins, we will make an announcement. The only other couple of roles that we will hire, not at the CXO level though , will be a strategy officer and a growth officer. The growth officer like I have said will be focused on partnerships, will be focused on marketing , will be focused on analyst relationship and these are technology analysts, not financial analysts , and the strategy office will essentially help the CXO s to drive our long -term 3-to-5-year strategy , but outside of that, we have filled all the roles , Shradha .
Shradha Agrawal : And s ir, just one last question, if I ca n, what are the trends that we are seeing in the ER P space , I understand that it was a flat quarter because of no revenue from Invacare, but otherwise what trends are we seeing because last quarter we were sounding quite positive on the service line ?
Angan Guha : Yes, now we are still p

ositive , Shradha. So, if you really take Invacare out of the equation, ERP has also grown and I think t hey have grown about 1% quarter -on-quarter outside of Invacare. We are very bullish on ERP and like I have said, we have a leader that we have gotten for the ERP business. He ha s joined us about 6 months ago. He is rebuilding his organization. I am bullish for two reasons ; one is t he entire SAP S /4HANA movement will happen by 2027 and that represents an enormous opportunity for a company like ourselves . Our capability around JDE, there are a very few companies in the world who are still in the JDE business , we are one of them and that is the big op portunity for us as well. And the last opportunity that I spoke about in the last earnings call is the mid tier manufacturing segment in North America. So, these are our target markets. We strongly believe that over the next few quarters , you will see growth coming back in ERP , but just to mention Shradha, outside of Invacare, the ERP business has grown this q uarter , bottomed out.
Moderator : Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja : First question was for Kamani, j ust to understand the extent of wage hikes that were implemented in the current quarter and what was the impact on margins due to the one m onth implementation and the second question was with regards to the extent of furloughs for December quarter, i f you could help us understand, do you expect normal furloughs or it will be much higher than normal and how should we be thinking about the number o f working days in December versus typically December?
Kamini Shah : Let me answer the second question first. See as far as furloughs are concerned, we are not seeing an extended furlough request from our customers at this point of time. So, I think would be range of the typical furloughs that we have seen at any point of time , so while we don't discuss specific numbers, we are not seeing anything exceptional from a f urlough standpoint . As far as the impact

of the increments are, our increments have been in line with the industry wherever the companies have give n. It has been about approximately about 90 basis point, which is the impact as far as the Q2 numbers are concerned . We would of course have the impact as far as the next quarter is concerned, which will be about 2 months of additional impact .

Malik Taneja : And t he last question was for Angan . Angan, at Birlasoft , the focus over the course of last 2 -3 years was to reduce the long tail of accounts and some of it has continued even into your tenure , how should we be thinking about this on a go forward basis and simultaneously the changes in terms of our client revenue buckets ?

Angan Guha : What accounts ? I couldn't quite get your question.

Malik Taneja : Sir, we have been continuing to prune the long tail of account s and also if you could talk about the client metrics in terms of the higher revenue buckets, the changes that we see in the current quarter ?

Angan Guha : Yes, we continue to prune our accounts and like I have constantly said that we want to work with lesser number of accounts , so our accounts have gone down by another 7, if I remember right even in this quarter, our accounts have now come down to 278 from 285 , so the number of accounts are continuing to go down . We will clearly focus on our top 40 , top 60 accounts and try and grow it from one bucket to the other. Now , we don't exactly report the bucket of accounts yet, and that is a best practice we want to get into going forward, but suffice to say that today we have a couple of accounts which are above the $50 million range. We have at least one account which is above the $75 million range, but eventually we will come back to you with reporting in terms of how many accounts

are in what bucket . We will continue to focus on our top 200 accounts for f uture growth. I think we have enough real estate in those to continue to drive a lot of growth and as you saw in our results and if you see our last 3 quarter results, our top 20 accounts have continued to perform better than company average.

Kamini Shah : So, maybe I will just take this opportunity to clarify on Ap urva's question, on other expenses that have increased . Apurva, this is largely because of subcontractors and we have had additional working days as far as quarter 2 is concerned and quite a few of niche skills is what we have currently staffed through subcontractors, which is why you are seeing an increase as far as this is concerned. So, that is the reason behind it. I just wanted to clarify that. So, that query stands concluded during this call itself .

Moderator : Thank you very much , ma'am. Next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain : One or two questions, one is on TCV , like I think last time when you took over , there was some change in incentive plan because of which TC Vs were supposed to convert into revenues little faster or better, is th ere something we should expect in FY24-25 or do you think that will take some time to reflect?

Angan Guha : Our TCV will definitely convert to revenue for sure because at the end of the day, we are very closely monitoring in terms of the orders that we book and what is the correlation to the revenue number that has come up. As I had stated in the conversation earlier, you would have notice d that I talked ab out the fact that during the past 9 months, TCV signings have been up 21% over

the preceding 9 months . It only says two things , one is we are signing deals , but equally we are signing long -term deals. So, that gives us a surety of revenue . Our growth of 3 %-3.5% consistently for the last 3 -4 quarters is testimony to the fact that our order booking is getting converted to revenue . Now , what can derail this is of course a leaky bucket , so if projects get closed or people get ramped down, this equation becomes hard to de pend, but at least going forward, we are not seeing that situation as far as our company is concerned. Our order book will convert into revenue. It has converted into revenue in FY24 and I don't see anything changing in FY25 .

Mohit Jain : And the secon d is related to your margin outlook , like 15.5 to 16.5 per cent seems to be at the lower end of the industry, I think from top 20 companies perspective, whereas wage hikes are behind hiring may pick up, but subcon you have an opportunity , so is there a scope for this to sort of go more towards 17 %-18% rather than staying at 15.5 % or 16 %?

Angan Guha : That is a great question and look, I am not saying we will be at 15.5 , I am saying it will be a range of 15.5 to 16.5 and it could also go to 17. I mean, it i s hard for me to commit on that today, but our endeavor will be to drive sharper execution and you must also appreciate that it is not that we will not make more money, we will definitely make more money , but I am a strong believer that we will invest 1% or 2% of our margin back into the business because we want to create long -term sustainability of our business . Like I said, we are embarking on a huge tech transformation whi ch both Selva and Kamini will lead and that will need a lot of investments. We are creating a domain -led sales organization that will need a lot of investments and as I have said in the past that for us to build a long -term sustainable business , investments here and now are important. So, I would suspect that in the medium term and the medium term could be a year, year and a half, we will be in that 15 .5% to 16 .5% to 17% range wherever you can call it out , but as our business grows beyond the

billion dollar mark and touches the $1.5 billion mark, you will see margins improving as well because then all the investments will be behind us , but over the next 24 months, we will be in the investment mode.

Mohit Jain : And last is on hiring, like if you have any targets to share because our utilization is already high , so what should we expect in terms of hiring over the next 12 months or 24 or 25?

Angan Guha : You mean the leadership?

Mohit Jain : No, the employee headcount increase?

Angan Guha : Again that is a little bit of a hard number to give because we are adding headcount, even if you see this quarter, we have added headcount, but equally I want to drive a lot of automation and drive a lot of nonlinear revenues. So, headcount may not necessarily associate itself to revenue growth all the time though . Our endeavor will be to drive a lot of automation and try and get revenue on a nonlinear basis, which we will continue to do, but we will continue to add employee s. Now , it is also a manifestation of the kind of deals that we win and the kind of deals

that we are gunning after. So, it is hard to give a number, but I can only tell you for this financial year, we will have a positive headcount ad d.

Mohit Jain : For FY24 , alright?

Angan Guha : FY24, correct, yes.

Moderator : Thank you. N ext question is from the line of Sandeep Shah from Equ irus Securities. Please go ahead.

Sandeep Shah : In terms of after winning the $100 million deal that you took from an existing account and displacing the tier 1 vendor , is it fair to say this can replicate in most of the other existing accounts ? So, my question is , how’s our large deal set up? I am not asking to close $100 million deal each quarter, but is there a set target to have a deal closure about 10, 15 million for the quarter because that will set the growth profile in the medium -to-longer term?

Angan Guha : So, Sandeep, that again is a great question and thank you for asking that. Look, we are winning lot of $5, $10, $15 million deals. That i s our run rate and even this quarter outside of the large deal, we have still won about $140 -$150 million worth of run rate deals. So, that is now par for course as far as Bi rlasoft is concerned. Obviously , as a management team, we are gearing ourselves to close larger and larger deal s, but that doesn't mean that we will not focus on smaller deals because by nature smaller deals are more profitable . And with Selva coming on board and our company now being able to attract great talent , I am also very confident that if we pick up large deals, we will be able to execute those large deals and execute them profitably. So, I am very bullish around this, but you are right, we will still focus on a ru n rate basis on winning more $10-$20 million deals. Now if you look at our funnel profile, our funnel profile is ever increasing . Even after closing a very large deal this quarter, our funnel is back up to one of our highest levels and that consists of lot of small and medium sized deals which we will be focused on. But like I have always said Sandeep, we will have very superior focus on execution because if we can get execution right of large deals , then I am very certain that customers will trust us with more and more large deals going forward.

Sandeep Shah : And just to follow up, it i s a great execution on large deal as well as client mining . Is it a result of changing the variable incentive program and if yes, can you share what has been changed now versus what the structure was earlier?

Angan Guha : Sandeep, I think I have said this earlier also. One of the big changes that we have made is we are now compensating our people on both profitability as well as revenue . Earlier , it was only revenue. Now , we have brought in the profitability angle and I think that is important. We also have h

unting commission, which is very attractive and the hunting commission , if a leader opens a new account, is quite attractive and we will follow through on that, but more importantly, we are paying people for performance. We have a LTI plan that Arun, our CHRO , has institutional ized on meeting our long -term goals. So, there is a short -term goal and there is a long-term goal. For s hort-term goal is the bonus and for the long -term goal is the L TI, and LTI can be a combination of cash LTI plus ESOP s plus stocks or whatever. So, we kind of pivoted to a more performance -based compensation culture than rather than a fixed base compensation culture and like I said, as we go ahead and open newer and newer accounts , our i ncentive will be tuned to take care of hunting commissions as well.

Moderator : Thank you. Next question is from the line of Abhishek Shindad Kr from InCred Capital. Please go ahead.

Abhishek Shindadkr : My first question is regarding Q3, you said Q3 will be muted due to f urloughs, s o do you expect a loss of revenue due to furloughs that could bounce back in Q4, would Q4 be more as business as usual and that is first ? The second is this quarter digital and cloud service lines saw strong growth both sequentially and year-on-year, m aybe any color could be helpful ? And the third question is, if I look at the growth of top 5, 6 to 10 and 11 to 20 and also compare that with the client metrics for $1 million, $ 5 million and $10 million , the number of clients in those buckets , we have seen a decline in the buckets across the large clients, but the growth is very strong , so how should we read these two data points?

Angan Guha : Let me take the first question first . Look Q3, we all know is a short quarter and on top of that there are furloughs . As you know it is very hard for anybody to kind of comment in terms of where the revenue will exactly lie , but our commitment, as I have always said to all of you is we as a management team will be very focused on execution. We will be focused on execution , we will be focused on serving our clients, w e will be focused on finding newer and newer deals and large deals . That is our job and we will continue to do it . Now , where the revenues will fall , we will see , we can't give a guidance , we don't give a guidance , so I can't e xactly tell you where our revenues will be, but in Q4 we will be back to business as usual. You have seen our performance in Q4, 1Q and now 2Q and I think 4Q again of this year will be back at that level , but obviously it will depend upon how we execute in Q3, which is why the execution in Q3 is important, s o that is number two. Number three, you must also appreciate that today we don't know what we don't know, the situation in the market is very volatile. So, it is very hard for me to give even a two quarter s out view , but what I am feeling good about is our pipeline, our execution rigor and the fact that the customers are willing to talk to us on largish deals and that gives me the confidence that going forward, I think the situation will only improve for us as we look at the real medium term to the long term . But in the short term because of the quarter we will have issues . Now , on the account s, you must also appreciate that in the large account s we had Invacare last year . We don't have Invacare this year and that makes a big difference, because that shows one large account going away . But I can only tell you that the overall set of the top 10 and top 20 accounts as we call it today have all shown very good solid execution led growth.

Abhishek Shindadkr : And if you can just comment on the service line s, is it Microsoft driven because last quarter we talked about a lot about Microsoft ? So I am just trying to curious to know the growth in the digital and the cloud service line ?

Angan Guha : Yes, Microsoft is a large part of our business that continues to show solid growth. I can't give you exact numbers because we don't report numbers like that, but from our own service line s perspective, like I said, Digital has shown great growth, our Infrastructure business is a growing business. The reason you don't see it show up in Infrastructure and ERP service lines growth metrics is because it has the hangover of Invacare . But if you take Invacare out, both of them have grown well. Our Data & Analytics business is also showing signs of revival, s o all service lines have grown reasonably and I am pretty confident that going forward all the service lines will do well.

Kamini Shah : And Angan , if I may add to that also, I think our Infrastructure business has been growing at the company average of growth that we have seen and ERP has been in the range of about 1%. So, I think we are confident that the other service lines will also start picking up from a growth standpoint.

Moderator : Thank you. We have Sandeep Shah back in the queue. Sandeep, please go ahead and complete with your question.

Sandeep Shah : My question was just bookkeeping on the third quarter . You did mention that it would be a soft quarter because of furloughs , but because of strong execution, is it fair to say we can be at least in a positive growth trajectory?

Angan Guha : Sandeep, that is hard for me to comment, and we don't give guidance. So, I will not be able to answer that question specifically , but there are, I was telling the other folks on the call, two things that I can commit to you . We will continue to focus on execution and execution is something that is table stakes at the Birlasoft now and we will continue to focus on that , that’s one. We will continue to serve our customers well and we will continue to win more and more deals. Now exactly where the revenue falls, we will see and it also, like you rightly pointed out,

has a bearing on margins . And if we can execute well, I am sure we can do well on margins as well. But Sandeep, I will really request you to focus on a little bit of a longer term . Q3 is a seasonally weak quarter for the industry and for everybody , and we are no different. So, the muted growth that I talked about will continue in
Q3, b ut while you were away, I was telling the other folks on the call that if we have a strong execution quarter in Q3, then by Q4 we will be back on the kind of performance that we have delivered i n the first three quarters .
Sandeep Shah : And in terms of margins in 3Q, we will have two months of additional wage hikes , we will have furloughs, may have this large deal transition cost because you said it may take 6 months before it starts ramping up from April, i s it fair to assume directionally margin may decline in Q3 a nd then there could be a strong bounce back in the fourth quarter and from there we can actually lift the margin further ?
Angan Guha : So, Sandeep, while you were away, I was also telling the team a couple of data points. So, one's on our long -term goal . And again, I can't comment on Q3 specifically, but our long -term goal is

to keep the margin within the band of 15.5 % to 16.5 % to 17% EBITDA , in that range. That doesn't mean we will not make more money , we will definitely make more money, but we will reinvest that money into our business . We are building our business, which is more domain - oriented, and we are also embarking on a huge tech transformation within our company which will have great benefits in the long term. So, I don't want to kind of be penny wise and pound foolish . I want to invest in the business because we are h ere to create a business for the next decade. So, my suggestion and my request is , look at us f rom a medium to long -term perspective instea

d of a quarter -on-quarter p erspective , but in the medium term , I can only commit that we will maintain the margins in that 15.5 % to 16.5 % to 17% range.
Sandeep Shah : And last question Angan , is there any client specific issue outside Invacare in any of the accounts ?
Angan Guha : No, we don't have any client specific issue outside of Invacare , but again Sandeep, it is a very difficult world. We don't know who file s for bankruptcy when , but I speak to clients every day and as far as we know, all of our clients are healthy. They are doing well and we are serving our clients well.
Moderator : Thank you. Next question is from line of Jyoti Singh from Arihant Capital. Please go ahead.
Jyoti Singh : Sir, my question is following up on the earlier participants about the furloughs , will it be quite high compared to last year Q3 or it will remain consistent?
Angan Guha : Thank you for asking that question. That is an important question. Look, our BF SI business is only growing as you see and I a m sure you know this already that the majority of the furloughs happen in the financial services space and as our BFSI business grows, our furloughs obviously will grow. So, to your question, our furloughs will be more than last year only because the BFSI businesses are growing . But look, the kind of work that we are doing and with the clients that we are doing are very st rong. They are big names and we are executing very well for them. So, even if the furloughs hit us, it is only a temporary thing which is why I keep saying that we will focus on execution and we will see where we land in Q3. But Q4 obviously will be a much better quarter.
Jyoti Singh : And sir, another question is that like earlier last quarter we had discussed that we will be focusing more on the Banking side as we have more deployment on Insurance , so any update on that you can discuss with us?
Angan Guha : Sure, Jyoti, so which is why you see in our results , our BFSI business is continuing to grow. It is showing strong growth, and we are investing in that business and I continue to see BFSI doing well, but again, in Q3 because of the furloughs and shorter quarter, you may see an impact on BFSI . But overall, I am very bullish on BFSI and you will see much more growth from us going forward.

Jyoti Singh : And sir, last question from my side, do we have any plan in place for a potential acquisition that's in the cards or in discussion?
Angan Guha : We don't have any acquisition discussion going on currently. We are not even looking at it a nd I think I was telling some other participants that we will focus on organic growth immediately for a couple of more quarters , we will look at strengthening our balance sheet, generating more cash and then when the time is right and we get the right asse t, we will do an acquisition . We will never do an acquisition for revenue aggregation , that we do not want to do. We will only acquire a company which w e find is a strategic fit for us, will build some capability for us either

on the domain or the technology side and is culturally aligned to our culture . If we find a n asset like that, we will definitely look at it at that point in time.

Moderator : Thank you. Next question is from the line of Chirag K from As hika Institutional Equities. Please go ahead.

Chirag K: Sir, I have o ne question on the furlough side. You mentioned that the growth on Q2 would be muted in Q3, so wh ile it will bounce back in Q4, will the trajectory remain intact like what we have experienced in the past 3 quarters ? Or is it that, due to the impact of the annual budget revision , investment s, market and the incremental flow , growth will come ? And second, on large deal pipeline side, are there any other engagements similar to what we have experienced during the quarter of $100 million plus kind of TCV in

the pipeline ? Will we witness some more announcement s going forward ?

Angan Guha : First of all, in Q4 we will definitely do better than Q3. I can't say what Q3 will be, but Q4 will be better than Q3. What we have experienced in the past is something that we will gun for, w e will attempt to get and it is too hard for me to say one quarter out only because the market situation is so volatile . Our endeavor will be to deliver sustainable growth as we have delivered in 4Q, 1Q and 2Q, that's number one. Number two, our large deal pipeline is only increasing . Do we have more $100 million deals in the pipeline? Well , yes, we do have $100 million deals in the pipeline . Will it close in our favor or whether it will close in the next couple of quarters? Again, very hard for me to say , Chirag because it i s a manifestation of what the client wants to do. But I can only tell you, and I have said this so many times before , that as a team we will be focused on our execution, our rigor on serving clients, closing deals and helping our clients in their transformation journey.

Chirag K: And just one follow up on the first question , what do you think about FY25 , situation will revert and we move to optimistic scenario than what we have seen in the FY23 or FY24 also ? Your guidance or any comment would be helpful ?

Angan Guha : I don't know , in today's market , as you know it is hard to comment on two quarters out , so commenting on FY25 is very tough. I can only say that based on what I can see today, it will all depend upon how things shape up in our client s' space . So, we are staying very close to our

clients . As you rightly pointed out, the budgeting exercise happens in January -February and March and we will have more color for FY25 only then.

Moderator : Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Mr. Angan Guha , CEO and MD , Birlasoft for closing comments.

Angan Guha : Thank you. First of all , I would like to thank all of you once again for joining us on this call today and for your insightful questions. I really appreciate your interest in Birla soft. We have had a very good first half of the financial year as you have seen, w e have grown our business and the growth has been profitable. Our fundamentals are very solid and we have a well incentivized team that is building a client centric organization that can take us to the next phase of our growth journey . Despite the challenges that our industry is facing, we will continue to be focused on execution. I look forward to speaking with you once again next quarter. Meanwhile, if you have any further questions, please feel free to reach out to Abhinandan for any clarification or feedback. Thank you once again and talk to you very soon. Thank you.

Moderator : Thank you very much. On behalf of Birlasoft Limited, that concludes this conference. Thank you for joining us. You may now d isconnect your lines. Thank you.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Glob al Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Feb 2024

February 1, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
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Mumbai – 400001.

Scrip ID: BSOFT
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Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
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Bandra - Kurla Complex, Bandra (E),
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Symbol: BSOFT
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Kind Attn: The Manager,
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Subject: - Transcript of Earnings Call held on January 24, 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on January 24, 2024 .

The same is also available on the Company’s website at the link https://www.birlasoft.com/company/investors/policies- reports -filings# , under the head – Quarterly Reports ■ Earnings Call ■ Transcript .

Kindly take the same on record.

Thanking you .
Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No.: ACS 9678

Birlasoft Limited Q3 FY24 Earnings Conference Call

5.30pm IST, 24 January 2024

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Mod erator : Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Post Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh, Head – Investor Relations, Birlasoft. Thank you, and over to you, sir.
Abhinandan Singh : Thank you and welcome, folks. By now, you would have seen our Q3 results. Those are also available on our website www.birlasoft.com.
Joining on this call today with me are our CEO and MD Mr. Angan Guha , and our CFO Ms. Kamini Shah. We will begin the call today as usual, with opening remarks from both Angan and Kamini. But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement and therefore that must be heard or read in conjunction with the disclaimer that appears in our Q3 FY24 investor update, which has already been sent to you and is also uploaded on our website as well as filed with the stock exchanges .
With that, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you, Angan.
Angan Guha : Thank you, Abhi. So good evening and good morning to everyone wherever you are. And I take this opportunity to wish all of you a Happy New Year. Thank you for joining us today as we share some perspectives on our Q3 FY '24 performance.
Before I get into a discussion on our quarterly results, I would like to take a moment to note that this quarter also marks the completion of 1 year for me as the company's CEO. And it has been a very rewarding year in every way. I want to express my deepest gratitude to our Board, each member of the team Birlasoft, our customers and partners and, of course, all of you for your trust and support.
I would also like to take this opportunity to welcome Manjunath Kygonahally , or Manju as we call him, who recently joined our leadership team as the Chief Executive Officer for the Rest of the World (ROW) region. The ROW region comprises of all geographies outside the Americas. It includes Europe, U.K., Asia Pacific, including India. The Americas, as you already know, is led by Mr. Roop Singh, who serves us as the CEO for the Americas region.
Manju is a seasoned tech services industry professional and possesses an exceptional leadership record, with a unique knack of fostering and lasting client’s relationship and have successfully guided large -scale digital transformation programs for customers. Over his 25 -year tenure,

Manju has served at multiple leadership positions where he has conceptualized and spearheaded numerous strategic programs across various business units.
Prior to joining us, Manju h eld a leadership position in a Tier 1 tech services firm with P&L ownership and client relationship and management responsibilities. He will be based in our

London office. Together as a team, we are committed to transforming our company to become sharply focused on select verticals and service lines , and to cultur ally become more nimble and execution -oriented.
Now let me come to our Q3 results. I trust that all of you have seen our Q3 results and we are very pleased to report a strong and well -rounded operating performance. We have delivered robustly on each of the key fronts, whether it is growth , whether it's margins, cash flows and deal wins during Q3.
Our revenue for the quarter grew at 1.8% in constant currency terms and 1.9% in dollar terms. This is Q-o-Q growth , to reach a figure of $

161.3 million. And as you know, this is a seasonally soft quarter. The growth performance also comes on the back of a very strong Q2 performance.
In rupee terms, our revenues for the quarter increased to Rs 1,343 crore, a growth of 2.5% quarter -on-quarter and almost 10% year -on-year.
We have recorded an expansion in our EBITDA margin, which now stands at 16%. We delivered this margin performance even after absorbing a large part of the organization -wide compensation hike and pro motions that became effective from the 1st of September 2023. So while we had 1 month of impact of that in Q2, we took the full impact of the wage hike and that is reflected in Q3.
Our PAT performance has also been strong. We delivered 11% Q -o-Q increase in our profit after tax, taking the figure to Rs 161 crore. I would like to call out that this is for the first time in our history, we have crossed the Rs 150 crore net profit mark. In addition to that, we have also seen our cash flows and cash balances improve. These continuous improvements are a outcome of both operating leverage as well as our sustained push to enhance our operational efficiencies.
Our deal wins in Q3 have also been very encouraging. As all of you know, it’s a short quarter. And even though it was a short quarter, we were able to deliver total signings of a total contract value of $218 million.
Now coming to some operating performance. Our robust operating performance through the course of this financial year reflects our sustained execution of multiple sales and efficiency initiatives. Once such initiative, Optimus, is an internal tech transform ation program that we rolled out across Birlasoft a few months ago. We have undertaken this initiative to scale ourselves as we pursue the next generation organization capability.
As part of Optimus, we are focusing on the next wave of profitable growth, industrializing our delivery, becoming a partner of choice in emerging technologies, enhancing our employee experience, and building a best -in-class talent pool. When Kamini talks about the detailed performance, she will touch upon the Optimus program in a little bit more detail.
So in conclusion, our strategy of leveraging our strength and retaining and mining existing accounts has been playing out very well. And this is visible in our deal flows as well as our top account growth. Our total TCV for the first 9 months of FY '24 is 9% higher than the total TCV during the same period in FY '23. Our effort is to wrap up Q4 with sequentially higher deal s TCV signings, and that will position us very well for the next fiscal.

However, I would also like to state that there has not been any material change in the macroeconomic environment as compared to a quarter or two ago . So, we see our customers optimizing their spend. The deal sizes are getting smaller and the customers are very cautiously optimistic when it comes to their spend.
In the immediate term, because we were able to offset the impact of the furloughs in Q3 with some short -term projects , that will also reflect in any bounce back in the fourth quarter that one usually expect s. We believe that our focus on actively driving and creating proactive deals , on execution , and on capability building will enable the next phase of our growth journey.
As we have said before, we continue to remain very focused on execution as we go forward, and we will obviously take one quarter at a time.
At this point, I would request Kamini, our CFO, to share her perspectives on the quarter.
Kamini Shah: Thank you, Angan. A very good day to all of you. I would like to wish you a very Happy New

Year and thank you very much for joining our call. Let me take you through the financial highlights for the third quarter of the current financial year. As you would have seen, we have reported revenues of $161.3 million for Q3 '24, w

hich is a growth of 1.9% quarter -on-quarter in dollar terms.

On a constant currency basis, the same growth translates to about 1.8%. This strong growth in a seasonally weak quarter has been driven by ramp -ups as well as our attempt s to pursue and execute short -term projects and change request s in order to partially offset the impact of furloughs during the quarter.

Hence our operating performance for this quarter does not reflect the full extent of headwinds from furloughs as normally is expected. We've also sustained our account mining efforts during the quarter, resulting in growth across our key accounts with our top accounts growing at 3.2% quarter -on-quarter.

Amongst the verticals, Energy & Utilities has delivered the highest growth and has been up 7.9% due to new deal ramp -ups. Both Manufacturing and Life sciences have grown at 1.7% and 1.3% quarter -on-quarter. BFSI as a vertical tends to be relatively more affected by furloughs and hence it has registered a quarter -on-quarter decline of 0.7% .

As far as our service lines are concerned, we have seen growth across across all of them although that has largely been driven by Infrastructure , which was up by 9.6% quarter -on-quarter. Digital & Cloud was up 2.1% quarter -on-quarter, reflecting ramp up in a few new cloud deals as well as some one-time revenues. The ERP service line continue d its sequential growth trajectory in Q3 and has been up 0.5%, whereas Data & Analytics has recorded a growth of 1.1% sequentially.

I now move on to our margin performance. EBITDA for the quarter stood at $25.7 million versus 25 million in last quarter, which translates to a 16% EBITDA margin, which is a marginal expansion of about 20 basis points quarter -on-quarter. Angan has already touched upon the fact that we have absorbe d the impact of two incremental months of wage hike during the quarter under review , and this has been achieved despite that .

A lot of operational efficiencies and better utilization and the benefits of the project work and change requests enabled us to maintain our margin performance.

Our Other Income has shown an increase quarter -on-quarter. About 1.5 million of that has been on account of restatement of forex, on account of branch results. As a result, our PAT for the quarter has increased to $19.3 million. This is up 10.4% quarter -on-quarter, translating to a PAT margin of about 12%.

I will now briefly touch upon some of the key balance sheet items. We have seen a sequential improvement in our quarterly collection during Q3 resulting in DSO at 51 days. This is the best DSO level that we have seen in the last eight quarters, and sustained strong collections are also a testimony to our execution and delivery capabilities.

Our operating cash flow during Q3 has been at about 141% of our EBITDA. As a result, our cash and bank balances have increased by 17% quarter -on-quarter to $203 million.

Before I conclude, I would like to elaborate a little bit on our tech transformation initiative Optimus that Angan had earlier alluded to. Over the past few months, we have been undertaking multiple operational efficiency initiatives while also making the investments which are necessary to drive growth in our business. Opti mus, which was conceptualized and rolled out earlier during the current financial year, simplifies and scales our processes, emphasizing automation at the core.

So this program is aimed at enhancing workflows to simplify processes, cashless operations, persona -driven dashboards, data insights and decision intelligence. This, therefore, in essence is both a business and technology transformation initiative that strengthens our foundation for scaling and efficiently running our businesses, showcasing possibilities to our customers, and bringing operations and strategy closer together.

With that, I would like to h

and back to Abhi.

Abhinandan Singh: Thank you, Kamini. Mode rator, can you please start with the question -and-answer session?

Moderator: Sure. Thank you very much. The first question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thank you, and c ongrats on a really good quarter. I wanted to ask about the onsite revenue proportion reducing. Is that something that was impacted by furloughs or holidays, leave, etcetera taken more on -site or is this an operational shift that will endure?

Angan Guha: So Ravi, from a furlough perspective, we saw some amount of furlough coming up on -site, in the on -site work that we deliver, but we also saw furloughs offshore. And specifically in a

segment like BFSI, we saw furloughs. But we were able to mitigate some of it because of short -
term project work that we were able to pick up as well as the change r equest that we will be able
to drive from customers. But definitely, we got impacted by furloughs. Kamini?

Kamini Shah: Yes. And Ravi, the only thing I would like to add is that some of our new ramp -ups have actually happened offshore, which has also resulted in the marginal shift that you are seeing between on - site and offshore.

Ravi Menon: Thank you. Appreciate that. And it looks like the new deals are also more fixed price in nature because I see the fixed execution is also going up. So could you give us a little bit of sense of what sort of projects these are in specific areas, large programs where you're seeing traction?

Angan Guha: Our fixed price portion of the overall business is definitely going up. We are able to work with our customers to deliver work, which is more repeatable in nature, which is why you will see a little bit of more traction on the annuity business side. But loo k, as we mature our relationship with our clients and as we do more digital work as well as more AI work, the kind of work that we do and the kind of commercial model s that we work with for our clients, will essentially vary from client to client. Our anticipation is it would most likely be T &M as we deliver more AI work for our clients , but the repeatable work will be more Fixed Price .

Ravi Menon: Thank you. I appreciate. And one last thing on the SAP HANA, I know that you guys have a strong SAP practice. So is that deadline for HANA transformations or change into HANA , is that giving you some traction in the market?

Angan Guha: It is. And I think that's a big opportunity for us. I mean, we have -- like I have said in the last quarter as well, we have a new leader who leads our ERP practice right now. And our relationship with not only SAP, but the other partners are also improvin g. And I think that will represent a big opportunity for us over the next couple of years, Ravi.

Ravi Menon: Thank you so much. Best of luck.

Moderator: Thank you. The next question is from the line of Abhishek Bhandari from Nomura. Please go ahead.

Abhishek Bhandari: Angan , congrats on a good quarter. I had a few questions. First is, despite the furlough headwind, you were able to grow -- pretty strong growth in Q3. So should we think that now from here on, the growth to accelerate in Q4 and the rest of fiscal '25?

Angan Guha: Fiscal '25 is a little hard for us to comment on, Abhishek, because the macroeconomic situation has not really changed, right? It is still quite challenging, and we have to take one quarter at the time. I think the team has done an incredible job on execution in Q3. We were pleased with how we were able to kind of mitigate furloughs with a lot of short -term projects, a lot of change requests, like Kamini spoke about earlier, and that enabled us to deliver some solid results. Now , how will Q4 look like or how will FY25 look like is hard for us to say. And as you know, we don't really give guidance. Our commitment to all of y

ou is that we will be focused on execution, and we will take one quarter at a time.

Abhishek Bhandari: Sure. Thanks for that Angan. And then second and last question is, is your senior leadership hiring largely done? Or are there any roles left to be filled? And two, with all the senior

leadership being done in place, is there any material impact on the costs, what we should be thinking about from a forward perspective?

Angan Guha: So Abhishek, first of all, at the senior most levels, all the hiring is done. I mean, we will, of course, hire for some strategic roles like the Chief Strategy Officer, etcetera, but that is one or two other senior leader hires. But apart from that, whether i t's our vertical heads, whether it's our service line heads, our client partners who manage some of our largest relationships, the CXOs are all hired.

But remember, Abhishek, that we need to continue to do our investments, like I have said, in technology , in the transformation that we have embarked on, we will do investments there. We will do investments in our domain capability. I still think that we have got a long way to go in building out world -class domain capability, and we need to do a lot of investmen ts on that side. So one is the people hiring, which is important, but we must also understand that we are investing not only in people but processes, tools, technology. So that we know we can deliver growth over a period of time and not just quarter -on-quarter.

And Abhishek, I've always said this, and let me repeat this again, that we are building the business for the next decade, not only for the next quarter. So we will continue with our

investment phase over the next few quarters or even few years even.
Abhishek Bhandari: Got it. Thanks a lot, Angan, and all the best for calendar '24.
Angan Guha: Thanks, Abhishek.
Moderator: Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.
Vibhor Singhal: Thanks for taking my questions and c ongrats on a very solid performance in the seasonally weak quarter. So two questions from my side. One for Angan and one for Kamini after that. So Angan, just wanted to basically understand a bit more on these short -term projects that you mentioned, which helped you tied over the furloughs in this quarter. So if you could just elaborate a bit more about -- I mean the kind of duration of these projects, which specific verticals or service line s these projects were from? And do you believe that this could be your st rategy going forward that would continue , to take on these short -term projects? Or was it just a kind of a one -time effort to tide over the furloughs which we had expected in this quarter?
Angan Guha: So, Vibhor, let me first take this question, and then maybe I'll ask Kamini to take your next question because I think that was for Kamini. So look, from our perspective, we have a clear laid out strategy to min e our accounts and essentially work with lesser number of clients but do meaningful work with our clients and grow our clients over time. And as we start doing that, what we've realized is the clients trust us to even execute programs that could be short term. Now the short -term program, it's a little hard to say , could be six months, it could be nine months, it could be a year or whatever. But I think we are now getting into a situation where it will be a sustained strategy for us. Customers trust us to deliver those programs for us. And it is also a

manifestation of the fact that customers are willing to work with us on their change requests, if they have any. So I think it's a combination of the ability of us to take some programs and deliver it in a short period of time, which are very time bound.
But equally, our ability to work with our customers

from a change request perspective, which
adds a lot of value not only from a revenue, but from a margin standpoint. So hard to say what is the timeframe because that varies from customer to customer. But will it be a strategy for us going forward? Absolutely. And as we scale up our accounts, you will see a lot more traction around short -term projects as well. And so your second question for Kamini, that was…?
Vibhor Singhal: So before that, if I could just have a follow -up on the short -term projects. So as you mentioned, it's going to be a strategy for us going forward. Now assuming these projects are also captured in our deal flow numbers, so would that mean that our deal flo w numbers could be a bit volatile, because these short -term projects would not be recurring every time. There could be some more in one quarter and a few less in some other quarters. So would that be -- I mean, of course, it's just on a con tinuity basis that I'm asking. So would that be lending some volatility to our deal flow numbers?
Angan Guha: No. So Vibhor, you must stop looking at it from that perspective. Look, we have a steady business, the annuity business that we run with our clients. We also are working with our clients on their debt transformation work, on their digital transformation wo rk. So that kind of work continues. The short -term projects are -- if a customer wants help in executing a particular program, which is very important for the customer, we jump in and help them execute the program.
Now that's going to happen every quarter. And it would vary from customer to customer. Maybe there is one quarter where some of our manufacturing customers want help with that, and we will be able to step in and do that. And in certain quarters, even finan cial services customers would come and help us.
So I can't really comment on volatility from a future quarter perspective. But all I'm saying is we are very pleased with this because for the first time in our history, customers are actually working with us to do the short -term projects, which also tells us -- tells you rather that we are going up the value chain with our customers.
Vibhor Singhal: Got it. Perfect. I think that's a great -- thanks for this explanation. My second question for Kamini. I think in this quarter, we've seen margins being very strong despite two months of wage hike. And I think one of the reasons probably is that our utilization already is at around 87%. So basically, do you believe that the lev ers that we would have, let's say, for further margin expansions are pretty much exhausted? And going forward, we could probably have margins stabilizing at current le vels? Or do you believe there are some still left up your sleeve, which can probably lead to potential margin expansion over the next few quarters, not as a specific timeframe, but over the, let's say, medium to long term?
Kamini Shah: So, Vibhor, you're absolutely right. I think we have really stretched our utilization quite a bit, as you can see at 87% and the other operational levers. So I think a lot of the initial bits have already

been taken. While we will still continue to find opportunities, I don't think we have so much of a difference that you would see from a margin standpoint. As Angan mentioned earlier, we will continue to invest back into our business. In addition to all tha t Angan spoke about, we will also be investing in the Rest of the World business with Manju coming on board. So I would think that you should probably expect it to be stable at this level.

Vibhor Singhal: Got it. Thank you so much for taking my questions and wish you guys all the best.

Kamini Shah: Thank you very much.

Moderator: Thank you. The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Just two questions, both related to revenue. One is -- did you guys mention in the opening remarks that there's some one -time revenue, which has come in this quarter? And therefore, growth should be a little less compared to what would be the case usually?

Angan Guha: Yes, so Mohit, like I was explaining in the earlier conversation with Vibhor, the one -time revenue is more to do with the projects that we are delivering for our clients. So you should not look at it as one -time, it is more about project -led revenue that we have been able to get. But apart from that, we were also able to drive a lot of CRs, change requests , with our customers and that has helped us not only on the margin side but also on the revenue side.

Now whether these change requests will continue in Q4, the onetime revenue, which is really project revenue , whether that will continue in Q4 or not, it's hard to say. But I can only tell you that now, like I was telling to Vibhor earlier, our customers are now willing to work with us on specific projects where they believe that we can add a lot of value.

Mohit Jain: So they are not really onetime, but we should say that possibly it is part of our strategy and we have to see how these change requests happen in Q4, right?

Angan Guha: That is correct, which is why I told Vibhor also, Mohit that, it is not one time . It is more project -driven work. So -- and it will be a part of our strategy going forward.

Mohit Jain: Right. And second was on the slight TCV decline on a Y -o-Y basis. What will you attribute this to? I'm looking at next year. And then your comment on Q4 being slightly higher. I thought Q4 is seasonally very strong for us when we look at total TCV.

Angan Guha: It's a great question, Mohit. Signings o r TCV, as we call it, also depends upon the clients or kinds of clients that you serve and whether the clients take a decision in a particular quarter or not. All I can tell you is we have not lost a single deal. Our pipeline is only improving. And if you l ook at our 9 -month performance, our signing s are about 10% higher than the corresponding 9 months in FY '23. So I think we are only improving.

I agree with you and I take your point that for this particular quarter, which is a short quarter, we had a little bit of a decline in signings. But I'm not so worried about that, Mohit, this is only because the deals are getting pushed out. And as you kno w, the macroeconomic situation is

where it is. And we are looking at it very closely. But we've not lost deals and our pipeline is improving, which is very pleasing for us.

Mohit Jain: Got it. And on 4Q being slightly higher ? Because last year, we did very well on the TCV front in 4Q. So should we expect some Y -o-Y growth? Or do you think it will be very similar to third quarter?

Angan Guha: Again, hard to say. See, because unlike revenues, Mohit, signings is a manifestation of whether the client is going to sign in that particular quarter or push it out to the next quarter. So I don't think signings can be compared the way you're comparing it . I know traditionally Y -o-Y, we need to show some growth. So we will see. I can only tell you that our pipeline is strong. We will work with our customers to help them in their transformation journey. And our endeavour will be to sign as much as we can. I mean , that's all I can say. Now whether it will be far better, a little better, compared to 3Q or last year 4Q, I can't say at this point in time, Mohit.

Mohit Jain: And last year on margins, earlier we were of the view that potentially our margins should go up, this is from a longer -term perspective , more towards 2 years to 3 years perspective. But right now, we are seeing that we should be at 16% more or less, and then we have to see how things progress. Is that the right?

Angan Guha: Yes. And Mohit, you must look at it from a perspective in terms of what we are building for the long term

. Margin is one way to look at it. But the other way to look at it is what investments are we making to build up our capabilities, to build up our domain, to build up our front -end teams which will go and mine accounts. So like Kamini suggested , our endeavour will be to keep margins in a narrow band. But you must also look at it in conjunction with the fact that we will invest a lot more in our business. So that we can build for the long term .

Mohit Jain: So band can be considered like 16% to 17%? Or will that band...

Angan Guha: Hard to say. Hard to say. We will focus on execution, Mohit, for sure. Our endeavour will be to keep it in a very, very narrow band as we continue to invest in our business.

Mohit Jain: Perfect. Thank you and all the best.

Angan Guha: Thank you Mohit.

Moderator: Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Thank you for the opportunity . And c ongratulations Angan for the splendid performance. I had a couple of clarification questions. First question essentially is with regards to our client metrics. If you look at our total client base that has been coming more for the course of last 12 months since you joined. So just wanted to understand where are we in the journey to essentially cut the long tail of accounts so that we can focus on custom ers who we can mine and grow with? That's question number one.

The second question was for Kamini with regards to our margin performance. Given the significant increase in offshore revenue mix, and I do understand we have given some wage hikes in the current quarter , despite that, our gross margins essentially seem to have come off. So what could have driven that change? And also, if you could talk about the factors that drove the decline in terms of non -manpower expenses?

Angan Guha: So let me talk about the clients first . If you remember, 1 year back when I joined, I clearly laid out a strategy of working with fewer clients but building long -term relationships with clients and mining our clients to get their revenue profile to different bands. And as you know, in our indus try, we can build $10 million clients, $25 million clients, $50 million clients, $75 million clients. So you will be happy to know that our top 20 or even our top 10 and top 20 client list have actually sh own 3.5% growth quarter -on-quarter, which in my mind, has been a solid performance, tells you that our client mining strategy is playing out.

So we obviously want to work with lesser number of clients, which is why we are strategically trying to reduce our tail as much as we can. Now I believe, are we there yet in terms of the number of accounts that we want to serve as we continue to grow our business? I think we are almost there. We may probably cut back another 10 or 15 clients. But I feel that the 250 number -- anywhere between 200 to 250 number is the right number.

But again, this number may vary from time to time or quarter -to-quarter depending upon how we have seen the market and we are keeping a very close eye. But we have very significantly cut our tail over the last 12 months, and that is showing up in the numbe r of clients.

So I'll just make one point on the margins, and then I will hand it over to Kamini. Look, we've been saying it all along that we will continue to invest in our business, right? And in the quarter that has gone by, we have taken 2 months of wage hikes, whi ch is why you are seeing a little bit of a pressure on the gross margin side. But we have been able to execute very well. Kamini also mentioned that our hit was almost 1.5%. And because of the strong execution that has been done by our teams, we have been able to mitigate all of that . So you must look at it from that conjuncture. On the people cost, I will ask Kamini to comment.

Kamini Shah: So Man

ik, I think, Angan has covered that to an extent, if there is an increase as far as our people cost is concerned, it ’s largely been because of the wage hike. We have been able to use our bench a lot more effectively. That is how our utilization has gone up. And we have also started moving out a lot of subcontractors and started having our employees do it. So with all the se aspects, our gross margin has been flattish quarter -on-quarter. And I think that is the endeavour that we will continue as we go forward, while continuing our investments. That we spoke about earlier, whether it is domain or it is in building our leader ship or it is in terms of the Rest of the World (ROW) organization and asset transformation. So we will continue with that.

Manik Taneja: Sure. If I can get in one more question. In the recent past, you have spoken about the SAP upgrade cycle essentially being beneficial to our business that you could talk about what are you seeing on that front? And how should we be thinking about growth in the segment over the next 18, 24 months?

Angan Guha: We are pretty pleased with our performance around the ERP side. I mean, I will not just comment on SAP but in general, ERP in our bucket . You have seen even in this quarter, which was a short quarter, our ERP business actually grew by 0.5% quarter -over-quarter. We are feeling very confident. We've got a great leader who runs this space. We have hired a lot of new leaders in this business -- in this unit. And I think there is a great opportunity for us in the market.

Now as far as SAP is concerned, that is clearly an opportunity, whether large companies or mid -tier companies in the United States and in Europe as well as in the U.K., there will be enormous amount of spend going forward in terms of the S/4 HANA movement as customers move from on-prem to cloud. And we will capture our fair share. We cannot obviously talk customer -specific wins or share of business. But suffice to say that this business is seeing a lot of traction. Our pipeline is going up and you will only see this business growing going forward .

Manik Taneja: Sure. And one last one, basically, when we are thinking about a business from a longer -term standpoint and you guys break up your TCV wins between both renewal and new business, while at an overall level TCV growth in 9 months potentially has been extremely strong, it is largely led by the renewal business. So how should we be thinking about medium -term growth rate given the fact that new business continues down on a 9 -month basis?

Angan Guha: It is a great question. So look, first of all, when you look at our renewal business, our renewal business also has a component of new. I mean, we measure our business between existing renewals, existing new, and net new, right? These are the 3 buckets.

If you look at our second bucket, which is existing new, we have been able to add a lot of new revenue from our existing clients. But I buy your point, that there is an opportunity for us to win more net new deals and we are working on it. But equally, we are incredibly pleased about the fact that whether it is our top 10 accounts , top 20 accounts, we ’ve been able to mine and get new business from our existing account s and existing projects and that has shown up in our revenue uptick.

I am thinking that that will be a strategy for us, and we will continue to drive that strategy and look at that very, very closely because that is a good growth engine. As I am sure you know that any time you keep scaling up your account, it also has a direct impact on your margin profile.

Manik Taneja: Sure. All the best for the future.

Angan Guha: Thank you Manik.

Moderator: Thank you. The next question is from the line of Shradha Agrawal from AMSEC. Please go ahead.

Shradha Agrawal: Congrats on another strong quarter. Most of my qu

estions have been answered, just a couple of questions. Firstly, the residual impacts of short -term projects, do you see that things is having some impact in our profit number as well?

Angan Guha: So Shradha, again, when we say short -term projects, you must look at it as project work rather than short -term projects. I mean, short term is just by definition, it would be 6 months, it would

be 1 year, etcetera. I do not see that there is an impact. In fact, I think that is a strategy for our company to kind of work with our clients and our clients want to do short -term work.

And that business, like Kamini also mentioned earlier, would also be quite profitable. So it will be a strategy. It will be something that we will continue to do with our clients. And as we start growing and mining our clients, I think it is a big opportu nity for us to do it. Now obviously, there will be volatility from quarter -to-quarter. I am not so worried about it as long as our overall account size keeps growing.

Shradha Agrawal: And another question is on the segmental margins. When I look at the margins for the E&U vertical, it has come off quite a bit --despite, you have been mentioning that the large deal s ramp up was predominantly offshore. So I just wanted to check why the margins in E &U come down?

Angan Guha: We do not report segment margin from that standpoint. But I will tell you that you must look at margin uptick bas ed on two things. One is the kind of work that we do with our clients and the kind of impact that we can give our clients, right? So the E&U business, as you know, has shown a tremendous uptick in terms of the top line growth. And because of the top line growth and ramp -up of new deals, the kind of work that we do with our E&U clients can help us deliver a tremendous margin impact in a positive direction.

Now whether it's sustainable, not sustainable, hard for us to say. But Shradha, like I keep saying, our commitment to the street is we will be focused on execution. We will play a significant role in our customer's transformation journey, whether it's through project work, whether it's through annuity work. And my strong belief is if we can continue to do that, we will only see upward trajectory, both on revenue and margins.

Shradha Agrawal : Perfect. And then one last question. We've been doing well on client mining for the past few quarters. But if I look at the number of $10 million on account which came down two quarters back from 13 to 11, that number has been -- not moved up despite you being doing very good in top account s. I'm talking about the number of accounts currently in dollar bucket. So we've been doing very well in our top account s mining. But despite that, the $10 million client s number is stable at 11 for the l ast two quarters. So how should we look at the client revenue bucket s?

Angan Guha: I'm not going to be too worried about that, quite frankly, because one way to look at it is whether the 10 plus million clients have declined by maybe one. And there is a -- there's an Invacare situation that was baked in there. So if you -- I were to look like -to-like, maybe there is a difference of one. But I think, Shradha, the better way to look at it would be to see how our top clients have performed. Our top clients have grown. The top 10 clients and even the top 20 clients have actually g rown 3.5% quarter -on-quarter, and we are pretty pleased with that performance. So I will not be too worried about that one number going down overall.

Shradha Agrawal : Right. Thank you so much. And wish you all the best for future.

Angan Guha: Thank you, Shradha.

Moderator: Thank you. The next question is from the line of Sudh eer Guntupalli from Kotak Mahindra. Please go ahead.

Sudh eer Guntupalli: Congrat

ulations on another quarter of great execution. Just one question from my end. Last three, four quarters, we ha ve done quite a few fixes in terms of strategy, leadership, etc. And the benefits of it are already reflecting in our growth performance over the last nine months despite opening balance or some problems like client bankruptcy, etc. So one year down the line , do you think now Birlasoft has all the ingredients to be in the leadership quadrant in terms of mid -cap IT compani es' growth? Or do you think some more fixes are needed or some more time is needed for us to be able to say that with confidence?

Angan Guha: Sudh eer, great question. Absolutely terrific question. I will try and answer the question in two buckets. One is, have we done a lot of investments in the past nine months? Absolutely. I mean, we've hired a lot of leaders. We've built a lot of capabilities. But as you know, this journey never ends. So we will continue to invest. And Kamini also said this, we will continue to invest in our domain. We will continue to invest in our technology capability in terms of people, in terms of training. So there are a lot of investment areas that we need to put mo ney in , including tech transformation of our own operations. So those investments will continue to happen.

Now whether we are in the top quartile of growth or not is a manifestation of not only the investments but also our execution capability. And our execution capability has significantly improved. So I'm quite pleased with what we have been able to do over t he past one year. But am I here saying that everything is done ? I don't think so, far from it. We've got a lot more to do. But we need to really do this so that it's not a one quarter or one year journey, it's really a journey over the next decade, Sudh eer.

Sudh eer Guntupalli: Yes, Angan, I agree that there is always scope for further fixes. What I meant to ask was relatively , on a relative basis versus, let's say, where our mid -cap peers have been in terms of capability, in terms of leadership, mining, etc are you now satisfied enough to feel that possibly we can be in the, let's say, top two, top three companies in terms of growth performance going ahead?

Angan Guha: I think so. I think so, Sudh eer. We are confident that we have built a strong team , I'm at least feeling much more confident than I was feeling one year ago, if that's your question. But look, we still have a long way to go.

Sudh eer Guntupalli: Perfect, Angan. Thank you so much sir. All the best.

Angan Guha: Thank you, Sudh eer.

Moderator: Thank you. The next question is from the line of Sand eep Shah from Equirus Securities. Please go ahead.

Sand eep Shah: Thanks for the opportunity. Just looking at the offshore revenue scale up which has happened in this quarter, a clarification : is it fair to assume the volume growth in this quarter on a QOQ is much higher and material versus the reported growth of 1.8% in CC terms?

Angan Guha: Volume growth for us is a combination of two things, Sand eep. One is , it's a combination of the T&M business and also combination of utilization. Correct? So if you look at our utilization, our utilization is at an all -time high, at 87%. And some of the revenue growth is also happening

because of higher utilization. Now are we happy with the volume growth that we have got? We

are. But is there an opportunity to improve that further? Absolutely, there is an opportunity to improve that further, given the client mining rigor that we have put in.
So I know it's not a straight answer, but I think the big uptick has also happened because of higher utilization.
Sand eep Shah: Okay. And the second question is in terms of the 2Q earnings call, Angan, you clearly said 3Q would be softer because of furloughs but we can see a bounce back of the growth in the fourth quarter. V

ersus that, now your commentary is slightly mixed about the fourth quarter growth pick up. Am I wrong in assuming that? Or do you still believe the growth bounce back could be solid in the fourth quarter versus third quarter?
Angan Guha: I can't give a guidance. And the only reason I can't give a guidance is because the world is very uncertain, right? And Sand eep, I've said this before, even in the 2Q earnings call, I said that we will be sharply focussed on execution. So we will see how the next quarter goes . Q3 was obviously softer than Q2. In Q2, as you would remember, we delivered 3% plus QOQ. Whereas in 3Q, we've delivered about 1.9% -- to round up . 2% QOQ. So, obviously, it was softer because it was a shorter quarter. Now how Q4 pans out, we will see. We are focused on execution. We are working with our clients. And we will try and do our best. That's all I can say at this point in time, that's the view.
Sand eep Shah: Okay. And the update in terms of the larger deal win of the last quarter, where we said the ramp -up will happen from April of the coming year, which is 2024. So any status update, any delay in that ramp up schedule?
Angan Guha: No, we are on schedule as far as the next fiscal is concerned.
Sand eep Shah: Okay. And the last question, Angan, th ese short duration deals , smaller projects, is it that the nature of the deal s is employee ramp -up deals? Or these are slightly like digital kind of deals which are short duration agile base d or which convert faster ? If it's the first one, then why are we want ing to increase that scale of business, which has lower predictability and lead s to volatility in the revenue growth QOQ?
Angan Guha: Sand eep, it's not the former. It's the latter actually. You said it very rightly. We do not want to do people ramp up deals . We want to do deals which are shorter in nature only and only if we can impact our clients' outcome. Otherwise, we are not interested in doing some T&M deals which are people -based deals. The deals that we are talking about is where we actually create an impact for our client s' business outcome s. And that is something we want to proceed to do, because that helps build our domain as well.
Sand eep Shah: And is it fair to say clients are spending on these deals with some amount of green shoots happening on this side of the business , because these deals are not heard through other vendors. You are the only one who is talking about it. Is that part of green shoots on the discretionary short -duration projects?

Angan Guha: No, I don't think that we should make that assumption just yet. Only what I'm saying is, Sand eep, because we are able to serve our customers better and the customers now are beginning to trust our execution capability, they are willing to do deals with us which are more domain orientated. But does that mean that we will get multiple deals like that or big deals like that? It's hard to say. Because the macroeconomic environment has not changed . But I think within the situation that we are in today, because of our understanding of the clients' business or the clients ' domain, we want to definitely capitalize on this, Sand eep. That's all I can say. Now , has this become a big revenue generator for me? May not be. It's hard to say. But can this be a great area for me to learn, for me to get some good revenues and make good money? Absolutely.
Sand eep Shah: Okay. Thanks and all the best and congrats on great execution.
Angan Guha: Thank you, Sand eep.
Moderator: Thank you. The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta : Thanks for the opportunity and c ongrats on a very strong execut ion. Two questions just continuing on th ese short -term project s. So just want to understand the nature of the short -term project s, whether clients pref

er not to commit for longer duration and that's why we are seeing such projects coming to us? Or if you can provide some more color on it? And the sustainability of that trend. Now partly, you touched upon about the relationship and trust when we deal with clients. But still I'm not very clear whether client is not deciding and prefer s to wait for some clarity to emerge and that's why th ese short -term project s or it is the way business works? If you can provide that clarity. Second question is...
Angan Guha: Sorry, Dipesh , let me answer that question first. See, the second part that you mentioned is pretty

right . So it's not that the customer is giving us a short -term project because the customer doesn't have predictability. It is about some amount of business impact we can create by using some technology transformation, and that is where we are playing in. And do not consider short -term project is a one, two-month project. Short -term project could also be a one -year project, right? It is not necess arily one month or two months, it could be one year. But it is still time bound. I would rather call it as a time bound project. So , that's point number one.

Point number two, it is not so much about predictability of their revenue as much as it is their trust in a company like Birlasoft to be able to create that impact . Now I can't give you more details than that because we are bound under NDA s. So we can't talk too much about that. But suffice to say that for the first time in our history, we are playing more on the domain side rather than just on the technology side.

Dipesh Mehta : I understand. And the second question is about Other Expenses. In other expenses, I think we have seen good leverage this quarter. So first is, were there any one -offs in that? And second thing is subcon optimization might have played out. So if you can give some color about how subcon has played out maybe Q -o-Q, Y -o-Y comparison?

Kamini Shah: Dipesh, this is Kamini here. You are right. Our other expenses have shown a decline. I think that's partly because of two reasons that you called out. One is, of course, in terms of subcon

being lower because of the furlough which was there. The second thing is that you also started utilizing more of employees to deliver our project s, moving away a little bit from subcontractors, right? So I think these are probably the reasons that have driven this. Other expenses have also been lower given that it's a short quarter as far as some of our overhead line items are concerned. So I think these are all the factors as to why our other expenses are a little lower this quarter.

Dipesh Mehta : So Kamini, a broader question was, whether this 25 -odd number, let's say, 25% is here to stay, or we expect it to again normalize ? Nine months is the right way to look at it or Q3 is more reflective from a trend per spective ?

Kamini Shah: It's a slightly broader piece, Dipesh, because while some of it would go up, some of that has actually been made up through increase in costs and employee benefits. So I think it will be a combination of both.

Dipesh Mehta : Underst ood. Any quantification you can give for subcon? What percentage of our revenue would be subcon now?

Kamini Shah: We don't actually call out specific numbers but suffice to say that we' re kind of reducing it and making an effort to build in those capabilit ies in-house.

Angan Guha: So Dipesh, let me add to what Kamini said. Look, we had stated a clear strategy right at the start of the year that we will work on reducing our subcon . And we are very focused on reducing our subcon and building capability internally. That's good for the business. So clearly, that has moved on a positive direction. But we will also have to work with certain amount of subcon, which is the need of the hour , if the business needs it. But clea

rly, that will continue to show reduction as we go forwa rd.

Dipesh Mehta : Understand. Thanks.

Angan Guha: Thanks, Dipesh.

Moderator: Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead.

Apurva Prasad: Thanks for taking my question. Angan, do you expect a jump in that EN plus NN bookings in Q4? And I'm asking this basis your comments on the deal pipeline and the new deal flat performance over the nine -month period.

Angan Guha: Apurva, look, our pipeline is strong. I can tell you that much , even from a EN and NN perspective. We have a lot of deals on the table from a EN and NN perspective in our existing clients and our pipeline is strong in net new clients as well. Now whether they will convert in Q4 or not, I cannot say. But our endeavour will continue to be to close as much business as we possibly can and not lose any business to competition. Now because of the macroeconomic headwinds, if clients decide to push out signings, then it is what it is. But like I said, Apurva, our focus will be to maximize signings in 4Q.

Apurva Prasad: Thanks for that. And just finally on -- any comments on the BFSI vertical, Angan, anything in terms of the investments made here and opportunity to target larger tech pools?

Angan Guha: Apurva, great question. We've been very bullish on BFSI, as you know. The last three or four quarters, we've seen growth in BFSI. As you know that October -November -December is a seasonally weak quarter as far as financial services is concerned. There is a lot of furlough. But you must look at our year -on-year growth. Our year -over-year growth still continues to be double digit in BFSI, and we are very bullish on that. I strongly feel that we will bounce back well in 4Q as far as BFSI is concerned. I don't see fundamentally any problem in that business.

Your second question of targeting large budget pools, that have always been our endeavour . We are having a lot of conversations with some big clients, both in Americas as well as the Rest of the World region. But it's a question of converting. Like I said, those pipelines are strong. We will need to close those deals and convert them. And that is what we'll be focused on as far as financial services is concerned. But overall, we are pretty bullish on that segment.

Apurva Prasad: Got it. Thank you. And I wish you all the best.

Angan Guha: Thank you, Apurva.

Moderator: Thank you. The next question is from the line of Abhishek Shindadkr from InCred Capital. Please go ahead.

Abhishek Shindadkr: Congrats on a good quarter and Happy New Year. Just one question. If I look at your commentary about short duration projects and t ie-in with the large energy deal that we have mentioned in the press release. And combine that with the intra revenue growth in this quarter. Is that one of the key reasons for the sharp growth in the quarter?

Angan Guha: So it is a combination of both, Abhishek . Look, our Infrastructure business is doing incredibly well. Our large deal that we closed last quarter, we've not seen a ramp up yet. We will see a ramp up going forward, that could contribute. But again, on the short -term projects, I have clarified this earlier, let me clarify : do not please look at the short -term project s like a time & material, 1 month or 2 months kind of a program. It's proper domain -led work. It could be long -term work like a 1 - or 2-year work, but it's definitive work. Right? It could also be a one quarter work. The point we were trying to make is, in this quarter Q3, which is a short quarter, which is driven by furloughs, some of the short term, like we called it, which would be 6 months' work, 1 year work , has enabled us to kind of ride through the furlough quarter. Now , will it add revenues going forward? We are hoping for it does. We are hoping that this continue

s to be a good revenue generator for us because by nature, this is h igh-margin business. So we're very pleased with this revenue stream and we will continue to focus on it.

Abhishek Shindadkr: Perfect. That's helpful. And just a request, historically, we used to call out subcontracting percentage as a revenue. If you can share that, that would be really helpful.

Angan Guha: So Abhishek, look, I can't comment on it right now. Let me and Kamini think about it. One of the reasons we've gone away from reporting that is because it gives a wrong picture . In a lot of our work, subcontractors may be an essential part of our work for various reasons. Because of

the geographical reasons or the kind of work that we need to do for a short -term basis, for which we would like to continue subcon. Our only commitment to you, Abhishek, would be, that we will continue reducing our subcon going forward, and that is clearly show ing up in our margin profile.

Abhishek Shindadkr: Absolutely. The reason I asked, sir, is because other expenses put together has seen a very sharp improvement as a percentage of revenue. And within that, I think subcontracting gets captured there. So any color would be helpful but not necessarily on th is call, maybe later. Thank you sir.

Angan Guha: Thank you, Abhishek.

Moderator: Thank you. The next question is from the line of Ms. Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh: Congratulations on the impressive set of number s despite a slight decline on the TCV side. That raised my concern ….earlier, you discussed on the earnings call that TCV is going to be better in the upcoming quarter. So sir, if you can explain TCV to me, segment wise . That will be really helpful. And another question on the revenue mix side, earlier, you separately disclosed Europe in the mix. This time, you have not. So if you can comment on that. Thank you.

Angan Guha: On the TCV front, again, segment -wise reporting, we will -- we'll think about it. But look, it is a little hard for us to report segment -wise, because certain deals could be cross segment, cross technology. So a little hard for us to report segment -wise. Bu t look, again, Jyoti, I don't think that's too much of a matter of concern as far as I'm concerned. Our signings have grown 9% year-on-year on a 9 -month basis. That's a strong performance and you must appreciate that the December quarter was a short quarter.

We will try and maximize signings in 4Q and we will see how that goes. And I keep saying that as long as I don't lose any deals , that if the deals are getting pushed out because of client issues, then I'm okay. Then it's not so much of an issue, but we will try and maximize what we can.

What was your second question? Can you repeat that, please?

Jyoti Singh: Yes. Second question was on the revenue mix side . It seems we have not separately disclosed revenue for Europe this time. So could you explain on that front? Or could you tell me how much percent that we are contributing from Europe?
Angan Guha: So Europe, we d id not report. But we report ed what is the revenue from the Rest of the World , and we will continue to report Rest of the World and Americas separately. So Americas still contributed about 85.7% of our overall revenues, and the Rest of the World is about 14.3%. Now within that, how much is Europe, I mean that is -- that I do not th ink we will report. I mean, our policy is to report the Americas and the Rest of the World, Jyoti.
Jyoti Singh: Yes, that is fine, sir. And last question is on the ERP side, which earlier we discussed on the call, on that if you can give us a picture of how much traction we are seeing on that segment?
Angan Guha: We are seeing good traction on that segment. We've turned the corner . This quarter that went by, we delivered 0.5% quarter -on-quarter growth.

We are confident that this business will

continue to grow going forward. We believe that our partnership with all our partners, whether it's JDE, whether it's SAP, has improved, and you will see this in our numbers going forward.
Jyoti Singh: Okay, thanks a lot.
Angan Guha: Thanks Jyoti.
Moderator: Thank you. Management, we the last question coming from line of Mr. Krish Beriwal from Nomura. Please go ahead.
Krish Beriwal: Thanks for taking my question. I just had one question on the Rest of the World part of our business. I understand that it is still very early days, but with Manju joining us, Angan, can you share with us some initial color on how we plan to expand our presence in this geography? And what kind of margin headwind can we expect from this in the initial period?
Angan Guha: Krish, look, Manju has joined us just one week back, right? So we have to give him some time. But what I can commit to you, Krish, is once Manju is ready with his plan, we will come back to you and we will have not only Manju, but both Manju and Roop talk about their regions in terms of what they will do, what customers they will target , what investments they are making. We will continue to invest in the Rest of the Wor ld. That's our commitment, because that's a business that we are very clear that we want to scale up, which is why we are hiring a lot of leadership, and we will continue to invest. So it will not be fair for us to look at margins from a regional perspecti ve, because for the next foreseeable future, Europe will be on an investment phase, not only Europe but Asia too. So I would request you to look at margins at a company level, while we continue to invest in the Rest of the World.
Krish Beriwal: Got it. Got it, sir. That's helpful. And I'll wait for that update. Do you share the number of Fortune 500 or G 2000 clients that we have?
Angan Guha: Sorry, what was that again?
Krish Beriwal: Do you share the number of Fortune 500 or G 2000 clients?
Angan Guha: No, we don't. As a policy, we don't share , Krish, in terms of number of Fortune 500 clients that we work with. But suffice to say, like I've said it in the past, our top 10 and our top 20 clients have grown upwards of 3% quarter -on-quarter.
Krish Beriwal: Got it, sir. Thank you, sir, for that, and best of luck.
Angan Guha: Thank you Krish.
Moderator: Thank you. I would now like to hand the conference over to Mr. Angan Guha, CEO and MD of Birlasoft Limited for closing comments.
Angan Guha: Thank you. I first want to thank all of you for joining the call today and for your questions. I really appreciate your interest in Birlasoft. Over the course of this financial year, Birlasoft has experienced consistent revenue growth, as you all have note d, quarter -after-quarter.

And we've achieved some significant milestones along the way. As we make our way through the final quarter of FY '24, our commitment to you is that we will be very focused on execution. We will continue to build on our customer -centric organization that can take us to the next phase of our growth journey. I would obvi ously look forward to speaking with you again next quarter. But in the meanwhile, if you have any questions or comments, please feel free to reach out to Abhinandan for any clarification or fe edback. So thank you once again and have a good evening.
Moderator: Thank you. On behalf of Birlasoft Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India

CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: May 2024

May 7, 2024

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.

Scrip ID: BSOFT
Scrip Code: 532400

Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.

Symbol: BSOFT
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of Earnings Call held on April 29 , 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on April 29 , 2024 .

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies- reports -filings# , under the head – Quarterly Reports ■ Earnings Call ■ Transcript .

Kindly take the same on record.

Thanking you .
Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No.: ACS 9678

Birlasoft Limited Q4 FY24 Earnings Conference Call

4.30pm IST, 29 April 2024

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR

MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

(1 crore = 10 million)

Mod erator : Ladies and gentlemen, good day, and welcome to the Birlasoft Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh, Head - Investor Relations at Birlasoft. Thank you. Over to you, sir.
Abhinandan Singh : Thank you, and welcome folks. By now, you have received or seen our results. Those are also available on our website, www.birlasoft.com. Joining me on this call today are our CEO & MD Mr. Angan Guha and our CFO Ms. Kamini Shah. We will begin the call today with opening rema rks from both Angan and Kamini.
But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement and therefore that must be heard or read in conjunction with the disclaimer that appears in our fourth quarter and full financial year FY '24 investor update, which has already been sent to you and is also uploaded on our website as well as filed with the stock exchanges.
With that, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you, Angan.
Angan Guha: Thank you, Abhi. Good evening and good morning to everyone wherever you are, and thank you for joining us today where we will share some perspectives on our fourth quarter as well as our full year FY '24 performance.
FY '24 actually marked the first full financial year since I've taken over. And while we've made multiple improvements across our financial and operating parameters, I'm also very encouraged by the actions that we have taken to secure our long -term profita ble growth objectives. This includes building a team that excels at execution and fostering a culture that drives greater accountability and swifter action. It also entails creating or scaling up capabilities that will drive future growth.
An example of that is our early adoption of the opportunities that are emerging out of technologies like Gen AI. We are using our specialized domain expertise within each of our verticals and sub -verticals, and together with our tech capabilities, we are creating offerings that are very relevant for our clients.
With our new leadership firmly onboard in our Rest of the World business, we are also actively exploring opportunities to grow our geographies which is outside of the Americas. I believe that a few years from now, when we look back at FY '24, we will look at it as a year where we laid a solid foundation for both our domain as well as our capability -led expertise as an organization.

Now with that context, let me come to the Q4 performance. So I trust all of you have seen the results. Our quarter 4, we have grown revenues by 1.6% in constant currency and 1.6% in reported currency quarter -over-quarter. On a year -on-year basis, we have g rown our business

10% Y -o-Y. The growth becomes even more emphatic once we recognize that it has come on the back of a very strong Q3, and in the process we have continued to rationalize our tail accounts. This quarter, we have further rationalized our tail accounts and now our active accounts stand at 259 from 272 from a quarter ago and 288 from a year ago , so that we can free up resources and our capabilities to focus on high potential accounts.

Along with the healthy revenue growth, we've also witnessed further expansion in our EBITDA margin. Our EBITDA margin for quarter 4 stands at 16.3%, which is a 31 basis points growth quarter -over-quarter. You may recall a

t the start of the financial year, we have indicated that we would like to exit the year with 1 6% EBITDA margin, and I'm happy to note that we've been able to deliver above that number. You would have also noticed that our PAT, profit after tax, growth quarter -over-quarte r is almost 12%. W e touched INR 180 crore of PAT for the quarter.

Our deal momentum also has been strong. We signed deals worth $240 million TCV, and 45% of this $240 million have come in, in new deals. We've closed two rather significant deals: one in an existing BFSI client and another in a Healthcare client where we are rolling out JDE engagement for our ERP service line. The deal flow trajectory also reflects the shift of customer priorities and longer decision cycles, which I have said even in my previous commentary. The clients are taking longer time for decision -making, but equally our pipeline is at an all -time high.

Now coming to the full year. Full year in terms of rupee terms, we've delivered INR 5,278 crore of revenue for FY '24. It is 12.7% growth in rupee terms and 9.5% growth in dollar terms outside of the Invacare situation. Our EBITDA margin for the year stood at 15.8%, up from 14% last fiscal. Our profit after tax has grown 88% to INR 623 crore for the fiscal FY '24. We've also generated good cash flow during the year, and Kamini will talk a little bit more about it as we go forward.

We find that emerging technologies like Gen AI are now a part of almost all our conversations with our customers and our prospects. In this area, we have been early adopters. You will recall in July of last year, we've set up a Generative AI Center of Excellence with collaboration with Microsoft. Initially training 500 of our consultants on Gen AI. We had later extended that to cover all our technical resources. I'm happy to share that now we are a Gen AI-ready workforce.

Recently, we also launched our comp rehensive Gen AI platform, Cogito. This platform , with accelerat ors tailored for every stage of the enterprise Gen AI journey, enables us to deploy Gen AI at scale.

We now have multiple success stories around Gen AI. In many such cases, we've been able to layer Gen AI on top of our analytical AI, creating greater insights to drive decision intelligence.

I look forward to sharing more on our progress in the subsequent quarters.

As we look forward, the past few quarters the demand environment has been quite challenging and marked with a lot of uncertainty. And the situation going forward is not going to change.

We see the situation in the market nothing different from what we saw in the past 4 or 5 quarters.

We continue to see clients' decision -making becoming slower , and uncertainty continues.

While our clients continue to realign budgets, taking the money away from discretionary spends and pushing decisions out, we continue to be focused on our execution capability. We've demonstrated solid execution capability over the past 6 quarters, and we will continue to focus on our execution capability going forward.

In that backdrop, as you will appreciate, the markets are going to be tough, but we feel confident that with our execution capability we will be able to serve our customers much better.

At this point in time, I will ask Kamani, our CFO, to share her perspectives of the quarter under review.

Kamini Shah: Thank you, Angan. Good day, everyone. Thank you for joining us. It's a pleasure to talk to you again. Let me take you through the financial highlights for the fourth quarter of FY '24 and for the full year. As far as quarter 4 is concerned, as you would ha ve seen , we have reported a revenue number of $163.9 million. This represents a dollar term growth of about 1.6% quarter - on-quarter and about 10% year -on-year. In rupee terms, it's a sequential growth of about 1.5% and a year -on-year growth of 11.1%.

Our revenue per

formance during Q4 comes on the back of two consecutive strong quarters. This includes a fairly robust growth, as you would recollect, in a seasonally soft third quarter where we ha d been able to compensate for the furlough impact to some short -term projects that have got over and with also more offshore base. This has helped us smoothen the revenue trajectory that one normally sees during th e H2 quarter s. The top line in Q4 also reflects the challenging macro s affecting not just transformati onal but also discretionary engagements.

Our growth in Q4 has been largely led by BFSI, E&U and Manufacturing among the verticals, which ha ve grown at about 4.4%, 4% and 3.6%, respectively. From an offering s standpoint, our growth during the quarter has been largely driven by ERP which grew at 7.6% and Infra services which grew at about 6.1%. The strong performance delivered by these segments in the prevailing demand conditions and even after some more rationalization of our tail accounts have been driven by ramp -up in some of our earlier won deal s as well as sustained account mining. Our ERP business has also benefited from opportunities unfolding in the system of record space that is witnessing a gradual shift towards the Cloud, while the Infra business continues to see traction in network takeouts , AIOps , and cloud infrastructure services.

At the same time, services that are more correlated to discretionary spend s and where spending is getting a little readjusted as customers evaluate leveraging Gen AI, such as Data and Analytics , had a relatively tepid performance during the quarter. This, to some extent, also explains the softness of our Life Sciences & Services vertical, which tend s to have a relatively heavier skew towards such engagements.

Now moving on to the EBITDA performance. As you would have observed, our EBITDA for the quarter was at $26.7 million, which translated to about 16.3% EBITDA margin and an expansion of about 30 basis points quarter -on-quarter. And this also translated to a year-on-year improvement of about 265 basis points. This margin expansion has been achieved despite all the ongoing investments that we are making in our business as well as the sequential drop in both

utilization and offshore revenues as some of our projects got over. We have been driving significant operational efficiencies, including lean and automation, which is part of our Optimus initiative. On a year -on-year basis, a significant improvement in our attrition rate has also been a contributing factor.

During the quarter under review, we have received a sum of $2 million relating to an insurance claim that we had made with regard to the erstwhile Invacare engagement. This has resulted in a higher Other Income for the quarter. This insurance claim, of course, as you would be aware, is onetime in nature. As a result, the PAT for the quarter has increased by 12% quarter -on-quarter and about 58.9% year -on-year to about $21.7 million. Our effective tax rate ha s been at about 25.7%, and we do expect our ETR to stay in the range of 25% to 26%.

Now let me move on to the full year performance. We have reported consolidated revenue of $637.2 million, which is a growth of about 7.1% in dollar terms and 6.7% in CC terms. However, if we exclude the contribution of Invacare in FY '23, the revenue growth for the year under review would have been much better at about 12.7% in rupee terms, 9.5% in dollar terms.

EBITDA for the year was at $100.9 million. In fact, this is the first time we have crossed the $100 million mark as far as EBITDA is concerned ver sus 84 million in the previous quarter, and this has been a growth of about 20%.

Our EBITDA margins have expanded by about 180 basis points to 15.8%. Again, this is a comparison of our FY '23 EBITDA before the onetime provision that we had made for Invacare. Factors th

at have contributed to the EBITDA margin, in addition to the ongoing Optimus tech transformation initiatives have been better manpower metrices, including attrition and utilization and an improvement in the quality of deals that we have been securing.

Our PAT for the year was at $75.3 million, up at 81.2%. PAT margin was at about 11.8%, making a significant improvement of about 490 basis points year -on-year. Our Other Income, as you would have observed, has been higher. This is largely because of higher interest income, forex gain and onetime benefit of the insurance claim that I just spoke earlier of. Our earnings per share for the year for FY '24 stood at about INR 22.54. This was versus 11.96 in FY '23, and that's a growth of about 88%.

Now let me quickly touch upon some key balance sheet items. Our cash and bank balances at the end of Q4 stood at about $209 million. This is an increase of almost 52% from the $137.3 million that we had a year ago. DSO continues to be a focus area for us, and we believe that we are one of the best in the industry. We are currently at about 55 days. As a result, for the year FY'24, our operating cash flow has been at about 86% of EBITDA, which reflects our ability to

consistently generate strong cash flows.
In line with our track record of prudent capital allocation and rewarding shareholders , at their meeting today the Board of Directors have proposed a final dividend of INR 4 per share, subject to shareholders' approval. This is on top of an interim dividend of INR 2.5 per share that was paid out during the preceding quarter.

In conclusion, I would like to state that we have significantly invested and reinforced our teams and our capabilities both at the front end and at the back end. While we will continue to make investments that are required to create and scale up our capabi lities for long -term growth, we will also be driving multiple initiatives across the company to increase our operational efficiency. We believe we are entering the new financial year with a much more stronger operating profile than a year ago, and we will remain focused on execution while navigating the prevailing macro environment.
Thank you very much. Back to you, Abhi.
Abhi nandan Singh : Thanks, Kamini. Moderator, let's open the floor for questions.
Moderator: The first question is from the line of Ravi Menon from Macquarie. Please go ahead.
Ravi Menon: Congrats on a pretty good progress, growth. Could you talk a bit about -- you said that the macro is still very challenging and the demand outlook not very encouraging. So how do you say this change d through the quarter? And how do you think this is compared to where we were last year?
Angan Guha: From our perspective, the clients that we serve, we don't see any material changes from what we were seeing about one year ago. There was a lot of volatility about one year ago, there was volatility two quarters ago, there was volatility last quarter, and we saw a lot of volatility this quarter as well. Going forward, Ravi, our belief is the volatility will continue. It will be more of the same. So there is no material changes.
But you must also appreciate, this is a year where 60 countries are going into election, right? The big countries that we serve, the United Kingdom, the United States, India are all in an election mode. So it is very difficult for us to kind of conclude in terms of how the economy will move. When we speak to our clients, our clients say that it's more of the same, it's not improving. Whether it will deteriorate or not, it is hard to say. So our endeavor, Ravi, will be to continue to focus on execution. We' ve delivered a strong year and we want to continue to focus and try and deliver above the industry average growth.
Ravi Menon: And saw that you ’ve done well in BFSI, and this has not been something that Birl

asoft was very
strong at. Could you give us a bit of color on what's working for you in BFSI?
Angan Guha: So Ravi, from a BFSI perspective, clearly, account mining is working. We're creating larger and larger accounts. Now we have a very large account in BFSI which is doing well for us. We are also opening a couple of new logos, which has helped us bounce back in 4Q. If you remember, in 3Q, we had a little bit of softness in BFSI because of the seasonally weak quarter, a lot of furloughs happened in 3Q. But in 4Q, we have bounced back.
I'm bullish about BFSI , in general, I've always have been bullish. I think BFSI will continue to drive a lot more growth. But like I keep saying, for us, BFSI is a very small business. So from that perspective, we need to win much more, and we will win much more. But we are quite pleased with our performance in BFSI last year.

Ravi Menon: And one last question on the Life Sciences, the decline. I'm not sure I missed something, but could you talk a bit about that?
Angan Guha: Yes. So the majority of that is really Invacare, if you really to remove Invacare, then even Life Sciences has grown 7% year -on-year, right? So I don't see that to be an issue. But let me just talk about 4Q. 4Q Is a seasonally weak quarter to the clients t hat we serve in healthcare. You would have seen the last two quarters, 2Q and 3Q, we had strong growth in healthcare space. Q4, seasonally weak. I feel we will see two more quarters of pain in healthcare but the growth will be back. Fundamental ly, I don't think there's anything wrong with the business. I think we are happy with where we are going. We're continuing to invest in the business. We are winning more deals and more clients. So over a long -term basis, we are very bullish on healthcare, Ravi.
Moderator: The next question is from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Angan, while my question pertains to certainly seeking some clarification on the Life Sciences vertical in the current quarter, was this weakness as part of the business plan? Or this came as a

surprise to you? That's question number one .
The second question was with regards to the client rationalization that we've been doing at the bottom end of the pyramid. This has been an ongoing journey over several years. And just want to essentially understand what do you think or where do we essenti ally start to think about new customer logo additions or there might be more rationalization to go with ?
Angan Guha: Thank you, Manik. First of all, the Life Sciences softness in 4Q is a part of the plan. It is not a surprise. We knew it all the while. And if you look back in history, 4Q has always been a little softer for healthcare barring the three years or four years ago when we won the large deal with Invacare. But outside of that, if you look at it , always 4Q has been soft for healthcare. So just to clarify, it is a part of the plan and I don't think there is anything more to it. But equally, healthcare business, I continue to see -- at least the clients that we serve, we continue to see softness, at least for a couple of quarters. So Q1 and Q2 will be soft. I'm stating that upfront. But after that, we will be back on growth, and that I'm pretty confident about.
On the rationalization, look, we will continue to rationalize. If you remember us 18 months ago when I joined the firm, we had about, what, 299 clients we used to serve and I said that we want to get to 200. Now we've got to 259. We will continue to rationalize more. But in the set of the 250 or 220 wherever we end at, Manik, we will have good logos that we can really scale. And I think at our size, if we can do a good job with even 200 clients, we can be in a very different space. And by the way, some of the margin uptick that you're also seeing Manik, is thanks to rationalization . We'

ve been able to get out of some logos which gave us revenues but did not give us too much margins. So I'm quite pleased in terms of the way the team has executed, Manik.
Manik Taneja: Sure. If I can ask one more question, this was with regards to our cost breakup between employee expenses and other expenses. If you could help us understand what drove the decline in employee manpower expenses despite the fact that we added headcount, we had an on -site centric growth? And what drove the increase in other expenses?

Kamini Shah: So Manik, this is Kamini. I'll take that question . We've had a reduction in our employee expenses. I think it's largely because it's cyclical in quarter four from our standpoint, where I think leave encashment is probably one of the areas where we do a true-up, largely in the U.S. market. And that's the reason why we are seeing a benefit as far as the current quarter is concerned.
Angan Guha: And that will be only for the quarter, Manik. As you know, that we are completing the year -- we completed the year. So we wanted to do the lea ve reversals. So that will not sustain. Obviously, employee expenses will go up because we continue to invest in our business .
Manik Taneja: But is that an annual phenomenon ? Because I don't see that playing out in the prior years .
Angan Guha: Yes. That is an annual thing, you're correct.
Manik Taneja: Okay. But is it something new that you have adopted because we don't see that phenomenon playing out in the prior year s?
Kamini Shah: The only reason, Manik, that you see, I think the impact has been a little higher this year. That's the reason why it's a little stark for you. In addition to it, we've also been driving our operational efficiencies. So I think it's a combination of both th e factors, which is the reason why you're seeing it a little stark er from that standpoint. So you would have seen some aspect of it also last year also. But I think some of the operational initiatives, lean automation that I spoke about is also helping us optimize our employee cost. So it's a combination of both the factors.
Manik Taneja: Sure. And if you could just clarify on direct expenses part as well?
Kamini Shah: On the direct expenses, you would have seen an increase overall . There are two reasons, as Angan had called out in the past. We are investing in our ROW – we've got a new CEO who joined us last quarter . So we're building that organization and investing in those capabilities. I think that's the reason why you would see some of that cost aspect going up as we are building that organization. But that's overall in line with the plan that we have set up, that w ould be a significant reason for the sa me.
Moderator: We have the next question from the line of Sudheer Guntupalli from Kotak Mahindra Asset Management.
Sudheer Guntupalli: My first question is, even in FY '24, to adjust for that Invacare impact, I think we are almost at industry -leading growth, that being your first year where we were going through many of the structural changes within the company. Now , your prior comment from your prepared remarks about in FY '25 being higher than industry average growth, how should we read that statement? Does that refer to the worst case expectations? Or is there something else that we may have to know at this point?
Angan Guha: Sudheer, thank you for the question and it's an important question. The only reason we say this

is because we do not know what the future holds. Because the future is very uncertain. But there are two things we know. What we know is the discretionary spend is actually going down for most clients.

And you would have seen that commentary coming from all companies that discretionary spend is really getting pushed out to future quarters a nd we are no different. We are

see ing essentially the same thing, b ut what we can commit to you is we will be focused on execution every quarter and we will, of course, aim to deliver industry -leading growth.

Now what that number is, we can't guide. It is very, very hard to guide. And especially in a year which is so volatile , it will be very hard to say. But all I can commit to you, like I said, is that we will be focused on execution. We will , as we have done over the last six quarters , take one quarter at a time. And we will try and put our best foot forward in terms of executing. Yo u must also appreciate, Sudheer , that we are building the business for the long -term. We are not building the business for quar ter-on-quarter. I know quarter -on-quarter performance is important and we will keep a focus on that. But I'm going to really go ahead on a limp and invest much more for the future including building up more domain capability. We've done a lot. We've got a lot more to do, a lot of technology capability under Selva our new C OO. Again, we've done a lot, but we've got a lot more to do. So we want to trul y become a world -class company a nd for the next 2 to 3 years, we will continue our investment model , Sudheer. So that's probably all I can say at this stage. I mean, we'll be focused on delivering industry -leading growth.

Sudheer Guntupalli: Sure Angan . Thanks for that clarification. And my second question is in terms of margins. So you are ending the year at a high note of 16.3%. So what is the outlook for FY '25 in terms of margins a nd what are the puts and takes to it?

Angan Guha: So Sudheer, again, like I said, we will continue to invest in our business . And I've always said that we will be in the narrow band. I mean, if you remember last quarter when we spoke Sudheer and I remember you had asked me the same question. W e said that we will be in the narrow band and we've been in the narrow band.

Now , we don't give a guidance. So I can't tell you exactly what my Q1 margins would be or Q2 margins would be. But we would be very happy as a management team if we can continue to invest, build a lot of capability, keep our margins in the narrow band and deli ver industry -leading revenue growth. If we can get to that situation I think we'll be pretty satisfied.

Sudheer Guntupalli: Thanks Angan. All the very best and have a great year ahead.

Angan Guha: Thank you Sudheer.

Moderator: Thank you. Th e next question comes from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question. Angan two questions from my side. The growth in ERP of course was very strong in this quarter. So if you could just maybe talk a bit about the sustainability of this growth, how do you see it playing out over FY '25. Of course in the long -term we've talked about a lot about the ERP refresh cycle. So any early signs of that setting in or do you thi nk it's still a good time away ? And on the counterpoint , anything to worry about the growth being not so great in th e other service lines that we have a nd then probably I have a follow -up for Kamini.

Angan Guha: Sure. Vibhor, ERP business , like I had said in Q2 you would remember that we are bottoming out. Q3 we showed slight growth. Q4 has been exceptional for us. Is that sustainable at that growth level? I don't know , I can't comment . But I can only tell you that we are pretty pleased with the kind of leadership that we are building in ERP, the kind of relationships that we are building with SAP, with Oracle.

I think we are very pleased with the kind of investments that we have done on all of that. So I would suspect that our ERP business will continue to do well. Now how much would it grow? I can't really comment because like I said the market is so volatile, it's hard to comment, b ut we are pleased with the investmen

ts that are going in. What was your second question, Vibhor?

Vibhor Singhal: The question was, I mean, on a similar note the other service lines data analytics, digital and infra, they all reported a modest performance. So anything to read into that or just a seasonality thing?

Angan Guha: No, I mean, our Infrastructure b usiness actually did very well a nd the Infrastructure business almost grew 6.1% sequentially. So they have done very well. Our Digital and Data business, our Digital business has grown 20% year -on-year. I still -am not very happy with our Data business performance and now we have new leadership to run our Digital and Data which will also create a lot of AI capability.

So I would say that by and large I'm bullish about our Digital , Data, our ERP and our Infrastructure business. Now the question is when do we get to i ndustry -leading growth in Data and we are putting a lot more investments, we have hired a lot more people to just look at our Data business. Because, Vibhor, as you will realize, unless we 've got a great Data business, we can't build a great AI business. So that's a clear focus for us. But I will admit that in Data we've not done well, b ut in Digital, Infra, E RP, I think we've done exceptionally well.

Vibhor Singhal: Got it . Thank you Angan that's for the detailed explanation. Just one follow -up question for Kamani. So I mean, if I look at the margins and I think, Sudheer also mentioned margins in this quarter was quite great , and as we continue to invest into the business the margins will be in the narrow band, b ut from a longer -term point of view what is the aspiration going to be? I mean will this 14% to 15% kind of a band b e our long -term target as well o r over the next couple of years do you see some, let's say, levers and scope for margin expansion taking it to maybe some different desired levels a nd if whatever they could be, if you could throw some light on that?

Angan Guha: So Vibhor, let me take that question and maybe Kamani can add if Kamini has a different point of view. From our perspective like I said, for the next 24 to 36 months we will be in an investment mode and we would love to keep the margin in a ramp narrow band. And if you realize that when we invest we will invest upwards of 1% or 1.5% of revenue in our business. So even if we can keep the margin at a narrow band, we'll be incredibly satisfied . But in the longer -term once our business crosses a bil lion dollars , we clearly see margin improving.

Because our business is high on operating leverage a nd as the revenue becomes larger and larger our margins will only continue to improve. Now you may not see that improvement over the

next year or so because we want to invest, b ut once we become a larger company , which we will very soon , you will see our margins inching up to higher levels from now.

Vibhor Singhal: Thanks for taking my question and wish you all the best.

Angan Guha: Thank you Vibhor.

Moderator: Thank you. T he next question is from the line of Shradha Agrawal from Asian Market Securities. Please go ahead.

Shradha Agrawal : Congratulations on a great quarter again. A couple of questions. First is if I look at the revenue growth number it looks a bit muted despite a 200 bps increase in our on -site revenue contribution. Just some clarification there?

Angan Guha: Let me start and maybe Kamini can add. So, look, we also have some runoffs in terms of project sending offshore which is why you will see the on -site revenues going up this quarter, b ut that is not a sustainable thing. I mean, it will probably correct a little bit as we go into Q1 and Q2. So from that perspective you should read the numbers from that standpoint. Now one can argue whether 1.6% was a little muted or not, but it has come on back of 1.8% in 3Q, almost 3% in 2Q and almost 4% in 1Q .

So from that perspective we are pretty satisfied with t he way the year has panned out a nd with the margin expansion of almost 1.8% the combination of revenue growth and margin expansion at least I feel that we've executed very well, Shradha.

Shradha Agrawal : And another question here is, last quarter, you had indicated that on revenue growth to some extent...

Moderator: The line for you -- the volume is very low. If you could please speak into the m ic or use the handset mode.

Shradha Agrawal : Revenue growth last quarter was helped by some short -term...This time also did we have any such help from short -term projects?

Angan Guha: No, we didn't. Shradha, last quarter when we talked about the short -term projects that was only to offset some of the furloughs that we had last quarter , it was a seasonally weak quarter. Not to say that we will not pursue short -term projects , because short -term projects is a way for us to showcase our capability on the domain side, on the technology side. So we continue to pursue that. But in this quarter we didn't have too many short -term projects because as a company we also want to pivot our selves to long -term, sustainable, annuity -based revenue and that's a big focus of the company. So in the third quarter, we did what we did in terms of overcoming the furlough quarter bec ause we wanted to execute well, b ut this quarter we did not see too many short -term projects. It was there for sure, but not as much as we saw in 3Q.

Shradha Agrawal : Last question if I can ask. You have indicated that you would be growing at industry -leading number in '25, b ut how should we look at that number given the context of deal s TCV being flat on a Y -o-Y basis?

Angan Guha: So Shradha again a terrific question. Look, our deal TCV though has been flat you must also appreciate that our n ew deals wins have been strong. Clearly, our focus is to win more and more deals. Our pipeline is currently growing. The one thing however I will tell you Shradha is the decision -making is getting pushed out because the discretionary spends are getting pushed out. So I can't really comment in terms of what that growth number will be. I'm sure nobody can really comment , with the kind of volatility th at we are seeing in the market, b ut with the execution engine that we have created within the company I feel reasonably confident that we will drive industry -leading growth. Now what that number is is hard for me to tell, Shradha.

Shradha Agrawal : That's very helpful. And all the best, sir. Just one question for Kamini if I can squeeze i n. Ma'am, the segmental margin m anufacturing segment has moved up by almost 500 bps on a Q -on-Q basis. So anything there to read into?

Kamini Shah: No, Shradha. I think there's also been some ramp -up of projects that we've had at that point of time. So I think transition revenue has given us some benefit on that, b ut other than that there is nothing that is very significant for you to look at.

Shradha Agrawal : Sure Kamini. Thanks and all the best.

Moderator: Thank you. T he next question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Thanks for the opportunity and c ongrats Angan for a great e xecution in the last 1 year under your leadership. The first question is , I think in FY '24 despite macro pressure, ex of Invacare we have done upwards of 9% constant currency growth and FY '24 being a tough year with some emerging green shoots highlighted by some of your large peers I do agree, you commented that the industry leading grow th is again possible in FY '25, b ut do you believe we can be slightly better versus a high single -digit growth in FY '25? I just want an answer on directional basis , I do agree we don't give any guidance .

Angan Guha: So Sandeep, I'm not trying to sandbag or say somet

hing that -- trying to hide something. The reality, Sandeep, is the markets are really very volatile, right? The companies who have said that this year, FY'25 , will be better than FY'24 are companies which have delivered lower end of the revenue growth, as you know . For us, we've already delivered 9.5% dollar revenue growth and 12.7% rupee revenue growth.

And by all set of imagination, we may not be the best mid -tier company but we are right up there. So for us, when you look from our context, right, can we repeat that performance? Of course, I want to repeat that performance. But can I commit to it today? I cannot commit, because we don't know what we don't know.

Our endeavor will be to continue to focus on execution, serving our clients well, delivering well to our clients, driving our internal technology transformation, and winning deals, converting the pipeline into deals. If we can focus on that, revenues will follow. And that is what we will focus on. But how much growth will we deliver, Sandeep, quite frankly, if I knew, I would have told you. But quite frankly, I don't know.

Sandeep Shah : Angan, a follow -up. It looks like , if I'm wrong just let me know , my assessment is incrementally on your outlook on discretionary IT spend has become slightly more bearish versus 3 months back. So is it coming because of some sudden change with client negotiation s in the last 2 to 3 months? Or this is my wrong assessment there ?

Angan Guha: Sandeep, I can only tell you from the clients we serve, right , because we serve a completely different set of clients, maybe from some of our larger competitors. So I can only talk about my client base. In my client base, nothing has really changed from a discretionary spend perspective. Only, like we talked about in our earlier call, decisions are getting pushed out . Look, we've not lost a single deal in the last 2 quarters, which are large. We may have lost some smaller deals here and there , but we won our fair share of deals. But our problem, though, which continues to kind of keep s me awake at night, is decisions are not being taken and some of the deals are getting pushed out quarter -after-quarter -after-quarter . Which is why I feel the discretionary spends are getting pushed out and that may have an impact in terms of how this year pans out for us and for the industry as well, Sandeep.

Sandeep Shah : Okay. And just in terms of large deals which we have closed in BFSI, is the ramp -up schedule on schedule for the first quarter of FY'25? Because that itself may drive close to 1.5% Q -on-Q growth. And the second question is -- yes, go ahead.

Angan Guha: So Sandeep, let me answer -- let me take that question right up front. So first of all, the deal is large but it has a combination of at least 70% renewal and 30% net deal, right? So that's number 1. And this is not a very -- when I say large, large deal from my context perspective, I can't give you the exact figure because we are under NDA. But I can only tell you, lot of it is renewal. But the only reason we are pleased is because we've been able to renegotiate the deal etcetera. So it's a pos itive sign for us.

I don't think that will generate 1% -1.5% growth. That is counting in way too much. But you must also appreciate, Sandeep, a lot of projects are also getting over. right? So from that standpoint, it is important for us to realize that the balance has to be bought in, which is why I keep sayin g that it is really hard for us to comment on revenue growth quarter -on-quarter. But we will continue to stay focused on execution, as we have always done.

Sandeep Shah : Okay. And just last few clarification s. In the notes to accounts, there are disclosure about whistleblower complaints. So can you provide details? Is it more behavioural or something else? And in terms of margins, when we say narrow band, are we compa

ring with the Q4 exit? Or are we comparing with the FY'24 EBITDA margin?

Angan Guha: Sandeep, first of all, thank you for asking the first question which is the whistleblower , because it helps me clarify. So first of all, we have had two complaints. Both complaints are behaviour in nature in terms of the way some of our leaders have conducted themselves and the way some of our leaders have used language, etcetera, etcetera. So we don't see any financial impropriety at this stage. But look, the investigation is still on. Keeping g ood corporate governance in mind, we thought we sh ould put that line in our income statement because we want to be open and we want to be extremely transparent. But based on what we know today, there is no financial impropriety. So what was the second question again, Sandeep?

Sandeep Shah : Yes, in terms of margin, when we say narrow band movement, are we comparing with Q4 exit rate of 16.3% or 1 5.8% that we delivered in FY'24?

Angan Guha: Again, if I say that, that would be like giving a guidance, which we do not give. So I can't really say that. But I can only tell you that it will be in -- you've seen our last 3, 4 quarter performance, so you have to make a judgment call on that. But it w ill be within the narrow band. That's all I can say right now.

Sandeep Shah: Okay. Fair enough. Thanks and all the best.

Angan Guha: Thank you, Sandeep.

Moderator: The next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: Sir, three questions . In Q4, we had a big decline in TCV on a Y -o-Y basis. And then when I look at it on both sides, like net new as well as renewals, if you can just help me understand why would we see such a decline in renewal as well. And second is when do you expect this tre nd to reverse on the TCV side given that pipeline is strong and y our win rates appear to be high?

Angan Guha: So Mohit, again, great question. And let me also try and say in terms of how we as a management team feel about it. Look, our revenues have grown 9.5%. Our profitability is growing, but our TCV signing have not really grown. It is pretty much 1% growth yea r-on-year. So are we proud of that? We are not really proud of that . We would have loved for the TCV to be much, much higher. But equally, Mohit, I can only tell you that the reason for it is not that we are losing deals. The reason for it is t he deal decision -making is getting pushed out . So from that perspective, you must always look at a year -on-year performance rather than just 1 or 2 quarters. Our endeavor this year would be to deliver higher TCV growth going forward. Now , when will the tide turn, I can't tell you. But rest assured, as a management team, we are completely focused on signing more and more deals as we go forward.

Mohit Jain: So this last 6 months of decline, you do not think it is a trend? It is just reflecting...

Angan Guha: I don't think so, Mohit . The reason why I say I don't think so is because you must also remember that a lot of our projects keep closing and we are winning newer deals to not only fill up the runoffs but also grow from there on. So look, I'm not saying that we are happy with where we are. We want to deliver much more TCV work. But as long as we can get the mix right, where our revenues can continue to grow, I think we are in a good position.

Mohit Jain: Right. And in tenure terms, was FY'23 TCV any different from FY'24?

Angan Guha: No. So it is pretty much the same. But you have a valid question. Do we need to sign more longer -term deals? We need to. I don't think we have signed too many longer -term deals barring maybe one large deal. But yes, the focus is to sign more longer -term deals.

Mohit Jain: Sure, sir. Thank you. That's all from me.

Angan Guha: Thank you, Mohit.

Moder

ator: The next question is from the line of Anmol Garg from DAM Capital. Please go ahead.
Anmol Garg: I have a couple of questions. Firstly, you have talked about expansion outside of U.S. Now would this happen organically? Or are you also looking at acquisitions? And are you also looking to expand outside of Europe?
Angan Guha: Anmol, thank you. First of all, the reason why we want to focus on outside of the United States is because today, as you know, 86% of our revenues com e in from the U.S. But that doesn't mean we will not focus on the U.S. The U.S. is a key market. It is a huge market. We are probably a very small player even in the U.S. So there is a lot of opportunity to do much more in the U.S. But equally to get a little bit more global, we want to expand our business outside the U.S.
So our focus is going to be in the United Kingdom, our focus is going to be in Switzerland, our focus is going to be in Germany, these three markets in Europe. But we will also focus on India. And India, we will have some specific focus. And once Manju, who's our Rest of the World leader settles down , he's just joined about 2 or 3 months ago, I will also make sure that he is front and center in front of all of you talking about his strategy. But clearly, we want to focus on those markets.
Now organic versus inorganic, look, like I have said earlier, we've had now 6 quarters of reasonably good performance. We are generating a lot of cash. Like Kamini said, our operating cash flow is almost 85% of our EBITDA. We have zero debt on our book s. So we feel confident now that we will go and do an acquisition.
Now when that happens, I can't obviously commit. Right now, nothing is on the table. But we will look at acquisitions not to aggregate revenue . We will look at acquisitions only if it adds value to either o ur domain or to our capability and is at least margin equal, if not accretive. So we have to look at all different parameters before we deploy our cash. But we are definitely looking at all parameters there, Anmol.
Anmol Garg: Sure. And I have a second question. So you had talked about Gen AI in your opening remarks. From that perspective, I just wanted to understand if clients are asking us to use tools like co - pilot, and it might increase the productivity for them but maybe reduce our overall T&M contracts for us. If you can indicate if th at is happening and if -- any of it is gettin g compensated by better pricing?
Angan Guha: Great question, Anmol. So first of all, we are using Gen AI to disrupt our own company . Under Selva's organization and Kamini has spoken about it , I've spoken about it in the past , we've embarked on a program called the Optimus program. Now the Optimus program is going to be a 2-3 year program where we will use AI and Gen AI technologies to not only disrupt our own processes but also automate our processes within the company, reduce the number of processes and make it a more technology -enabled organization.
Now that will do two things , Anmol. One is it will help us to improve our profitability because we are investing so much in our business and we need to have the money to invest and still maintain profitability. That is what it will do. But equally, it will help to make our lives of o ur people much more easier. That is the two things. Now , because we are building all this capability

internally and we are driving this great transformation within our company, we have also gone to our clients, right? And we today have done POCs and we've done so much work for our clients.
Are we generating revenue from AI today? We are not. But very soon, we will . Because we are very close to closing a couple of deals. But eventually, your point is extremely valid that we will disrupt a lot of our revenue stream. But I'm also hoping that this will help us generate newer revenue streams

and more. And we're pretty exci ted about that which is why I don't see this in a negative connotation. I look at it in a very positive way.
Anmol Garg: Sure. Thanks, Angan. Thanks for the clarification.
Angan Guha: Thank you, Anmol.
Moderator: Next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta : Yes, thanks for the opportunity. A couple of questions. First, I just want to get clarity about the $100 million deal, which we announced in Q2, which was supposed to start from April, so whether we are on track for that deal from a ramp -up perspective and the contribution will likely to start from Q1.
Second question is about BFSI. This quarter also, we have received a significant new business

from existing BFSI client, which in a way indicate s net new portion is also decent size. So just want to understand contour of the deal and what played out well for us in BFSI success? Second question is about Life Science. You indicated softness to persist for next 2 quarters. So can you help us understand what is playing out in Life Science s sector and particularly client s who we serve.

And last question is about relative performance. I think in one of your comments -- because the steps which we have taken to improve overall organization structure, leadership augmentation plus client mining effort, do we think we are now on track to impro ve relative performance in FY '25 compared to where we are in FY '24?

Angan Guha: So Dipesh, 4 questions. First of all, the large deal that we won in Q2 is on track . But again, I must be careful of saying this because the large deal is on track. There is no problem. We will continue to start seeing revenues from them. But it is not such a direct correlation. Because equally, we will finish some projects as we go into Q1, and those projects have to be re -won. So please do not take it as a linear thing where linearly some amount of revenue will come in. Because on the other sid e, we may finish some projects. Which is why , because of the uncertainty, I cannot really comment in terms of the numbers. But to answer your question, is the $100 million deal on track? Absolutely on track.

The second question on BFSI. BFSI, we are winning deals, but you must also appreciate, like I said very openly that 70% of that deal is a renewal. We have 30% of net new. That net new revenues will probably keep coming in, maybe Q2, maybe Q3 or Q2 onwards, maybe right, depending upon when we transition and how we do it. So I'm not so concerned about that. In fact, what's working for us in BFSI is our ability to mine accounts as well as our ability to open

new logos where we can land and grow. Now will BFSI continue to deliver growth? I'm hoping it will continue to deliver growth. I'm reasonably confident, in fact, that it will continue to deliver growth.

In health care services, again, you will, like I said in an earlier comment, that we will see a couple of quarters of softness. But fundamentally, there's nothing wrong with the business. Our clients are strong. The clients that we serve are seasonal clien ts. And in a couple of quarters, growth will back. Is our pipeline in health care improving? Our pipeline in health care is improving. Are we opening newer and new logos ? We are very close to opening three new logos in the health care business, which will start delivering revenues maybe 3 -4 quarters out. So I think overall, we are reasonably okay in the health care business, but it will continue to be seasonal, Dipesh. I forgot your last question. Can you repeat your last question?

Dipesh Mehta : Relative performance compared to let's say where we were in '24.

Angan Guha: Yes, so Dipesh, look, this is a very hard question because I don't know what competition is going to do. I can only tell you that more than looking at competition, I want to de

liver industry -leading
growth for ourselves . Am I confident that we have the right leadership? I'm absolutely confident. Are we done hiring people that we need for our business? Well, we are never done, but we've hired the majority of the leaders. We'll continue to hire more leaders to augment our cur rent leadership. That' s an ongoing activity. But I'm confident that we've got an execution engine going. Now , we may have a couple of quarters of muted growth or a couple of quarters of excellent growth, I don't know. That will be a manifestation of the market. But yes, as a management team, we are reasonably confident that over the next 1, 2, 3 years, we will be a much stronger company than we were 1 year ago.

Dipesh Mehta : Understood. Just last clarification, this $100 million deal is likely to start from April, right? That is how the timeline was as it has contributed in Q4.

Angan Guha: It will -- no, it does not contribute -- well, it would have contributed a little bit of transition revenue in Q4. But yes, it just start contributing from April onwards. That's correct.

Dipesh Mehta : Thank you.

Moderator: Thank you. The next question is from the line of Apurva Prasad from HDFC Securities. Please go ahead,

Apurva Prasad: Thanks for taking my question. Angan, if you have to look back over the past year, how would you characterize the performance, what you've delivered as compared to what you expected? And which areas would you characterize to be better than your expectations and then what has not played as per your expectations?

Angan Guha: Apurva, that's a tough question. And I'll be honest with you, I mean we did a lot of heavy lifting over the last 16 months. And I will not look at just the last 1 year, but from the time I am in the firm, So over the last 16 months or 18 months, we've done a lot of heavy lifting. So I'm pretty pleased with that. Now could I have done better? Sure, I could have done better. Am I satisfied

with my performance? Well, yes and no. Yes, because we've got to at least 9.5% in a relatively tough year. But could we have done better? I t hink we could have done better.
So to that effect, am I satisfied? I'm not satisfied. Apurva, the other question, I think somebody else asked, I think Sandeep or even Shradha ha d asked, that are we satisfied with our TCV performance, we are not. We could have done better in TCV. So there are a lot of areas that we could have done better on. We could have done better in our Data business , we've not done a great job in our Data business. So there are a lot of areas we can do much better on. But we can take one step at a time, we'll take a year at a time , because we are here for the long -term. We want to really build a long -term, healthy, growth -oriented, cash -generating business. That's our commitment. I can't comment one quarter could be good, one quarter could be bad. But our commitment is to deliver, b uild a long -term growth orientated business, which generates good cash flow for the company and delivers good profitability.
Apurva Prasad: Got it. And any comments on the pipeline? Because the net new would need to accelerate meaningfully if you have to even replicate this year's performance.
Angan Guha: I agree, Apurva, and that's one place again like I said, we've not done well. But our pipeline is strong. We've got about $1.8 billion worth of pipeline and we want to improve it to about $2.4 billion to $2.5 billion. We are working on it. Are we there yet ? We are not. But yes, a lot of effort over the next 6 to 8 months will be on order booking.
Apurva Prasad: Thanks and all the best.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to Mr. Angan Guha, CEO and MD, Birlasoft Limited for the closing comments. Over to you, sir.
Angan Guha: Thank yo

u very much and I thank you for your interest in Birlasoft and for the time that you've taken to spend with us today and for the questions that you've asked which I really find very insightful. The fundamentals of our business remains solid and our intent is to build an organization for the long -term. I admit, there are certain areas we could have done better. We will continue to focus on them that we have discussed over the past one hour. But I can only tell you that our endeavour as a management team is to build a long -term, growth -oriented, sustainable business that generates a lot of value for all our stakeholders.
So to that extent, we will continue to invest and invest in our business. And I hope to see you again next quarter. And in the meanwhile, if you have any further questions, then please do reach out to Abhinandan for any clarification or feedback. Thank you very much, and have a great evening.
Moderator: Thank you. On behalf of Birlasoft Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
(This document has been edited for readability purpose)
Birlasoft Limited

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Aug 2024

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Subject: - Transcript of Earnings Call held on July 31 , 2024.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on July 31 , 2024 .

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript .

Kindly take the same on record.

Thanking you .

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No.: ACS 9678

Birlasoft Limited Q1 FY25 Earnings Conference Call

5.00pm IST, 31 July 2024

MANAGEMENT :
MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator: Ladies and gentlemen, good day, and welcome to Birlasoft's Q1 FY '25 Post results Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Abhinandan Singh, Head, Investor Relations at Birlasoft. Thank you and over to you, sir.
Abhinandan Singh: Thank you, and welcome folks. By now, you would have received or seen our results. Those are also available on our website, www.birlasoft.com. Joining me on the call today with me are our CEO and MD Mr. Angan Guha and our CFO Ms. Kamini Shah.
We will begin the call today, as usual, with opening remarks from both Angan and Kamini. But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future would be a forward -looking s tatement, and therefore that must be heard or read in conjunction with the disclaimer that appears in our 1Q FY’25 investor update, which you may have received and is also uploaded on our website as well as filed with the stock exchanges.
With that, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you, Angan.
Angan Guha: Thank you, Abhi. So good evening and good morning to everyone wherever you are, and thank you for joining us today as we share some perspectives on our performance during the first quarter for the current financial year. I trust all of you have seen the re sults.
Our Q1 performance reflects a couple of key aspects. One, the operating environment that remains quite challenging, the content discretionary spend by our customers and some delay of projects that was expected to start in Q1, which has got delayed beyond Q 1 and expansion of our footprint in areas where we have so far not effectively tapped.
And like I have always said, a sustained investments and capabilities that will enable us to better capitalize on the turnaround and demand conditions as that happens. With that context, let me share some perspectives of our Q1 performance.
You will recall that I had mentioned in my earlier call as well that we are seeing some of our customers pushing decisions out and some pullback in discretionary spends. We saw that sustained during our quarter Q1 as well. To add to it, some projects, espe cially in the ERP segment, got over during Q1 in the natural course, while programs that were supposed to ramp up or get started during the fourth quarter got delayed.
Consequently, there was a Q -o-Q decline in the ERP business and therefore, in the manufacturing vertical, where much of our ERP business actually comes from. We have teams ready to engage on the projects that got deferred. And the cost associated with that , combined with the lack of corresponding revenues, led to the decline of our margins quarter -on-quarter.
But the good news is at the end of July, some of the programs which have got delayed beyond

Q1, have already started coming back. So with that, we expect a recovery in Q2 and hope to deliver a stronger Q2. I'm also pleased to note that some areas that have high growth potential for us has performed well in the quarter.
For instance, our infrastructure business has delivered yet another quarter of solid growth. Similarly, our Rest of the World business has also registered a strong growth in Q1. BFSI in the Americas as well as globally has registered strong growth for the quarter. And traditionally -- but traditionally, all of these businesses have been relatively smaller contributors to our top line. But we have been makin

g investments in the past one year, and that is now showing results.
So to conclude, while we've had a subdued quarter, this has come from the back of 5 consecutive quarters of sequential growth. Even the quarter under review, although sequentially we had degrowth, our year -on-year growth have been comparable to the industr y average.
So on a year -on-year basis, our revenue fourth quarter grew 5.1% in rupee terms and by 3.8% in constant currency terms. Similarly, our profit after tax has grown 9.2% year -on-year in rupee terms and 7.6% in dollar terms. Another noteworthy achievement for the quarter was our total contract value booking, which was higher by 10% year -on-year and stands at $160 million for the quarter.
Now to add to it, our net new TCV in the same period is up 17% year -on-year. Quarter under review characterized strong collections, and that has resulted in very strong cash flow generations. As a result, our cash and cash equivalent are up 46% year -on-year to INR1,914 crores. Kamini will provide more color on this in her remarks.
At this point, I will ask Kamini, our Chief Financial Officer, to share her perspectives on the quarter under review. Kamini, over to you.
Kamini Shah: Thank you, Angan. Good day, everyone. I hope you are doing well. Thank you for joining us. Let me take you through the financial highlights for the full quarter of the current financial year FY '25.
As Angan mentioned, in Q1, we saw a continued impact of sluggish customer discretionary spend in some segments, as well as deferment of new project ramp -ups, primarily in our ERP service line. In the face of that, we have still registered a year -on-year gr owth in revenue, thoug h on a sequential basis, there has been a decline.
We have reported consolidated revenues of INR159.1 million for Q1 '25. Revenue for the quarter saw a decline of 2.7% quarter -on-quarter and a growth of 3.8% year -on-year in constant currency terms. In rupee terms, Q1 revenues have been at INR12,274 million, a sequential decline of 2.6% and a year -on-year growth of 5.1%. Our top accounts, top 5, 10 and 20 accounts contribute 36.2%, 52.6% and 65.1% respectively to total revenues.
As you might have already noticed, from this quarter onwards, we have realigned our reporting on service lines in a manner that better reflects how we are driving our business. According ly, this has now been organized as Digital & Data, ERP and Infra. In the Q1 factsheet that we have published, we have provided comparable data for historical quarters too, reflecting this

alignment. During the quarter under review, BFSI and Energy & Utilities have recorded sequential growth among verticals and Infra has grown among service lines.
BFSI has grown by 8.4%, E&U by 3.7% quarter -on-quarter. This growth has been led by a combination of some new deals ramping up and successful account mining. Infra is a new service line that we are trying to build, which has scaled up and has recorded very strong growth on the back of some fresh engagements during the quarter.
The manufacturing vertical has had a tepid performance after a strong run during the preceding year, and the Life Sciences and Services vertical witnessed a sequential decline, reflecting that some of the projects we're getting over and the new projects we re getting delayed in terms of ramp -up and tighter discretionary spend.
Some of the projects that got deferred in the ERP business during Q1 were part of the manufacturing verticals performance. However, as Angan mentioned, we are seeing some green shoots on this. We expect our Life Sciences businesses to revert back to growth mode in the second half of the year with a modest growth likely in Q2 itself.
Moving to our EBITDA performance. Our EBITDA performance in Q1 was at INR23.4 million versus INR26.7 million in Q1 -- in Q4. EBITDA margin stood at

14.7%. These reflect the costs
associated with the mentioned delayed projects where we already had teams in place to execute which is also visible in the lower utilization levels during the quarter. This impact has been partially offset by reduction in some provisions pertaining to reward for a select group of senior leaders.

Our PAT stood at INR18 million, up 7.6% year -on-year. In rupee terms, PAT has been at INR1,502 million, up 9% year -on-year and down 15.6% quarter -on-quarter. Coming to some key balance sheet items. Our cash and bank balances at the end of first quarter stood at about $230 million. This has been up about 44% year -on-year. This reflects our abil ity to consistently generate strong cash flows. Our operating cash flow was at about INR17.8 million, which is about 76% of our EBITDA on the back of sequential impro vement of our quarterly collections, which stood at 169.

Consequently, we are happy to say that our DSO stands at 52 days, which is one of the best in our industry. In conclusion, I would like to say that we started the new financial year with a robust balance sheet and healthy cash flows. This will enable us to keep investing in capabilities for future growth. We remain focused on execution even as we navigate through the current challenges in the macroeconomic environment.

Thank you very much. Back to you, Abhi.

Abhinandan Singh: Thank you, Kamini. Moderator, can you please start the Q&A?

Moderator: First question is from the line of Krish Beriwal from Nomura.

Krish Beriwal: I had three questions. First on growth. Given that we have seen a sharp fall in revenues this quarter, Angan, will you see any change in client behavior versus previous quarter? And how

much of the fall do we expect to recover in 2Q? There also seems to be a large pass -throug h element in revenue. Can you just quantify this? And do you expect this pass -through element to continue going forward?

Second, on margins. If I take out the 220 million odd one -off, our EBITDA margin has fallen by about 220 basis points sequentially. With possible annual salary increment cycle ahead of us, how should we think about full year margins? And how do you plan to create that in a narrow band going forward? And lastly, on deal wins, just wanted to get a sense if you are happy with the current level of deal wins and can you share details on your pipeline?

Angan Guha: So Krish, look, and you've asked 4 questions , let me try and answer all of them one by one. So first of all, on the revenue side. So look, we've had a subdued quarter. And I will admit that the quarter was below par as far as our own estimates were concerned. But look, you must also appreciate that this quarter has come on back of 5 quarters of sequential growth and year -on-year growth. And even this quarter, if you look at year -on-year, we've actually grown 3.8% from a dollar CC perspective and almost 5.1% from a rupee standpoint.

Now the good news is and the reason for this performance, sort of subdued performance, is because some of the projects that we expected to start this quarter were pushed out to the future quarters.

Now since we are already in 1st August and one month has gone by, for this quarter, we are happy to state that some of these delays that had happened earlier is already back on the table, not maybe all of it, but some of it is already back. Now look, we ca nnot give a complete guidance, and we really don't give guidance. So I can't tell you how much recovery we will do for the quarter, but I can only tell you that quarter 2 will be stronger than quarter 1.

By how much. that only time will tell. It will depend upon how we execute between July, Aug ust and September. So that's point number 1. Point number 2 is, you talked about the pass -throug h. But look, I want to clarify this thing a little bit more. See, if you look at ou

r business, our business
mix is really changing.

Our business mix is go ing from digital, which is a very strong business for us , to more of the infrastructure business. And that is because if you look at our customers ' spend pattern, it is moving from transformation engagements to a more cost -based engagement. So naturally, our infrastructure business is really going up.

Now as a part of the infrastructure business, we are doing contracts for our clients where we are doing end -to-end contracts, right, including services, including licenses, products, et cetera. On a turnkey basis, when we do programs for our customers, we obviously do the entire nine yards. So that is the reason why you are seeing not only our Infrastructure business growing, but some of the equipment that we buy, we just buy to service our clients . So that is answer number 2.

Number 3, you asked about the EBITDA performance. Now clearly, quarter -on-quarter EBITDA is down, I accept that. But on a PAT basis year -on-year again, we have grown. So that's a positive sign.

Now how much of that EBITDA will come back in Q2, again, will depend upon how much revenue growth we deliver in Q2. Because as you know, our business is so high on operating leverage that unless you grow revenue, you can't make the money. So we'll be focused on revenue growth. Now in terms of whether we will be able to keep our margins in a narrow band, again that will depend upon the investments that we will make.
We will continue to make investments in our business. Like I always said, we are not here for one quarter or two. We are here to the build business for a decade. So we will not hold back on investments. But what we will focus on is delivering quarter -on-quarter improvement in revenue, which automatically will have an impact on our margins.
Last question you had was on the -- I think you had on -- was there any other question, Krish?
Krish Beriwal: Yes, I had this last question on deal wins.
Angan Guha: Yes, deal wins. Look, I mean, if you ask me, the deal wins were higher than the last year same quarter. Last year same quarter, we delivered $ 146 million of TCV. This quarter, we delivered $160 million. So are we pleased with the current levels? Obviously not. I think we'll need to win much more deals, but the good news is our pipeline continues to grow. But the decisions are also getting delayed. I can only tell you that even from a deal win perspective, Q2 will be better than Q1.
Moderator: The next question is from the line of Ravi Menon from Macquarie.
Ravi Menon: Really good to see that BFSI is doing well for us. So wanted just a broad comment on how do you think about where your business mix in terms of annuity versus more project -oriented broad concept, which dominates the business? And how would you like this tr end in future years?
Second is, what have you done in BFSI and what sort of logos are we winning? And what areas are we winning in? And the third question is in terms of on -site revenue, that's what has come down significantly. Your offshore re venue has gone up. So structurally, are we looking at better margins once we see these deferred projects come back in that on -site revenue picture?
Angan Guha: So you're right. Our BFSI business is doing very well. It's been doing very well for the last 7 quarters. So this quarter is not an exception. I think we've done significantly well this quarter as well. But Ravi, I will tell you this, that BFSI will also moderate, right? Because w e've had 17 quarters of growth. So at some point in time, it will moderate. But it will continue to grow. It will be a growth leader for us even in financial year '25, that much I can tell you.
But the growth will moderate going forward. So don't expect 8% quarter -on-quarter growth even in the BFSI business. Now as far as the business mix is concerned, in BFS

I, it is more about
project delivery, the projects that we win and we deliver to our clie nts, which is more on the transformation side. We do a little bit of discretionary work, which we are trying to strengthen.
But we are happy doing more project -based work, Ravi, because that helps us also improve our domain capabilities, as you will reali ze.
So from that standpoint, with the current mix that we have, we are pretty satisfied with where we are helping our customers in their transformation journey. And we are also -- we have started

to win some long -term contracts in financial services. Now what was the other question again, Ravi?
Ravi Menon: I actually asked about the business mix , more for the company overall and not just for BSFI specifically?
Angan Guha: Yes, so, we are obviously seeing our customers, who are having price pressures , skew more towards offshore, right? Because from a customer standpoint also because of a lot of discretionary pressures that the customers are having, they are working with us to drive a lot of work from offshore locations. So we see that continuing to imp rove. You're absolutely right.
When the projects come back to the table, we will obviously see higher margins because higher revenue will deliver higher margins for us.
But equally, the point that Kamini made in her comments earlier, one of the things that we've also seen is we had the people ready to go, but the projects did not start. So we had the people costs that came on to our P&L. So at some point in time, deploying those people quickly will be the key for us. So like I said, some greens shoots we are seeing already in the month of July because some of the projects are back on the table. But we really have to see how August and September pans out for us, Ravi.
Ravi Menon: And one last follow -up. The offshore proportion has gone up. I mean, I guess that's partly because of these apparent ramp downs . But structurally, are you seeing offshore proportion keep

going up? And would that mean better margins?
Angan Guha: I think so. But Ravi, see again, it depends upon the kind of work we win, right? So if you look at the Infrastructure business and as we ramp up our infrastructure business, a little bit of more offshore movement is natural, so that will happen. But equall y remember, when the market turns and lot of discretionary spend comes back to the table, you will see our on -site revenue go up. So the phenomena that you're talking about may be for another quarter or two, but then it is hard to predict in terms of how the world will look like post November.
Moderator: The next question is from the line of Mohit Jain from Anand Rathi.
Mohit Jain: Two questions. One is regarding cost of equipment. So there is also equivalent decline in your other expenses line item. So is there -- like should we assume that is because of subcon or is there any other reason for that?
Angan Guha: So Mohit, let me answer that question again, like I was telling Krish earlier. See, we've seen a little bit of a change in our business mix. So Infrastructure business is really going up. So we are now on the table working with our clients to do turnkey projects.
And as a part of the turnkey projects, you will see us delivering the end -to-end program or project for a client, which could mean licenses, which could mean services, which could also mean products. So the line item that you see is basically to serve our clients. On the other income bit, I'll hand it over to Kamini to talk about that.

Kamini Shah: So Mohit, your question regarding other expenses, yes, caused by a reduction of subcon and some consulting services as you would appreciate that when the project takes some time to ramp up, at that point of time, we do not hold subcontractors. And that's the reason why you'r

e seeing
that decline.
Mohit Jain: That's only a quarterly fluctuation. As you guys mentioned, Q2 will see some recovery. So this line item will also go down?
Kamini Shah: Yes. It will get related to revenue, Mohit .
Angan Guha: So Mohit, as revenue goes up, if the revenue does go up, this line item will obviously go down.
Mohit Jain: Right. And second was on your comment regarding TCV growth. Now you said Q2 is looking better than Q1. But Q2 is also seasonally very strong for us. So should we continue to look at it from a Y -o-Y standpoint? Or do you think Y -o-Y, it may still be a decli ne?
Angan Guha: So look, I mean, from an order book standpoint, right, Mohit, your comment was more on the order book, correct?
Mohit Jain: Correct, TCV.
Angan Guha: So look, currently, at least there are 2 things I can state clearly. Our pipeline has gone up, right? If you look at our quarter -on-quarter pipeline performance, that is up. Now the question would be how much amount of orders can we convert within Q2, right? It will all be a matter of conversion.
At least based on our initial estimates, I would say that it will be better. I don't think order book you should ever measure quarter -on-quarter. It should be year -on-year all the time. At the end of the day, it is how much amount of order book that you de liver in a year versus the order book that you deliver next year. I think that is going to be crucial.
Kamini Shah: Yes. And if I can just add to that, right, Angan. Mohit, if you remember, we had the $100 million deal in Q2 of last year. So I think we just need to normalize that and assume a year -on-year growth.
Angan Guha: Yes, which is why we should look at year -on-year, Mohit, rather than quarter -on-quarter.
Mohit Jain: 171 is a more comparable number than you...
Angan Guha: That is right, yes.
Kamini Shah: That's right.
Angan Guha: If you were to compare quarter -on-quarter, yes, that's the right amount.
Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: The first question, Angan, is it fair to assume the cost of equipment is also sitting in the revenue line? Or it is just in the cost line?
Kamini Shah: So it would be partially you're talking about, right, because some of it is -- obviously, if you are using the equipment to deliver services to our customers, there would be a quantum that would be sitting at the revenue line item.
Sandeep Shah: So that means, Angan, the core services growth, the core business growth decline could be as

big as 6% to 8% on a quarter -on-quarter?
Angan Guha: Sandeep, you should not look at it like that because I will tell you, as you do more and more Infrastructure business, and I'm sure you know this already, you are delivering a turnkey prog ram for a client. And when you deliver a turnkey program for the cli ent, we do not measure the way you are saying it.
From a reporting perspective, we've been reported like that. But from our perspective, we are delivering a solution to our client, which is a combination of 2 or 3 lines, if you will. And the lines could be a service line, it could be a license line, it co uld be any other line.
So from that perspective, as far as I'm concerned, I am delivering a client solution, which helps a client solve its problem. So from that perspective, we look at it as one program. And we even measure the margin, which is a program level margin than anyth ing else. So Sandeep, that's the right way to look at it.
Sandeep Shah: Accepted, Angan, but my question is that this turnkey projects could be lumpy in nature. And when you say Q2 stronger than Q1, actually, there is a possibility you may have to recoup this, which may not reoccur every quarter in terms of the fund.. .
Angan Guha: Yes, Sandeep, that's the right question. So the way you just said it is the right quest

ion. So my
request, Sandeep, is do not look at that line item that you are talking just as a pass -throug h. It could be a pass -through, it could also be services. But you're right, it will have a lumpy kind of angle.
So when we have to deliver a better quarter, say, Q2 over Q1, we obviously have to recover. But also remember, we will do more and more project -related work or an end -to-end work for our clients. So from that perspective, and I can't really comment how man y clients I will win like that because there are a lot of deals on the table that I'm fighting for, b ut if I win a large contract from a client, so that particular quarter, you will see a lumpiness from a revenue standpoint.
Sandeep Shah: Okay. And the second question is in terms of EBITDA margin, which is reported at 14.7 %. If I adjust for Rs 222 million of write -backs, then on an adjusted basis, it comes to 13%. So should we model 13% as a recurring margin when we enter Q2?
Because on top of it, there would be wage hikes. And your commentary about -- update about full year margin on FY '24 being 15.8% versus we may be starting at 13% on a recurring basis, do you still reiterate that the full year margin would be in a narrow b and?

Angan Guha: So look, Sandeep, it is a manifestation of 2 or 3 things. So first manifestation is you're absolutely correct that our margins this year, obviously, we've degrown. I'm not going to comment on in terms of how much amount of margin can we recover in Q2. But our endeavor will be 2 things. One is, we will execute for our customers, and we will execute for our customers quarter -on-quarter. So execution will be key. The margin delivery is also a manifestation of how much revenue that I can deliver, correct, number 2.
And number 3, it will also depend upon the kind of work that I get from my customers. So look, I mean, last year, we delivered 15.8%. You're absolutely right. I mean, if that's the way you want to model it, you are right. You should model it. But going into Q2, our b ase margin probably is at 13%.
But from there, it will all depend upon how do I grow revenues and what is the kind of work that I do for my customers will determine the margin. Now I can't really give you a guidance in terms of what my margin will be for the year because it is hard to p redict. But I can only say that our endeavor will be, barring the one line item that you called out, will be to improve margins. And if the revenue improves, margin will improve outside of the single line item that you called out.
Sandeep Shah: Okay. And last thing, any commentary on wage hikes when it would be effective?
Angan Guha: So we are looking at it. We have not decided on the timing yet or decide -- we have not decided on the quantum as well. We look at both the timing as well as the quantam as we go forward.
Moderator: Next question is from the line of Dipesh from Emkay Global.
Dipesh: A couple of questions, first on the hiring trend. We added over 500 people in last 2 quarters. So can you give some sense about fresher addition and out of that, how many would be placed, sir?
Second question about the $100 million deal which we signed in Q2 which you earlier also eluded from deal intake perspective. It was supposed to start from April. Sir, 2 -part question t o that. First whether that ramp -up is as scheduled or we are seeing any changes there? And whether cost of equipment, which we have seen lumpiness, any contribution from that deal which is getting ramp -up?
Last question from my side is I think you have provided some sense about the key dealing during the quarter. Now in one of the deal you mentioned worn and executed vendor consideration exercise kind of deal. So whether it is very short cycle where you signed and also started ramping up their deal in the given quarter, if you can give some sen se about the deals signed and h

ow
you expect some of those deals to play out from a medium -term perspective?
Angan Guha: Yes. So Dipesh, look, let me answer the big question that you had about the big deal that we won, and that was supposed to ramp up starting April. So that deal is on track, right? The reason why you're seeing the effect of that deal is because there were s o many other smaller deals that was supposed to give us revenue in Q1 that has got deferred, right, which is why the impact of the large deal is not being clearly seen. But I can assure you that the large deal that we won is really on track, an d we are ramping up.

The BFSI deal that I spoke about last quarter, if you remember, we said that almost 75% of that deal was a renewal deal. So there was no question of ramp -up. People were already there. The 25% of additional business that we won is currently getting ramped up, and the ramp -up will probably complete now, and we will start seeing revenues going forward. So from that standpoint, it is clear. Now as far as the cost of recruitment is concerned, I think we've spoken enough, I've given a clarification. So that sta nds. Your fourth question ?
Kamini Shah: Hiring.
Angan Guha: Hiring, yes, so look, Dipesh, we continue to add people, as you know. And we are adding people not only on billable headcount, but we are also adding people in terms of our sales and marketing area, right? So it is both. But from a billable headcount, a net headcount ad d has gone up. And hopefully, that will start reflecting in revenue going forward.
Dipesh: My question, Angan, was very specific. In 500 addition, how many were freshers? And on the deal also...
Angan Guha: Freshers, you mean?
Dipesh: Yes. Campus recruitment.
Angan Guha: Yes. So look, we don't -- we've not had any campus recruitment, but we've have freshers. And the freshers, the way we define is below one year, and the number is 65.
Dipesh: This is 2 quarters combined? Or you are seeing Q1 number?
Angan Guha: Two quarters combined.
Dipesh: Okay. And the second question was also specific. In terms of $100 million deal, whether cost of equipment is linked to that deal ramp -up?
Angan Guha: It is not. It's a separate deal, Dipesh.
Moderator: The question next is from the line of Vibhor Singhal from Nuvama Equities.
Vibhor Singhal: Angan, just a clarification, I mean, I don't know if you've mentioned this again. The project deferrals that we saw in this quarter and the project completion that we saw in this quarter again, which were probably not -- were able to backfill by the new pr ojects. Most of them will also be Manufacturing segment itself? Or are they kind of spread across other verticals as well?
Angan Guha: So manufacturing, predominantly, a little bit of health care, but mostly manufacturing.
Vibhor Singhal: Got it. Got it. And now to just correlate that. If I see our client's bucket growth, almost all our client bucket growths have seen a very sharp Q -on-Q decline, be it top 5, top 10, top 20, top 5 to 10 or top 10 to 20 also. So I mean, if it was just only m anufacturing clients, which had those projects ramping down and delay in projects of manufacturing ramping up, the decline across all client buckets would not have been so sharp. So anything that I'm missing here in terms of how we correlat e these 2 sets of data?

Angan Guha: No, no. But again, my request is when you look at quarter -on-quarter client mining, that's the wrong way to look at it. You must look at year -on-year, right? And the revenue is really LTM. It's the last 12 months LTM. So from our perspective, when you talk about the top 5, top 10 and top 20 clients, look at our year -on-year performance.
Our year -on-year performance has been 12% growth. And I think the top 10 was roughly about 10% growth and top 20 was about 5.5%

growth. So that, to my mind, is strong performance. Of
course, there will be a quarter -on-quarter seasonality in large clients, it's hard to control that, but year-on-year performance has been strong performance.
Vibhor Singhal: You're trying to say that the client bucket data that we report, that's an LTM data, not a quarterly?
Angan Guha: That is LTM. So if you refer to the sheet, it's already mentioned there.
Vibhor Singhal: Yes. Sorry, I missed that maybe, yes. Okay. So in terms of that -- yes, yes. So basically, what we're trying to say is that the decline and the pickup as well is both limited to the manufacturing vertical. And as it picks up, I think the client buckets wil l also start reflecting that revenue growth as well?

Angan Guha: That is correct. That is correct, yes.
Vibhor Singhal: Got it. Got it. And just my last question on this front again. In terms of the outlook for the BFSI verticals, how are you seeing this vertical turn out for us? I mean, we've had a decent performance in this vertical for quite some time. The commentary by a lot of other peers in the industry have been quite positive in terms of green shoots and signs of recovery. Are we also kind of seeing that as well? And do you expect a change in momentum or let's say, a change in direction or growth mayb e in this sector in the coming quarters?
Angan Guha: Yes. See, look, again, our BFSI business is very -- has been very strong for the last 8 quarters, right? If you look at the 8 -quarter data, BFSI business has continuously grown not only quarter -on-quarter, but year -on-year as well. So in all fairness, now, our BFSI business has also become very large, I mean, given the context, given our company size. So from that perspective, BFSI will continue to grow without a doubt. But do not expect the same kind of growth that we have seen in the past. The growth will moderate, but it is still continue to grow ahead of the industry average. That much we can commit to you. But equally, we will expect the other vertical to also step in and start delivering growth. So from that perspective, it will be very rel ative from our standpoint.
Moderator: The next question is from the line Girish Pai from Bank of Baroda Capital Markets.
Girish Pai: Angan, are you saying that the demand environment is turned to the worse? And is this specific to your company or you're saying it's much more industry -wide?
Angan Guha: So Girish, look, I mean, I can only talk about my company. Generally, from the industry -wide, I mean, you can get the data from Nasscom or the commentary that is coming in from the various company leaders. So demand -wise, we are cautiously optimistic. Noth ing has really changed in the marketplace.

Our Q1 results reflect that some of our customers, a handful of our customers have delayed starting a program, which is reflecting in our Q1 results. But generally, in the industry, the industry is still cautiously optimistic. The weak demand situation has not improved. Over the last 3 or 4 quarters, nothing has really changed on the ground. I can only tell you that our demand pipeline is strong. It is a question of converting the pipeline into orders which will then obviously flow into revenue. So that's w hat we are working on.
Girish Pai: Okay. My second question is these deals that got delayed, any specific verticals that they belong to?
Angan Guha: So again, I mean, it is logically manufacturing because that is where you're seeing the majority of the downturn in terms of revenue. So that is where we really need to step in and start converting those pipeline into deals, Girish.
Girish Pai: And if you kind of dig a little deep in Manufacturing, is there any specific subsector within Manufacturing, which is giving us pain?
Angan Guha: No, I would not classify it like that, Girish. I don't want you to also take away the fac

t that
Manufacturing cannot bounce back. We are very confident that the Manufacturing can actually ounce back. In fact, like I said, even in the month of July, we are seeing positive green shoots. So we would see how that plays out. But we don't really report subsector revenues or subsector pipeline.
But broadly, I can tell you, Manufacturing is where the pain was. We also felt slight amount of pain in the Life Sciences business. But some of the programs, at least in Manufacturing, we are seeing coming back in the month of July.
Girish Pai: So now that 1Q has been weaker than expected, are you still sticking to the statement around you will be among the leaders in industry growth in terms of growth in FY '25?
Angan Guha: So look, again, Girish, this is a very difficult question for me to answer. Clearly, I admit that Q1 was a bad quarter, correct? We could have done better. So Q1 is bad. Our endeavor will be now to focus on Q2 and make Q2 better than Q1. So that's our firs t port of call. So if we execute Q2 well, then I will probably be able to give you a year picture. But quite frankly, now I'm not looking at the year. The entire management team is focused to deliver strong Q2.
Girish Pai: Okay. Lastly, any furlough -related issues in this particular quarter or in the September quarter or in the June quarter that you've seen across your client base?
Angan Guha: We don't see furloughs in 2Q. We only see furloughs in 3Q.
Moderator: The next question comes from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Just one broader strategic question. Since you were joined, there has been really a consistent growth journey within the loss of work history and your volatile growth history. But the last 2 quarters' commentary where we have started executing some of the change request projects, which are small tenure, small deals and now turnkey projects which could be lumpy, don't you

believe we are again moving to a growth profile, which could be slightly unpredictable rather than consistent and that makes us to change our view on the yearly growth quarter after quarter?

Angan Guha: No, no. Sandeep. I don't think you should look at it from that perspective. So let me clarify a couple of things. Look, we will be growth oriented. We will be growth focused. All I'm saying is sometimes your product mix changes. Look, we've always stated. And Sandeep, if y ou remember, last to last quarter when we spoke, we said that we will invest in our Infrastructure business.

And the reason we want to invest in our Infrastructure business is because though infrastructure can be lumpy, but infrastructure can also give us annuity revenue, right? And our Infrastructure business is the smallest business. That contributes about $50 million, $60 million in our $650 million. But as we continue to grow, we want more -- I mean, our revenue stream has to be more homogeneous, right? So we want to grow our Infrastructure business.

And Infrastructure, while in the medium term, you will not make money, but in the longer term, we will make money, which is why you're seeing the shift, correct? From being a more predictable application development kind of business to an application devel opment stroke and Infrastructure business. I mean, that would also have been if we go into, let's say, an engineering business for that matter. But it's an intentional move to get there.

Now getting the predictability back would be our endeavor going forward. As we continue to execute Infrastructure projects, we need to also grow our Digital business. We need to grow our Data business, we need to grow our ERP business, correct, which will give us the predictability. But we are never going to give up on our Infrastructure business because that will be core to our business going forward.

And Sandeep, even if you look at the quarter that went by, why

did we not do well? It was not because of infrastructure being lumpy or otherwise. It was also because some of the ERP work that was supposed to start did not start. We had the people, we could not start the program. As a result, we took cost but we couldn't get revenue. Now had those projects started, Sandeep, then you would have turned around and said you're growing infrastructure and still your revenue is so predictable. So I don't quite bel ieve that predictability has got anything to do with Infrastructure business being lumpy.

Sandeep Shah: And just a follow -up in terms of Data Analytics and Digital, there has been a decline. So is it again led by the manufacturing or health care client or some other clients?

Angan Guha: Yes. So that is more because of Life Sciences business. So we've seen the decline in Life Sciences. But again, I want to decipher our business between Digital and Data Analytics. Digital business has still been strong. But the biggest miss that we've had i s in our Data Analytics business, which we are investing in heavily to get that back into growth.

Sandeep Shah: Okay. Okay. And broadly, are you also positive about the ERP growth outlook? I do agree quarter -on-quarter blip could be there. But earlier, you alluded you are bullish in terms of demand from upgradation especially on -premise to the cloud side being -- I think it's new cloud implementation for the client on the ERP side?

Angan Guha: Yes. So Sandeep, I'm quite bullish. I continue to remain quite bullish on the ERP business. I know the quarter was bad. But we will ramp up growth going forward. Now I don't know when the growth will come back, but it will come back sooner or later. And th e reason I believe that is because our relationship with SAP, our relationship with Oracle has been stronger than it ever has been.

So from that perspective, I think we've got strong relationship with our partners. We've hired great talent, we are working with multiple customers, our pipeline is looking good, and we are winning orders. The only thing is we were not able to start execut ing on that order because customers told us to hold off. But at a fundamental level, I remain bullish on our ERP business.

Moderator: The next question is from the line of Chirag Kachhadiya from Ashika.

Chirag Kachhadiya: Yes. Angan, then just one broad question. Geo -wise, where do you see still concerns are prevailing? And any improvement in any geo you experienced during the quarter? Yes.

Angan Guha: Chirag, you're talking about geography, different geographies?

Chirag Kachhadiya: Yes, yes, different geographies.

Angan Guha: Yes. So look, our North America business, as you know, is our largest business that contributes to about 86%. While the North American business was a little flattish and it had a little bit of a downward trend, we are confident that the business will continue to ramp up going forward, and

we believe our North American busine ss will continue to grow.
The Rest of the World (ROW) business has delivered strong growth in 1Q, and I continue to believe that, that business will continue to deliver strong growth going forward. So I don't see a big difference between the various geographies. But our sharp focus on the geographies that I have called out, Chirag, is where we will focus on.
Chirag Kachhadiya: And if I look at the net client addition , it has declined, so is it like specifical to certain client s?
Angan Guha: Chirag, as you know, I had said this even last quarter, we are cutting tail, right? So last year same time, we were at 285. We're at 258, now. So this number may continue to go down. But you must remember, at any point in time, we will be serving a set of clients. The re will, of course, continue to be tail. But I think around the 250 number is the right number as we speak today at our size. And once we cross $1 bi

llion, we will relook at this number, Chirag.
Chirag Kachhadiya: And when do you see that we will cross through the $1 billion?
Angan Guha: I have no idea. I don't know. I wish I knew, but I don't.
Chirag Kachhadiya: Okay. And the clients which we coupled , can you tell like which verticals they belong to or...
Angan Guha: The new client addition, you mean?
Chirag Kachhadiya: No, no. The client which we are not focusing and that's why we...

Angan Guha: So Chirag, we don't measure it like that, right? I mean, it has not got to do in any vertical. If it is not strategic for us, then we cut the tail. It's not a vertical -based strategy. It is more a company -based strategy.
Chirag Kachhadiya: Okay. And one final question from my side. Net headcount addition we have for the current fiscal?
Angan Guha: Total net headcount addition?
Chirag Kachhadiya: Yes.
Angan Guha: Just one second. You have the data?
Kamini Shah: Yes. We have the data. It's about 300 people quarter -on-quarter that we have...
Angan Guha: Yes, about 300 people quarter -on-quarter, Chirag.
Moderator: The next question is from line of Dipesh Mehta from Emkay Global.
Dipesh Mehta : Just trying to understand, how one should categorize quarter 1 performance? Is it quarterly blip or you are seeing more cautious near -term outlook kind of thing, considering the delay deal ramp -up as well as delay in decision -making, whether it is differen t than what we have seen, let's say, at the end of Q4? So from incremental perspective, whether things are seeing some kind of more portion ?
Second related question is you said Q2 to be better than Q1. Are we confident about Q2 to be positive growth quarter or yet not sure about that to play out kind of thing? And last question, I think in some of the questions you reiterated deal intake kind o f number. Let's say when we look at your deal intake data on TTM basis, which obviously benefit from $100 million large deal, is still 7 percentage -odd growth.
Now for a company of our size, obviously, considering the tenure increase because of focus on large deals, ACV -wise, that growth would be even slower. Now it could have good bearing on the future growth on sustainability kind of thing. So if you can give s ome sense about -- because I think for last couple of quarters, we are indicating deal intake numbers should increase to get confidence on growth sustainability. But somehow it is not playing out. So if you can give your thoughts around it?
Angan Guha: So Dipesh, I remember, we spoke about 2 quarters ago also on this. Let me say this very clearly. Quarter 1 was a blip, and I accept that quarter 1 was bad performance. I mean, we could have done much better in quarter 1. Now is it a manifestation of something deeper? I can tell you, it's not a manifestation of anything deeper. I think we're fundamentally a strong company. We have to execute well. And if we execute well, I think we will deliver a better Q2. Now whether Q2 will be positive growth, how much positive growth, am I confident? Look, we don't give guidance. I don't want to give guidance. I want to focus on execution. And we will continue to execute and see where we reach Q2 at.

Now on the deal win standpoint, like I was saying earlier, deal wins should always be measured year-over -year rather than quarter -over-quarter. So if you look at 2 years ago, we delivered a TCV, if I remember, $868 million. Last year, we delivered $875 million. So that's just a 1% growth in terms of deal signing. So were we happy with it? I personally don't think we were

happy. We should have at least delivered 5% to 7%.
But there's a nuance there. You should also measure the net new deals that we are signing. So this quarter, because you should see the quarter that went by, we delivered $160 million

of
signings. Out of $160 million of signings, $9 4 million was net new So $94 million was net new.
And if you continue to even get to, let's say, I'm just taking a number, let's say, $875 million or $900 million of signings for this year, if my net new is more than 50% -60%, that tells me intuitively that next year will be a goo d growth year.
So Dipesh, there's a lot of analytics behind it. I can't really comment how future will shape up.
But like I said, I think I said in Girish phase, that my our job as the management team is now to deliver Q2 and have a better Q2 and then take it one quarter at a time.
Moderator: The next question is from the line of Harsh Chaurasia from Vallum Capital.
Harsh Chaurasia: So I have two questions, more on the strategic side. So in Q1 FY '24, we talked about like we have very less presence in core banking segment. So could you provide more detail or any update like what's the progress on that thing? And second is you made a statement abou t like we are still investing in Digital business. So can you elaborate more on that? Like where are we investing?
And third would be more from a data side. Like approximately how much would be the Microsoft contribution in our total revenue?
Angan Guha: Yes. So look, Harsh, let me first talk about the core banking bit, right? So I want to make it very clear that, look, we will never ever be a product company, right? As you know that we will drive services, and we will create partnerships along with servic es uptick, right? That's our model.
Currently, we don't have any core banking business, right?
We work with payment companies. We work with mortgage companies. We work with asset management companies, but we don't really work in the core banking area of a bank. Now technically, do we want to start serving a bank on the core banking area? Yes, of cou rse, we want to. But we will work more on the periphery systems rather than the core banking system because we do not have any capability, and I don't think we want to build capability on the core banking side. But we will work on the periphery systems, a nd that is where we are building strong capability. So that's point number 1. Point number 2, you asked about, what was your second question, I'm sorry?
Harsh Chaurasia: My second question is are we still investing in Digital business? I wanted to know like where are these investments going? Like is it sales capability or a hyperscaler relationships. So like can you give more light on this?

Angan Guha: Yes. So look, we've said that we will have 2 large partnerships when it comes to our digital business. So one is clearly, Microsoft. And Microsoft currently is -- and I'm not -- I can't give a number. But Microsoft, safely to say, is almost 20% to 30%, 360 -degree relationship for us. So it's a very large business.
We want to build a strong capability with a couple of other partners. Like on the ERP side, we have partnerships with SAP and Oracle, both strong partnerships. On the cloud side, we want to build a strong relationship with ServiceNow. We are working on it. And those are the 3 or 4 select partners that we will work with.
Now I cannot really comment on hyperscaler based revenue because we don't measure revenues that way. We measure revenue based on partnerships. And I can tell you, Microsoft is a very key partner and we will continue to invest in the Microsoft partnership. On the Digital side, we are investing in all areas. We now have a digital leader who's running our digital data and AI practice.
Under him, we've invested in new salespeople. We are investing in architects, digital architects.
We are investing in domain because it is important for us to understand domain so that we can use technology to solve the customer's domain problem. We've ide ntified 2 domain per vertical that I spoke about last time where we are maki

ng all our investments. So there are a lot of investments that is going on in the digital data as well as the AI business.
Moderator: Next question is from the line of Sudheer Guntupalli from Kotak Mahindra AMC.
Sudheer Guntupalli: So just I think on the Microsoft part, they seem to have indicated on the call that they are seeing a big supply -demand mismatch in the Azure and AI space. So how well are we entrenched in Azure and its adjacen cies? Because historically, whenever they had that demand far exceeding supply, I think their subcontractors or partners always have seen great benefits. So how well are we entrenched in that ecosystem? If you can give us some color?
Angan Guha: Sudheer, we are very well entrenched, which is why when there was a broader comment on

Digital and Data business not doing well, I clarified that our Digital business has actually done well. The issue that we have is on our Data business. And Data business is where we want to invest in. But look, Microsoft is a big partner, we have manifestations with Microsoft around Digital, Data, Infrastructure and everywhere. So I can't really give you specifics because I'm under NDA, but suffice to say that our overall Microsoft business is growing upwards of 20% year-on-year.

Sudheer Guntupalli: Fair enough, Angan. And just a clarification from Kamini. So in your prepared remarks, you essentially said that there is a cost and revenue mismatch, wherein you had people on -boarded but the project got delayed and that has a negative impact on margin. And that was partly offset by the provision reversal. So that interplay , of these 2 factors, you are still seeing has negatively impacted you in the current quarter. Is that a fair assessment?

Angan Guha: Let me answer that question. So what Kamini said to me was, look, we already had staffed up for the programs, right? For t he deals that we had already won, we had staffed up . But we couldn't convert that into revenue because we couldn't start the programs. So we took the cost

of those people, right, whereas to offset them, the item that you're talking about was probably partially offsetting that. But impact of the number of the people that we staffed up with was much more than that line item. That is what Kamini meant, Sudheer.

Kamini Shah: Yes, absolutely, Sudheer.

Sudheer Guntupalli: Yes. Fair enough, Angan. So I just wanted to understand. So the net impact of these 2 is still a negative outcome for you, right? Because you had the first factor bigger than the second one. Then in that case, if I were to tie it back to Sandeep's earlier question of whether we should be looking at 13.1% as the core margins for this quarter, actually, in reality, the margin would have been higher than that number. Is that a fair characterization?

Kamini Shah: Sudheer, it will depend on the way the revenue flow programs start scaling up. When they scale up at full force, then I think we should see the margin come.

Angan Guha: That's right. So Sudheer, look at it is this way. The cost is already there, right? And whichever you look at it, whether margin is 14.7%, 13.1% is your prerogative the way you look at it. But from our perspective, the cost is already there. Now the cost is to convert to revenue. As soon as the revenue comes in, automatically, it will have a benefit on the margins.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of question - and-answer session. I would now like to hand the conference over to Mr. Angan Guha, CEO and Managing Director, Birlasoft Limited, for the closing comment.

Angan Guha: Thank you. Thank you so very much. Look, folks, I would like to thank each one of you for your interest in Birlasoft for the time that you've taken to spend with us today, we remain focused on execution. Our intent has always been to build an organization f

or the long term, which is long -
term sustainability. And we will build and continue to invest in our capabilities.
I look forward to speaking with you again next quarter. In the meanwhile, if you have any questions, please feel free to reach out to Abhinandan for any clarification or feedback. Thank you once again, and have a great evening.

Moderator: On behalf of Birlasoft, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations

Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Oct 2024

October 30, 2024

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Kind Attn: The Manager,
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Kind Attn: The Manager,
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Subject: - Transcript of Earnings Call held on October 23, 202 4.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on October 23, 2024.

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies- reports -filings# , under the head – Quarterly Reports ■ Earnings Call ■ Transcript .

Kindly take the same on record.

Thanking you .
Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No. ACS 9678

Birlasoft Limited Q2 FY25 Earnings Conference Call

6.30pm IST, 23 October 2024

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator : Ladies and gentlemen , good day, and welcome to Birlasoft's Q 2 FY '25 Post results Conference Call.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded .
I now hand the conference over to Mr. Abhinandan Singh, Head – Investor Relations , Birlasoft Limited . Thank you , and over to you, sir.
Abhinandan Singh: Thank you, and welcome folks. By now, you would have received or seen our results. Those are also available on our website, www.birlasoft.com .
Joining me on th is call today are our CEO and MD Mr. Angan Guha and our CFO Ms. Kamini Shah .
As usual, w e will begin the call today with opening remarks from both Angan and Kamini , and then we will open the floor for your questions. But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement and therefore that must be heard or read in conjunction with the disclaimer that appears in our Second Quarter FY’25 investor update, which you would have received and that is also available on our website as well as filed with the stock exchanges .
With that, let me hand over the floor now to Mr. Angan Guha , our CEO and MD. Over to you, Angan.
Angan Guha: Thank you, Abhi. Good evening and good morning to everyone wherever you are and thank you for joining us today as we share some perspectives on our company ’s performance during the second quarter of the current financial year. I trust all of you have seen the results.
With regard to our Q2 performance, I would like to share a few observations. One, we are back to sequential growth in this quarter even as demand conditions continue to be challenging. The strong rebound in our revenue performance during the quarter under review has been led by growth that has been more broad based. So, most of our industry verticals and service lines and accounts have grown. With an improvement in our revenue trajectory, we expect recovery in our margins as the investments start paying in , as we go forw ard. Through all of this, I am pleased to note that we continue to generate very, very strong cash flows .
So, with that , now let me delve into the Q2 performance :
On a year -on-year basis, our revenues for the quarter grew 4.5% in rupee terms, 3.2% in dollar terms. On a quarter -on-quarter basis, our Q2 revenues have grown 3.1% in rupee terms and 2.6% in dollar terms, which really represents a strong rebound in our revenue growth from a Q2

standpoint. Our reported growth has been driven by stronger growth in our core services business because the quantum of pas s-through has been much, much lower in Q2 than it was in Q1 .

The rebound in our revenue performance has been driven by initiation and contribution of several of the delayed projects. As you may recall, we had spoken about it in Q1. Some of the projects had not started. They have started in Q2. And as a result, you are seeing improved growth from a revenue standpoint .

The incremental business is also coming from consolidation deals, which demonstrates our ability to gain wallet share in an operating environment that remains very difficult. Such deals, however, are often needed to be made with upfront investments and flexibility in terms of pricing, which affects margins in the short to medium term. But as the engagements normalize, I am sure you will see an uptick in the margins .

There has been strong growth in our Manufacturing and E&U verticals, along with continued tracti

on in the BFSI business. As you would recall, BFSI has grown strongly for the last seven quarters. And we continue to see strong performance in BFSI as well. Our Life Sciences business has been a struggle. I believe it will continue to be soft for a couple of more quarters before we turn the corner there .

Our margin performance has not been very good. And that is a concern for us , and that is something that we will work on as we go forward in terms of how to improve the margins. We have a lot of levers that we will be speaking about , as we go forward , in order to improve the margins .

The consolidation deals that I have mentioned have witnessed pricing pressure. And it's a natural phenomenon in these businesses , where you start off the business with a lot of investments but as you mature the engagements, it helps us with enhanced margin as we go forward .

Looking forward, the demand environment has not really changed. And what we have seen over the past few quarters actually continue. Our client budgets have not gone down , but it is on a 'hold and wait ' pattern. So, we will have to see how our client spending goes forward with the election looming in the U .S., which is our biggest market. It is a wait and watch for our clients .

Overall, while we do see some green shoots, there might not be too much clarity till the end of the year as things unfold in terms of whether our customers will continue to focus on cost take - outs or start investing in the transformation projects .

While the growth is now back, we expect to continue the growth momentum in the coming quarter. The coming quarter, as you know, is a soft quarter , thanks to furloughs. But we hope the growth momentum will continue. It will take a couple of quarters for us to get the margin back on track . In the coming quarter , because we will be giving a salary hike , there will be a little bit of a dent in terms of how we deliver margins, or we look at margins for 3Q. But we are

very confident that starting 4Q, you will see the margin improving. And over the next subsequent quarters, every quarter, you will see margin improvement going forward .

Our proactive deal pipeline remains very healthy. The customer decision -making is taking a little bit of time, which is reflect ed on our TCV performance. But I strongly feel that in our Q3 and Q4, we will have a better TC V performance than what we have seen in the first half year .

Our deal funnel continues to be very strong. One good silver lining in this entire thing is the fact that almost 50% of our deals that are coming in are either in existing -new or in net -new, which is a positive. And that helps deliver better growth performance as we go forward .

So, with that, I will hand it over to Kamini , our Chief Financial Officer, to share her perspectives of the quarter that is under review. Over to you, Kamini .

Kamini Shah: Thank you, Angan . Good evening, everyone. Thank you for joining us. Let me take you through the financial highlights for the second quarter of the current financial year .

On the Quarter 2 performance, as An gan explained, our performance has been fairly broad - based, with the majority of our verticals and service lines registering sequential growth. You may recall that in the preceding quarter, we had witnessed some deferment of new project ramp - ups in our ERP service line, which had also impacted some of our verticals, Manufacturing in particular. Several of those delayed projects have started to ramp up during the quarter under review, and that is reflected in our financial performance .

Consequently, we have recorded healthy revenue growth during Q2 FY '25 on both a year-on-year basis as well as a quarter -on-quarter basis. Our consolidated revenues grew 2.6% in dollar terms to 163.3 million. In rupee terms, i

t has been Rs 1,368 crore, a sequential growth of 3.1%, and a year -on-year growth of 4.5% .

I am happy to say that the revenues of our top 5, top 10, and top 20 accounts have grown quarter - on-quarter by 3.9%, 2.4%, and 2.3% , respectively. As a result, our top 5, 10, and 20 accounts now contribute 36.7%, 52.5%, and 64.9% , respectively to our total revenues .

Amongst our verticals, both Manufacturing and E&U were up by 4.7% each quarter -on-quarter, while BFSI grew by about 1.4% quarter -on-quarter. The Life Sciences vertical remain ed weak during the quarter under review and we do expect this to return back to growth in a couple of quarters as Angan alluded to .

From an offering standpoint, our ERP business grew by about 4.3% sequentially due to the fact that some of our delayed projects came back on track. Our Digital and Data business that has been under pressure over the preceding couple of quarters has registered a strong rebound and it grew 6.6% quarter -on-quarter . The Infra business which had recorded a very strong growth in the preceding quarter witnessed a sequential drop due to the base effect, but this is expected to be returned to a growth trajectory goi ng forward .

Moving on to the EBITDA performance :

Our EBITDA for the quarter was at $19.7 million versus $23.4 million in the previous quarter and the EBITDA margin stood at about 12.1%. You would recall that in the sequential ly preceding quarter, that is in Q1, there was a onetime benefit of Rs 222 million which ha d been written back. Quarter 2 FY '25 performance reflects the absence of that .

Moreover, as Angan had also spoken about, we have gained some wallet share through consolidation fees that do require some pricing flexibility. These deals tend to be more onsite centric to start with, which is also reflected in our onsite ratio in the current quarter and this becomes a margin lever as our engagements mature .

The investments that we have been making have already started reflecting in increased recognitions of our capabilities in the marketplace. We will continue to make investments as necessary, but we are now focused on driving returns from this investment .

Our PAT stood at about $15.2 million, which is about Rs 1,275 million in rupee terms. Effective tax rate for the quarter has been at about 24.9%. We do expect the ETR for the full year to be in the range of 25 % to 26% .

Coming to some key balance sheet items, our cash and bank balance at the end of Q2 stood at about $221.8 million, which is up by 27.8%. This is after reflecting the payout of $13 million as dividend, which was made in Q2 .

Operating cash flow for the quarter was at about $12.9 million on the back of the sequential improvement in our quarterly collections during Quarter 2 , which stood at $176 million. This has been the highest in the last six quarters .

DSO continues to be a focus area for us. While it was at about 58 days for Q2, this has gone up quarter -on-quarter primarily because of shifting of some collections that came in the first couple of days of October and this will definitely show up in the quarter 3 DSO, which traditionally has been better and in line with our historical levels .

As you would have observed, the Board today has recommended an interim dividend of Rs. 2.50 per share. This reflects our intention to reward shareholders, while also keeping in mind our capital allocation requirements .

In conclusion, I would say that we expect to stay on the growth -oriented trajectory moving forward. We are making investments necessary to ensure that we have a differentiated value proposition in the marketp lace. We will continue to focus on generating strong cash flows with an eye on key performance metrics in order to drive margin recovery. And this will be aided by an upturn in demand condition as and when

this happens .

Thank you very much. Back to you, Abhi .

Abhinandan Singh: Thank you, Kamini. Thanks, Angan . Moderator, let's start with the Q&A session, please .

Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Ravi Menon from Macquarie. Please go ahead .

Ravi Menon: I think we will talk a bit about the onsite increase in revenue about 13 million or so and offshore. Why has it declined by 9 million? I imagine this also had a big impact on the margin . So, Kamini can comment on that ?

Kamini Shah: Yes, you are absolutely right Ravi , because of the shift in the onsite ratio that we have seen in this quarter moving up to almost 51%. And, like we mentioned that a lot of our consolidation deals are largely in the onsite space, and that's the reason why we have had this impact from a margin standpoint .

Ravi Menon: So, over time, we would expect this to shift offshore ? Would this shift offshore over time? Is that what we should expect?

Kamini Shah: Yes, Ravi, that is the intention, which is why I also called that out, right? Typically, in some of these consolidation deals , they start to be more onsite centric , and we do expect that to start

shifting more offshore .
Ravi Menon: That really explains the onsite revenue increase, but offshore, why should this decline?
Kamini Shah: So, there are, I think, some of our engagements that came to an end, Ravi, which is the reason why, but from a ra tio standpoint, and that's the reason you see more of the growth that is coming from an onsite standpoint .
Ravi Menon: And one last follow -up, if I may. The deal wins, we are still a bit below what we were clocking even last year. Thought the demand situation is a bit better . So, Angan , if you could comment on that .
Angan Guha: So, Ravi, first of all, thank you for that question. If you look at our half-year performance on deal flow, we have delivered about $300 million worth of signing. That is obviously lower than what we delivered last year. But that is not such a big concern for us at this point in time, because we have not lost any deals. Some of our decision making of our customers has got pushed out to 3Q and 4Q. So , you will see an uptick in deal flow in 3rd Quarter as well as 4th Quarter .
But the good news in this entire thing is our pipeline is still improving and almost 50% of our deal wins are in the net -new or the existing -new space. So , there are some green shoots there.
But if there are two focus, Ravi, that I would call out in the next six months , it will be improving deal flow and of course, needless to say , improving margin .
Moderator: We will take our next question from the line of Sudheer Guntupalli from Kotak AMC. Please go ahead .

Sudheer Guntupalli: The first question is, I am just trying to understand what your underlying core business growth would have been, given that there is a reduction in the quantum of pass -through compared to last quarter. So , is it fair to say that your core underlying business growth would have been somewhere in the range of 4.5% because there is a 220 -230 basis points of a sequential reduction in pass -through? Is that a correct assessment ?
Angan Guha: Yes. So, Sudheer , well, the way we look at it and pass -through obviously has reduced significantly. So , you are right that the core business , services business would have grown at a faster clip .
But equally, we would love to say that as our Infrastructure business matures, the pass -throughs are not a manifestation of a pass -through in itself. It will be a part of the deal going forward.
So, from that standpoint, a pass -through is also a kind of services. But at a fundamental level, what you are sayin

g is right , Sudheer , that the growth has got rebounded because of the project s starting in the ERP space that Kamini mentioned in her opening remark .
Sudheer Guntupalli: So, I understand that now pass -through has been an integral part for most of the companies. But I was just trying to separate out and see how the underlying business momentum would have been from the previous quarter to this quarter. So , you are saying that it is fairly in the range of that 4 .5% ballpark?
Angan Guha: That's correct. Yes .
Sudheer Guntupalli: And just on this 260 -270 basis points of margin drop, let's say, I think following up on Ravi's question earlier, some impact of it was obviously because of the on -site ramp -up that happened, on-site heavy nature of it. But you also alluded to the word “pricing flexibility ”. So, how much of this 270 bps drop was due to pricing flexibility and how much is because of the early on -site centric of that ramp -up?
Angan Guha: Yes, so Sudheer , let me try and answer that question and maybe then I will hand it over to Kamini for her comments also. So, Sudheer, if you really think about it, right, in quarter 1, we delivered an EBITDA of about 14.7%, correct? Now that obviously had an exceptional item of about 222 million, which we kind of didn't have in Quarter 2 . So, technically , our like -to-like margins would have been at about 13 %-13.1% EBITDA .
Now this quarter we have delivered 12.1% EBITDA, right? So, of that 1 percentage point, 100 basis points drop, probably half of it will be because our revenues have come more on -site, which by nature is lower margin business as a part of the consolidation build , and half of it is because of the pricing flexibility .
But like Kamini said, these are new deals that we are winning. We are helping our customers transition. And over a period of the next two -three quarters, when new deals will mature, you will see the margin coming back .

But equally, Sudheer, I would also take this opportunity to make one more comment. See, we are going ahead with our salary hike in quarter 3. So, really , salary hike will dent our margins by 150 basis points further , but obviously a part of it, we will definitely recover operationally.

So, Q3 will be a muted quarter from a margin standpoint, but Q4 onwards, you will see a clear margin improvement .

I wanted to give you the entire picture, Sudh eer, so that you are clear. But we have a complete program that is running in our company today, where we are looking at every single lever to get the margin back to where it ideally should be, which is our desired levels. And that you will see a lot of effort from the management team starting Q4, because Q3, like I said, it is what it is due to the salary hike. But Q4 onwards, you will see a n uptick in the margins. And then subsequently every quarter, you will see an uptick in margins. Kamini, do you have a comment?

Kamini Shah: No, An gan, I think you have covered it . Sudh eer, I think to a large extent, the focus will be on how all the levers that we have defined, to be able to get the margins back on track. And it's really a combination of, the impact is a combination of being more onsite centric. As we look at more offshoring, I think we will be able to recover that back .

Sudheer Guntupalli: So, Angan, again, just to clarify, so you are saying, if you remove the one-off benefits that you had in the denominator in June quarter, operationally your margins have contracted just 100 basis points this quarter. Despite the very sharp rise in onsite centric nature of the ramp up and some amount of pricing flexibility. So, this operational contraction margin is just 100 basis points.

Angan Guha: Yes, arithmetically that is true, Sudh eer, but obviously, we are not happy. I mean, it's just stating the o

bvious because we would love our, as I had always said in the last year that we wanted our margins to be between the 15, 15 .5 to 16 .5 per cent range. So, we are far away from there . The point I am making is yes, if you were to compare quarter -on-quarter, we have 100 basis points of degradation of margin, but clearly we are nowhere close to the 15 % to 16% range. So, our endeavor is to start improving starting Q4 onwards and then over the next four, five, six quarters, get to our desired levels .

Sudheer Guntupalli: And just one last question, if I may. So, while TCV trends obviously on a year -on-year basis were down, and I know that you don't report on an ACV basis, but internally, when you look at the ACV trends for the H1 on an year -on-year basis, are you very worried? Are you concerned about the growth implication that it may have, or that is broadly in the same ballpark that you might be expecting?

Angan Guha: So, two things, Sudh eer. Our win ratios are anywhere ranging between the 30 % to 32% range at this point in time. Clearly, there is an opportunity to improve the win ratio. Ideally, we want our win ratios to be 35 % to 38%. So, there is an opportunity there, but it is also a manifestation of how the clients are deciding .

Now I can only tell you two things . One, we have not lost a deal to competition, a significant deal. I mean, we would have lost some small little deals here and there, but we have not lost a significant deal. And our pipeline is probably only improving at this point in time .

So, I am not so worried per se, because to add to it, like I said, almost 50% of our order book is now either EN or NN, which also adds to the fact that it gives me a little bit of confidence that the growth momentum will continue in the future quarters .

But Sudh eer, at the end of the day, we aspire to grow order book year -on-year also, which we have not done well . Which is why I said, apart from the revenue growth that we have to absolutely focus on, the two key focus areas for us as a management team is to deliver a strong order book in Q3 and Q4 and start the margin improvement journey, which may not happen in Q3 for obvious reasons, but starting Q4, keep improving quarter -on-quarter so that over the next four, five quarters, we can get to our desired l evel.

Sudheer Guntupalli: And you are actually, despite the impact of furloughs , you seem to be confident about the current growth momentum continuing into Q3 . Is that because of the fact that the ERP seasonally has a good within the quarter every time ? Is that the correct assessment that gives you confidence or is there something else in the pipeline which might be giving you that confidence as well?

Angan Guha: Yes, so, Sudheer, two reasons. One is we are also affected by furloughs , right ? So, I don't want you to take away saying that the growth momentum will be significant. I am only saying the growth momentum is back in Q2 which we missed in Q1. Q1 if you remember , we degrew revenue quarter -on-quarter. So , in Q2 we are back on quarter -on-quarter growth. We will strive to deliver quarter -on-quarter growth even in Q3. Quantum I can't say . It may be a muted quarter overall , but we will still be on the growth trajectory .

Our focus , however , will be to keep investing in our business , which we have always done , and start improving margins starting Q4. But yes, we are relatively comfortable to say that our growth momentum will continue from here on .

Moderator: Next question is from the line of Hasmukh Vishariya from Tata Mutual Fund. Please go ahead.

Hasmukh Vishariya: I have two questions. One is , you have fairly spoken about the deal wins and existing EN or NN component of it , and probably H2 would be better than H1 from deal wins perspective. But can you throw some light in terms of renewa

l rates for you guys?
Angan Guha: So, Hasmukh , again , a very important question. Look, our renewal cycle essentially comes in more in the 3rd quarter and the 4th quarter of the financial year. So, our renewals will be much more than it is in the first and second quarter. So , obviously , our net new and existing new business will be a lower percentage of our overall order book because there will be a lot of renewals that happens typically as a business cycle between October and March , which we will play through .

Now we are discussing this with our clients in terms of the renewal work as we speak. So , I can't really comment whether renewal work will have pricing pressure or not. It is hard for me to say. We are working on it at this point in time , and we will see how we can continue to negotiate with our clients and work with our clients to make sure that we keep renewing our business at healthy margins. So , it is a little bit of a wait and watch , but we will not lose any renewal business , if that is what you are referring to , Hasmukh. We will renew everything. At what price points we renew , we will onl y know as we go through our Q3 and Q4 .
Kamini Shah: And if I may just add on to what you said , Angan . Hasmukh , I think most of our renewals are typically in the second half of the year and we have no indications as of now that there is any concern from a renewal standpoint .
Hasmukh Vishariya: My second question is on your comment that you have not lost any significant deal to competition. So, just wanted to understand whether this has any elements of, let's say, pricing discounts or probably on -site heavy sort of ramp -ups and relatively lower margins in the near term. Does that link to this point, or is it anything else?
Angan Guha: Because we are winning some of the deals which are more consolidation -orientated, in the medium term, you will see pricing pressures, because in the medium term, the revenue is coming from on -site. And over time, as the engagement matures, the revenues will start moving offshore, which will automatically give us higher margins. So, from that perspective, Hasmukh, our on -site revenues are up, which is why you see the margin pressure .
In terms of new deal wins, when I said that we have not lost a deal with anybody, any significant deal, it is also a manifestation of our real estate, right? The deals that we are fighting in our existing clients and deals that we are fighting in our new clients. In that space, in our real estate, we have not lost anything. Some of the deals have got pushed out to future quarters, which we are still tracking on. And we don't see that to be a big concern, because at some point in time, we will close those d eals.
Hasmukh Vishariya: And my last question is on the ERP front . So, we have seen companies talking about the traction coming in the ERP front, be it SAP, Oracle, or any other ERP system, right? But if I look at your deal wins, your growth, that traction doesn't look in your numbers. So, any clarification there?
Angan Guha: Yes, Hasmukh, one is , our ERP business has grown in this quarter. Now, I am not saying whether we are happy with that growth or not, because just like you alluded, there is an enormous opportunity in the ERP space going forward based on everything that we have heard from both SAP and Oracle. So, we want to capitalize on that opportunity. So, we are putting in place a proper strategy to win more deals there .
Our pipeline on the ERP side is looking up. Q2, we have seen growth. Q3, seasonally, it's a weak quarter, so it will be muted. But I am reasonably confident that Q4 also, you will see good growth in the ERP business.

Moderator: We will take our next question from the line of Dipesh Mehta

from Emkay . Please go ahead .
Dipesh Mehta: Couple of questions. Angan, you highlight ed a couple of times some of the factors which weigh on the performance . And deal intake I think for last few quarters , we expected it to improve – so far not improve d. So, progress on some of these improvement measures is not progressing to the extent which we might have anticipated a few quarters there . So, can you help us understand how much of it is because of external factors and how much would be because of internal factors, which you can course -correct and which you have identified , and let's say , steps taken to improve on those parameters , if you can give some broad sense around it ?
Second related question is also on margin side because our aspirational range is much higher than where we are currently operating . So, if you can provide some color around those things from medium -term perspective ? And last question is about …..maybe if you can answer th ese, and then I have one follow -up.

Angan Guha: Dipesh, I will give you my point of view and then I will ask Kamini also to add in. So, Dipesh, the reality is that in quarter 1 and quarter 2 , we have not delivered on our margin goals. That is the reality . But we have a clear plan that has got outlined .

Now, you know, I can't discuss the plan in too much detail, but suffice to say there are 3 or 4 areas that we will definitely look at which are more internal . So, one is clearly the onsite and offshore ratio. Like we said a little while ago, our onsite revenues have gone up. Over time , as there is maturity in the engagement s, we are very confident and we have done it in the past , so that gives me confidence that the team will be able to execute well, move more revenues offshore and automatically , the margins for those engagements will start looking up. So , clearly , onsite - offshore ratio is one area .

The second big lever for us is in terms of our utilization. Our utilization is off from the peak. Our peak utilization was at a much different level and our endeavor would be to continue to drive utilization upward. So , that will also give us another lever for margin improvement .

As a part of regular business, course of business, we are also looking at working with our customers. Though we have pricing pressure on the new deals in our existing book of work , where we have served customers for the last 4 years, 5 years, 6 years we are going to customers to see if we can get some pricing enhancements with those customers. Not enhancements for all our colleagues in that particular project, but some of the very senior colleagues. So , that is another lever that we will use .

And finally , our quality of revenue. Though our Infrastructure business is looking up slightly, but you have seen our Digital business also grow. So , as a part of our digital business t hrust, our quality of revenue will significantly improve .

So, these are the three or four levers that , Dipesh , we are very confident of implementing to get the margins back to where we want it to be. The only reason I say that Q3 will, in a matter of sense, be muted is because we will give a salary hike. And like I clearly pointed out, that will have 150 basis points impact on our margins. But of course, we will recover . We will try and recover part of it or most of it as we go forward . We will see how that goes. But Q4 onwards, you clearly see a margin improvement .

Now, when you win deals, we also have to gain market share, which we are gaining. Some of these deal margins will come up as you go forward, which is why I said , Dipesh, you must give us a couple of more quarters to really see the margin turn around. And over the next four, five, six quarters, you will see the margin bounce back to the levels that we were in, let's say Q3 and Q4 of last year .

Dipesh

Mehta: So, similar question on revenue side and deal intake side . You addressed it well on the margin side. If you can help us understand, because your deal intake continues to remain muted, revenue growth is also, let's say, this quarter is decent, but if I look Y-o-Y, it is still weaker if I put that in context of 100 million deal, which started ramping from April . So, two -part question. First, 100 million deal, whether ramp -up is there on schedule ? And the second thing is, despite the 100 million deal, growth is muted . If you can address it, thanks .

Angan Guha: So, Dipesh, again, a great question. First of all, the $100 million deal is on schedule. And one more thing I want to state, Dipesh . Structurally, there is no issue, neither with our clients nor with us . It is only a matter of seasonality in terms of when we win a new deal, at our size of the business, how much time will it take me to turn that into profit .

So, with that backdrop, let me talk a little bit about the revenue. We have grown revenues seven quarters in a row till the last quarter, where we de -grew revenues. And this quarter, we have bounced back on revenue growth. I am reasonably confident that the revenue growth will continue .

Now, Q3, again, let me state this upfront, is going to be a muted quarter because of seasonality. But you will see growth in Q4 for sure, and even in Q3 to a very large extent. So, from my standpoint, the growth momentum will continue .

Now, the order book, and I will tell you why . There is a scientific analysis there. Though my order book is being muted, like Kamini also suggested a little while ago, most of my renewals happen in Q3 and Q4. So, in Q1 and Q2, a large part of our order intake has been net new, which will obviously give some growth momentum going forward .

Now, the trick though, Dipesh, I will admit that apart from renewing our existing book of work, which we do in Q3 and Q4, we have to win more net new deals in Q3 and Q4 also. If we can make that happen, then one can confidently say that not only Q3 and Q4, but Q1 and Q2 of next year will also show good revenue growth .

Dipesh Mehta: Last question related is, whether it requires some course correction to improve it, or do you think current way of operation is sufficient for us to deliver desired results?
Angan Guha: No, so Dipesh, we always look at ways to improve. We don't need to course -correct. We are set on a course . We have identified the areas that we want to focus in and we are firmly on our way to building a great business. We don't need to course -correct on anything, but there are a lot of areas of improvement .
For example, our sales cycle needs to improve . We are investing in that . Our capabilities need to continue to be stronger . We will invest in that. We have created a Rest of the World business . We want to invest in that and start growing businesses in those areas. So, lot of these small little areas that we need to invest and grow. Our Life Sciences business has not delivered for the last three quarters . That has to come back to growth .
So, the overall strategy of the company remains the same . There is no change there, but we definitely need to course -correct in these small little areas where we need to double -down on our investment .
Now Dipesh, one of the questions that you asked me on margins, we have over -invested , in my mind , in capability building, but our investments will not stop. We will continue to build on this investment and as we build this investment, these investments have to deliver results to us and that is what we will very closely monitor going forward that w hether these investments that we have already made or we will continue to make in the future, what returns are they delivering to us and that is also another big lever we are looking at,

Dipesh .
Moderator: Thank you. We will take our next question from the line of Sandeep Shah from Equirus Securities . Please go ahead .
Sandeep Shah: Angan, just wanted to understand what has made you go so aggressive in terms of a vendor consolidation deal because in the last six quarters, we were investing, we were expecting the growth to remain better on a Y -o-Y basis which we have delivered in the first four quarters. So, is it some portfolio specific issue, client specific issue which makes you compelled to go on vendor consolidation deal s and take the margin to 10% which is multi -quarter low?
Angan Guha: First of all, Sandeep, let me start by saying we are not proud of the margin situation that we are in today. I mean, we definitely want to get the margins to our desired levels, which I have consistently maintained at 15 % to 16%. So , are we comfortable? Are we happy where we are at the margin levels? We are not happy. And it is my commitment to you , and when I say my commitment I mean the entire management team's commitment , that we will over time get the margins back to where it should be .
But let me answer the question that you asked, which is a very pertinent question. See, we grew six quarters in a row, quarter -on-quarter. Now, the consolidation deals are important, Sandeep,

because we also need revenue certainty , right? As the world becomes much more, how do I say it, it's very difficult to predict, unpredictable , it is important for me also to start winning some annuity kind of business. And as you focus on annuity business, Sandeep, you know that in any case, that in the first couple of quarters, it is about investment, it is about knowledge transfer till those investments mature, and then you can start making money .
So, it is important because look, Sandeep, I mean, I understand what you are saying that, you know, what was the need of going after consolidation deals when we had a high margin and a reasonable growth business. But remember, Sandeep, we are not here for quarter -on-quarter . Quarter -on-quarter is important, but we have to build a business for the next decade, if you will. And unless I pivot the company to build more annuity kind of work, we will never ever get there . But the trick, Sandeep, would be to continue winning consolidation deals, but also start winning much more digital deals, transformational deals. And as you know, because of the uncertainty, there are not too many transformation deals on the table. There is tremendous uncertainty in the market .
So, in an ideal world, Sandeep, I would like to win many more transformation deals in our customers, especially in the Life Sciences and the BFSI space, as we start winning market share on the consolidation bit . So, I agree with you, it is a couple of quarters of dip in margins, but when I look at the long -term goals and the long -term picture, you will realize that it is a sound strategy .
Sandeep Shah: So, Angan, any number you would like to throw in terms of percentage annuity business versus project base today versus when you joined?
Angan Guha: No, we don't want to give a view like that at this point in time, Sandeep, only because some of these deals we have just won . We are just about to work on building on those deals. But give us a couple of quarters . Then we will clearly call out in terms of what will be our annuity business be, which will be a part of our quality of revenue, right? How am I moving the quality of revenue

from more staff outage to more an nuity work ? So, at some point in time , we will come back on
that, not that we d on't have the figures today , but it is more of a foundational level today . So, in
a couple of quarters , we will be back with those statistics as well .
Sandeep Shah: So, in this journey from taking a vendor consolidation deal to improve the an nuity, don

't you
believe a margin aspiration which you still have at 15 % to 16% would be difficult because these
vendor consolidation deals are more competitive and in that scenario , this aspiration of 15 % to
16% could be difficult ?
Angan Guha: Sandeep, I wouldn't say that , and I will tell you why I wouldn't say that . Look , it may take time
for me. Okay . It may take longer than expected , but the reason why we want to keep that margin
profile going is because it is not that we want to build our company only on consolidation deals .

Consolidation deals will be a part of our business from a market share perspective , but we also
want to build a great Digital business , a great Data business , and that business is also growing .
I don't know if you realize this , but I am sure you do , our Digital and Data business has also
grown to become almost $250-$280 million , right ? So, I am not so worried that we will not win
Digital and Data. So, if I were to win more consolidation deals and make more money in the
digital deals that we will continue to win , I think we can balance the margins out . Now , can I get
to a 15% margin two quarters out ? The answer is no , but over period of time , is that my
aspiration ? It absolutely is , and we will drive towards that .
Sandeep Shah: Just to follow , in the earlier reply , you said we may touch the margins of 3Q and 4Q of FY '24
after four to six quarters . Is it, I have heard correctly ?
Angan Guha: That is our aspiration . Now we have to see . In today's market , Sandeep, it is very hard to predict
what is going to happen five quarters out , but I can only say two things , Sandeep. One, after Q3 ,
which will be our absolute bottom because of the salary hi ke, Q4 onwards we will start
improving margins and Q4 , Q1, Q2, Q3 the next four quarters you will see our margin uptick
coming in because by the time all the deals that I and Kamini spoke about will also mature and
the margin uptick will happen . Now , when will I get to our Q4 levels which was at 16 , 15.8 to
16.3 per cent , that is hard for me to say . It's too volatile for me to comment on that, Sandeep, at
this stage .
Sandeep Shah: And the last question , despite core services growth being higher , why has the utilization just
gone up by 3 0 bps? Because this time the growth is more through services and less through pass -
through .
Angan Guha: So, Kam ini, would you take that question , please?
Kamini Shah: So, Sandeep, I think that's largely because of the fact that some of our revenue growth has come
through, as you mentioned earlier , consolidation deals, and a lot of it has been done also through
subcontracting agencies that we have worked with, which will not get reflected in our utilization
to that effect . So, that's the reason why you would probably see the utilization only at a margin al
increase .
Sandeep Shah: So, Kamini, in that scenario , if these deals move from onsite to offshore , even subcontracting
cost will come down ?
Kamini Shah: Yes, that's the expectation as we start replacing these people with our own employees . Yes, we
would expect this cost to come down , Sandeep .
Sandeep Shah: Just any color in terms of what was this sub-con cost in 1Q and 2Q FY '25?
Kamini Shah: So, Sandeep, we don't give specifics regarding that . But it's definitely a lever on which we will
work on .

Sandeep Shah: Go ahead, Angan.
Angan Guha: I was saying , Sandeep, that is the point that Kamini was making . As these deals mature and the
work moves from onsite to offshore , offshore becomes a far more higher leverage for margin
improvement . That was the only point I was ma king.
Moderator: We will take our next question from the line of Shradha Agrawal from AMSEC . Please go ahead .
Shradha Agrawal : Two questions , Angan. First is, we have see

n that our on -site mix has improved by some 700
bps and despite that , revenue has grown by only 2% . So, I just wanted to check the underlying
volume growth because much of the revenue growth seems to be led by shift in business towards
onsite?
Angan Guha: Shradha, it is not that we have shifted work from India to the U .S. It is a manifestation of the
deal wins that we have had . The newer deal ramp up have been more on site , correct ? Now the

reason why our revenue growth has been 2.6% quarter -on-quarter , whereas the on -site ratios have gone up higher , it is only because there are certain projects that have also come to a closure . So, you have to look at from that perspective , but clearly like K amini said, from a margin improvement standpoint , over time we would like to improve our offshore ratios to get back .

Kamini Shah: And Shradha, if I can just add to what Angan said, in the last quarter we had some element of pass through revenue that we spoke about which were more offshore cent ric, and I think that has also played a role in terms of our on -site being a little lower in last quarter from a ratio standpoint . Which is why I think you shouldn't compare it directly . If you look at our previous quarter s trend , I think the differential would be we were operating at about 46 %, 48% levels , and that's probably what's gone up to about 50%-51% that you see this time. I hope t hat clarifie s.

Shradha Agrawal : Is it also to do , Kamini, with the fact that probably our on-roll employee growth has seen a decline whereas revenue growth this quarter would have been led by an increase in subcontractors ?

Kamini Shah: I think it would be a combination of both , Shradha, because a lot of the consolidation deals do involve taking over of subcontracting parties that are based onsite , and that's the reason why you would see that .

Shradha Agrawal : And secondly , when I look at the sales and support headcount , that has also seen a decline of almost 10% sequentially . So, just to get clarity out here , is it more of support staff rationalization or are we consciously looking at some sales headcount rationalization as well ?

Kamini Shah: Shradha, right now our focus is a lot on support staff optimization that you see over here at this point of time . Like Angan said, I think we continue to invest in sales, both general and specialist sales . So, I don't think that's an area of investment that we would cut back on . We are looking at optimization all the time , in terms of how we do a lot more automation in our existing processes that will enable us to reduce headcount associated with that .

Shradha Agrawal : And just last question . Angan, you have been mentioning that the deal pipeline looks quite strong and robust. So, any characterization in terms of what is the mix of small or large de als, or is it still more of vendor consolid ation deals in the pipeline , or do you see more of transformational - led deals with some improvement in the macro environment ? So, just some characterization on the deal s pipeline would be helpful .

Angan Guha: So, Shradha, our deal pipeline is definitely strong , and it is improving quarter -on-quarter . I feel that the answer to your question will only lie after the stability comes in . Now , if the cost of doing business for our customers become s higher going forward depending upon the outcome of the election results , I see more cost optimization deals back on the table .

Now , Shradha, I don't want you to take away the fact that cost optimization deals are margin diluters . They may be margin diluter in the medium term , but in the long term , they can definitely deliver a lot more margins for us as we go forward . So, consolidation deals are not a bad word . It is, in fact , good that we will be winning market share .

So, currently , the deal s that we have on table i

s really 50/50 . We have got 50% transformation deals . We have got 50% vendor consolidation deals . But these deals have to convert . Even the transformation deals are m arquee deals . We are doing some great work with our E&U customers , with our BFSI customers . There are some really , really good work and good deals on the table . The issue is when will the stability happen and those deals convert ? If some of those convert in Q3, you will see the deal flows , one, improving , but the quality of those deals will also be far better than just doing consolidation , Shradha. So, we will wait and watch. We are hopeful that some of them will convert in Q3 .

Moderator: Next question is from the line of Manik Taneja from A xis Capital. Please go ahead .

Manik Taneja: Angan, I just wanted to get your thoughts with regards to something that you have emphasized since you came on board. You have been talking about significant focus on in -quarter execution and bringing credibility to the company. But what we have seen play out over the course of the last couple of quarters is things unraveling quite sharply. So , essentially, would you want to give us some sense as to what adverse things may have happened at an internal or within the organization level, given th e fact that from a macro -backdrop standpoint, FY '2 4 was equally bad, but you ended up delivering reasonably well , and now we have seen this unravel . So, would be great to understand what challenges you face internally because of which the performance has taken such a big hit?

Angan Guha: Manik, I will be as brutally honest as I possibly can on this question. It's a very important question. I am not worried about our execution capability. We have got a strong team. Our teams can execute. And I feel very confident that we have the right team to execute. Now, of course, we will look at people based on performance. If people do not deliver, then we obviously will get new leaders in. But by and large, I am pretty confident that the team that we have on the ground can deliver. But look, we will continue to make that investment. So , I wanted to get that out of the way to begin with .

So, Manik, look, last seven quarters, we have executed significantly well. So , what went wrong in the last two quarters? And I will say that we are not very proud of it . In the last two quarters, we focused on winning some deals from a market share standpoint, which is basically Infrastructure deals, which give us long term revenue, certainty, etc .

Now, like I was probably answering Dipesh, I could have taken a call that we will not do those deals at all, we will stay out of it. But then, at some point in time, my growth trajectory would have stopped, Manik, because the market is getting incredibly volatile, as well as competitive, and I need to win market share .

Now, as you win deals of this nature, you know, traditionally these deals, you will have to invest in them before you can start seeing returns. And that is what has happened. That is why you see the last two quarters being very unpredictable. And it is also a manifestation of how our clients perform . Say for instance, Q1. Why did our revenue shrink? Because the deals that we had won, our customers did not ramp them up. As a result, we could not get revenues in Q1. That has come back in Q2.

Similarly, now the deals that we won on the Infra space or the other consolidation space eventually will start delivering margins as well. So, Manik, in an ideal world, I would have loved to say that I will always be predictable. But a couple of quarters, you have situations like that. We are not proud of it. But we don 't want to be defensive on it. My job is to create more predictability. I understand that. And we will create more predictability going forward .

But Manik, I will also say th

is. Even in the future, will there be a couple of quarters where there will be a little bit of unpredictability? It will happen , because the markets are very volatile. But our job now going forward is to be very predictable over the next 6, 7, 8, 9 quarters so that investors like yourself also get a view on it. But there will be, I will admit, there will be a couple of quarters in between when the unpredictability will be there. But I do not for one moment doubt the execution c apability of the team. That I think is strong. Equally, like I said, we are a performance -oriented organization. If people do not deliver, we will make necessary changes .

Manik Taneja: Appreciate that input. Angan, a couple of clarification questions. Given the challenging demand that you have spoken about, do we probably see a rehash of our strategy around cutting the long tail of customers? That is question number one.

The second question was a bookkeeping question around the sales and support headcount. This number had gone up sharply between Q4 of last year to Q1 of FY '25 and then once again has come back to a similar level in the current quarter. What explains these quarterly changes on this headcount, on this metric?

Angan Guha: I will answer the first question. The second question I will probably ask Kamini to comment on. So, look, we are on an endeavor to cut our tail. We have done a lot, but given the circumstances like you have rightly pointed out, Manik, we will do even more.

My original thought was that we were at an optimal level, but with the market uncertainty and with the way things are happening in the world, I feel we have more possibility to cut down the tail and so the team has a plan in place to reduce the tail even further. So, we will be on it because that also has a manifestation of redeploying our human capital for growth rather than for sustenance . So, that we will continue to do.

On the SG &A, I will hand it over to K amini for Kamini's comments .

Kamini Shah: Thank you , Angan. So, Manik , while it does appear to be that in one quarter the headcounts go ne up and come down in the next quarter, it is primarily because of two reasons . The reason the headcounts went up is, a couple of quarters we have spoken about our investment in our tech transformation internally within Birlasoft, w hat we call ed Project Optimus , where we had actually started ra mping headcount on that project and that continues .

The reduction this quarter that has happened has been in other areas where we have started optimizing some of our support staff in areas that have been automated and as we are realizing the benefits out of that. So , I think that there are two different and distinct ev ents while it appears to have happened quarter -on-quarter .

Moderator: Next question is from the line of Vibhor Singhal from Nuvama Equities . Please go ahead .

Vibhor Singhal: And Angan, real appreciation from my side, I think you have taken real trouble to explain the situation that the company is in. I really appreciate . I think the company, as you rightly said, I think there will be volatile quarters here and there. And amidst that, a company o r the management should not lose the long -term goal that they are after. So , I completely appreciate that. But I have a more strategic question, which is not related to just one or two quarters, but from a longer -term point of view .

Now, we have been saying that the last two quarters have been weak in terms of TCV. But if I look at our FY '24 TCV also, that was also up only 1% Y-on-Y. So , actually, if you look at it, if you compare the numbers from FY '23 onwards, our de al close for the past six quarters have not been that great or have been quite modest. And in that, we have also taken some vendor consolidation and infrastructure deals, which have basical

ly impacted our margin .

So, if I remove those deals , the deal wins in our core area, which was transformation projects and all, that has been pretty weak, so to speak . So, is it that these kind of deals have dried up or is it that we are not able to match up as to what exactly is required in those kind of deals? And when do you think this situation can change over the course of, let's say, maybe two, three, four, whatever quarter s, whatever time that it takes? And then I have a follow up to that question .

Angan Guha: Vibhor , first of all, I think your analysis was spot on, so, last year, if you look at it, our order signings were just 1% growth over the previous year, FY '24 over FY '23. So , clearly , that was a cause of concern .

But even though that happened, if you look at our net new and existing new business , that has shown reasonable traction, which is why , barring Q1, we are able to show growth in Q2 and hopefully in Q3, though Q3 is a muted quarter again, but definitely in Q4 . So, that is a manifestation of the fact that though the overall deal flow may be soft, but at least the net new is going up. So , that's number one .

Number two, are we happy with the situation of our deal signings? Absolutely not. There is a lot of focus within the company as a part of the management team to drive the deals up. So , hopefully Q3 and Q4 will be better .

But in the longer term, there are two points that I want to make , Vibhor . See, we have the pipeline . That I am absolutely certain about. The pipeline also has a large number of transformation projects that we are working on. Apart from , we are also working a lot of vendor consolidation projects .

There are two issues in the market though. The real estate that is our current real estate, I can't talk about the market in general, but in our current real estate, our deal signings are getting delayed .

Now, not that our customers that we serve are in financial trouble or anything. I mean, they are very strong financially, but it's a wait and watch model in our customer real estate in terms of how the election results will pan out. And hopefully after that, the things will start looking up and start looking better .

Our dream is to deliver growth on order book even this year, though it is going to be a very tall order because in the first half year, we have delivered only 300 millions of signings and I really need to deliver more than 550 million in the next two quarters even to show growth. But we will endeavor to do that because at the end of the day, if those deals close, we can really make it happen .

But in the longer term, once the election cycle is over, I think, bas is on what I know today, based on all my customer interactions, the transformation projects will be back on the table. Typically, after an election cycle happens in the U .S., since almost 86 %-87% of our business is in the U .S., it'll take a lag of about six months, but I am sure that all the transformation projects will be back on the table .

But equally , Vibhor, we have put a lot of investments in Europe and in Asia and under Manju's leadership, who's our leader for the Rest of the World (ROW) , we are now starting to at least get pipeline in the table, which are more transformation in nature, rather than vendor consolidation

in nature. So , it will take me about six -seven quarters to get the deal flow right, but we are in the right trajectory and we are in the right direction , Vibhor .

Vibhor Singhal: Just a follow up to that, Angan. I mean, at this point of time from a near -term point of view, it appears that we have got into a kind of a vicious loop. We are chasing, I mean, we got maybe one or two infrastructure consolidation deals because of which our margins have fallen from

14% to 10% this quarter. And maybe next quarter, because of wage hike will probably come to maybe some single -digit numbers .

On one hand, just one or two deals have taken our margins to this. And now we are actually looking to expand margins next year because most of these projects will move from onsite to offshore, but at the same time , we are ch asing more deals in the consolidation and the infrastructure space in which the year one itself will be margin dilutive . So, that will be kind of a recurring phenomenon for us. If we don't go for those deals, our TC V growth will be muted, so our revenue growth won't come. But if we go for those deals, they will be margin dilutive and our margins won't come. So , I think it's become a kind of a judgment call on , let's say , a call that we have to make , a dilemma between whether we go fo r revenue growth or margins, because it appears from the current scenario in the near term, it is difficult to achieve more .

Angan Guha: No, no, but Vibhor , and again, I will not debate what you are saying, I think you are saying the right thing. But Vib hor, look at it from our perspective as a management team, right? Our job is to focus on all the three parameters, revenue, margins, as well as order book , all three parameters .

Now the trick would be to kind of deliver margins through our existing program, drive a lot of efficiency, cut costs in our existing program s, and still continue to deliver to our clients, cutting the tail. And I think we have enough and more opportunities to improve margins there .

But clearly, I am going to go after market share . I am going to win deals at slightly lower margins in the market. But if I am being able to balance that out, and Vib hor, and again, I can't tell you everything that we are running within the company in terms of initiatives, but I am reasonably confident that I can win market share through the vendor consolidation deals . I can win more Digital and Data deals as well, as the markets turn .

Equally, there is a lot of opportunities of cutting the tail, optimizing my cost . Project Optim us that Kamini spoke about will contribute over the next three -four quarters to cost takeout . All of these initiative s will come together .

I know what you are saying in the medium term, it may look like that. But you know, we don't see it like that. Because end of the day , it's not a question of one quarter or two quarters or three quarters . I want to clearly win market share, deliver a lot of growth and still maintain the mar gin band .

Now, you are right , I mean, in the medium term, it may look like that. But we in the management team are pretty focused on the long -term goal .

Vibhor Singhal: Appreciate that detail ed explanation. And I hope the management continues to focus on the long-term growth. I think that is what w ill probably deliver value to the shareholders also .

Moderator: We will take a next question from the line of An mol Garg from DAM Capital . Please go ahead .

Anmol Garg: So, couple of things firstly wanted to understand what is the size of the vendor consolidation deals that we are talking about , because these deals generally tend to be longer in sizes ? And if you can also talk about what kind of vendors which we are consolidating these deals from and what is the typical nature of such deals ?

Angan Guha: So, Anmol, I can't tell you which vendors we are consolidating from because that is really confidential information, but th ese deal sizes range from anywhere between $10 million to $30 million. But there is a small change , Anmol . You know , in today's world, the long -tenure deals are pretty much over. I don't think there is any customer who's going to come to the table and find a five -year deal . So, we are also seeing consolidation deals from a one -year to a three -year perspective . Bu

t I can't talk about who we are consolidating from etc. Because that will be pretty confidential information , Anmol .

Anmol Garg: And like you said that these deals are typically not that longer in duration, so would you say that the revenue conversion in such deals would be much faster?

Angan Guha: Not necessarily. See, again it's very difficult for me to answer that question , Anmol , because it depends upon client to client . In certain client situations, yes, what you are saying is right. In certain client situation , they may have signed up for a year, but with a confirmed extension going forward. And you also must understand, Anmol, why customers are signing deals for a lesser tenure than a longer tenure today. It is only because of the uncertainty .

The same reasons why large mega deals are not yet on the table, the deals are becoming smaller, is the same reason why the tenure is also becoming smaller. So, we will have to see how that plays out , Anmol. It's hard for me to answer that question specifically .

Anmol Garg: And just one last thing is that we are talking about a lot of winning more vendor consolidation deals going forward and like you said that these deals are typically $10 million to $30 million in size or maybe even bigger. So , from that perspective , can we expect that overall the TCV for the company can get relatively better from here on and can even get bigger upwards of $250 million or so?

Angan Guha: Yes, so Anmol, look, first of all, I don't again want any of you to feel that we will only run the company on vendor consolidation deal s. That's not what I have said. I said vendor consolidation deal will be a part of my overall deal flow, maybe 30%, 40% to 50%, but I will also win 50% transformation deals .

It's only taking a little bit of time because of the seasonality and the uncertainty there in the market, but we are also winning our fair share of transformation deals. Otherwise, you know my discussion with Vib hor and Manik, I will never be able to get the margins up to my desired levels if I don't win transformation deals .
So, for one moment, please don't take away the fact that we are only focused on vendor consolidation deals. We will definitely do vendor consolidation deals, but we will do transformation deals as well. So, that's number two .
Kamini Shah: I was just about to say to Anmol , yes it makes sense for us to do only consolidation deals where it is strategic and where we are able to actually integrate sideways in terms of the opportunities and that gives more play to the areas that Angan spoke about in the digital space, right? So, I think it will essentially be a strategic call. It's not that we are going to be looking at vendor consolidation for every opportunity. I just wanted to call that out . Given the fact that you shouldn't take away anything else from what we are trying to do. Sorry, An gan. Please go ahead .
Angan Guha: So, the second question, Anmol, in terms of whether we can get to a 250 million per quarter deal signing, that's our dream. We want to get into that mode so that every quarter we can sign $250 million. I don't know whether Q3 can be that. It's a short quarter, but do we want to attempt to get to 250 million of deal signings in 4Q? Absolutely. That's our goal. But we will see. We will see how Q3 converts and then we will start focusing on Q4 .
Moderator: We will take our next question from the line of A ayush Rastogi from B&K Securities. Please go ahead.
Aayush Rastogi : So, just a couple of questions. So, if I recall it later, so last quarter, before the last quarter, we were chasing the shorter -term deals and now we are chasing the vendor consolidation deals . So, is it true to understand that we are chasing growth on the back of margins right now and sacrificing to just get the growth wh

erever we are seeing the opportunity ? That's the first question .
The second question is that why we are facing the pricing headwind ? Because if we see the commentary of the larger peers or maybe the mid -cap peers of ours, there has not been such negative commentary on the pricing side. So, is it something that has to do with the capabilities that we are having in or what's the rationale behind that we are having some of the pricing pressure in the consolidation deal?
Angan Guha: First of all, sorry, could you repeat your first question again, A ayush. I got confused with your second question. Repeat the first question .
Aayush Rastogi : So, first question was that if we recall it better, so last quarter to last quarter, we were kind of chasing the shorter -term deals, we were seeing kind of an uptick. So, we got the growth from there onwards and in this quarter, we are highlighting that we are chasing kind of the

consolidation deals. So, is it some kind of a change in its strategy is there that we are ready to sacrifice the margin to just to obtain the growth or the opportunities that are available in the market?
Angan Guha: No, no , Aayush, I don't think or agree with that at all. Even our shorter -term deals, which we did last year and you must also realize when we talked about shorter -term deals, it was pertaining to our clients. When our clients had shorter -term projects, we came in to help our clients execute those projects. Those projects necessarily did not mean they were low margin projects. They were domain related projects. They were technology related projects. We made good money and we helped our clients. Our clients wanted us to come in and execute a particular program in a fixed period of time, which we did. We made our money. So , it was not margin dilutive .
The vendor consolidation deals are also not margin dilutive. It is only the timing issue that when you do a vendor consolidation deal, you take over people, etc. For the medium term, you will see pricing pressures and margin pressures. But over time, when you start moving work offshore like Kamini spoke about, you drive a lot of efficiencies within the program, productivity gains you get, you will be able to get the margins back on track .
So, we absolutely do not want to chase growth and sacrifice margins. That's not our strategy at all. We will be a growth -oriented business , and we strongly feel that if we can drive our investments and get return on our investments well, if we can do that part well and we are on the journey of doing that, revenue growth will automatically deliver more margins because then the operating leverage kicks in. So , we are very focused on revenue growth, which is profitable growth , Aayush . So, I do not want you to think about us as a company that will do growth at whatever cost by sacrificing margin. Far from it. We want to build a healthy growth business with a reasonable margin profile .

Kamini Shah: And Angan , if I can add to what you said . Aayush , like I mentioned earlier also, see our consolidation deals are not going to be a large part of the growth or the TCV that we will be going behind, right? It will make sense for us to only look at those part of the deals which give us integration opportunities to grab a larger wallet share. So, it will be very strategic in nature. I want to re -emphasize that so that it becomes very important for us to understand as to why we are doing some of the se and not because we just want to grab some revenue at this point of time. I think that is the kind of view that we are taking as far as consolidation deals are concerned . So, clearly, on top of consolidation deals that we get , in the interim, like Angan said, we are looking at getting more and more digital and data transformation work that will help us grow our e

xisting portfolio and also mov e into adjacent areas .

Aayush Rastogi : And the second question is that if we see the TCV across the board, it is kind of in the comfortable range for each and every other company. So , just trying to understand what are the problems that we are facing that the TCV still remains subdued or maybe below the comfortable

range what we actually aspire for . So, just trying to gauge what is going wrong or what has led to the soft TCV numbers in this quarter ?

Angan Guha: So, Aayush, nothing is going wrong . Fundamentally , I think our customers are fine . Our customers are healthy. So, there is no issue there . It is only a delay of decision making . Like for instance , I mean , there were certain deals that the papers got signed only after the quarter was over. So, we couldn't count it in the previous quarter . The deals were already won and the deals are done and the papers came in only now . So, like I said , am I satisfied with our deal wins? Absolutely not . We have a lot more to do, but I don't think I am concerned about it from a revenue growth for the future perspective. So, if your ques tion is, if there is a soft TCV position this year, will my revenue growth for next year not happen? I don't think so. My revenue growth for next year will continue. But of course I’ve to fix my TCV. Like I said, I will be more comfortable if I can consistently deliver 250 to 300 million worth of TCVs every quarter. We are not there yet. The first two quarters have been a disappointment. Let's see how Q3 goes. Hopefully , Q3 will be slightly better. But again, it's a shorter quarter. Maybe Q4 we will be back on delivering a good quarter in terms of TCV signing. So, we will see A ayush, we will work towards that .

Kamini Shah: And Angan , we also would like to add , that we have a healthy pipeline at this point of time. And I think some of the conversions that have gone a little delayed will hopefully start getting converted in the upcoming quarters . So, I think that lead indicator gives us the confidence to say that it's not that we don't have a pipeline that we should be worried about. It is a question of conversion which we are working with our real estate at this point of time .

Aayush Rastogi : So, just to follow up on that question only. So, if we see the commentary of SAP or the hyperscaler s or whatever the companies that we are entrenched with. So, those have been calling it out , very strong demand kind of a thing. But our numbers aren't showing in terms of deal win. So, is it something to do with the capabilities that the investments are still going on for to catch that demand , that what the SAP and other companies are kind of saying?

Angan Guha: So, Aayush look, whether it's SAP, Oracle, everybody is giving a strong commentary going forward, right? So, there is a cycle. There is a big cycle coming in with some of these large hyperscal ers or the ERP businesses as well. We hope to catch that cycle. We have a lot of deals that are currently on in both sides of the aisle. A lot of JD E work, SAP work, a lot of Digital deals are on the table. We are fighting to win it. We will win our fair share . So, look, I mean, I don't know what more to say. I mean, we are well invested in those businesses. We are going after customers. The pipeline is there. Now it is the question of convert ing. But to your question , Aayush , that you asked a little while ago, is there a problem with our clients? I don't think there is a problem with our clients. It is only the fact that the timing of these deal closures is an issue , which is what we are working on .

Aayush Rastogi : So, in healthcare vertical when we say that we are not facing a client issue , so is it fair to understand that on the healthcare side also , we are not facing the specific kind of a issue ?

Abhinandan Singh: Hi Aayush, Abhi nandan here. We have run over time substantially by the way. Why don't you just make this your last follow up and then we can wrap up ?

Angan Guha: Yes, Abhi, let me answer this question. So , Aayush, look, in healthcare, I admit that for the last two to three quarters we have a muted growth, right? But you give it a couple of quarters, you will see the healthcare bounce back very , very strongly . Now why has this happen ed? It is not a sector issue or a client specific issue. It is only because the real estate that we have, the projects that we sign. Like I said, the projects are maybe a one year project or a two year project. The project has got completed. We have delivered the program. The new project is taking probably another quarter to come , and that's all there is. But in the healthcare space , in fact, we work with very mar quee names, very strong companies with strong balance sheets. So, it's only a question of timing, but I am very confident that the team will get the healthcare business also back on growth very , very quick ly.

Moderator: Thank you. I now hand the conference over to Mr. Angan Guha, CEO and M D, Birlasoft Limited for closing comments. Over to you, sir .

Angan Guha: Thank you. First of all, thank you , everyone. Thank you for joining us in th is conference call. Hopefully , we have been able to answer all your questions . But if you have any further questions, please do reach out to Abhi and we will try and attempt to answer all other questions that you may have. Thank you once again for your support to Birlasoft . We and the management team are committed to building a long -term sustainable growth -oriented business with a high margin profile , that we are committed on . Quarter -on-quarter, we will focus on execution , and we will get our company there. I look forward to speaking with you again as a part of our next earnings call. Thank you once again. Have a good evening , good morning, wherever you are. Thank you.

Moderator: Thank you, sir. On behalf of Birlasoft , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Feb 2025

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Subject: - Transcript of Earnings Call held on February 11, 2025 .

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on February 11, 2025 .

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript .

Kindly take the same on record.

Thanking you .

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No. ACS 9678

Birlasoft Limited Q3 FY25 Earnings Conference Call

5 pm IST, 11 February 2025

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator: Ladies and gentlemen, good day, and welcome to the Birlasoft Limited Q3 F Y '25 Results Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zer o on your touchtone phone.
I now hand the conference over to Mr. Abhinandan Singh, Head — Investor Relations, Birlasoft. Thank you, and over to you, Mr. Singh.
Abhinandan Singh: Thank you, and welcome folks. By now, you should have received our Q3 results. Those are also available on our website www.birlasoft.com. Joining me on this call today are our CEO & MD Mr. Angan Guha; and our CFO Ms. Kamini Shah. We will begin the call today with opening remarks from both Angan and Kamini. And then, we'll follow that up with some time for your questions and responses to those.
But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement and , therefore, that must be heard or read in conjunction with the disclaimer that appear s in our third quarter FY’25 investor update, which you would have received and is also uploaded on our website as well as filed with the stock exchanges.
With that, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you, Angan.
Angan Guha: Thank you , Abhi. Good evening and good morning to everyone wherever you are, and thank you for joining us today as we share some perspectives on our performance during the third quarter for the current fiscal year. I trust all of you have seen our results.
Our performance during the quarter reflects a seasonally weak quarter with higher furloughs than last year, compounded by the fact that the demand environment has not materially changed. While there are some early signs of improvement in certain pockets su ch as BFSI, those are a relatively smaller contributor, as you know, to our overall business.
With that context , let me delve into our Q3 performance. On a year -on-year basis, our revenue grew at 1.5% in rupee terms, and in constant currency terms it has been flattish. We've witnessed higher -than-usual furloughs this year, and in some cases the furloughs are even ex tending into January, and that has resulted in a softer revenue performance.
On the margin front, we have reported an EBITDA of 12%, which is nearly the same sequentially from the Q2 quarter. The fact that we've been able to deliver this margin performance even after absorbing the impact of compensation hikes that became effective from the 1st of October 2024 demonstrates our commitment to and our ability to sustain ing and over time improving our margin profile. Kamini will tell more into this detail during her remarks.
We've also seen significant improvement in our cash balance, thanks to continued strong cash generation. As a result, our balance sheet remains very robust. On the deals front, I'm pleased to note that the deal signings during the quarter saw a sharp increase and we delivered $226 million

worth of TCV signings. This, by far, has been the best quarter in terms of deal signings in the current fiscal. While a large part of this has come in from renewals, which is typical for th e time of the year, we've also seen some net new deals.
Looking at the conversations that we are currently having with our clients and including one potential large deal and a new logo in Europe, we also expect a good TCV performance in Q4 as well.
On the operations front, while we already enjoy a solid presence across multiple competencies , I wish to share more on the areas that we have been investing in. Our investments ar

e focused
on bridging capability gaps and scaling existing capabilities that we believe are and will remain relevant in the marketplace. In terms of the bets that we are making in our tech capability roadmap, we are particularly concentra ting our efforts in AI/GenAI and AI -driven quality assurance services, Data, and Product & App Engineering. With GenAI, you would recall that we had established our Gen AI Centre of Excellence early last year, and then had built our own GenAI platform called Cogito to accelerate GenAI based solutions. We continue to harness the power of AI and Gene AI to transform our operations with new innovative in -house applications, such as B -Hive which is a GenAI conversational bot and Solución, a GenAI -driven solution integrated with ServiceNow.
These initiatives are aimed at bringing about structural changes in our business and that will amplify our competitive advantage, make us more resilient, and enable us to better capitalize as demand conditions continue to improve.
Looking ahead, as I observed earlier in my comments, the demand environment has not changed much from what we have seen over the past few quarters. There have been some signs of pickup in Financial Services, along with green shoots emerging on the discretionary side of customer spends, but it is too early to conclude that demand conditions have indeed turned around comprehensively. Clients' budgets in mo st cases still indicate a “hold & wait” approach, particularly in verticals like Life Sciences, which as you know and may have noticed, is likely to be more subject ed to policy shift s in line with the priorities of the new administration in the U.S.
Additionally, we have seen some amount of project ramp downs this quarter, which might have a near -term impact on revenues. However, needless to say, we are working with our clients to minimize all of it. Ongoing conversation s with clients across verticals do give us a sense that demand should gradually pick up as we progress into the calendar year. It will, however, take a couple of quarters for that to start reflecting meaningfully in our deal inflows and eventually in our revenues. Our deal pipeline rem ains quite healthy and we continue to invest in our capabilities that will enable the next phase of growth in our journey.
At this point, I will ask Kamini, our CFO, to share her perspectives on the quarter under review. Kamini, over to you.
Kamini Shah: Thank you, Angan. Good evening, everyone. Hope you are doing well. Thank you for joining us.

Let me take you through the financial highlights for the third quarter of the current financial year. As you would have seen, we have reported a consolidated revenue of $160.8 million for the quarter, representing a constant currency degrowth of 0.1% year -on-year and 1.1% quarter -on-quarter. In rupee terms, quarter 3 revenues have been Rs 13 ,627 million, a growth of 1.5% year-on-year and a slight decline of 0.4% quarter -on-quarter.
Performance during the quarter under review was led by BFSI vertical, which has grown 1.8% quarter -on-quarter. As Angan mentioned in his remarks, our quarter 3 performance reflects higher than usual furloughs in a seasonally weak quarter, particularly in t he Life Sciences and the Manufacturing verticals.
In some cases, the furloughs came in late into the quarter and are spilling over into early Q4 as well. Among service lines, our Digital & Data business that contribute s about 57% to overall revenues grew by 2.4% quarter -on-quarter. The ERP business witnessed a sequential decline of about 5.7%, reflecting seasonal weaknesses.
Moving on to the EBITDA performance. Our EBITDA for the quarter was at $19.3 million versus $19.7 million in Q2. This translate s to an EBITDA margin of about 12% , which is marginally lower than what we had reported in the last quarter. This

is despite an organization -
wide wage increase that came into effect from October onwards, indicating a 3 -month impact of the wage hike. Margin tailwinds that have enabled us to largel y offset the impact of wage hike and furloughs include exchange rate benefits from a st rong dollar and some operational savings.
Our PAT stood at $13.8 million, which is 9.3% lower on a quarter -on-quarter basis. This is because we have recorded a lower quantum of Other Income during the quarter under review. Our Other Income was lower primarily because of payables in non-dollar currencies, such as GBP, Euro and others that have depreciated significantly against the U.S. dollar and the Rupee.
Let me briefly touch upon the key balance sheet items. Our cash and balances at the end of the third quarter stood at $240 million, up 8.2% quarter -on-quarter and about 18.3% year -on-year.
We have, over the past several quarters, demonstrated our ability t o consistently generate strong cash flows. Our operating cash flow for Q3 was at about $29.9 million, which is about 155% of our EBITDA. This has been on the back of strong quarterly collection s. Consequently, we are happy to say that our DSO stands at 53 days, which is among the best in our industry.
In conclusion, I would like to say that we continue to enjoy a robust balance sheet with healthy cash flows. We are remaining focused on investing in capabilities for future growth as we enter into the last quarter of the current financial year.
Thank you very much. Back to you, Abhi.
Abhinandan Singh: Thanks, Kamini. Thanks, Angan, Moderator, can we please start the Q&A session?
Moderator: Sure. Thank you very much. First question is from Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: We've seen a bit of offshore shift this quarter, some bit of headwind, I guess from that, a little bit of headwind from the pass -through revenue going away as well. And you talked about a lot of furloughs. So, can we think that some of this is a very temporary headwind, and you said that has continued in January? And -- are you seeing that end? Or should we think about a similar sort of impact from furloughs for this quarter as well?
Angan Guha: Ravi, thank you for that question. Like I mentioned and Kamini also alluded to the fact that unlike the previous years, this year we have seen more furloughs than usual. And some furloughs have come in a little late in the quarter, which kind of drove a little bit of muted performance. And the furloughs came in even from the verticals where we had not seen furloughs earlier. So it's a one -off situation but just to answer your question, Ravi, the furloughs are extending into January as well. And since January is already over, the furloughs we've already acco unted for. So that will show a little softness in revenue in Q4 as well. But, like I said, we will concentrate on executing in the quarter and see how much we can mitigate from those furlough impacts and see how the quarter goes. Our focus will clearly be on order booking. You saw a good order booking performance in Q3, and we would like to repeat the same order booking performan ce in Q4 as well.
Ravi Menon: If I heard you right, you were talking about a large deal with the new logo, is that correct?
Angan Guha: Yes. So we are in discussions, Ravi, with a new logo in Europe where we think we can close a reasonable size d – I will not call it a large deal , it is a reasonabl e sized deal given the size of our company , from our company standpoint, it will be …but it will be a marquee deal. We are still talking about it. We are confident on that. And if that gets concluded, we are confident of repeating the same performance as Q3 in Q4 in terms of order booking.
Ravi Menon: And you had talked when you started with journey with Birlasoft about adding at least one major logo to ea

ch of the verticals. Can you talk a bit about the progress there and how you would –
how have sales evolved , now that Roop is departing? What's the plan? How are you reorganizing the sales team?
Angan Guha: Yes so, Ravi, two questions, and let me answer that. So of course, our endeavo ur is always to add at least one logo per vertical. And the logo that we hopefully will add, a new logo in the Manufacturing space in Europe will drive us towards that goal. But quite frankly, hav e we added a large logo in other verticals, the answer is no. But we ’ve added new relationships. We've actually added, I think about 3 or 4 new logos in the verticals that we serve. Now, how much will the logo s scale, only tim e will tell. But the logo that we are talking about adding in Q4 will also come along with a deal. The second question that you asked about Roop departing , yes, Roop has decided to take up an opportunity outside of Birlasoft and we wish him well. So, for now, I am stepping in to run the Americas business as an additional responsibility while we look for a solid replacement. That, we are working on, Ravi.
Moderator: Next question is from Shradha from AMSEC.
Shradha Agrawal : Sir, you spoke about some near -term ramp down in some deals. So, any clarity on that front would be helpful.

Angan Guha: Shradha, thank you for that question. So, there are two headwinds that we're seeing in Q4. One is, of course, like I said, some amount of furloughs in healthcare are spilling into the month of January. Now, of course, our job as a management team will be to min imize that as much as possible. So that's one.
In terms of project ramp downs, we have seen some amount of project ramp downs, not very large, but a little bit of project ramp downs in health care as well as in manufacturing. So, we will watch this space. That of course is BAU, because if we win some good deals and drive a good order booking, again some of that could be mitigated.
So, we have to see how that goes. We are already in the month of February. So, the furloughs are already accounted for. The deal signings are in the offing. So, we will see how that pans out, Shradha.
Shradha Agrawal : So, these project ramp downs are over and above the furlough impact that we've seen in the month of January ?
Angan Guha: That's correct. That is correct, yes.
Shradha Agrawal : So, given this context, how should we look at revenue in 4Q for us? I mean, it would be a decline quarter, I'm assuming, given we are talking of two such significant headwinds.
Angan Guha: So Shradha, again, we don't give a guidance usually. Our job will be to execute for the quarter. I can only tell you that while there are going to be furloughs and there are going to be some amount of ramp downs, equally , we have won $226 million worth of deals. So, part of it, we will try and mitigate. Our job will obviously be to mitigate as much as possible. So, we would see, Shradha. I mean as the month of February closes and the month of March starts, we will see how that goes. But our job will be to try and mitigate as much as we can, if not all of them.
Shradha Agrawal : Right. Sir, secondly, in terms of service lines, if I see , ERP declined by a sharp 6%. This is different from what other peers have been reporting in terms of opportunity in the SAP S/4 HANA upgrade cycle. So, is it something different vis -a-vis competition that we've witnessed in this quarter? And how do you see this service line normalizing to growth trends from the next quarter?
Angan Guha: So Shradha, look, again, if you look at the ERP business of ours, our ERP business is equally split between Oracle, SAP. And of course, we have a JDE competence as well. Th is service line, quite frankly, has not been doing well for the last two quarters. We have brought in more leadership to help this service line get back to grow

th. The S/4 HANA story will first play out for the larger players. And if you remember, in the last quarter, I had said the S/4 HANA movement actually benefits the larg er players to begin with and eventually, it will come down to the smaller players.
I'm still very confident that the ERP business will turn around. And like I said last quarter, it will take us about 2 -3 quarters more. But I remain confident. We have invested in the business. We're getting a leadership in. I don't know whether I will be able to turn it around in Q4 or Q1. But over the medium term, I can tell you, Shradha, this business will start growing .

Shradha: Right. And just last question, if I can. If I look at the revenue growth from the top 6 to 10 accounts, that has shown a sharp sequential decline of 5%. And on a Y -o-Y basis, it's down almost 14% -15%. So, any client -specific concern s to be called out in that client bucket?
Angan Guha: Some of this decline is because of the furloughs that I spoke about. So, furloughs have impacted some of these clients, which was why they have shown a decline. I'm not too worried from that standpoint because some of these revenues will come back. So, if you measure us on a 2 - to 3-quarter period when it comes to the top 5 accounts, you will see a normalized situation.
But Shradha look, I and we, as a management team, are acutely aware that we need to do more in mining. We've had 6 quarters of great mining growth. Over the last three quarters, we've seen some amount of decline. So, we are working with our clients, at least our top 10, top 15 clients to see how we can get them back to growth. So that's one of the things that we are sharply focused on as a management team.
Moderator: The next question is from Sandeep Shah from Equirus.
Sandeep Shah: Sir, the first question, in the last earnings call, clearly called out that the revenue pickup and the margin pickup will start from fourth quarter and the margin pickup may continue over next 4 quarters of FY 2026 as well. And now, we are also calling out 4Q may have some headwinds.
So, sir, last 2 to 3 quarters, our predictability in terms of growth outlook even for the immediate quarters has been actually going down. So, what are the reasons, according to you Angan ? And

how are we looking to improve , that th is situation may not continue in FY '26?
Angan Guha: Yes. So, Sandeep, great question. And let me be very candid and honest on this. See, as a management team, the two things that we ourselves are not very proud of is the fact that this year, the current financial year, which is Q1, Q2, Q3 or even Q4, our predictability has suffered, right? T here are two reasons for the predictability issue.
One is because our real estate, the clients that we serve, have been impacted slightly from their own performance standpoint. And we have had to get like, for example, Q3, there have been verticals which came and told us about furloughs as late as the 10th of December, which we had never anticipated. I mean, in our history, we never got furloughs for them, but it happened in this quarter.
So, in that kind of a scenario, it obviously becomes quite difficult to give certain ty because we are not a very large business to be able to absorb all that furlough. So now let me tell you Sandeep, what we are going to do to kind of make sure that going forward this doesn't happen again. So, two things we are doing. We are expanding our real estate in a significant manner. So, some of the new logo wins that we're working towards to get , will obviously improve the situation. Second, we are also investing in our existing clients, our top 20 -25 clients, to make sure that we get the growth back. That is number two.
Number three, the capabilities that we've invested in over so many quarters have actually not started yielding revenues. And at so me point, Sandee

p, they'll start yielding revenues. So,
bottom line, next year, I feel with all the corrective actions that we are taking, our predictability will improve . I cannot comment in terms of how much growth that will I deliver next year, it's

hard to say. I'll probably be able to give you a complete view after Q4 is over. But I can only tell you that predictability will be far better next year. That is something that we are committing to.
On the margin improvement front, again, it's a matter of execution, correct? Now we never knew that the furloughs will happen in January. And it is something very hard to predict, that the furloughs would have happened. But I hope to mitigate some of the f urloughs and still continue to work on our margin improvement. So that we will continue to do. And if we can get the revenue back, then some of the margin issues will also go away.
So, these are the two or three things that we will do in terms of improving real estate, working with our existing accounts to get more certainty. And in the immediate Q4 quarter, trying to mitigate some of the furloughs and the ramp downs to see how we can g et the business back.
Sandeep Shah: Okay. Angan, just a follow -up, the impact of furloughs which we have witnessed in Q3 would be also similar or higher in Q4? Because if it's similar, at least the incremental Q -on-Q growth impact should not be that big.
Angan Guha: So, I'm saying it will not be as much as Q3 obviously. It will be half of what we witnessed in Q3. So, to that effect, we have some cushion. But look, Sandeep, we've never witnessed furloughs in our business in Q4, let alone even in Q3 in, let's say, Life Sciences business. So, it's a new world for us. But to answer your question specifically, the amount of furloughs we saw in Q3 and the amount of furloughs we will see in Q4, Q4 will be half as much as Q3.
Sandeep Shah: Okay. And Angan, if I look at the new business TCV for the first 9 months, it is down on Y -o-Y by 28%. So where are we going wrong? Because the order book with some of your peers has not given any major headwinds. They have actually shown a Y -o-Y improveme nt even in some large cap as well as mid caps. So, do you believe this is internal Birlasoft related issue? Or is it more to do with the demand with the set of customers which we serve?
Angan Guha: Sandeep, last year, if you really think about it, there was one large deal that we ha d closed, if you remember. We closed a $100 million deal last year, correct? And that actually was in Q2. So that really swung our order book significantly last year. So, if you were to take that one large deal out, then if you compare the order book, then our order book has really grown. But that's no excuse, Sandeep. So even this year, we should close and we -- I mean, we obviously want to close a large deal. We've not closed any large deals this quarter. But if I look at between, let's say, January and, let's say, April, May, June, in th e first 6 months of this calendar year, our attempt will be to c lose at least a couple of medium -sized deals, not large deals. So, things should start improving from there on. So that's answer number one.
The answer number two, Sandeep, it is also a manifestation of the real estate that we hold . Where our real estate, the companies that we serve , our top 20 accounts, though they are financially very stable , there's no problem financially , if their growth struggles a little bit then we obviously have a problem . Which is why I was telling Shradha also that while the focus will be to grow our top 25 accounts, absolutely, and we will get them, we absolutely will get them back to growth , we have a plan to do tha t, we will also focus equally on creating new logos because our existing real estate at some point in time will plateau out, Sandeep.

Sandeep Shah: Okay. And just last two. In terms of earlier calls, which was post 2Q result, we had an aspiration to go to 15% -16% EBITDA by end of FY ’26….the growth outlook becoming slightly soft. And second question is in terms of the war chest . The cash and bank balance as a percentage to market cap, if I'm not wrong, it's as big as 14% -15% of the market cap. So, are we looking to return this to shareholders or we are in active discussion in terms of M&A?

Angan Guha: So, Sandeep, let me answer the first question, and then I will ask Kamini to also chime in on that, right? So, what was the first question?

Kamini Shah: The first question was in terms of our aspirations. So, Sandeep, I'll take that question. In terms of aspiration, if you remember last quarter when we spoke about it, we said we expected our margins to bottom out in Q3 and then we ’d slowly start inching upwards from a margin improvement standpoint. Our aspiration remains the same. That's where we want to get to. But I think the path to that could become a little slower given what we have seen -- what we are seeing from a Q4 standpoin t, right? So, I think I would say that from that standpoint.

On your second question on given the cash that we are holding, do we have any plans as of now to return to the shareholders? I would say, no, at this point of time. We're really looking at conserving cash for any potential opportunity that would come up in the future.

Angan Guha: And Sandeep, just to add, we have clearly mentioned that we will continue to improve our margins . So, our goal is to absolutely do tha t. I mean, we have got a lot of internal processes that are sort of laid out now in terms of what will we do and how will we do to cut cost s and cost takeout initiatives to improve the margins. But equally, Sandeep, we need to invest in our business, and we don't want to take a short -term measure. Because in the long term, I'm reasonably certain we'll get growth b ack.

But to answer your question, we want to improve ma rgins quarter -over-quarter. Q4 some furloughs have hit. And hopefully, we will not have any furloughs in Q1, so margins will see an improvement. On the cash front, we have continued to generate a lot of cash. We will look at an M&A at some point in time. But right now, we want to deliver a couple of quart ers of revenue growth. And as soon as we can deliver some quarters of revenue growth organically, then we will look at how we can look at an asset and if w e can acquire an asset, et cetera. But right now, the entire management focus is operationally improving margins and delivering quarter -on-quarter revenue growth.

Kamini Shah: And I'll just add to what you said, Angan. I think to Sandeep's question, we also consistently reward shareholders with the dividend payout that we do. And that despite being a slightly softer year, we've continued to do so. So, to that extent, I think our philosophy on return ing back to shareholders has not changed, Sandeep.

Moderator: Next question is from Sudheer Guntupalli from Kotak Mutual Fund.

Sudheer Guntupalli: Just a couple of questions. Firstly, you are seeing a bit of an offshoring impact. And you had furloughs in December, and you expect only half of that furloughs in March quarter . And despite that, despite the furloughs and some ramp downs you called out , you're still sounding confident on FY '26 growth and your ability to mitigate the impact of it in Q4. So, is this confidence

coming from your, let's say, confidence that you'll be able to close that large deal? Is that large deal closing the brid ge between the current quarter and FY ‘26 and your ability to mitigate in Q4?

Angan Guha: So, Sudheer, let me correct that statement a little bit. Look, we have not said that we are confident of overcoming all the furloughs and the ramp downs. Our best

effort will be to try and mitigate
most of it. Now, how much we will be able to mitigate, how mu ch we will not be able to mitigate, we don't know that yet, okay? So that's number one. But of course, as a management team, all of our teams' effort will be to mitigate maximum. So that is as far as the median Q4 is concerned.

Now again, when I talk about a reasonable size deal, and I will not call it a large deal, a reasonable sized deal considering our company's size, if we close that in this quarter, that revenue will start only flowing from Q1 and Q2. So that gives us a litt le bit of more confidence for next year. But look, again, Sudheer, like I said, let me close Q4 first.

And after we have closed Q4, I will be able to comment in terms of directionally how next year would look like. Though, we never give a guidance , we will not give a guidance , but

directionally you will see and we can comment in terms of how the next year would look like.
Right now, our focus is to mitigate the furloughs and the ramp downs in Q4.
Sudheer Guntupalli: Sure, Angan. And just on margins, right? I think despite the wage hike, you were able to maintain the margins stable quarte r on a quarter basis, which is pretty impressive . So, from here on, what are the headwinds that you have which you foresee at this stage apart from the regular investments and, let's say, if the large deal materializes, that you'll have to do certain on -site investments and all. But apart from that, are there any other headwinds that you foresee at this stage? Because I think s huttling back to Sandeep's earlier question, Q3 possibly should be the peak of the headwinds, including the wage hike. And despite that, you are able to sort of show better -than-expecte d margins.
Angan Guha: So, Sudheer, let me answer the first part, and then I'll ask Kamini to add as well. Clearly, our endeavour is to keep improving the margins. But like Kamini also said, because in Q4 also we are looking at furloughs, of course, the wage hike is not there but the furloughs will still impact, at least half of it , right? We'll need to see how we can execute through the quarter and see whether we can maintain margins or improve margins. Again, I'm not giving a guidance here. I'm just telling you dire ctionally, that's where we want to go towards.
And like I was telling Sandeep and Shradha, our obviously endeavour will be to continue to improve margins going forward . Now, the other question Sudheer that you asked is in terms of what could the other possible impact on margins be, right? So, the one possible impact is our business mix. If our Infrastructure business continues to outperform our Applications business, then obviously in the medium term there could be a margin impact. So that would be one.
Second is the pricing pressures. Now, up to date, we have not heard from any of the clients asking for a discount. So that's a positive thing. But we don't know what happens in the future, so that we don't know.

The third is, as we fight newer and newer deals, even if it's the medium size, the $30 million, $40 million, $50 million deals, that is very extremely, extremely competitive. So, I don't know how much amount of pricing power we will have in those kind of deals. I'm just giving you a broad direction in terms of where things are going. But look, from our perspect ive, we will be growth focused.
We need to grow revenues for the company. And I will admit that FY '25 has been a bad year for us. And FY '26, we need to get the company back to growth. And I see with all the investments that we have done and all the optimization that our Chief Operating Officer is driving, margins at some point in time should also be back.
Sudheer Guntupalli: And maybe last one from my side. Possible to call out the furlough impact for this quarter?
Angan Guha: I can't give you exact

numbers, Sudheer, because that is client -specific information. It will not be right to give numbers. But safe to assume it will be 50% of what we experienced in Q3.
Sudheer Guntupalli: I meant in December, what was the Q -on-Q growth that got shed off because of furloughs? That was what I was asking.
Angan Guha: Yes, Kamini?
Kamini Shah: We really don't call out that very specifically, but I would say it would be at least about 150 bps in terms of what has got shaved off because of this.
Moderator: The next question is from Dipesh Mehta from Emkay Global.
Dipesh Mehta: Couple of questions, first about the quarter 4. You indicated about two factors, one is furloughs which is half of Q3. And second factor was ramp down. Now if I look , half of the weakness in Q4, it itself will give you positive growth in quarter 4 on Q -o-Q basis plus ramp down will negate it largely. So, I just want to understand from directional perspective , whether we are seeing any improvement in business , underlying growth momentum perspective, considering last 2 -3 quarters we have taken s ome steps to accelerate revenue growth, investing in business capability as well as domain kind of thing. So, if you can provide some colour around that?
Second thing is about the demand, which also you are indicating some early signs of improvement, which is better than, let's say, 2 -3 quarters back , which ideally should support growth improvement. If you can provide some perspective on that? That is question one.
Second question is , I just want to get sector -wise outlook because Life Sciences continue s to remain weak for now a long period of time. Manufacturing and E&U is also fairly weak. So, if you can give some sense about the 4 verticals where we are present? How we expect growth to play out in calendar year '25 or some demand trend?
Angan Guha: Thank you, Dipesh. So Dipesh, first of all, a demand situation for us has not changed too much. I only said that there are some green shoots of demand coming back in Financial Services. But that, again, is a very small part of our business, number one, Dipesh, and that is a little back ended. So, I don't see demand coming back for our industry and frankly for us as well in the next

2 quarters. It will probably happen in the back ended for the calendar year. I'm not saying financial year but calendar year. So that is number one.
Number two, from our perspective, if you look at Financial Services, that has continued to show growth, that will continue to be strong. Of course, you may see one quarter here and one quarter there where Financial Services also could be flattish or slightly out of degrowth, I can't comment on that. But overall, directionally, I think Financial Services is good for us.
Healthcare on the other side has been hit by client -specific issues where, like I was telling the other members in the call, saying that there are customers of ours who are financially very strong, but they are facing headwinds in their own businesses and their revenue growth. That is in our real estate. And that is simply affecting our perform ance as well.
I strongly believe that our healthcare business will come back to growth. I understand that it's been 4 quarters of not good performance. And we've done two things, Dipesh. One is , we've hired a very senior leader to run our med devices business. As you know, almost 70% of our LSS business is med devices. So, we've hired a leader from a Tier 1 company who has just joined us to lead our med devices under the healthcare vertical. We are also in the process of hiring another leader to run our balance part of the business, which is the pharma business, again, under the healthcare vertical leader. So, we are strengthening that team. And with some of these investments that we are doing, I'm hoping that, that business will turn around.
No

w coming specifically to Q4, Dipesh, like I keep saying, while we are looking at those headwinds, our job is to execute for the quarter. We will try our best to minimize the impact of furloughs and the ramp downs. How much we will do, I can't comment rig ht now. We will wait and see. But that's our commitment.
From underlying business resilience perspective, I have said that Q3 and Q4 will be good in terms of order booking. We've delivered strong order book in Q3. We hope to deliver strong order book in Q4 also. And that has given us a slight amount of confidenc e that FY '26 will hopefully be a better year. But let Q4 finish, and then we will give directionally a commentary in terms of how FY '26 looks like.
Dipesh Mehta: Angan, I think two things left. I think Manufacturing and E&U, I think you have not covered. And second thing is about deal intake. When you said good, do you think current level of order book is sufficient for you to return to double -digit growth rate?
Angan Guha: No, I don't think so. So Dipesh, quite frankly, the current level of order book is not sufficient for us to deliver double -digit growth . But is it good enough for us to get back to sequential growth? It is. So Dipesh, look, I mean, let quarter 4 get over, then I will give you directionally in terms of how FY '26 will look like.
Dipesh Mehta: Maybe if you can give last piece about the other 2 verticals, how you are seeing the demand trend?
Angan Guha: Yes. E&U, I think will pick up. In E&U we have got a couple of deals that are currently going on. That may not close in Q4 but will definitely close in Q1. So, from that perspective, I think

E&U will be back. Manufacturing will be soft for another couple of quarters. So, if you look at the larger picture, I think E&U and Financial Services will lead growth over the next one year. Now again, one quarter, you may see Financial Services also impacted. But I think over the next 4 quarters if you normalize , Financial Services and E&U will continue to grow, Manufacturing will take a couple of quarters to come back. Healthcare also, I'm reasonably confident that in a couple of quarters, it will come back.
Moderator: As there are no further questions, I would like to hand the conference over to Mr. Angan Guha, CEO and MD of Birlasoft Limited, for closing comments.
Angan Guha: Thank you, everyone. Thank you for attending the conference call and I truly appreciate your interest in Birlasoft. As I've said, the quarter that went by was a tough quarter for us in terms of revenue as well as in terms of the furlough impact that we saw . But the positives in our perfo rmance has been our order book , order book was strong and the ability to maintain margins in a quarter where we gave a wage hike and ha d the furlough impact. Me and my team will be focused on getting the predictability back. We understand that predictability has been a big issue. So, our big focus will be to get the predictability back as we try and close more deals to enable, to deliver better sequential growth quarters.
So, thank you once again, and I hope to speak to all of you at the end of Q4. Thank you.

Moderator: Thank you very much. On behalf of Birlasoft, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Jun 2025

June 5 , 2025
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001.
Scrip ID: BSOFT
Scrip Code: 532400
Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.
Symbol: BSOFT
Series: EQ
Kind Attn: The Manager,
Listing Department
Subject: - Transcript of Earnings Call held on May 2 9, 2025.
Dear Sir/Madam,
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on May 2 9, 2025.
The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript.
Kindly take the same on record.
Thanking you .
Yours faithfully,
For Birlasoft Limited
Sneha Padve
Company Secretary & Compliance Officer
Membership No. ACS 9678

Birlasoft Limited Q4 FY25 Earnings Conference Call

8.00am IST, 29 May 2025

MANAGEMENT : MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator : Ladies and gentlemen , good day, and welcome to the Q4 FY '25 Earnings Conference Call , hosted by Birlasoft Limited .
As a reminder, all participants' lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.
I now hand the conference over to Mr. Abhinandan Singh , Head – Investor Relations, Birlasoft. Thank you, and over to you, Mr. Singh.
Abhinandan Singh: Thank you and welcome, folks. By now, you would have received or seen our results that were announced last evening India Time. Those are also available on our website, www.birlasoft.com .
Joining me on this call this morning are our CEO and MD – Mr. Angan Guha; and our CFO – Ms. Kamini Shah. We will begin the call today as usual with opening remarks from both Angan and Kamini. And after that, we will open up the floor for your questions.
Before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement involving significant uncertainty and therefore, that must be heard or read in conju nction with the disclaimer that appears in our investor update, which you would have received and is also uploaded, as I said, on our website and also filed with the stock exchanges.
With this, let me hand over the floor now to Mr. Angan Guha , our CEO and MD. Over to you, Angan.
Angan Guha: Thank you, Abhi. So good morning , and good evening to everyone wherever you are, and thank you for joining us today as we share some perspectives of our 4th Quarter and Full Year FY '25 performance. But before I begin, I just wanted to apologize that I am slightly under the weather, so my voice modulation may be an issue. But if you have any questions, then I will step in and answer as and when the time comes in.
At Birlasoft, you will recall that over the past couple of years we have undertaken and initiated several actions aimed at securing our long -term profitable growth objectives.
The key among them has been investing in scaling up opportunities and capabilities that will drive our future growth. A classic example of that is our early adoption o f emerging technologies like GenAI, where we have created a solid framework and a tool that helps us to deliver to our customers.
We are also using our specialized domain expertise within each of our verticals and sub -verticals together with our technology capabilities to create an offering s and use cases that are very relevant for our customers and prospects.

Another key element of our culture has been to drive greater accountability and swifter action. And towards that end, we have obviously changed a lot of leaders who have not delivered for us. And we are willing to make further changes to our teams if the need comes in. We will become a very performance -driven organization, which we have always been, and we want to continue that. Some of the changes that we have had in the past few months is , we have refreshed our leadership in manufacturing , in the MedTech segment under Life Sciences we have had a new leader. We have also promoted a new leader internally to take up our Digital & Data business. The GCC opportunity clearly presents a very big opportunity for us. We have hired a senior lender in India to look at the GCC opportunity and how can we drive that as we go forward.
Our investments in the ROW business is finally paying off, as I am sure some of you would have noticed from our deal flows , we have been able to win one large deal, a reasonable size deal considering the size of our company in the ROW region, and we have a couple of more deals in

the offing that are looking very, very good.
So with that, let me talk a little bit about our full year and Q4 performance. Now FY '25 has been

a steady year for us, but it has clearly been disappointing, as I am sure all of you have noted. In the face of soft demand environment, owing to sustained macroeconomic challenges, and as a business we have structurally seen lot of project -based businesses come under a slight amount of pressure , because the discretionary spend is very, very muted at this point in time.
With that backdrop, our consolidated revenues for the year have grown 1.8% from the preceding year to about INR 5,375 crore. In dollar terms, this is about $635 million, which is, as you will notice, flattish over FY '24. You may recall that we witnessed large amount of furloughs that we have ever witnessed in Q3, and that also was in Q4.
In addition to that, as I ha d mentioned in our last earnings call, we also saw some project closures and ramp downs in a couple of customer accounts. But I would like you to note that we have not lost any customers. Some of our large customers, we have seen ramp downs. We have seen so me in-sourcing. But we have not lost customers. We will still continue to serve those customers and work with those customers for their future tech spend. As a result , our revenue during Q4 has declined to INR 1,316 crore, whic h translates to $152.2 million in dollar terms.
On the margin front, however, actions on the operations front and some one -offs have enabled EBITDA margin to rise to 13.2% in Q4, a sequential expansion of 119 basis points. As a result, our post -tax profit was up 4.4% quarter -on-quarter to INR 122 crore.
For us , the year under review also continued to be characterized by strong cash flow generation. And Kamini will provide more color on both the margin uplift and the cash flows in her remark s.
On the deal s front, I am pleased to observe that after a significant spike in total TCV volume in Q3, we recorded another quarter of sequentially increased TCV during Q4.

We have signed deals worth $236 million during Q4, which is 4% higher than what we signed in Q3. More encouragingly, the quantum of new deals in TCV is up 75% quarter -on-quarter in Q4, showcasing the fact that we are winning new logos and new deals.
So almost half of our Q4 total deals in TCV have come in from new deals, which augurs well for our future growth trajectory. Among the deals that we have closed during the quarter is a significant multiyear engagement with a new customer that we have added in the U.K. that comes under the ROW region. You may recall that I had alluded to this at our last call. I am pleased to update you that this deal has since been secured and that is reflected in our Q4 deals TCV. For this global communication major, Birla soft will deploy advanced AI -powered capabilities, including Agentic AI and Intelligent Diagnostics AI to deliver a next-generation IT service model designed to transform the customer 's global technology operations through the integration of AI -driven innovation across Americas, EMEA as well as the APAC regions.
As we look ahead, and as you know, over the past few quarters the demand environment has been challenging, marked by a lot of macro uncertainty , exacerbated by the recent news flow around the trade and tariffs. There have also been some project closures that I talked about in my earlier discussion, and we have seen ramp downs as well as we have seen some in -sourcing, which could affect our growth performance in the coming quarter as well. However, we feel our growth will be back in the company starting Q2.
At this point, I will ask Kamini, our Chief Financial Officer, to share her perspectives on the quarter and the year under review.
Kamini Shah: Thank you, Angan. Good day, everyone. Thank you for joining us. It's a pleasure to talk to

you
again.
Let me take you through the financial highlights for Quarter 4 of '25 , and then for the full year of FY '25 :
As you would recall that in our last earnings call, we had called out a couple of factors that were expected to have a near -term impact on our performance. One was the higher -than-usual furloughs that was extending into January and having some residual drag on our Q4 revenues. Secondly, as Angan mentioned, we have witnessed project closures and ramp downs in a couple of customer accounts . Given the soft demand conditions where customers have been tending to hold back on discretionary spend s, it has been challenging to meaningfully mitigate the impact of some of the headwinds. Consequently, for the quarter under review, we have registered a 5.4% decline quarter -on-quarter in dollar terms to about $152.2 million.
Among all our verticals, Energy & Utilities registered a sequential growth of 1.8% during the quarter. The other verticals witnessed a degrowth on account of the reasons that I just mentioned. Margin performance has been better. It reflects some actions that we have taken to drive operational efficiencies as well as some tailwinds on account of currency and certain one -offs.

The margin tailwinds have largely been on account of lower variable pay and leave encashment for our senior executives and currency benefits, together accounting to about 200 bps.
As a result, EBITDA for the quarter increased to $20.1 million from $19.3 million in Q3 , which translates to a 13.2% EBITDA margin, which is an expansion of 119 basis points quarter -on-quarter. This has been achieved as we continue to invest into our business and demonstrate our commitment to optimizing and overall trying to improve our margi n profile. Consequently, PAT for the quarter has increased from $13.8 million in Q3 to about $14.1 million in Q4.
When we reflect back on the full year 's performance, we have reported a consolidated revenue of $635.4 million, representing a flattish CC growth and a marginal degrowth of about 0.3% in dollar terms . In rupee terms, revenue for the year was up by about 1.8%.
As you would recall, during the course of the year under review, we have made significant investments in our business, successfully secured some consolidation deals that required pricing flexibility , we have also grown our Infra business that takes some time to catch up with the overall business level margin. This has had a tempering effect on our EBITDA for the year , which stood at $82.4 million, translating to an EBITDA margin of 13% for the year. PAT for the year stood at about $61.1 million, lower than $75.3 million in the preceding year whe n we also had the benefit of a one -time insurance claim. The effective tax rate for the year was 25.8%.
When I reflect back on the balance sheet, I am happy to note that we ended the year with cash and cash equivalents of $259. 5 million which has grown by 24% year -on-year. Compared to the preceding quarter, our cash and cash equivalents was up by 8.1%. This reflects consistent good cash generation, which is eviden ced by our operating cash flow which for the year FY '25 has been at about 88.3% of our EBITDA. You would agree that our DSO at 54 days is probably among the best in class. We remain committed to staying focused on sustained robust cash flow generation.
In continuation to our track record of prudent capital allocation and rewarding shareholders, the Board of Directors has proposed a final dividend of INR 4 per share, subject to shareholders' approval. This , combined with the interim dividend that we had paid out after our Q2 Board meeting, takes our total dividend for the full year to INR 6.5 per share, translating to a payout of about 35%.
So we have ended the year with a robust balance sheet. We are generating strong cash flows, giving us the ability to make

more investments necessary in the business to drive growth going forward.
Thank you very much. Back to you, Abhi.
Abhinandan Singh : Thank you, Angan and Kamini. Moderator, can we please open the lines for questions and answers?

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Ravi Menon with Macquarie. Please go ahead.
Ravi Menon: Thanks for the opportunity. Again, good deal wins, but we have seen this, let's say, the offshore revenue declined from Q2 FY '25 where we were expecting this sharp shift on -site to actually start reflecting in an offshore revenue increase. So far, that doesn't seem to have happened. Could you talk a bit about this? This is because we have seen some other deals that are ramping down. Is there still a margin benefit that we expect later on? And then could you talk a bit about why we have seen this decline that's fairly broad -based across the 3 verticals and even like top 5, top 6 to 10 and beyond the top 20 customers?
Kamini Shah: So Ravi, let me pick up your question in terms of offshore that we have seen, in fact, some of our discretionary demands largely in on -site. That was coming into play, which is the reason why you have seen in this current quarter, an increase as far as our on -site. But we largely remain equally balanced between on -site and offshore in terms of the differences. We had mentioned earlier saying that our offshore would increase as we kind of consolidate. But I think that consolidation has taken a little bit tim e in terms of moving work offshore. So which is why you see us operating in this range at this point of time.
Angan Guha: And just to add to what Kamini said, Ravi, for us, this trend will continue for may be one more quarter and towards the fag end of Q2 you will start seeing the movement back to offshore.
Ravi Menon: Thank you, Angan, and that, I can guess, should be margin accretive, but again, it will be a revenue headwind, right, at that point?
Angan Guha: On the revenue, it is hard for me to comment right now in terms of how things will shape up , because there is uncertainty. So, Ravi, for us, the two big issues that have hit us , one is, like I was saying in my commentary, we have not lost the account, but in some of our larger accounts, especially within Manufacturing as well as Healthcare, we have seen some amount of in -sourcing and some amount of project closures , because our clients are also looking at the situation with a little bit of caution.

And that has resulted in our revenue downtick, if you will. So we are watching the space. We feel currently, as we stand, our Q1 revenues will also be muted. We are trying to keep it flat. There could be minor degrowth as well. We don't know that yet. But our entire endeavor would be that we get growth back in the company by Q2.

Ravi Menon: Thank you. One follow -up question to Kamini. The unbilled revenue is up a little bit say by about $3 million Q -o-Q. Should we see this come down over time? Or what could affect this?

Kamini Shah: I think the reason why unbilled revenue has come down is also, Ravi, we are really pushing a lot of our fixed price projects. We have started reaching our milestones and liquidating that , as far as our customers are concerned. So it is more in terms of increasing efficiency from a milestone

delivery standpoint , and also cash generation, eventually converting into cash. That's the only reason.

Ravi Menon: Kamini, b ut this quarter it is up, right, Q -on-Q?

Angan Guha: Sorry, Ravi, we couldn't hear your question properly.

Ravi Menon: Isn't it up , unbilled revenue, isn't that up Q -o-Q this quarter by about $3 million?

Kamini Shah: So, okay, I was looking at it from a year -on-year basis, sorry, Ravi, when I explain

ed that to you,
right? Yes. So it is part of a normal trend, Ravi, nothing to be very specific about, right? We will essentially liquidate the revenue as we go along . So there's nothing very exceptional from that standpoint.

Ravi Menon: All right. Thank you.

Moderator: Thank you. Our next question comes from the line of Dipesh Mehta from Emkay Global. Please go ahead.

Dipesh Mehta : Yes. Thanks for the opportunity. I just want to understand first about margin. I think you indicated about certain one -off in the margin. And if I look at employee benefit expenses, absolute term, it has declined sizably. So if you can provide what were the one -offs in Quarter 4? And do you expect it to continue in quarter 1 or it can provide a headwind to quarter 1 margin. That is question one. The second question is about the overall revenue growth trajectory. Let's say, if you look at FY '25 , out of four, in three quarters we ha d sequential decline, and exit is also fairly weak for us. Now entering into FY '26, are we confident about, let's say, growth to resume from full year perspective , considering whatever pipeline we have seen built up, conversion, and overall client conve rsations what you have with the major clients ? If you can provide some sense about the growth trajectory ? And last is about now we have sufficient cash; payout is still 35%. So we are generating good cash. How do you plan to use it, particularly from M&A perspective? And what is broad thought process around it? Thank you.

Angan Guha: Dipesh, let me talk about the deal flow , as well as let me talk about the revenue, the way we see today, and then I will hand it over to Kamini to talk through the cash utilization as well as on the margin.

So Dipesh if you really look at it, and you are right, in the last one year, 3 quarters out of 4 we saw revenue declines. Some of them were a little unexpected. We couldn't expect that at the start of the quarter , and it happened because we got ramp down notices from our clients.

I feel that this quarter too, the Q1, we will have muted revenue growth. Now the deals that we are winning that will start generating revenues from Q2, which is why, Dipesh, I said, we at least believe today that Q2 onwards, we will get some growth. I don't know how much, but Q2 we will see some growth.

Overall, from an FY '26 perspective, our endeavor would be to deliver FY '26 better than FY '25. But, Dipesh, you must also realize which you yourself said that our base revenue starts at $152 million, right? So we have a lot of headwind. So for me, even to stay flat for the year, it will need exceptiona l quarter -on-quarter growth going forward.

How much of it we can deliver Q2 starting, I don't know. But the management team's endeavor will be to at least have FY '26 better than FY'25, but that could be only slightly better because of the headwind that you see getting into this financial year.

On the margin front, I will ask Kamini to talk about what we have done and what we intend to do going forward.

Kamini Shah: Dipesh on your specific question, as far as the margins are concerned and overall on the employee benefit cost, you would have seen a reduction in our overall employee base. So I think that's a reflection of that benefit from a lower cost standpoint that w e have seen. Of course, I have also mentioned the one -offs that we had in terms of a reduction in variable pay. So that is a onetime benefit through which we are seeing a reduction as far as our employee -related cost is concerned. Some of it is structural , in terms of the fact that they will continue as long as our employee base remains at the same level to that extent, but some of that may come back next quarter, as we restore variable pay to the normal levels.

From a margin standpoint, our endeavor would be to remain flattish as to where we are. At

this

point of time, given the current revenue profile that we are in, we are really working to make sure that we take actions on other places to keep it at the same level s.

On the third question as far as cash is concerned, see, if you really look at it from our capital allocation policy , our dividend range is typically between 25% to 35% of payout, and that's what we have done over the last 2 years. We do intend to retain cash for our business investments at this point of time. So I think we will continue to operate in this policy , unless there is anything different that comes into play. So that's where we would be at this point of time.

Dipesh Mehta : So two follow -up questions. First, on EBITDA margin. Now earlier, we always used to aspire to operate between 15% to 16% EBITDA margin trajectory. We are lower this year. Even let's say your commentary indicates we will be flattish. So roughly around 13% is what we aspire to deliver in '26. So by when do you expect, let's say, to revert back to our aspirational margin trajectory, which is above 15 percentage ? And second question is about cas h accrual. Now investment is, obviously, there are two ways for investmen t to happen, one is organic, second is inorganic. Where you expect intensity to increase in terms of next 12 to 24 months , and the area s identified to make those investments? Thank you.

Angan Guha: Correct. So Dipesh, first let me tell you on the margin front. See, the reason we want to keep the margin at a flattish level is because the entire company's focus is now to win deals and get revenue. We have really, really lacked in terms of revenue growt h. We have to get the company back to growth. And that will be our endeavor over the next 3 to 4 quarters.

We will try and keep the margins at 13% because we want to win more market share. I feel if we can get back to good growth trajectory, which, of course, as you can tell, arithmetically, it cannot happen in FY '26. It will happen in FY '27. So FY '27 onwards, as the growth comes back, we will see an uptick of margin. So though we don't give any guidance, we feel that FY '27, FY '28, you will see far more increased margins once the growth comes bac k.

Second is our entire intensity will be organic, correct? We will continue to make investments. We are changing a lot of leaders. We are looking at newer capability. We are looking at newer partnerships. And those will deliver a lot more organic rhythm.

From an inorganic perspective, Dipesh, we are obviously generating a lot more cash and hopefully, we will continue to generate cash. At some point in time, when we get a great asset, we will definitely look at it. But our endeavor first will be to organically fix the company , even before we look at an inorganic kind of buy.

Dipesh Mehta: Thank you.

Moderator: Our next question comes from the line of Harsh Chaurasia with Vallum Capital. Please go ahead.

Harsh Chaurasia : Good morning, sir. I have a couple of questions from the vertical perspective. So first of all, on the BFSI, where the broader IT is very positive on BFSI, and this is the only vertical which is growing for most of the peers , why has the growth started to decelerate for Birlasoft? That was my first question. And the second question is on Health care/Life Sciences. You mentioned earlier about the in -sourcing as well. But in the prior quarter, you called out that there would be some quarter of softness, but we have even hired senior leaders for MedTech and some other verticals beneath healt hcare. So wanted to understand when this will start to kick in for growth in Healthcare /Life Sciences .

Angan Guha: Yes. So Harsh, thank you for the question. So first, let me talk about BFSI. If you recollect, Harsh, our BFSI business predominantly is cards & payments business and an asset management business. We don't work with banks, or we

don't work with meaningful insurance companies.

We probably have just one or two insurance clients . A majority of our focus and our client base is either bank cards and payments or asset management companies. So 12 months ago, 15 months ago, when all the other companies were not doing well in BFSI, we were doing well , because the banks were not spending, whereas the card companies, et cetera, were spending. Now the situation is reversed because the banks spending has gone up, which is why we will see all the other companies who serve banks doing well, but a specialized company like ourselves are having a couple of quarters of degrowth or a couple of quarters of muted growth. Harsh, you will also remember, even in the last call, I had said that BFSI now has grown for us for almost 9 quarters sequentially. It will see a couple of quarters of little muted performance , and then even BFSI will come back to growth.

Now on Life Sciences, Harsh, you must also appreciate that again, just like BFSI, Life Sciences for us is predominantly a MedTech business. I mean we don't work with payers or providers or

any of them. We are a very specialized MedTech compan y. And MedTech more often than not is a manufacturing business , rather than really a Life Science business. which is where because of the trade as well as the tariffs, et cetera, we have seen a little bit of cautious spending by the customer s. But Harsh look, we have not lost a single account. That is a positive. And I hope that over the next 2 quarters, Healthcare , LSS will also start showing growth. But you have to give it a couple of quarters, we 've hired a very new leader from a Tier-1 company, give him a couple of quarters to settle down, but I am reasonably confident that we will drive growth in our MedTech portfolio very soon.

Just to let you know, w e have been down selected as a preferred partner for a large MedTech company in America. And I am very positive that as quarters go by, you will see some good uptick there.

Harsh Chaurasia: Got it. Thank you very much, sir.

Moderator: Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah : Yes. Thanks for the opportunity. Angan, the question is more strategic. So I think you joined 2 years back, and we have already done a significant amount of restructuring in terms of churning the leadership, investing in capabilities, expanding partnership. But the revenue growth has been really marginal over the last 2 years, if I compare FY '25 with FY '23. So in your analysis and post-mortem, what is going correct and what is going wrong? And how do we plan to change? Because I think leadership churn has already happened in the last 2 years. So is it more industry specific? Or is it more Birlasoft specific where correction still needs to be done in a significant fashion going forward to avoid such a year ahead , because FY '25 has been one of the weakest year for Birlasoft?

Angan Guha: Sandeep, thank you for the question. So look, FY '23 and FY '24 were reasonably good years for us, right? I mean, we delivered good growth. It is only in FY '25 that we had a flattish growth. And of course, since the operating leverage did not play out, ma rgins showed a negative trend, as you know. But, look Sandeep, I am here to only build the company for the long term. We will continue to invest.

We made a lot of changes. We made a lot of changes in the leadership level, at the account manager level, at the capability level. We are also building a lot of partnerships. It will take a little bit of time. Unfortunately, because of everything that is h appening in the macroeconomic situation, all our investments are not yet playing out.

Like I said, some of our customers, and I can't name them, but at least 3 of our customers between manufacturing and healthcare have decided to ramp

down a lot of projects, insource a lot of work , that is affecting us. But I still feel our investments are in the right area. Of course, we have to continue to hire some leadership, as you know.

I mean we have some leadership vacancies that we will continue to hire. But we will not cut back on investments, Sandeep, because I feel our investments are in the right area. We may take a little bit of a hit on margins for a year or so, but our entire endeavor is to get the growth back. That is what we will be focused on. I hope Q2 onwards the growth comes back. But we will see how this thing shapes up.

Sandeep Shah : Yes. Just a related question. If I look at the deal TCV, this year in terms of both total as well as new business has not been that great, though Q4 has been really good. So don't you believe we need to be proactive in terms of, (a) increasing the deal pipeline; (b) in terms of converting the pipeline into deal wins which will help us in terms of compensating a leakage in the existing book. So are we doing any restructuring in terms of creation of large deal pipeline, converting pipeline into deal wins and to ac tually avoid such unforeseen circumstances ?

Angan Guha: Sandeep, very good question. So if you look at our Q4 deal wins, out of the $236 million that we delivered, almost $112 million is new . And that is unprecedented. We have never had almost 50% of our deal wins with new . So that gives me a lot of confidence that the future will look bright, not maybe in the immediate future, but over time, we can fix the company , because structurally, we are a strong company.

To your second question, we have identified an existing very senior leader to take the mantle of opening accounts, and we have identified about 19 or 20 accounts that we are going to go after , so that we can create pipeline and close them. Obviously, that will take a little bit of time, but we are well within that direction.

So, Sandeep, our entire endeavor over the next 4 to 8 quarters is just to focus on the market pipeline and deal closures. That is important. If we can get that right, the others will get fixed.
Sandeep Shah: Okay. And just a last follow -up question. I think in the earlier quarter earnings call, you said there are 2 or 3 larger deals. One we have already closed in the 4th Quarter . Any update and progress in the balance 1 or 2 large deals which we are chasing?
Angan Guha: Yes. So Sandeep, thank you for asking that question. And I want to make it very clear. See, another large deal with a high -tech company in the U.S. we have closed, that is also in the range of about $30 million to $40 million. We are very close to closing another financial services deal in Europe, which will also be another $25 million to $30 million. So these 2 deals you will see in Q1.
The only thing I will say is in Q1, since we don't have any renewals, the overall TCV will look muted, right? So for example, overall TCV in Q4 is $236 million. I don't believe in Q1, overall TCV we will deliver $236 million. If you remember, typically in our kind of company, the first quarter, we deliver about $140 million to $150 million deals. This year, it may be slightly better , because of the 2 new deals that we have closed. But I am reasonably confident that this year, my overall year TCV will be bet ter than last year's TCV.

And last year also, Sandeep, we delivered about $735 million worth of TCV to FY '24 at $837 million. That was pretty much one deal, $100 million deal that we had got. So I am confident that we will do better than $735 million for the year when it comes to signings, but it will gradually ramp up. Q1 will be slow, Q2 will be better. Q3, Q4, like always will be much better.
[Post script : Total deals TCV was $758 mn in FY'25 and $ 875 mn in FY'24]
Sandeep Shah: Okay. Thanks.

I will come with a follow up, if I have more.
Angan Guha: Thank you, Sandeep.
Moderator: Thank you. Our next question comes from the line of Abhishek Shindadkr with Incred Capital. Please go ahead.
Abhishek Shindadkr: Thanks for the opportunity. My first question is we historically had a high percentage of project nature of the business. Can you quantify what that number is today? And is it also a reflection of our revenue volatility , because of the discretionary spending challenges?
Angan Guha: So Abhishek, look, if you look at our overall business, right, roughly our discretionary spend and project -based business contributes to about 70% of our overall revenues. Now that is why when the discretionary spend gets cut, we are in the situation that we are in. But if you look at the last quarter, we won lot of multiyear deals, which is more annuity -based deals.
And the two deals that we will win this quarter will also be annuity -based deals. So it will change our situation a little bit. But our project -based business will not go away. It will still continue at that 50%, 60% range. It is 70% today. Our endeavor will be to take it down to at least 50% and 50% business, which is more annuity based, right?
So that will be our endeavor . But that will be a journey, Abhishek . It will take a couple of quarters to get there. But at least the initial indications are the deals that we are winning are all multiyear annuity -based deals.
[Post script : If some of the longer -tenure project work is excluded , then the relatively shorter - tenure discretionary/project -based business revenue would be lower in the 3 0%-40% range .]
Abhishek Shindadkr: That's helpful. Just a follow -up to the answer. If I remember it correctly, around 2021, the numbers that were shared that the annuity component has slowly risen from 50% to 65%. But the number that you are sharing today is that project is 70%. Did I miss anything or maybe those numbers don't time?
Angan Guha: Yes. So Abhishek, look, 2021 was a very different year because in the COVID year, we got a lot of annuity work at that point in time. It all depends upon how you classify. Today, we are classifying annuity work in more in terms of where we will be using Ag entic AI to disrupt and deliver new age delivery to our customers to help them. So I was more referring from that perspective, right?

So over '21 to '25, absolutely, our annuity business has actually gone down. The project business has gone up. If you remember, even in '23 and '24, we talked about projects that we were able to win, which is short -term projects , where we would deliver for about 6 months to 9 months and walk away.
Now slowly, we are trying to get away from that and win more annuity work. But it is also a manifestation of the clients we serve. If the clients want us to help them in a particular project, which is 6 to 8 months, then we definitely go in and work with t hem. So you have to give it some

time, Abhishek. We clearly understand that we have to get more annuity work and probably get it back to the 70%, 60% that we once were, and we are working towards that.
Abhishek Shindadkr: Very helpful. Just the last question from my side. So given that you are reporting now, you must have seen the first 2 months, how have they played in terms of conversion in the pipeline. Many of your peers when they reported in April , highlighted that from March onwards, they have seen a material slowdown in terms of conversion or there have been pauses. Given things have improved both from an administration perspective, given that they are more reconciliatory right now, what is your assessment of the past 2 months, especially the month of May? Has it seen any changes in terms of conversions of the booking , maybe for you and also for the industry?
Angan Guha: Abhishek, again, thank you for asking that question

. See, like I was saying, our Manufacturing business is roughly about $160 million -$170 million. And our MedTech business, which is also manufacturing , is roughly about $100 million. So technically, about $300 million, give or take, is very manufacturing dependent, which is prone to tariffs and everything, which is why I said that for us, at least the clients that we serve are tr eading cautiously, though the administration's views have softened a little bit, but it's a wait -and-watch policy because people have not seen it . Which is why, Abhishek, we also felt considering that we are already closer to 1st of June, I don't see Q1 being a growth period for us. Like I said, I think, to Dipesh earlier, we will try our best to stay flat, but I must say that we may also deliver slight negative growth. But I am confident that Q2 onwards, the growth will be back only because based on our client conversations, people are hoping that in another couple of mon ths, things will become far more clearer , and the projects that we have won or are winning will start showing revenues Q2 onwards.
Abhishek Shindadkr: Very helpful . Just a quick follow -up. For the industry, you think that the pipeline conversations would be high, but are the conversions changing after the administration or the soft stance of the administration, especially in U.S.?
Angan Guha: For us, the U.S. is very important because it's 87% of our business. I feel that that will probably take a couple of more months to get a lot of clarity on. I can't talk about the industry in general , because it also is a manifestation of the clients that they serve. But the 40, 50, 60 clients that we serve, which are our bigger clients and the other 150 -200 smaller clients that we serve, at least the sense that I am getting that there is some amount of cautious optimism. It will take a couple of quarters to get full clarity.

Abhishek Shindadkr: Perfect. Very helpful. I will get back in the queue. Thanks, sir.
Angan Guha: Thank you, Abhishek.
Moderator: Thank you. Our next question comes from the line of Girish Pai from BOB Capital Markets. Please go ahead.
Girish Pai: Yes, thanks for the opportunity. Angan, you have mentioned that there are still some gaps in leadership and gaps in capability building. Where exactly are these gaps?
Angan Guha: So one is, Girish, we are spending a lot more in our front -end sales. We will ramp up our SG&A a little bit, though we will look at the cost reduction in our functions, but we will clearly be investing in sales. So we will put in more focus there. I think like Sandeep was asking, we will focus on net new.
So we are hiring a team to focus on accounts that we are not present in. We have identified about 19 or 20 logos in the U.S. and some logos in Europe that we will go after. Some of the deals we can talk about as we close between June and July. So that's another area that we are going to keep investing in.
From a capability perspective, clearly, our ERP business has not done well. The two businesses that have done reasonably okay are our Digital & Data and Infrastructure. But Infrastructure is a margin dilutor. It is very important that our ERP business comes back on track. So we are making some more investments in our ERP space. And when I am ready to talk about it, we will announce it.
Girish Pai: Okay. I had a question for Kamini. You mentioned about 200 basis points of positive impact in the quarter, if I remember that number correctly, because of lower pay , currency , and I think some pay due to senior employee -related senior employees. Can you break this down as to what is one -off and what will be there in 1Q?
Kamini Shah: So Girish, thank you for the question. If you really look at it from a currency benefit standpoint, it's about 50 bps that we are talking about. Currency has been a little soft.

So maybe part of it would continue into Q1. And if you look at the remaining part of it, it's by virtue of lower variable pay to senior executives. So we do expect half of it to be one -off and maybe half of it may come back. Some benefits on leave encashment that we have also got in the last quarter, that may

actually be one -off in the true sense. If you ask me, effectively, I would expect that we might be able to recoup back maybe 50%. The balance of it would be truly one -off.
Girish Pai: Okay. There was also some mention about consolidation deals that you won , because of some pricing flexibility that you have shown. Does this mean that project profitability on these deals will be lower than corporate margins, at least, say, for the next few quarters?
Kamini Shah: Yes, Girish. And we had spoken about that in one of our earlier calls, because from a consolidation standpoint, we had taken in some of these deals in place. And it would take us

some time. That is one of our strateg ies, to move them a little bit offshore to improve the margins, but that has been a little slow. So yes, for the next couple of quarters, it would be a little soft compared to the overall corporate margins. And then we do expect to use Agentic AI and some other technology to be able to recoup the margins back.
Girish Pai: Okay. And my last question, Angan , U.S. has changed the China tariff from 145% to 30%. Has that changed anything in your customer conversations? Is there a slightly higher amount of optimism around demand?
Angan Guha: So Girish, obviously, it is cautious optimism , because the trade tariff is also limited to a particular time, we need to see how it goes. But again, like I said, as the companies that we serve, some of the companies who've got a larger China exposure are feeling a little better about it. So we believe that demand will come back in Q2. But Girish, we will have to wait and watch , because these things can change dynamically very, very quickly.
Girish Pai: Okay. Thank you.
Moderator: Thank you. The next question comes from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: Thank you for the opportunity. While you clarified on the one -offs in Q4, and you were talking about the intent to essentially invest in your sales team to essentially open certain must -have accounts , in that backdrop, Angan, basically, just wanted to understand, should probably we be thinking about further dilution in margins in FY '26 from the current levels? That's question one.
The second question was with regard to client metrics. Over the course of the last few years, you kept on cutting the long tail of your customer accounts and trying to focus on a smaller subset of customers. Now is that intent to essentially once again open certain must -have accounts, should we be thinking about an expansion in term s of the client bas e? How should we be thinking about it?
Angan Guha: So Manik, from our perspective, we still serve almost about 200 or 250 -odd accounts, right? So the new must -have accounts that I spoke about is a combination of certain accounts where we have an MSA already. We have to just go and mi ne those accounts, reinvigorate the MSA s, and start doing business with them. So that is one.
And second would be that some of the large logos that we do not work with, we want to start working with. But our overall set of accounts will still come down. I don't think we want to serve more than, let's say, 250 logos in the long term.
So while in the short term, we may add some logos, but we will also drop some logos, which are unprofitable. Like you mentioned, over the last 24 to 36 months, we have really pruned down our account list , we had 600, now we have 250. We will continue to prune them down. But certain logos that we think that we want to work with, we will add on to our list.
Man

ik Taneja: Sure. And just one last...

Angan Guha: The overall list will not change. Overall, the number will still keep coming down , Manik .
Manik Taneja: Okay. Okay. And if you could answer that question on margin outlook and I have another follow - up question as well.
Kamini Shah: So Manik, I think your question was as we invest, would there be a dilution of margins ? There might be a temporary dilution . Our endeavor is to create space for these investments within our current margin profile. So we are not going to let that significant ly impact our margin. Maybe a quarter or so, it might take us some time, but investments happen while the reductions happen as well. So largely from an overall philosophy standpoint, it will not be at a dilution of margins. That's what I wanted to call out.
Angan Guha: And just to add to what Kami said, Manik, we do not want to dilute margins further. Like Kamini said, we may have some margin impact in the immediate quarters when the deals come up and we start executing. But our overall direction is clear that we need ma rgin upliftment as we go forward.
Manik Taneja: So the other question that I had, if I am looking at your client metrics, if I am looking at your

revenue performance by vertical, it appears it's almost a very broad -based revenue decline that you have seen across industry segments over the course of the second half of this year as well as in terms of your top client s revenue performance. So it would be great to understand what exactly is it some amount of faltering in terms of execution that has cost us , because in the course of the last 18 -24 months when you were doing well for a certain amount of time, you credited the success to your in -quarter execution. So where have we basically faltered in the course of the last 2-3 quarters to essentially put up a broad -based decline across industry segments or across client portfolio?

Angan Guha: Manik, again, a great question. So let me clarify this. I don't think we have lost any client or any project due to execution issues. I mean, of course, there are delivery challenges, which happen in every company in various areas. But broadly, at a company level, I think most of our customers are very satisfied the way we work with them , and what we deliver to them . So that is point number one.

I also mentioned that while projects have come to a close, the ramp -downs have happened , and in certain cases, as companies build up their own GCCs in India, some of the work has got in - sourced. But that is because of their strategic reasons, not because of our execution reasons.

On the topic of broad -based revenue ramp downs, like I said, about $300 million out of our $650 million is really Manufacturing in nature. In fact, a little bit more , even in our hi -tech business, probably some of the accounts that we work with are manufacturing. And Manufacturing is a large part of our business, which has had the biggest headwind, if you will, in their own businesses.

Now BFSI, I feel is a spot problem. Over time, BFSI will be back to growth. Energy & Utilities, like Kamini said, is still growing. We just have to fix this Manufacturing bit to get this back to growth. If we can get that back to growth, I think our woes will go away . And that is what we are focused on.

Manik Taneja: Sure. Thank you, and all the best for the future.

Moderator: Our next question comes from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: Yes, thanks for the follow -up. Kamini, just a clarification. So out of 119 bps impact on the margin in the first quarter, we are saying roughly half of that could be a headwind and may not repeat because of one -off nature in the 1Q of FY '26. Is it right?

Kamini Shah: So Sandeep, just to clarify that, I was tal

king about the 200 bps that we said were one time. So out of it, maybe 100 bps may not reoccur from a structural standpoint, though we will see how we can make that up as far as Q1 is concerned. So it's not out of 119, it's out of the 200 bps.

Sandeep Shah: Okay. Okay. So directionally, 1Q margin could be slightly lower on a Q -on-Q because of this?

Kamini Shah: Yes, Sandeep as of now. But like I said, that we are driving operational efficiencies to see how we can make that up.

Sandeep Shah: Okay. And Angan, just a last question, if I look at the practice -wise revenue growth. So the major drag in the revenue in FY '25 has been through ERP, which has declined by closer to 6.4% on a Y -o-Y. So while most of your larger peers are talking about increasing demand in terms of upgradation of on -premise to the cloud version of the ERP, both on SAP and Oracle. So why the same is not witnessed by us? Is it a portfolio -specific issue? Or is it that we work with more of Tier-2, Tier-3 in terms of ERP versus Tier-1 accounts , and that is not driving the growth?

Angan Guha: Sandeep, it's a combination of both. First, you are absolutely correct. We work with Tier-2, not Tier-3, but Tier-2 and slightly lower with the Tier-1 manufacturing companies. And the uptick that you see in SAP and Oracle movement to cloud like S/4 HANA or Oracle Fusion is probably helping the larger companies to begin with. But I can tell you, slowly over the quarters, over the next year or so, it will start improving the smaller companies like ourselves which are very heavily ERP focused. That's point number one.

Point number two , while our ERP business for 2 years have actually degrown, not one, 2 years, we are making some structural changes here. Sandeep, I would like to probably take that offline in terms of what we will do. But there's a lot of focus to get the ERP business back on track. And over the next 2 -3 quarters, I will come back and update you on what we are doing there.

Sandeep Shah: Okay. Thank you, and all the best.

Moderator: Thank you. Our next question comes from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Thanks for the opportunity. Again, the whole Invacare deal had been, I think, a great client reference possibly at that time , and that was the largest multiyear deal that you guys have won. Are you looking at something like this where significant cost takeout is there , total IT outsourcing opportunities that is with these companies outside the Fortune 500 ?

Angan Guha: So Ravi, we have a couple of deals in the hopper , where we are doing cost takeout deals. But look, our endeavor right now apart from cost takeout is to do a lot more domain -related deals. I don't think we will have too many deals in the $100 million to $200 million range. The industry is also changing. We have logged $30 million, $40 million deals now, which is in our sweet spot, which we are winning , where we are with our customers to deliver services using Agentic AI and the customers are going to pay us on story points , rather than pay us on fixed pric e outcome or people. So that's a big shift that we are seeing. But to answer your question, we have got a couple of deals , which are large and which are cost takeout. I don't know whether we will win them or not, but at least we are pursuing them.

Ravi Menon: Thank you. And best of luck.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. As there are no further questions from the participants, I now hand the conference over to Mr. Angan Guha, CEO and MD, Birlasoft Limited, for closing comments.

Angan Guha: First of all, I would like to thank each one of you for your interest in Birlasoft , for the time that you have taken to spend with us today , and for the questions, which I always find very, very insightful. The only message I want to

leave on the table is, look, I know that FY ’25 was a bad year. We accept it. But my only commitment to all of you is we will try and make FY ’26 better than FY ’25, even though if it is slightly better. Second is , the other message I want to leave on the table is , that fundamentally and structurally, we are a solid company and our cash flow generation year -over-year proves that. Our DSOs are at a meaningful level, and we have no debt on our books. So fundamentally, we are a very, very strong business. And all we need to do is to get the growth back into the company. And on behalf of the management team, I can commit that that's the only focus that we have going forward.

But thank you for your time, and I look forward to speaking to you next quarter. Thank you.

Moderator: Thank you. On behalf of Birlasoft, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purpose)
Birlasoft Limited
May 29, 2025

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Aug 2025

August 14, 2025

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Subject: - Transcript of Earnings Call held on August 7, 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on August 7 , 2025.

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript.

Kindly take the same on record.

Thanking you .

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No. ACS 9678

Birlasoft Limited Q1 FY26 Earnings Conference Call

5.00pm IST, 07 August 2025

MANAGEMENT :

MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MS. KAMINI SHAH, CHIEF FINANCIAL OFFICER
MR. CHANDRASEKAR THYAGARAJAN , CHIEF FINANCIAL OFFICER DESIGNATE
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator: Ladies and gentlemen, good day and welcome to the Bir lasoft Limited Q1 F Y 26 Earnings Conference Call . As a reminder, all participant lines will be in the lesson only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing, then zero on your touch tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh , Head – Investor Relations , Birlasoft. Thank you and over to you, sir.
Abhinandan Singh: Thanks and welcome everyone to our Q1 FY 26 earnings call. By now you would have received or seen our results. Those are also available on our website www.birlasoft.com .
Before we get started, let me quickly introduce to you the members of our team who are present on this call along with me . We have our CEO and MD Mr. Angan Guha with us , and along with him we also have our CFO Ms. Kamini Shah and our CFO designate Mr. Chandrasekar Thyagarajan or Chandru as we call him. We will begin the call today with opening remarks from both Angan and Kamini as usual, and after that we'll open the floor up for your questions .s
But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement involving significant uncertainty and therefore that must be heard or read in co njunction with the disclaimer that appears in our investor update, which you would have received and is also uploaded on our website as well as filed with the stock exchanges .
With that, let me hand over the floor now to Mr. Angan Guha, our CEO and MD . Over to you , Angan .
Angan Guha: Thank you, A bhi. Good evening and good morning to everyone wherever you are, and thank you for joining us today as we share some perspectives o n our performance during the first quarter of the financial year FY26. As you already know from our announcement a couple of weeks ago, Kam ini, who has been serving as our company's CFO since April 2023, has decided to move on for personal reasons. I would like to take this opportunity to thank her for her contribution over the past two odd years in driving eff iciencies and ensuring strong cash flow generation. So thank you, Ka mini.
I'm also pleased to welcome Chandru , who will take over as our CFO effective tomorrow, which is the 8th of August , back to B irlaso ft. As many of you may recall, he served as the company 's CFO earlier , during the period of 2020 to 2023. Chandr u is a highly accomplished and seasoned finance leader and is also very familiar with our business. We are therefore pleased that we were able to find in him the best possible person to step in and take on the role of the company's next CFO.
Now with that backdrop, let me delve into our Q1 performance. You may recall in our last earnings call I had mentioned that we were witnessing some ramp downs as well as some insourcing amongst a few of our customers, which was likely to affect our growth performance

in Q1. That was mainly on account of the prevailing macroeconomic environment where customers are still focused on cost optimization, cutting back on discretionary spending , and maintaining a “hold and wai t” approach with regard to large transformational programs. Consequently, the revenue for Q1 has been sequentially lower by 1% in d ollar terms and has come in at $150.7 million. Three out of our four verticals have actually shown growth. BFSI, Life Sciences & Services, and Energy & Utilities have delivered sequential growth in dollar terms during the quarter. However, our Manufacturing vertical, which is our largest vertical, has registered a very soft performance due

to project completion s, ram p downs, as well as
insourcing , which has more than offset the growth t hat has been contributed by the other verticals.

On the margin front we entered Q1 with a base -effect headwind because in Q4 we ha d a significant amount of margin tailwind due to some one offs that were absent in Q1. In that backdrop, I believe we have managed to minimize the margin contraction sequentially and delivered an EBIDTA margin of 12.4% for the quarter. Ka mini will share more on margins and net earnings in her remarks.

Coming to deal wins , more than half of the TCV secured in Q1 comprises of new deals that we have won during the quarter. The quantum of TCV deal wins in Q1 is at roughly about $141 million. However, this is lower than what we had delivered in Q4 because as you know the second half of the financial year, which is the 3rd and the 4th quarter , are very renewals -heavy. So traditionally the Q3 and Q4 deal wins are higher. In addition to that, there was one deal that got right -shifted to Q2, which is why you saw a little bit of softness in signing deals in Q1, but we are hoping that we will cover it up in this quarter, which is the quarter we are in, Q2.

But I would also like to point out that we have secured some marquee deal wins that demonstrate our enhanced tech capabilities, particularly in emerging areas such as G enAI.

For instance, we have partnered with a leading player in the US energy sector to deliver cutting edge Agent ic AI use cases within the ir supply chain , accelerating intelligent automation and operational resilience.

Similarly, we won another engagement with a global technology leader for a landmark enterprise -wide quality engineering transformation program, wherein we will be integrating Agentic AI driven automation.

These engagements will add to our growing base of existing customers where we are already deploying advanced AI -power ed capabilities , including Agentic AI.

Looking ahead, as I've observed earlier in my comments, the demand environment continues to be difficult. This has resulted not only in a prolonged period of time during which customers have been reluctant to take up long term transformational projects, but also in delayed decision making and cut s in their discretionary spending.

As a result, while our pipeline remains strong, conversion to deals have been relatively tepid. While we expect sequential growth in Q2, we do anticipate that the challenging market conditions will reflect in our performance through the course of the curre nt year.

At this point, I will ask Kamini, our Chief Financial Officer, to share her perspectives o n the quarter under review. Kami ni, over to you.

Kamini Shah: Thank you, A ngan. Good day everyone. Thank you for joining us. It's a pleasure to talk to you again. Let me take you through some of the financial highlights for the first quarter (Q1) of FY '26. Our revenue performance for Q1 reflects the challenging demand conditions that we are operating under. On our last call, we had indicated that we are seeing some project closures and ramp down, and on account of that, our revenue for the quarter declin ed 1% quarter -on-quarter in dollar terms to $150.7 million.

As A ngan has observed in his remarks, three out of four verticals have registered sequential growth during Q1 in dollar terms. Energy & Utilities sustained its growth trajectory during the quarter under review, growing 1.9% quarter on quarter. BFSI has also grown, albeit marginally. And the Life Sciences & Services vertical h as returned to growth during Q1, recording a 1.4% growth quarter on quarter. The Manufacturing vertical, however, witnessed a 4% quarter -on-quarter degrowth, which is for the reasons t hat A ngan mentioned.

If you look at our service lines, our ERP business saw a sequential decline reflecting its correlat

ion with the Manufacturing vertical. The Infra business, which is a much larger smaller piece of our overall business, also witnessed a degrowth due to the completion of a project. The Digital & Data business, however, has registered a growth of 2.6% quarter on quarter. This is on the back of new engagements and incremental revenue from existing accounts.
You would recollect that in the last call we had mentioned that our Q4 FY’25 margin performance has some one -time benefits pertaining to currency benefits, leave encashments and variable pay for our senior executive amounting to about 200 b ps. We had also indicated that we were confident of offsetting half of th at margin headwind coming into Q1 through operational efficiency. We have been able to minimize sequential margin contraction in Q1 despite a subdued top line , and delivered an EBITA margin of 12.4% in Q1.
The effective tax rate (ETR) , which for us has historically been in the 25 % to 26% range, saw a rise during Q1 to 35.9% on account of a provision made for higher tax. We have been engaging with tax experts and are transitioning our terms of engagement with key customers to more accurately align with our operating model.
With this, we expect to limit the impact of the incremental tax to the current financial year. Thereafter, we expect the ETR to come back to our historical levels. Adjusted for the incremental provision for tax, PAT for the quarter would have been at $14.4 million and basic EPS at Rs 4.39 per share.
We have began the new financial year with a robust balance sheet. Our cash and cash equivalents at the end of Q1 stood at $266.6 million. This is up by about 16% year -on-year and 2.8% quarter -on-quarter. Our DSO was at 58 days ; while is higher than what we normally reported in the

earlier quarter s, this has been primarily due to delayed collections that have come in earl y July. Had these collections come within the time frame of June, our Q1 DSO would have been at 53 days.
We remain committed to staying focused on sustained robust cash flow generation. While we are still navigating through the challenging demand environment , I believe our ongoing efforts to drive operational efficiencies, generate healthy cash flows, and invest prudently in the business positions us well to benefit from a recovery in demand as and when that happens.
Thank you very much. Back to you, Ab hi.
Abhinandan Singh: Thank you, Kamini. Thank you A ngan . Moderator, can you please open the floor for questions?
Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Girish Pai from BOB Capital Markets.
Girish Pai: Yes, thanks for the opportunity. Angan you mentioned that 2 Q is going to be a growth quarter on a Q-o-Q basis. Will that continue into 3Q and 4Q?
Angan Guha: Girish, thank you for, your interest and thank you for asking me that question. Look, we are working towards a sequential growth in Q2, and our focus currently is Q2 . We are working with our teams and with our clients to see how we can deliver sequential growth in Q2. Now , it'll all depend upon how my order book stacks up for Q2 , as I'm sure you've seen. And I mentioned in the call, in Q1 we delivered about $141 million worth of orders. One order slipped into Q2, which is now getting signed. So hopefully in Q2 we'll have a larger order book, right? Now if we really deliver a larger order book then barring the furloughs, I think operationally we can show some growth, but that will all depend upon how the Q2 order book looks like.
It's hard for me to say whether Q3 will really be a growth quarter today , because of the uncertainty that we are facing, but our job is going to be to focus on order book and deliver higher order book which will make sure that the revenue growth comes in subsequent quarte

rs.
Girish Pai: Okay, and in the previous calls you've been saying that you would want to lower the exposure discretionary business from what I think was 70% to about a 50/50 mix. Where are you on the journey and is the new business coming at lower margins compared to the discretionary business that you've been getting?
Angan Guha: Here is how I'm seeing it play out . As you know, Q1 and Q2 are quarters which generally are a little lower in terms of order book because that's how our seasonality works . In Q3 and Q4, the renewals are very heavy. We are not anticipating at this point in time and again , I stress at this point in time , that our renewals will be at a lower margin. Our renewals will be at our current margin at the minimum . And in certain cases we may get a little bit of an extra margin even in our renewals business. However, what will happen though is , in our new deals, and I also talked about two or three big deals that we are working on in the range of about 30 million to 50 million, those deals will definitely come at a lower margin.

So, for us as a management team it'll be important to first of all win those deals, secure those deals, and deliver . And also work on our overall cost t heme so that we can sustain the margins at the current levels.

Girish Pai: Just two more questions on salary hikes. When will they happen and the quantum and the impact from a basis points perspective, which particular quarter will it hit you?

Angan Guha: We have not taken a decision on salary hikes just yet. I mean we've just started the year. I mean, as you would recollect, even last year we gave the salary hike only in Q3 of our financial year, so it's just been about a quarter . So we've not taken a decision on that yet.

Kamini Shah: And just to add to that, Girish, our senior leadership salary hikes were done at the beginning of this year around January, that is Q4 of last year. So at this point of time we will review the situation and take a decision on whether we would do it.

Girish Pai: And lastly, I had a question on the industry and there's a lot of talk about H1B visa process change that may happen from a lottery to something else. Should it change from a lottery process, from an industry standpoint, would that be an additional margin pressure that the industry is going to see?

Angan Guha: Girish, we'll have to wait and watch in terms of how it shapes up, right? Currently we don't have a comment on that because we'll have to see the new regulation, the way it comes out, and only then we can assess the situation . But currently for us, the way our business is shaping up , we have enough H1B resources ready to travel if needed, and we are also localizing our workforce by hiring locally . So I think we are covered at this stage unless the visa situation changes dramatically, which we can't comment on at this stage.

Girish Pai: Okay, thank you.

Moderator: Thank you. We have our next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi team , thank you for the opportunity. I'm sure, in these challenging times, there are a lot of things that, outside the macro, some things that Birlasoft as a team and the management team would implement so that we emerge out much more stronger. So I would want you to highlight the key learnings that you have had in the last 12 months or four quarters , which have been more challenging , and any corrective action plans that you have undertaken from those learnings.

Angan Guha: Priyank, thank you for the question and thank you for your interest in our company. So look, one of the biggest learnings for me and my management team in the last one year has been the fact that our order book has not been very strong, as you all know, right? So there is an enormous focus on our building the pipeline and driving more o

rder book.

I think if you remember in FY24 we delivered about $850 million worth of orders which came down to almost $750 last year . So one of the big learnings is , unless we have an order book, obviously the revenue growth becomes a challenge. The entire team is focused on driving order books. So that is one.

Second is , we also realize that we need to be more domain orientated and as a result our new hiring that we are doing is building on more domain oriented hiring rather than generalist hiring . So that's number 2 . Number 3 , and we talked in our commentary , how do we drive a lot of delivery through our agentic AI platforms and we have some marquee platforms which are really, truly amazing platforms if you will.

How do we use those platforms to deliver to our customers and win new deals . We are focusing on that as well. We've also undertaken a companywide transformation on all parameters , whether it is customers , how do we serve customers better , what are the capabilities we buil d. And finally on the cost side. In a situation where there is so much uncertainty, we will obviously work a lot more on the cost. And again I want to make it very clear , it's not that we will fire our employees or anything , that's not the idea. But the right r oles need to be done in the right geographies, which is what we will focus on , number one. And number two, we will continue to invest in the areas that we see growth in. So as you've seen , our Digital & Data business has shown a lot of growth. We want to continue to invest in that kind of business, but we need to kind of move the workforce in the right geograph ies where they actually need to be. We're looking at the cost side significantly but , keeping the long term in mind, we also want to invest in the right places.

So I guess broadly, Priyan k, these are the big learnings, but if you ask me, our biggest job right now is to get the order book fixed, and if we can get the order book fixed, then the revenues will follow.

Priyank Chheda: Very clear and should we see this implementation getting populated into order book like you mentioned ? First the large deal that you ’re already working on , it slipped …so from Q2 and onwards, the clear mandate would be to first check the order book and it's a ccretion , and then

would so the delivery will follow ?
Angan Guha: That is exactly right, Priyank. I mean, I'm hoping that we deliver more order book in Q2 than what we did in Q1 , for sure. And then Q3, Q4, obviously the renewals com e in, and then if we can swing at least one out of the two large deals, then clearly, the year will be good in order book . And I'm hoping if we can deliver a strong order book for the year then next year, we can commit to a larger growth .
Priyank Chheda: Perfect. So just to summarize , this year, more focus will be on the order book than revenue recognition. So for this full year, should we consider that we would be ending somewhere around with single digit growth and then follow on for FY27, we should start accelerating to double digit growth ?
Angan Guha: I don't know whether the growth will be single -digit or whatever. It's hard for me to now say because we faced enormous headwind in Q4, as you know Priyank , right? Our de-growth was much steeper than what we had anticipated. So I can't really comment for the year now. My entire focus is quarter -on-quarter. So what we can say is we are working at least for a sequential growth in Q2. That will be our focus.
And apart from that, our only focus is to drive better order book. Now , mathematically it will tell you that if we can deliver upwards of $850 million worth of order s, then definitely next year

we can show much more growth. Now I don't know whether it will be double -digit or whatever , that tim

e will tell. But th is is all keeping in mind, Priyank that the uncertainty at some point in time settles down , because we don't know what we don't know.
Priyank Chheda: Very clear. And now this last question and I'll come back in the queue. After the delivery of whatever the strategic actions that you have undertaken, you also mentioned in your opening commentary that we start this year with a very robust balance sheet. At the same t ime when you are implementing internals, do we need to look into the external , to acquire better capabilities, diversify, and, build a much more sustainable organization for the coming years?
Angan Guha: We have done a lot in building a solid organization per se . As you know we have zero debt , we're generating positive cash flows, and from that perspective I think we are world class. We need growth in the company . An acquisition currently, at least to my mind , is going to be a distraction. We will not look at an acquisition today.
We need at least 3 or 4 quarters of sustained quarterly growth performance and then look at something . We always are in the market , looking at assets at any point in time and if something really shows up which adds good value to us, then we are open to looking at it. But right now , the actions are very clear : we need to focus on building pipeline, delivering order book, a nd at least start delivering sequential revenue growth even before we think about an inorganic acquisition.
Priyank Chheda: No problem. So just on that. It's a request from a minority shareholder , to focus better on capital allocation for this year, maybe. I'm not talking for a permanent change, but in this year we can think of a better dividend payout or a buyback, so that our return on equity and the return ratios become much more attractive . And as we start FY27, again the capital allocations as per whatever the decided policy is can go on. Thank you.
Moderator: We have our next question from the line of Dipesh Mehta, Emkay Global.
Dipesh Mehta: Yes, thanks for the opportunity. A couple of questions. First about the outlook ; I think last time you had indicated about quarter two to be a growth quarter and then I think for the full year also you made two observations. First, about our aspiration to deliver at least p ositive growth in FY26. And secondly, the EBITDA margin roughly around 13% , that's for the year.
So if you can provide your broad observation on these two things, whether we continue to aspire to reach positive growth and 13% of EBITDA for the year. Second question, you indicated right shifting of some deal. Can you help us understand whether those deals will be -- are already closed or we are yet to see that clos ure happening? And whether it would be large size d, in terms of a relatively chunky deal compared to our usual size of the deal s? If you can answer th ese question, then I ha ve a couple of follow -ups? Thanks .
Angan Guha: Thank you Dipesh. So Dipesh, first of all, on Q2, I'll concentrate on Q2 first. In Q2 our endeavour will be to deliver some positive growth. I can't comment on the quantum because the situation is very fluid, but I can tell you, the management team is working on delivering some amount of sequential revenue growth in Q2.

Now Q3, we will, like I said earlier to Girish also that if I deliver a strong order book in Q2 then maybe in Q3 we can continue our growth momentum . For the year , it is hard for me to say whether we'll be positive, quite frankly, Dipesh . Because we are starting from a much lower base. If you remember , last year our base was at about $160-odd million. Now you know where our base is.

So mathematically it will tell you that delivering positive growth may or may not be possible. It is quite difficult at this stage, but I will not comment for the year and you know we don't give a guidance. We wou

ld like to take one quarter at a time. That 's point number 1. Point number 2 on deals construct. Look, we have one -two reasonably large deals. One deal is getting signed in the month of August, so we have reasonable momentum on the deal flow. The two big deals that you're referring to, like I had said, even in the last call, those are Q3 -Q4 decisions , we are working on it. Hopefully we will be able to close one out of the two, and if that happens, then at least we will be able to deliver robust order book for the year , if not revenue.

Dipesh, our entire focus this year , because of the fact that we are starting from a huge headwind position , is to really focus on quarter -on-quarter growth and on delivering order book rather than looking at year -on-year because year -on-year obviously will look very , very muted.

Dipesh Mehta: Fair point. And on the marg in side , if also you can comment?

Angan Guha: Our first quarter, as you have seen , our margins were at 12.4% . Last year for the entire year we delivered a 13% margin. Our endeavour is at least to keep the margins at that level. Now , I don't know whether we'll be exactly 13 % or 12.8 % or 12.6 % or 13.1%. I don't know, but it will be in that range. Our endeavour will be to keep the margins in that range.

Dipesh Mehta: Understand. Now I have a couple of follow up s. First of all , Manufacturing. If you can provide some sense, how one should understand, Manufacturing growth playing out ? There are some headwinds. So if you can give a broad sense, if you can slice and dice into some sub -segment s, how you're seeing demand trend s there and whether this pain is likely to be prolonged or you expected to see a rebound entering into second half. And second, similar question for ERP segment. So ERP , if you can give some sense . Couple of quarters back, I think you were hopeful about recovery in ERP. Now again, ERP is seeing challenges for the last three quarters. So if you can give some sense there.

And one question for Kamini , ETR increase, I think you provided some statement, but I missed it. If you can help us understand. What led to this increas e in effective tax rate ?

Angan Guha: Dipesh, I will talk about the Manufacturing and the ERP situation, and then I will hand it over to Kam ini for her comments on the ETR. So look, Manufacturing is a manifestation of what we are seeing in the market now. Wh ile we work with some really mar quee names in Manufacturing, the reality is we also work with a lot of mid -size manufacturing companies in the U .S. as well as in Europe.

Now with everything that is happening on the tariff s side, there is also a little bit of uncertainty in terms of decision making and prolonged decision making. And as you also know, our Manufacturing business actually sits in two areas. One is the pure manufacturing. And second

is in the healthcare space also we work a lot with med devices customer s, which is also manufacturing.

I'm of the opinion that our med devices business is now turning around , that will continue to show positive momentum. Our discrete manufacturing is going to be under pressure, which is why that has an effect on our ERP business because the ERP and Manufacturing business es go hand -in-hand.

It is hard for me to comment , with the way the world is moving and the way the tariff situation is playing out , in terms of when this business will move around . Only because it is a “wait and watch ” policy in terms of our customers' decision making process.

So we'll watch the space and as the quarters go by, I will give you an update when the clarity comes in. But our endeavor on the ground is also to kind of turn the Manufacturing business around and see if we can deliver growth in the coming quarters.

On ETR , I'll hand it over to Kamini .

Kamini Shah: Dipesh, like I had mentioned, if you

look at our typical ETR, we've always been in the range of 25% to 26% . But you know , this quarter we've had to take it to about 36% because of the provision that we have made. What I had called out was that we are engaging today with tax experts and we have started transitioning our terms of engagement with key customers.

So our current assessment is that this impact is going to be for this financial year and then going forward we expect the ETR to come back to our historical levels. So that's really our current

outlook at this point of time and we are working through this, engaging with the experts.
Dipesh Mehta: So broadly …I'm not very clear ….let's say , what led to this increase, because you said certain client s you are in conversation and all those things. And this 35% plus kind of number is likely to be there for next 3 quarter s at least. So if you can provide some sense , what led to the increase ?
Kamini Shah: So I think it's also a factor of some of our engagements, D ipesh, that we're looking at, which is why I said we are engaging with our tax experts at this point of time and what we really need is to just work with our customers to realign the contract terms. Which is the reason why I'm saying that, I mean , I know this is much higher than what we've had historically, but we do expect to get this back and I think our focus right now is to make sure that we take all the necessary steps to get back to this [historical] levels.
Dipesh Mehta: Okay, thanks.
Moderator: Thank you. We have our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Yes, thanks for the opportunity. And then in terms of whatever you explained till now, it looks like even after two-and-a-half years of effort in terms of turning around the ship and the Birlasoft growth profile, it still looks like our restructuring and turnaround efforts are undergoing. So what is not executing as per your plan? Is it more to do with the capability gaps? Is it more to do with

the execution aggression, or do you believe it's more to do with the macro headwinds which is impacting us?
Angan Guha: Sandeep, if I were to make an honest assessment in terms of what is going wrong with us, there are two big things that are going wrong with us . And look, macro is where it is. I mean that is not in our control, so I will not talk about it. It is our top 24 customers or top 40 customers which essentially give us 93% of our business. If you look at their performance over the last 4 quarters, they have not matched up to the kind of growth that we have seen probably 6 quarters back, right? So they h ave slowed down .
Now one can argue whether this is because their spending has been going down, which clearly it is. It is also because some of the work is becoming insourced as far as they are concerned , some projects have got over , which has impacted us in the last 6 quarters tremendously. So clearly our focus needs to go back into mining these accounts, wi nning more in those accounts to get back the business on track. That's number one.
Number 2, from a capability perspective, again, if you look at our Digital & Data business, they've done reasonably well. Our Infrastructure business has grown significantly if you were to compare it over 3 -4 quarters. One big issue that we are facing is ERP , and ERP is very coupled with our manufacturing business.
So if I were to now look forward fo ur quarters, what will be our plan? Like I was telling Dipesh earlier, Sandeep, my plan will be very simple. Go back to the basics on mining the 24 and 16 accounts. That's important. So the 40 accounts we have to mine . We have to start adding more and more newer logos in that , in the bucket of 40. That is number 2.
And number 3, how can we work with our partners like SAP, Oracle, etc. and, invest in m

ore
leadership to turn around our ERP business . If we can do these three things, at least in the medium term we can get back the company into a growth mode .
Now economic external economic factors , like I said are not in our control, so hard for me to comment on how that will move, but at least internally these are the three things that we have thought of in terms of investments , in terms of push focus to get the overall company back on growth . Because remember ERP still contributes , with all the headwind that we have faced over the last 3 -4 years it still contributes to 200 million out of the 6 20-630 million that we have. So that's a big business.
Sandeep Shah: Okay but Angan , sorry to stress on this, in the review process, we should be having some amount of lead indicators about these things happening in the next 1 quarter, 2 quarter s, or 3 quarters. So why the execution is more on the reactive approach rather than a proactive approach ? Because the way you are explaining , it looks like second half could also be a diffi cult period for us in terms of growth ?
Angan Guha: Sandeep, look, it's not reactive. We know exactly what is happening . And again, there are a lot of specifics. I can't discuss specific customer issues, but we know exactly which vertical, which account, which markets are really not doing well, and we have a plan to fix them .

The only reason I'm not giving a forward -looking guidance one is because we don't give a guidance, and second is because the uncertainty is so much . I am not being able to pinpoint something but what I can tell you, Sandeep, is this the entire management team is focused on those two things that I spoke about. One is creating pipeline, delivering the order book, and I will tell you if you deliver the order book, the revenue will follow, and we have a plan in multiple levels. We have a plan for our top 24 cl ients, the next 16 clients , what w e call as the "attack accounts ", which are 16 clients that we want to have in our portfolio. And there is a proper plan account by account, people by people, service line by service line , which aligns to our long term growth strategy. Now it will be all about execution . And execution from your perspective will be higher order book and if we can deliver higher order book, then the revenue will follow.

Sandeep Shah: Okay, fair enough. Thanks for the detailed answer. And sir, I think in the last earnings call, you called out, we added two large deals and each about $25 to $40 million in Q3 -Q4, plus we are expecting a nother t o close which got delayed from 1 Q to 2Q . And besides that, you also spoke about a couple of other large deals which are in the pipeline which is needed to be closed in the second half. So am I understanding this correctly?

Angan Guha: Yes, absolutely correct, Sandeep. One deal, as we closed in Q4 already. One another deal, we closed in Q1. The deal that got shifted into Q2 will also close. Had it not , then our order book would have come in at about 160 -165 million, but that will close in Q2. And the two large deals that you're talking about are in the offing, but those , like I had said in the earlier earnings call are a little bit of a long shot and the closure date is also more like Q3, Q4.

We will absolutely work on them and we will see how we can convert. But more importantly, we also have to build a pipeline. We have to get more deals on the table which the team is also working on.

Sandeep Shah: Okay. And jus t last few things, in terms of EBIT margin target which we have said last time, we are not changing that ? This year we could be flattish plus or minus in a small range and then from FY 27, there could be a pick in the margin. Is it the right way of understanding?

Angan Guha: Yes, Sandeep, because look , I mean, at the end of the day if the revenue is so muted … see from

the cost side, of course we have done a lot on the cost side and we will continue to do a lot right on our overhead side and the cost side . But at the same time we will invest in the right areas. So our going in p osition right now is that the EBITDA margins will be in the current range, give or take a few, which we spoke about, but as the revenue growth comes back, the margins will automatically improv e because the operating leverage will come into play.

Sandeep Shah: Yes and last thing, mad am, just wanted to understand – the higher tax rate which we expect in FY26 will have a cash flow impact ? Or we are doing just prudent provisioning of the same in anticip ation of a higher tax out flow in the later years?

Kamini Shah: So, Sandeep, it's a combination of both at this point of time, which is why I said that there would be some cash out flow that would happen on account of it, but we are engaging with our tax experts to see as to how we can work around it . So it could be a combination of both.

Sandeep Shah: Okay. All the best Kamini ma'am and welcome, Chandru sir. Thank you.

Moderator: Thank you . We have a next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Just wanted to ask about which side is tech – hi tech customers, which vertical is that classified as? Saw that three of your key deal wins are from that segment. Is that in Manufacturing or is that in the Services side?

Angan Guha: It is on the services side, Ravi.

Ravi Menon: Okay, and Life Sciences, I noticed that we haven't really seen any wins. Could you talk a bit about that, what's outlook there, even apart from medic al devices, is that still soft ?

Angan Guha: Ravi, look, I mean, predomina ntly almost 80% of our business is medical devices. While we have not seen any win in Q2, there are couple of deals that we are working on even on the life sciences space that we hope to close between Q2 and Q3. We are working on them. I personally feel that t he med devices industry per se , though it went through a little bit of challenge, it will turn around . But again we don't know how the tariff situation will play out for them . We'll have to wait and watch. B ut at least the momentum is pi cking up in that area. While we did not win a deal, we have been selected by a very large med devices conglomerate as one of the preferred vendors and we hope that some of the deals should be com ing out of that over the next two t o three to four quarters.

So if you ask me, Ravi, I'm feeling a little b it more positive on the med devices space. On the larger Life Sciences area, we obviously don't work with any providers and we don't have the capability to work with any providers, but we have started working with some of the p layer s and as we sign up some new clients on that area, I will com e back to you with an update Ravi.

Ravi Menon: Thanks and we saw a couple of wins in Insurance, sort of like that's also picking up. How about the Banking segment?
Angan Guha: While we call our business BFSI, but we don't rea lly work with any banks. I mean we work wit h asset managers, we work with payment providers and we work with a little bit of insurance.
Insurance is a very small b usiness for us. We are winning some small little deals there and we feel that will continue to show growth.
On the payment s side, we will see some softness going forward. But, it'll be seasonal. I feel, Q2 will be a little bit of growth again in payments. Q3 because of furloughs will be flattish, but in the long term I think the payments as well as the asset manager s space will grow for us, Ravi.
Ravi Menon: Thank you. A nd I notice that this quarter, we've seen a bit of shift offshore, so should we expect that to continue and will that help margins ? Or you think that new deals when they're coming through, we will have to keep the o

n -site/offshore mix mor e or less at the current levels?
Kamini Shah: Ravi, our expectation it would be more on the current levels. I think the shift that you saw was largely because some of the degrowth had happened more onsite at this point of time , and that's the reason that we expected to remain at the same levels.

Ravi Menon: All right. Thank you. Best of luck.
Moderator: Thank you . We have the next question from the line of Shradha Agarwal from Asian Market Securities . Please go ahead.
Shradha Agarwal: We've seen our sales and support head count coming off for the last many quarters and if you look at on a Y-o-Y basis, it's down almost 17% -18%. So what is happening there, is it more of overhead stuff that is going out or are we also looking at rationalization of a sales team?
Angan Guha: Shradha , our going in position is to invest in sales. S o you should not take this as cutting off sales force to enhance margins. That's not the idea. We will continue to invest in sales heavily going forward as well and you will see an upt ick, but we will invest in specialized sales instead of generalistic sales people.
Also, Shradha, we will measure sales productivity very strongly and I can't comment today whether we are right sized in terms of sales or not. T hat will be driven by productivity and there is a big exercise that is going on. But the larger point that I made earlier, I think, to Priyank or Dipesh , is we will have the right roles in the right geographies. So from that perspective, we are rejigging our workforce a little bit. But investments in sales in the right kind of accounts that give us growth will continue.
Kamini Shah: And Shradha, just to add to what Angan said, right, while we continue investments in the sales area, the reason why you see a reduction is we are also looking at a lot more internal optimization and automation in our internal processes, which is why our su pport headcount has also been showing a declining trend. So while it's clubbed together for you from your standpoint, sales and support , reduction is not in the sales area ; it's largely in the support area that we have.
Shradha Agrawal : Sure. And a related question is any progress on hiring of CEO -America s after the exit of Mr. Roop Singh? It's been, I think, more than two quarters that we've been looking for with the placement. So any update on that?
Angan Guha: So Shrad ha, we will come back to you on that. I mean, there is some thought process that we are going through at this stage. And at an appropriate time, Shradha, we will come back and update you on this.
Shradha Agrawal: Right. And so just last one question from my end. Many companies have been talking of the m getting incremental market share in vendor consolidation deals. So what is our status on such consolidation deals that come up in the pipeline?
Angan Guha: Some of the deals that I talked about that we have won, part of it of course is vendor consolidation. And some of the other deals are also new deals, which is more Agentic AI. I mean, one of the deals that where we are delivering to our clients with Agentic AI solution is a part of a consolidation deal. So we're winning our fair share of consolidation deals as well, Shradha. But like I said, our focus , rather than just driving vendor consolidation, is to win new transformation deals f rom our cli ents, which is more AI centric and where I will be able to use my AI platforms to deliver.

Shradha Agrawal: And so just one last question. ROW saw a steep decline. So the Manufacturing decline and ROW decline are related?
Angan Guha: Yes, it is related because there are some Manufacturing clients spend , and these clients are really

global clients , so we cannot classify whether ROW or the US , but you're absolutely correct
S

hradha, that aligns with the Manufacturing decline. But overall, ROW, outside of Manufacturing, has done reasonably well. In fact, the two or three deals that we are signing or about to sign are actually in the ROW area.

Moderator: We have our next question from the line of Sudh eer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli : My question is, I think, a follow -up on what one of the earlier participants asked on Q3 growth. So you're saying the deal that got right -shifted is almost signed in the month of August. And if things, especially on the macro side I understand that the situation is very fluid but if things, let's assume things stand status quo, and given that you have the comfort of that deal signing, and the deal signing s happen to be higher than what they were in this quarter, then is it fair to assume that December quarter will also be a growth quarter, despite, let's say, 100 -150 basis points of hedging due to furlough? Is that the right math to assume?

Angan Guha: So, Sudhee r, I will break this up for you, right, so that, you know, I communicate it clearly. And I'll also ask Kamini to step in on this one. So look, if I can sign more deals in Q2 than Q1, roughly about anywhere in the range of 16 0 million to 165 million, in that range, if I sign, then clearly Q3 will also be a growth quarter. The only reason I am not being able to say that with thump ing on the table is because I don't know how much furloughs will my customers come back with.

Operationally, I can tell you, I will grow in Q3. But the problem is, how much hit will I take because of furloughs is too early to comment. Because as you know, 40 -50% of my business is manufacturing. And depending upon how the tariff situation goes for them, we don't know how much amount of discretionary cut they will have, as a result, how much furloughs they will ask us to take, which is the only reason I'm saying this.

But operationally, if you ask me, we'll absolutely grow in Q3 as well. Barring, the only caveat here is, if the furloughs are more than anticipated historically, then obviously, we'll have an impact. Otherwise, we will grow.

Sudheer Guntupalli: Fair enough, sir. That's why my question had a predic ation that broadly in the historical range, given that it is too early to predict furloughs. But otherwise, you don't see, I think this is regarding, asking for some more clarity on one of Sandeep's earlier comments that says that H2 is sounding, we are sounding , a bit weak. I'm just trying to get some clarity on his comment, because I was not there for the full extent of the question ?

Angan Guha: Sudheer, let me clarify, and I think Kamini clarified this to Sandeep as well. As you know, we entered Q1 with a lot of headwind, right? Earlier, our revenue base was roughly about 160 odd million dollars, we entered, or rather, we ended Q4 at about $152 million base. So, we had a

huge headwind because of closure of projects, ramp downs, and a lot of the work going to the captives.

Now, if I were to take that base, and growing from here, you will be able to do the math, we'll need a substantial amount of sequential growth to show growth from there on, right? So, which is why my request is, and I know this may be not the right way to say it, but let me focus on quarter -on-quarter performance rather than year -on-year performance, because with that kind of headwind, year -on-year performance may not make too much sense .

So, my entire focus and my management team's focus is first deliver growth in Q2, and then like we discussed, if there are not too much furloughs, deliver growth in Q3 and then Q4. But at a larger scope, if I can deliver this, what I just said, focus on qu arter-on-quarter, and deliver above 850 million of order book, then at least next year, I can commit to a solid growth year.

Sudheer Guntupa

lli: Fair enough, sir. I was just trying to get that confidence on sequential basis only, quarter -on-quarter growth trajectory for the second half, not on year -on-year basis , since one of the earlier comments by one of the participants seemed to imply otherwise. Thanks .

Moderator: We have our next question from the line of Abhishek Shindadkr from InCred Capital .

Abhishek Shindadkr : Just one question. S ir, historically, when we have had a hunting and a mining team restructuring, typically, what is the timeframe within which they actively start contributing to the new pipeline, especially the hunting team? Any color in terms of that timeline could be usef ul. Thank you for taking my question.

Angan Guha: Abhishek, the hunting team actually does two things . One is , either they work on a deal in a new account or they open a new account . So, let me take both the questions separately. When you're working on a new deal in a new account, that depends upon the deal closure. If the deal closes quickly, we can start getting revenues quickly. But the other rhythm or cycle in the hunting motion is to open an account, sign an MSA, get the account in our fold, and then you start walking the floors. My personal take is when you open a new account, sign an MSA and start walking the floors, by the ti me you close the first deal and see the first dollar of revenue, it could take anywhere between 6 to 12 mo nths. That is the motion of a new account opening MSA, which is why we put an account manager who starts walking the floors and over a 2 -3 period, the account can become 5 million, 10 million, 20 million, which is the account mining exercise. But the other rhythm where you are working on a deal in a new account, that could close whenever it closes, could be 3 months, could be 6 months.

Abhishek Shindadkar: Understood. So, my question was more about new business in existing accounts versus the end -to-end business. So, generally, 3 to 6 months is the timeframe when the new team would take to get the end -to-end business. Is that the right way?

Angan Guha: Absolutely, yes, Abhishek.

Moderator: We have our next question – a follow -up from Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai : Thanks for the follow -up opportunity. I just had one question. You mentioned in -sourcing and captive a couple of times , maybe more than twice , during this call. Are these multiple clients and why is in -sourcing happening? Is it that the clients can do the same work at cheaper rates within the capt ives or any specific reason why the in -sourcing is happening?

Angan Guha: Girish, you must not look at in -sourcing from a rate perspective. It's not about rate. It is more about standing up their GCCs and getting that off the guard. It could also be some amount of work, which are more regulatory in nature, which needs to be within their four walls.

So, I would not read too much into that. It was more to explain in terms of the fact that we have not lost those deals to competition. We've lost those -- actually, lost is the wrong word. We've given up those people or that piece of work to an in -sourcing rhythm is what I was referring to. It's got nothing to do with price, Girish.

Girish Pai: I mean, are these more than two, three clients?

Angan Guha: Again, we will not talk client specific, but yes, it is more -- I mean, it will be a couple of clients. It's not more than two or three clients, but it is in that range.

Girish Pai: Okay. One last question on pricing. How is the pricing in the market today compared to, say, three months back or six months back on discretionary work, so -called discretionary work?

Angan Guha: Look, pricing is going to come under a lot of pressure . Which is why, Girish, if you remember, my first comment was at least to get my renewals done at the current price levels and no

t give
discounts on the renewals. And that itself is a lot of effort, considering the macroeconomic situation.

Now, as far as new deals are concerned , on discretionary or even non -discretionary, there is enormous amount of pricing pressure at this stage, which is why we are taking two strategies, actually three. One is trying to get the renewals done at the current pricing, number one. Number two, getting our organization cost structure corrected to reflect the new reality of the pricing pressure that we will go through. And third, of course, we will also be aggressive in the market to gain some market share, but strategically win some d eals at a little bit more competitive pricing.

Moderator: We have another follow -up question from the line of Sandeep Shah from Equirus Securities . Please go ahead.

Sandeep Shah : Just a book -keeping question. If I just look at the intangible assets, which is mentioned as other intangible and intangible assets under development, it has gone up on a Y -o-Y from $1.4 million to $3.1 million, and largely because of the intangible assets under development. I agree as a percentage to revenue, it's not very big, but what is leading to this increase?

Kamini Shah: So, Sandeep, it's actually, if you could recollect, we had mentioned about our own in -house transformation program that we had been doing a couple of quarters back, Optimus. As we are building it up, it's really the cost associated to it.

Sandeep Shah: Optimus is one of the solution s or a tool which we are developing?

Kamini Shah : Yes, absolutely.

Sandeep Shah: Around automation or …?

Kamini Shah: It is actually an entire platform that we are creating in -house for our own internal purposes in terms of transforming our organization.

Moderator: Thank you. We have our next question from the line of Debashish Mazumdar from SVAN Investments.
Debashish Mazumdar : Good evening. Hi, An gan. Thank you so much for taking my question. And Kamini, all the best for your future endeavo ur. So, Angan, I have a little bit of a strategic question in my mind. If I see your journey in Birlasoft once you joined , after we faced a huge headwind from Invacare, which was kind of managed well , we then came back into growth mode for two to three quarters, because some of the changes done, some strategic changes made, consolidation happened, hired new people. Then , if I see over the last two to three quarters, we suddenly kind of collapsed from that growth journey. And obviously, because of that, our m argin also got impacted. So, according to your analysis, what was the reason of this impact? It was like job half done when we were kind of changing strategically 3-4 quarters back, or it was more of a macro impact that we have faced or it was more of a client specific or vertical specific issues that we have faced ? So, according to your analysis, what are the -- among all these three, what is the main reason according to you in your mind that has impacted us the most? And the second is , at what level of transition we are in? And according to you, how much time it will take approximately to get back into the growth phase?
Angan Guha: Debashish , first of all, I thank you for the question. So, there are a lot of questions in one question, but I'll try and summarize and answer them . Fundamentally there is nothing wrong with the company . The company is strong, and that shows up in our balance sheet , that shows up in our cash flow generation. The very fact that we have no debt, we've been able to generate positive cash flows every year shows that we are a fundamentally strong company. What we need is growth. Now, where did growth go wrong? It went wrong in two or three areas. One is, like I was mentioning earlier, some of our customers have insourced a lot of work , some of the projects have finished and they have not

got renewed. And this has happened in about two or three clients, not too many, maybe at best four clients out of the 250 clients that we serve. But over the last four quarters, we've lost a lot of revenue because of them . But equally , we won a lot of business, which is why, though we've lost a lot of business we have still been able to stay at the current levels, which is the commentary that you made that in the last four quarters, we've worked to only be in the same place. I feel personally that this is an ongoing journey, we have made a lot and a lot of change s in the organization. And when I mean changes, I don't mean people changes alone. In the way we work, the way we serve our customers – the kind of capabilities that we build, the kind of capabilities we want to build for the future. Even in the year that we did not do well, we've given our people salary hikes, promotions and everything . So we're investing in our people, we're investing in our capabilities. And we have a long term view about all this.

It's hard for me to say that how many more quarters will it take for consistent growth to come back . We are attempting to deliver growth even in Q2. So technically, in Q2, we will deliver growth. Hopefully, if the furloughs are not too much, we should deliver growth in Q3 as well. But if the furloughs are way too much, then then I can't obviously comment.
Now, it's an uncertain worl d. I will have to focus quarter -on-quarter, take one quarter at a time, and then build on it. But of course, our endeavo ur is to get to consistent quarter -on-quarter growth for four, five, six, seven, eight quarters, sooner rather than later. It is not a job half done, we continue to do the job and we are fiercely committed to our customers , to our people. And we will build a strong, robust company in the long term.
Debashish Mazumdar : Sure. And when you said that building a robust company in the long term from your recent experience, at least, where do you think that the maximum gap is? I s it like, depending on one single vertical w hich is very volatile in nature or kind of depending on few single customers, where again, you can have higher pressure going forward. So according to you, what are the areas which need to be addressed very, very urgently?
Angan Guha: Both, what you said both. Traditionally, we have been an ERP company, which has not shown growth. We are big in Manufacturing, which has not shown growth. So we have to do both, we have to acquire new customers. We have to also mine our existing customers. And over time, we have to build up Manufacturing back to growth path while Life Sciences and Energy /Utilities and all of the other businesses continue to grow.
Moderator: We have our next question from the line of Vibhor Singhal from Nu vama Institutional Equities.
Vibhor Singhal: I'm sorry to h arp on this question again , I'm just trying to wrap my head around the tax thing that Kamini, you mentioned. So first of all, I just want to clarify, you are saying that for the next three quarters of this year also, we will have 35% tax rate. Did I get that correct?
Kamini Shah: Yes, that's absolutely right. For this year, we're looking at a tax range in this range. Yes.
Vibhor Singhal: Got it. So now, I just want to understand the nature of this thing. So is this some sort of a tax

demand that has been raised by the department that we are trying to fulfil? Is this some kind of revaluation that we are doing? You mentioned that some of the projects and you're trying to work on what has a project got to do with the tax because I think that is a different kind of thing. So just trying to understand the nature of this expense that we are looking at for the fu ll year?
Kamini Shah: So at this point of time, like I said, since we're engaging with our tax experts, we're actually re - looking at our mode

ls that we work with our customers to be able to align to our operating models, which is the reason why I think we are kind of giving you a very limited information at this poi nt of time . We're working through this. But I think what we can say with a lot of certainty is that given the work that we've done so far, we see this as an impact for the current year and not beyond that. So allow us some time to work through this and pro bably we will come back to you later on.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today and I now hand the conference over to Mr. Angan Guha, CEO and MD Birla soft Limited for closing comments. Over to you, sir.
Angan Guha: Thank you so much. I would like to thank each one of you for your interest in Birla soft and for your insightful questions. At Birla soft we have undertaken and initiated several actions over the past couple of quarters to secure our long -term profitable growth objectives. And we've discussed this in the last one hour, that while the macros are unfavourable for a few quarters, we believe that we are well positioned to benefit from the emerging market condition. I feel our first goal would be to de liver for Q2 and we are working on delivering some growth in Q2 and then take it forward from there on.
And l ike I mentioned multiple times, we will take one quarter at a time and our focus clearly this year is going to be to deliver more and more funnel and more and more order book. So thank you once again. I look forward to speaking to all of you again next qua rter. In the meanwhile, please feel free to reach out to Abhinandan for any clarifications or feedback. Thank you and have a great evening.
Moderator: Thank you. On behalf of Birla soft Limite d, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Nov 2025

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Subject: - Transcript of Earnings Call held on November 6 , 2025.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on November 6, 2025.

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript.

Kindly take the same on record.

Thanking you .

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No. ACS 9678

Birlasoft Limited Q2 FY26 Earnings Conference Call

6.00pm IST, 06 November 2025

MANAGEMENT :
MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MR. CHANDRASEKAR THYAGARAJAN , CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

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(1 crore = 10 million)

Moderator : Ladies and gentlemen , good day and welcome to the Q 2 FY '26 Post-Results Conference Call hosted by Birlasoft Limited .
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*," then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh , Head – Investor Relations, Birlasoft Limited . Thank you , and over to you.
Abhinandan Singh: Thank you and welcome folks. By now you would have received or seen our results that were announced earlier this evening. Those are also available on our website www.birlasoft.com .
Joining me on this call are our CEO and MD – Mr. Angan Guha, and our CFO – Mr. Chandrase kar Thyagarajan , or Chandru, as we call him.
We will begin the call this evening with opening remarks from both Angan and Chandru. But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement involving significant uncertainty and therefore that must be heard or read in co njunction with the disclaimer that appears in our investor update, which you would have received and is also uploaded on our website as well as filed with the stock excha nges.
With this, let me hand over the floor now to Mr. Angan Guha , our CEO and MD. Over to you, Angan.
Angan Guha: Thank you, Abhi. Good evening and good morning to everyone wherever you are. And thank you for joining us today as we share some perspectives on our performance during the second quarter of the current fiscal year.
But before I delve into our results , I would like to welcome our new CEO for Americas, Komal Jain, to our leadership team. You would have seen our announcement about his induction in the past month. Komal is a seasoned IT services industry professional with more than two decades of leadership experience in sales, technology, business strategy, and global marketing. He joins us from a Tier 1 technology services and consulting firm where he led the High-Tech, Media, and Entertainment vertical, and where he pl ayed a pivotal role in driving growth and expanding market presence across fast -evolving industries.
As CEO of Americas, Komal will lead Birla soft's business across the United States, Canada, and Latin America with a focus on accelerating growth and strengthening client partnerships. He will also shape our innovation agenda and drive strategic investments to further enhance our market leadership in the Americas. His strong track record, extensive industry expertise, and strong focus on client success will be instrumental in fueling our growth and unlocking new business opportunities across the North and th e South America region s.

With that, now let me talk a little bit about our Q2 results .
So, coming to our Q2 results, which I trust all of you have seen, I am pleased to report that we

have delivered a healthy operating quarter with a strong margin performance.
Overall, our revenue during Q2 grew 0.1% quarter -over-quarter to $150.7 million in dollar terms. In rupee terms, our revenues grew by 3.4% quarter -on-quarter. This has been achieved in the face of a macroeconomic environment that still remains quite challenging , with sequential growth in our BFSI and L ife Sciences & Services (LSS) verticals enabl ing us to offset some of the weakness that we have seen in our Manufacturing vertical.
We also have registered a substantial expansion in our EBITDA margin, which has moved from 12.4% in Q1 to 16% in Q2. We have seen our ca

sh flows and cash balances improve as well.
These improvements are an outcome of both our push to drive operational effi ciencies as well as sustained focus on collections , and Chandru will share more details during his remarks.
On the deal s front, we have reported a signed TCV of $107 million during Q2. I would also like to point out that the Q2 TCV signings though look optically lower, that is because a couple of deals that have already got committed to us, the signing of those deals we could not complete by the 30th of September . That got spilled over to the current quarter, so those will now show up in the Q3 TCV numbers.
Across many of our engagements, we are leveraging advanced AI -led capabilities, including Agentic AI. For instance, during the quarter, we successfully delivered into production an Agentic AI solution for a key P&C carrier in the U.S. The customer ’s business teams are already seeing a tremendous amount of business value in terms of efficiency gains and accuracy as a result of the solution that we have delivered.
We have also been winning against some of the largest players in the industry. For example, we won a strategic deal in configuration management with a large Payments , Cards & Banking client’s core banking platform, replacing a global Tier 1 firm as an incumbent partner. We will continue to make investments to enhance our technology and domain capabilities as we go forward into Q3 and Q4.
Now, coming to the outlook going forward :
The macroeconomic environment, as you know, remains quite uncertain in the backdrop of the developments that we have seen , like trade barriers and protectionism. We are seeing customers optimizing on their spends and decision cycles are lengthening .
In this backdrop, we continue to focus on building up our deal pipeline and driving order book ing. We are pursuing multiple deals at this point in time, and all the conversations on deals are being led with our AI capabilit ies.

As I have mentioned earlier, the reported TCV of Q2 appears low because of some of the deals spilling into the current quarter. We expect that there will be sequential growth in the remaining two quarters of the year, as in Q3 and Q4. We expect that in both the quarters we will deliver sequential revenue growth.
Despite the trends and the fact that Q3 has high furlough s and is a seasonally weak quarter, we still are very confident of delivering revenue growth. So all in all, we expect the second half of the financial year to be better than the first half of the financial year, both in revenue as well as order book.
At this point, I will request Chandru for his comments. Chandru, over to you.
C. Thyagarajan: Thank you, Angan. I hope I am audible to all of you. A warm welcome to you all joining us today on this call.
Let me take you through some of the financial highlights for Q2 FY ’26.
Consolidated revenue for the quarter, as Angan said, stood at $150.7 million, which represents a marginal quarter -on-quarter growth of 0.1%. In rupee terms, the revenue for Q2 F Y’26 was Rs. 13,289 million, which is a sequential growth of 3.4%. In constant currency terms, though, revenue for the quarter was flat quarter -on-quarter .
Our EBITDA performance has been much stronger, with EBITDA for the quarter under review increasing by 34.3% quarter -on-quarter in rupee terms to Rs. 2,133 million and up by 29.9% quarter -on-quarter in dollar terms to $24.2 million. Consequently, EBITDA margin expanded 369 basis points quarter -on-quarter from 12.4% in Q1 to 16% in Q2. This robust margin expansion was led by a combination of factors including better operational efficiency, some rationalization of low profitability tail accounts resulting in b etter average margin , exchange rate tailwinds, as well as some one -offs. The one -off margin and exchange rate ta

ilwinds during Q2
were about 250 basis points, implying that the steady -state EBITDA margin without these one -offs and exchange gains would have been closer to 13.5%.
You will recollect that on the last call we had mentioned about our effective tax rate going up on account of a provision made for higher tax, which relates to U.S. federal tax, and that this

transitionary trend would sustain through the course of the current financial year before settling to historical ETR levels starting the next financial year. The increase in U.S. federal tax liability pertains to some legacy contracts. To correct that, we have been realigning our contracting model to better reflect our business operations and, consequently, we are renewing /amending some of our existing contracts that should limit the impact to the current financial year.
The ETR for Q2 FY'26 reflects some incremental U.S. federal tax liability provisions as also the impact of higher state tax slabs in some U.S. states due to a rise in our overall taxable incomes in those states. Without the additional federal tax impact that we have seen Q1 onward s, the ET R for Q2 would have been 29.7%. Adjusted for its incremental provisions for tax, the normalized

tax for the quarter on an adjusted basis would have been $16.7 million or Rs. 1,477 million in rupee terms, of course, translating into an adjusted basic non -annualized EPS of Rs. 5.28 per share.
We also maintain ed our robust track record of collections, as Ang an mentioned, and cash flow generation as well during the quarter, with collections up 11.4% quarter -on-quarter from $149.6 million in Q1 to $166.7 million in Q2. As a result, cash and cash equivalents have increased to Rs. 23,434 million by the end of the quarter, up about 3% quarter -on-quarter and 26% year -on-year. We are happy to share that our DSO has improved therefore quarter -on-quarter and now stands at 55 days, and you will agree that this is amongst the best in the industry. Our operating cash flow to EBITDA for Q2 has, as a result, increased to 74.3%.
You are probably already aware that the Board has recommended an interim dividend of Rs. 2.50 per share. This reflects our intention to reward our shareholders, while also keeping in mind our capital allocation requirements. We remain focused on investing in capabilit ies for future growth while keeping a close eye on cost s and efficienc ies.
Thank you very much, and back to you, Abhinandan.
Abhinandan Singh: Thank you, Chandru. Thank you, Ang an, for your remarks. Moderator, please open the floor for questions and answers.
Moderator: Certainly. Ladies and gentlemen, we will now begin the question -and-answer session. We will take our first question from the line of Sudheer G from Kotak Mahindra AMC. Please go ahead.
Sudheer G: So, just a couple of questions. Ang an, firstly, you are talking about sequential growth in the next couple of quarters. What gives you that confidence, despite the fact that the deal win s this quarter are a bit tad softer? Of course, you explained that some of those deal signings slipped into the next quarter , but will the ramp -up schedule d be so quick that it will start giving the revenue conversion quickly? That is question number one.
And question number two is, if we adjust for pass -through s, a bit of pass -through coming down, even in this quarter I think the underlying services growth seems to be at around 1.2% sequentially. Is that a correct assessment ?
Angan Guha: So, Sudh eer, let me answer both the questions. But first, let me answer the first question. Like I said, optically, though our signings are looking lower this quarter , two deals which were committed to us, have got pushed out to next quarter from a signing perspective. There are no delay s on those projects. It is only that we couldn't sign the deals as of 30t

h of September. That
is point number two.
Point number three, the reason what gives us the confidence that Q3 will deliver growth even in a seasonally weak quarter, considering that the furloughs remain at the same levels as last year, which I think it will remain because we have not heard otherwise from the client, is the fact that we had won a couple of deals, if you remember, in Q4. Those transitions are now over and those

revenues will start flowing in, which gives us the confidence that Q3 will be a much healthier quarter from a revenue growth perspective than what we have seen in Q2.
Now, what was the second question, Sudh eer? Sorry, I forgot the second question.
Sudheer G: Adjusting for a bit of pass -through revenue, is it fair to assume that our core business in this quarter would have grown around 1.3% in constant currency terms ?
Angan Guha: Yes, that is the right understanding, Sudh eer.
Sudheer G: And second bit on the margin, so currency plus one -off is what you are calling off. If you were to call it out at just a pure one -off, one -off level, what would be the impact margin benefit will have gotten because of that one -off?
Angan Guha: We will ask Chandru to answer that question. Chandru, over to you.
C. Thyagarajan: Sorry, Sudh eer. Your line was not clear. Can you repeat that question, please?
Sudheer: I was asking, you mentioned certain currency benefit s plus one -off. Currency benefit s, of course,

all the companies in the sector have seen, which is sort of the lowest common denominator. If you were to call out the pure one -off, one -off in your margin, how much would that be , if you can quantify?
C. Thyagarajan: So, I said that the one -off plus forex benefit s together was 250 basis points. Within that, about 150 basis points or thereabouts was on one -off and about 100 basis points on forex.
Sudheer G: And what is the nature of this one -off and how the reversal will pan out?
C. Thyagarajan: There were instances where there were excess provisioning in the prior quarter s, so we got advantage from some excess provisions that were reversed and some other correction s that we had to make where we had to readjust the provisioning that we made in past quarters . So, some of that benefit we got into this quarter, which is the one -off that I was calling out.
Moderator: We will take our next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: A couple of questions. If I go to Quarter 1 Earning s Call commentary, we made a couple of statements. First was about Q2 deal intake. If it is 160 -165 million, then Q3 will be growth quarter outside of furloughs. So, even though we sign sizably lower than that number and partly you indicated two deals slip ped to Quarter 3, but whether including these two deal numbers will be closer to that number which you indicated for Q3 growth aspiration ? That is question one. Second question is about our aspiration to clock 850 million deal kind of in FY ’26. Considering H1 is already out , are we on track to deliver that kind of number which gives us confidence on

FY’27 growth strategy ? That was the, I think, management narrative last time. So, just want to get update on that part.
Second question is on ETR. Can you help us understand what would be the ETR one should look in H2 and then FY '27, how one should look at it? Because last time we indicated Q1 level is a good level to take for the remaining quarters, but in Q2 there is further uptick .
And last question is about Vertical s commentary. Now, Manufacturing and E&U seem to be under pressure. While BFSI did better, but it is not, let's say, up to what in industry some of the players are delivering. So, if you can provide a broad co

lor about the four verticals, how you
expect H2 to play out?
Angan Guha: Dipesh , let me answer the first question , and I will try and add the vertical commentary as well and then also ask Chandru for his comments on both the questions that you asked.
So, first of all, like I said and I said earlier in my commentary as well, the one reason why we are getting the confidence that the Q3 revenues will grow is because , not about the deals that got slipped or rather we could not sign by the 30th of September , but this was more of the deals that we had signed earlier in Quarter 4, which was going through a transition phase. Now, since we have completed the transition phase, we are confident that those revenues will come in and that will deliver growth.
The signings that we are doing that got slipped from the 30th of September to the current quarter, those signings will be shown in our TCV performance in Q3. Right now, those again have to go through their own transition and then the revenues will come in. So , I hope that answers your sequencing question.
Now, as far as …
Dipesh Mehta: Sorry to interrupt, Angan. So , let's say there is a gap of 60 million between what you expected at the end of Quarter 1 from deal signing perspective versus what you actually signed. Whether the two deal slippage which you indicated would be of that quantum?
Angan Guha: Yes. So , it will be in and around that. I mean, we don't obviously give specific figures and specific clients, but ye s, suffice to say that it will be in that range.
Dipesh Mehta: So that answers Quarter 2 deal intake sl ippage. Then 850 million what you indicated and maybe some of the other follow -ups?
Angan Guha: So Dipesh, on the overall year, so if you look at our first half year, our first half year, we would have signed roughly about give or take 247 million to 250 million. Our intention, obviously, is to get to the number that you're referring to. And that is what we had also given in our earlier commentary. Now, I don't know exactly what will be our number for Q3 because it all depends upon actual signings. But I can only tell you that our funnel is impro ving. We have a lot of deal conversations th at are currently on. And we expect our Q3 signings to be definitely much better

than the Q2 signings. How much that will be ? I do not know. But logically, as a management team, we are moving towards trying to sign as much deals as possible, hoping to reach the number that you spoke about. But I will ask Chandru for his commentary also.

C. Thyagarajan: On the specific question on ETR, your question was twofold . What should we be looking at as the ETR for the rest of the year and therefore for the full year FY'26, and what it would be for FY'27? For the full year FY '26 , we are looking at an ETR of about between 42% and 4 3%. And for the second half of the year, it will hover around the 44% to 45% mark. So , that is the expectation with the federal tax that we will continue to provide for in third and fourth quarters. On a full year basis in FY'27, our expectation is that the ETR will settle down to between 28% and 30% on a run rate basis.
Dipesh Mehta: Yes, comment s on the vertical s.
Angan Guha: So, Dipesh , on the verticals front, if you really look at it, BFSI continues to be a growth leader for us. You are probably not seeing the kind of growth that other companies are delivering because, like I have always said, in BFSI we are predominantly an insurance, asset management, and a payments company. We don't really serve banks. Whereas the growth is coming back to the banks, our performance has been very steady. Bar ring the furloughs, and Q3 for BFSI specifically will have furloughs that we believe will be at the same level as last year , I think BFSI will continue to grow. I mean, Q3 may be a little bit of a flattish

quarter for BFSI, but Q4
onwards again we will see growth.
As far as we are concerned, I feel, and based on what we see , based on our client conversations, all our three verticals, whether it is Financial Services, whether it is Energy & Utilities, as well as Life Sciences, will continue to show growth. Manufacturing is an issue for us. We are taking a lot of measures to get the Manufacturing business back onto the growth track, and you will have to give us a couple of quarters on that, Dipesh, but our endeavor is to get Manufacturing also to go on a growth trajec tory in a couple of quarters.
Moderator: Dipesh, does that answer your question?
Angan Guha: Yes, it does .
Moderator: We will take the next question from the line of Vibhor Singhal from N uvama Equities. Please go ahead.
Vibhor Singhal: So, one of the two questions from my side. Given where we are in terms of deal wins, you rightly mentioned that we have a slippage of a couple of deals in this quarter and assuming they come in the next quarter into the fold , do you think the deal wins that we are chasing and the pipeline that we are chasing at this point of time will be enough for us to take FY'27 as a growth year? FY'26 I understand we are already halfway through , and because of a softer start, where we land up is going to be difficult. But in terms of FY'27, do you think it is a possibility that we could

end up FY'27 as a growth year? That would be my first question. I will follow it up with the other question. If you can answer that, please.
Angan Guha: Vibhor, look, from our perspective, like I have said, even to both Dipesh and Sudh eer, our endeavor is to kind of deliver maximum order book so that we can deliver growth for next year. I mean, directionally, that is exactly what we are doing. The entire management team is focused on delivering pipeline and delivering growth. If you ask m e, our only focus over the next two quarters is to maximize our order booking and deliver strong sequential revenue performance. Now, to your question, do we think that we have enough pipeline? You know, I don't think we have enough pipeline. We need to build on our pipeline as well . But there is a lot of work going on. That is, I can assure you, there are a lot of conversations in every single vertical that we are present in. And slowly, the conversations will have to turn into funnel. And eventually, we will have our own share of or der book.
Now, directionally, if we have a good quarter in terms of Q3 and Q4 in OB, can next year be a growth year? Absolutely. I mean, that is what we are working towards. It will all depend upon how much we close in Q3 finally, and how much we close in Q4. But I can only tell you, H2 order book will definitely be much, much better tha n the H1 order book.
Vibhor Singhal: That's really comprehensive. Angan , thanks a lot. My second question was on the ERP business . We have seen its revenue fall off, I mean, literally from a cliff, I think from $62 million peak, we are now down to almost $46 -$47 million on a quarterly run rate. So, what is that we are seeing there? I mean, if I remember correctly, we were probably harping upon an ERP refresh cycle, which could probably have taken this to a different growth trajectory. What is ailing here? Is it some project whi ch got completed? Or we basically lost some project? Or is there not enough pipeline in the vertical? Some color on that would be really helpful.
Angan Guha: So again, Vibhor, truth be told, of course, we have a pipeline issue. But equally, you must appreciate the fact that our ERP business is very tied to our Manufacturing business. So , if you really think about it, the very fact that our ERP business is not doing well, which also has a reflection on our Manufacturing business.
Now, as a part of the refresh plan, when we are

redoing our Manufacturing business to get it to
growth, obviously a major part of that refresh will have to happen from ERP, including leadership refresh . So, we are looking at everything.
From a cycle perspective, the ERP, whether it is JDE or Oracle or SAP , is a long term cycle. The immediate benefit is going to the larger companies. And the benefit will slowly come to the smaller companies when the mid -tier customers try and get on to the lifecycle as far as ERP refreshes are concerned. But we are uniquely positioned . You know, we are one of the very few companies that understand JDE. And JDE, as you know, from all conversations, it is going to be on-prem at least till 2030. And I see tha t to be a big opportunity.

Like I have said in the past, that cycle will take a couple of quarters. Because right now, if you look at all the SAP, Oracle deals that are happening in the market, are those mega deals that are happening. But it will come to the smaller companies. And when it co mes, we will be ready to capture a fair share of that market , Vibhor .
Vibhor Singhal: Thanks a lot. I just have a couple of questions for Chandrasekar sir. Two things. So , you mentioned that the adjusted EBITDA margins in this quarter, I mean, if you exclude those one -offs, is around 13 .5%. Are these margins sustainable in terms of, let's say, going forward in the coming quarters? Also, I would like to have some color on the wage hike cycle for this year. When are we planning for that ?
And the second question is on the ETR . You mentioned that ETR for the next year , you are expecting it to be 28 % to 30 %, which is still higher than the usual 25 % rate that we were basically subject to . So, is there some spillover of this exceptional tax in the next year as well and could that be higher leading us to a more than 30 % tax rate also in the next year or do you think we will be able to contain it within 2 8% to 30 % range as you just mentioned ?
C. Thyagarajan: Let me let me take the second question first . The ETR at 28 % to 30 %, the answer number one is it is sustainable in FY’27 and beyond . Two, there is no overflow , if you will , from FY’26 to FY’27. And the reason we are talking about 28 % to 30 % is based on our experience in some of the states in the U.S. where the tax rate slabs are different from the other states . So, depending on the kind of states we do business with , there is a possibility that the tax rates will go up or down . So, while I gave a 28 % to 30 % range , my view is that we will probably get a more calibrated number as we go into the next financial year . But right now I can tell you that the numbers that we have , are taking into account some of these variables . And there is no hangover , if you will , from FY’26 into FY’27, which means the federal tax provisioning that we have done for FY’26 will hold good and that will not have a recurrence FY '2 7 onwards . What was your first question , please ?
Vibhor Singhal: The second part of the first question was on the wage hike cycle for this year.
C. Thyagarajan: Wage hike , again , will be a function of the discussions that we do and the decisions we make and it will be related to performance and retention . So, right now we haven't looked at it , but this will be a key topic that we will make a decision on in the third quarter for the next calendar year .
Vibhor Singhal: So, Q3 we don't have the wage hike for sure . We might see it coming in Q4, if at all . Would that be a right assessment?
C. Thyagarajan: That is correct .
Moderator: We will take our next question from the line of Priyank Chheda from Val lum Capital . Please go ahead .
Priyank Chheda: My first question is , of course , a lot of visibility and the discussion around the order book being done . At the first place , I refer your statement that you

r goal was to first deliver a sequential

growth in the revenue, which I am supposing has nothing to do with the order book ing but the orders that were already in the hand , we were supposed to deliver a sequential growth in Q2. What has that led to this versus what you were thinking? That is my first question.
Angan Guha: So, Priyank, let me take that question. And t hen probably on this topic, I will ask Chandru also to weigh in. So, look, there are two things that have happened . Operationally, in Q2 , one is we have delivered about 0.1% dollar growth, which is minuscule, but at least we have been able to stabilize the quarter.
Like Chandru mentioned in his commentary also, we have also let go of some very bad businesses, which otherwise, apple -to-apple comparison would have shown maybe 1 %-1.5% growth. We have taken a conscious call, and that is the right thing to do so that we were able to get rid of some pass -throughs as well as some not very good businesses. And t hat has a reflection on the margin improvement as well.
Our endeavor would be to continue to focus on order booking so that the future growth is

secured. Right now, the reason why we are confident of the growth in Q3 is because of the deals that have closed in Q4 of last year, which transition is now over and will start contributing to our growth. Hopefully, that gives you some clarity in terms of what we are thinking about .

Priyank Chheda: No, actually not, sir. No, no, no. Sir, I will be honest enough. I am not having a clarity wherein we let go some of the business. I am sure with whatever the margin mix that you would have , at the same time, we are trying to build a solid pipeline, then also build a solid order book , something which I am not able to connect. Let me also try upon my another question in a similar fashion. We indicated that roughly $160 -$165 million would be the signing that we would be doing in Q2. And I am talking about the signing that we would be doing because there was a large deal that was expected to get closed in the month of August. Has that deal been shifted to Q3 now is what you are trying to say? Or there was another deal which was already shifted from Q1 to Q2, has been shifted to Q3?

I am not able to get on both the sides wherein we let go a few business. Was it not strategically a fit? Then i s there enough business on our plate to hunt for that $850 million of orders and also to grow?

Angan Guha: Priyank, let me try and give even more clarity. The deal that got moved from Q4 to Q1 , we signed. That is a part of our $107 million. There are two deals that moved from Q2 to Q3, which when I say moved, I don't mean the decision has moved. The decision had already happened. The signing of the paper did not happen. As a result, we couldn't count it in Q2. We are going to count it in Q3.

Now, the other point that I was I think telling Dipesh, is that those two deals put together would have been in that range, which would have helped us to get to that $165 million in Q2. But it didn't because those deals moved. And again, just for clarity, Priyank, those deals were

committed. It is only the signing of the paper did not happen. So , it is not that the deal moved. The deal is already done.

Now, as far as the $850 million for the year is concerned, that is our endeavor. That is not a commit. If you remember, even in the last quarter, we had said that our endeavor would be to maximize order book. And that is what we are at. Now, whether we end up at $800 million, $850 million, I can't say today. But our endeavor would be to deli ver higher order book than what we delivered in FY ’25.

Priyank Chheda: So, the two deals worth of , say, $60 million -$65 million has shifted to Q3. What would we s

ay

a Q3 normalized run rate be? I mean, I may take a note of the 65 shifting to Q3. The Q3 order book should be beyond the 65, right , which has been shifted ? So, what would be that mix that we would be targeting?

Angan Guha: I can't give you an exact number, Priyank. It is very hard to give a number because order book, unlike revenue, revenue is certain. Order book, if a customer comes in, commits a deal to me, and the sign of the paper gets moved from, let's say, one quarter to the next quarter or one month to the next month, it is very hard to commit an order book, which is why my request, Priyank, is to look at order book from a year -to-date perspective.

So, your point is right. I mean, though my $60 million got shifted to Q3, the year -to-date actual number is only 247. Now, the entire management team ’s focus is to not only sign that $60 million, but also to deliver much more order book and drive more pipeline. Now, how much exact signings will happen in Q3? Hard for me to comment.

Priyank Chheda: No problem. Let me refocus the conversation to the large organizational changes that you were trying to do. I think what we see the update is the new America s CEO also getting onboarded. Are there more changes pending at your end to build a sustainable organization that you already were in sight of? And then also if the new America s CEO is there, Mr. Komal would be there on the call , so we would like to hear his immediate target , goals , and strategy around the business.

Angan Guha: Look, Komal has just joined about a month ago. You must give him a little bit of time to settle down and then definitely he will be talking to all of you. But just give him some amount of time to settle down, get a hang of the organization first, before you get to meet with him. That is point number one.

Point number two, we now have a stable organization. But Priyank, I have always said this, that the organization structure is stable and people are stable , however, we will drive performance metrics. So , we may change people due to non -performance . That we will continue to do. If people don't perform, we will get new leaders in that position. But the structure, the overall structure is stable. The majority of our leadership is stable. But some of the leaders who don't perform, we will move and get new leaders in.

Priyank Chheda: One last question on the business mix and the capabilities that we foresee. One third, which is nearly ERP driven with the manufacturing sector , do you find a requirement of more capabilities for you to bid in the wider basket of deals that are coming through ? Or, within the available capabilities, do you think that even on a two -year, three -year basis, we are ready for a more than a billion dollar kind of an order book , the accretion?

Angan Guha: Priya nk, that is our endeavor. From a capability perspective, we have invested a lot in our capability. Even on the ERP side, we are continuously investing, including leadership . And capability is what? Capability is the ability to use the work that we are currently doing and take it to other clients. Because we have got great capability when it comes to JDE, when it comes to Oracle, when it comes to SAP. SAP, probably not as much. Maybe we need to invest more on the SAP side.

But on JDE, I mean, just to give you some statistics, over the last decade we have done 240 JDE implementations . So, we know that field extremely well. If the question is only to kind of take it to larger and larger customer base , and like I said, I think to Vibhor, that right now the cycle is with large spenders , and when the cycle changes and comes to the mid -market, we will be ready to capture it.

We are also investing in our Data and Digital business significantly. Over the last three years, we have invested a lot more money to create our own Agent ic AI platform, which is Cogito. On the basis of that platform, we have won a couple of deals. In fact, some of the deals I talked about, that got committed to us but the signing is going to happen later, is basis our agentic AI platform. So , I am feeling very confident that we have the capability.

Of course, we need to invest in more capability, which is an ongoing activity. But I don't think capability is the reason for us not growing. I think the reason for us not growing is not having enough pipeline and not being able to convert fast enough. Tha t is what the management team is focused on.

Priyank Chheda: No doubt, sir. Best wishes. Our wishes are always with the management team . Two feedback s, one which was shared last quarter also on capital allocation – in case we are not hunting for any, or I would reframe this, in case inorganic acquisition is not our top priority , maybe returning back the capital and improving the return ratios via buyback would be a great thing to think about minority wealth creation. That is the first feedback and I am sharing it again. And the second one, a lot of questions around the tax provisioning, right? The provisioning s have gone up 60% higher Y-o-Y versus the cash flow doesn't reflect that. And given the material financial impact, it is a request that as a good corporate governance practice, we must have a separate filing done explaining the background of this increase with whatever the case example and the better clarity that can be documented itself , would be helpful. So, that 's all.

Angan Guha: Thank you, Priyank.

Moderator: We will take our next question from the line of Sandeep Shah from Equirus Securities . Please go ahead.

Sandeep Shah: Angan, just one strategic question. If I look at last six to seven quarters, there has been a decline in the revenues or flatt ish. Except for one quarter where we have done well. So, in this transition where leakage could have been an issue, do you believe the current portfolio has now become more defensive, more sticky, more annuity? If you can share the number in terms of still the discretionary or a project -based portfolio versus defensive annuity sticky kind of a portfolio?

Angan Guha: So Sandeep, I will give you my view, but here is where I would ask Chand ru to also give his view as well. So , first of all, Sandeep, you are right , over the last three quarters, we have degrown. And if you look at the last six quarters, barring maybe two quarters, four quarters over the last eight quarters we have degrown. Let me say it that way. But four quarters we grew and four quarters we have not grown.

I believe, and at least that is what even Chand ru and I and the rest of the management team, we believe, that we are now at the bottom of the pyramid. This quarter, at least we have had stable revenues. Going forward, I think we can continue to grow. We will be back on our growth path. Like I said, Q3, we will grow. Q4, we will grow. Q1, a little too early to say, depending upon how much orders I close.

On the second question, our endeavor is to move our revenue from a quality of revenue perspective . And we are doing a lot of work. In fact, some of the new deals that we are winning are all outcome -based deals, which is very positive, because that also makes those engagements very, very sticky from our perspective.

I personally believe that our business is much more stickier now, and going forward, the kind of deals we want to pursue, it will become even more stickier. We do not want to do staff -aug deals

anymore. We want to deliver outcome -based deals . So, that is what we want to do. But I will ask Chandru to give you specifics in terms of numbers, if you will, to the tune that as much as we can share. Chandru, over to you.
C. Thyagarajan: As you said Angan, the

endeavor clearly for us is to get to continuously improve our quality of revenue with more and more annuity deals on the one hand and outcome -based deals on the other, where we are really doing cutting -edge work for our clients .
So, my current understanding of the percentages here, we would have about 65 % to 70% roughly on annuity deals plus some of the long -term deals. And then the project -based would be in 30 %, 35% range. So , that is the number that we have. Annuity includes our long -term deals, which we sign three or five -year, the one -year-plus deal s. All of these constitute the annuity in my book. And then, of course, the project -based. So , it is at a high level, 65 %-35%.

Sandeep Shah: And j ust a related question. If I look at ERP, around almost 14 -16 quarters back, it used to be 37%. It is closer to 30%. Can you share a similar matrix here? What within ERP is still implementation project -based business versus the maintenance or upgrade kind of a business?
Angan Guha: Let me take that question, Sandeep. So, currently, if you look at all our ERP business, ERP business is not a staff -aug business. By nature, ERP is all project -based. We deliver a project. And after we deliver a project, we do the maintenance . So, t oday, if you look at it, and it all depends upon which business are you looking at. If you look at JDE, JDE is all implementation . It is all implementation and post -implementation support. So, t echnically, it may not be long -term, but it is still stic ky because once you implement, you understand the systems of the client. And i t is not staff -aug. It is more managed services, if you will. May not be outcome, but managed services, if you will.
But i f you look at SAP for us, SAP is more about doing implementation, which are very smaller deals, and then doing support, which is probably a larger portion of our SAP business. So, i t really depends upon what you are talking about.
But o verall, as an ERP business, it is a high -margin business. I mean, if you dissect and if you see, it is a high -margin business. It is project -based business. And t here is a lot of opportunity in my mind to work with the clients between the $2 billion to $10 billion range, which are more the mid -tier clients, where we can come in when the cycle turns, and do a lot of work both with SAP as well as Oracle, both on the JDE side as well as on the Oracle Fusion side .
Sandeep Shah: And just in terms of after Komal joining, what would be the key leadership team's agenda? Is it to create more aggression within the sales team ? Or is it more to fill the gaps in the offering s to increase our addressable market ?
Angan Guha: So, Sandeep, we are very clear about that. It is not only Komal . Whether it is Komal , whether it is Chandru, me, Manju, or our Chief Operating Officer, whoever, everybody's job is now to be very aggressive in the market and get growth. You have to get growth back.
Our biggest problem is our growth. The rest of the organization, thanks to everything that Chandru has done, we are stable. Our cost base is coming into control, which you have seen through margin improvement . Our cash flows are great. Everything is good. The only thing that we need is aggressive sales growth.
So, Komal, of course, comes in with a lot of aggression in his earlier company. He spent 28 years with a Tier 1 company, and he's demonstrated great success. So, n ot only Komal , but all of us will be sharply focused on aggressive sales and growth .
Sandeep Shah: And Chandru sir, if I look at rupee -dollar continu ing at current levels, which is 88.2, which has been the realized rupee for Q2 , is it fair to assume that closer to around 14.5% to 15% EBITDA margin is a maintainable, assuming rupee remains where it is?

C. Thyagarajan: So like I said, Sandeep, 13.5% to 14% is where I see our EBITDA levels at this time . I think 14% and improving from there would be a good aspiration to go with. But the base would be 14%. So , short answer to your question, a sustainable number is 14% at this time.
Sandeep Shah: And, last question, Angan ji, if I look at the top 20 clients, top 6 to 10 has been seeing a consistent decline. Is there an effort to change the mix of the top 20 clients as well? And if yes, how you are planning to do so?
Angan Guha: So, Sandeep, our top 20 clients in a cluster have actually grown . Our top 20 clients, if you look at that cluster. Now within the cluster, you are right, seven or eight accounts have not grown, which are predominantly Manufacturing accounts. But outside of Manufacturing accounts,

whether they are LSS, Financial Services, E&U accounts have all grown, in the top 20 bucket .
So, clearly, there is a push to revive the manufacturing set of accounts .
Now with Komal coming in in the U .S., all of us, as well as our Rest of the World business, where by the way we have won some deals and you will see that reflect in growth in Q3, our entire endeavor would be to firstly re surrect the Manufacturing business. And if we do that, automatically our cohort of not only top 20, but even the next 16 will see good growth. But we have to really get into the details and it has to be an account -based strategy.
So, look, we have got good clients, Sandeep. We have got great clients. Our clients are doing reasonably well , financially. And we have got very good names whom we have served for over 10-15 years. So , no reason we can't get growth back. We have to get that focus and which is what as a management team, we all commit to do.
Sandeep Shah: I have more , will come in the follow -up if I get a chance.
Moderator: Next question is from the line of Abhishek Shindadkr from InCred Capital . Please go ahead.
Abhishek Shindadkr: Just two questions. First, I presume that you may have reprioritized the workforce towards freshers . Given that we have let go some of the business, our utilization has dropped, the employee count is up. But despite all of this, why would our employee expense, absolute number has gone up? That's the first question.
Second, what could be the benefit to the margins because of letting go the low margin business ?
And the third, Chandru highlighted that our project nature of the business could be in that 35 %-40% range. If I recollect, this number is similar to maybe FY ’22. So , what has changed in the business dramatically that we are back to almost three years of what we were doing ? So, any answers to that could be helpful. Thank you for taking my question.
Angan Guha: Chand ru, would you want to take the first part of the question?
C. Thyagarajan: Yes, sure. I will take the first two questions . One was reprioritizing workforce towards freshers and the employee count and why has the employee expenses increased . So, the answer to that really is that we have had, you know, one is there is a mix that you are looking at in terms of the

kind of employees that you take in based on the kind of work that we do. So , some of this reflects , I would say, the improvement or the enhancement of the kind of work that we do. That is one. But that is a small component . There are other items. You know, again, there were some benefits that we received in the first quarter based off of our performance in FY’25, the payout on variable incentives and so on and so forth. So , there were some corrections , reversal, one -time benefits in the first quarter that w e did not get in the second. So , that was the second point. Third, there was a very marginal increase in headcount. So , it is a point in time statement. And that really doesn'

t significantly move the needle on the employee part.
The second one you had asked about, the benefit that we received on account of tail account rationalization. And that is the point that I have made in my opening commentary. So , I would say, as part of our effort to improve margins , we did some of the pruning and about 100 basis points came from not just the pruning, but also the fact that we took the time and effort therefore to focus on (1) some of our higher margin accounts, (2) some of our larger accounts, where we were able to squeeze better margin thro ugh operational interventions . So, that is really how we do it. So , it is not just the tail account itself that is giving us the improvement. It is also the bandwidth released that helps us do things differently and better on our other larger accounts.
Angan Guha: And Abhishek, from your question about our mix of business, which has not changed over the years, right? The only difference I can tell is the fact that our Manufacturing business has taken a massive hit. And the ERP business has taken a massive hit. Though while the mix of the business has not changed, because one vertical has taken a hit whereas all the other verticals have supported the business, while this has taken a hit, that has caused the issue that we have had on margins earlier. But no w, like Chand ru has explained that we have taken some very drastic calls, we have taken some bold decisions. So now, like I said earlier also, we are very comfortable with our costs plan. Of course, we have got to do a lot more on cost s as well. But I think our bigger priority as a firm is to drive pipeline and growth. And if we can get the pipeline going, order book going, and eventually revenue growth going, then the margins can easily be sustainable.
Abhishek Shindadkr: That is helpful, sir. And thank you for answering my question. Just to follow up to the answers that you said , so, Chandru sir, just to clarify, the one -off was 150 bps, FX was 100 bps, and then the let go of low margin business, the number that you mentioned should have been captured in this FX plus those one -offs or in the 150 bps or in the 100 bps? Just to clarify that.
And the other follow up is, again, sorry to harp on this, but the presumption is that SAP business would have been project nature. That is not contributing. The mix is away from SAP, Oracle, ERP business. And despite that, the mix of business is more project. So , I am just trying to understand, has anything from a strategy perspective changed? And probably what could be the

interventions that Mr. Jain and you could take to kind of move this to a more annuity nature of business? Thank you again for taking my questions.
C. Thyagarajan: Abhishek, let me take the first part. You know, you are talking about the improvement in account of the tail account rationalization. I said 100 bps. So, there are three components . There is 100

basis points that was on account of the exchange delta , about 150 bps on account of maybe the one-offs. And net of that, the 16 % would have come down to 13 .5%. And there is still an upside between the 12.4 % in Q1 and the 13 .5% in Q2. I was trying to explain that delta of 110 bps. I am saying out of that, the operational efficiency that we drive on two accounts ; one is working on the large deal s where we get so much more focused because we are trying to, we have been working on the tail account rationalization for some time, as you know, and this will be a continuous exercise. It is just spring cleaning that we continue to do. As we do that, there will be some bandwidth released on account of that, which will help us focus on the larger and more strategic accounts and what we call the growth accounts. Two, the tail accounts itself, which are not significantly profit -accre tive, we get rid of them. Se

e, there are some tail accounts which will grow. So , those are pa rt of our growth accounts that will continue. There are these tail accounts that are neither growing nor are giving us the, I would say, the benchmark profitability that we are looking at, and those are the ones that we clean up. Both put together is the 100 basis points I am talking about.
It is part of the overall improvement, and which is why I am saying that is a sustainable component, and the full impact of some of the efforts that we have made, this starts showing Q3 onward, which is why I am confident 14 % at a steady -state level is an achievable and expected EBITDA to be.
Angan Guha: And, Abhishek, let me answer your intervention question . So, one is we keep saying ERP has not done well, which is a given. So , there are multiple interventions we are doing on the ERP business. Some of it we don't have enough time to discuss. There are a lot of interventions that we are doing. But the bigger issue is that we also have a very large Digital & Data business now, which is almost $300 million, and that is growing. We are investing in that business also, and that will grow. And plus now we have a sustainable Infrastructure business, which is outside of the pass -throughs. As some of you have noted, we have got out of the pass-throughs, and even then the Infrastructure business will continue to grow. But the larger point being that our top 24 accounts, the next 16 accounts, and then the next set of 50 -odd accounts that we have, which are good, solid names, we need to get into those accounts and we should mine those accounts and get growth back. And that will be Komal , and not only Komal , but Komal and the entire management team's responsibility.
Abhishek Shindadkr: Super helpful, sir. Thank you for taking my questions, and best wishes on the rest of the year.
Moderator: We will take our next question from the line of A ayush from Dymon Asia . Please go ahead.
Aayush: A couple of questions on 3Q growth. So , you have already alluded that 3Q and 4Q would be better for us. But at the same time, you said that BFSI would be kind of flattish, and Manufacturing would take a couple of quarters. So , what is leading in the other two verticals for us to show the confidence in terms of growth from Energy and Life Sciences? That is the first thing. And the second thing that I have observed is the T &M part of our business has increased sharply from almost like 40% to almost 51% in just a quarter of time. But at the same t ime, we are maintaining that we would be kind of focusing towards more of an outcome -based deal s. So,

is it kind of a one -off that one should be treating, or is it like the steady state thing that T &M would gradually decline from 50% or maybe it would stay at these current levels, and we can see this thing as a normal thing going forward? So , these are the two questions.
Angan Guha: So, Aayush, I said BFSI will be a flattish quarter in Q3 alone, because obviously there are furloughs in BFSI. Our other accounts don't see furloughs, which is why in one quarter we would see that little bit of bump in the road. But Q4, again, BFSI will grow. So , that is clarification number one.
The reason, like I said, we are getting the confidence is because of two reasons . One is all our other verticals . Whether it is Life Sciences vertical, whether it is Energy & Utilities vertical, we have a small Technology vertical business, all of that is growing.
We are also seeing good growth in Europe thanks to some of the deals that we closed in Q4 where transition is over and it is going to come back. Manufacturing will continue to be a drag. It will continue to be a drag for Q3 and Q4, but all the others will overcompensate, which is why we feel that we can get positive growth.

Second questi

on of yours, A ayush, is in terms of T &M. T &M, you should look at it more as a
commercial model than anything else . I feel our endeavor will be to reduce that …well, I will not
call it T &M, commercial model, let us leave it behind, but our staff aug business we want to
reduce.
Now, even in a managed capacity, we may bill a client on a T &M basis, but they may not be
TNM businesses. They may be managed capacity or what have you . Our endeavor, like Chandru
said earlier in his commentary, and I also alluded to that in my commentary, our endeavor will
be going forward, all the deals that we do will be either managed services or outcome -based or
managed capacity. We are staying consc iously, we will stay away, and I repeat, we will stay
away from staff -aug business, where we are just p utting bodies. We will stay away from that
business.
C. Thyagarajan: And just to add, A ayush, if I may, just to add to what Angan said, the Time & Material as a
commercial construct, based on the construct that we have with the customers, and a lot of the
new age deals that we do, continuing to do, the outcome -based deals, the AI -led deals and so on,
the commercial constructs are certainly different f rom what we had in the past.
And to your question on whether this is one -off, the answer is no. And this is sustainable. It
could hover around this percentage that we are talking about, roughly 50 -50. And that is where
it is at this time, and will continue for some time to come.
Aayush: Just to follow up on the previous answer, that when we say that Manufacturing would be a drag,
so it would be great if you can just explain us in terms of qualitative terms maybe , not in the
numeric terms, that the kind of a degrowth that we have seen in 1H, or maybe like 1Q or 2Q, the

similar trend can one expect , or is it now the trend should start favoring us towards the end of
4Q?
Angan Guha: So, A ayush, like I said, that we are making some structural changes in Manufacturing business.
Some of it, I can't talk about it, because those are internal to the company. And some of it
probably needs a more deeper explanation. So, which is why I said, let Komal settle down. When
Komal gets a complete handle on the business, he can allude at strategy. But, to answer your
specific question, I see softness in Manufacturing in 3Q, as well as in 4Q. Next year onwards,
Manufacturing can get back to growth. But the other verticals will overcompensate for the
Manufacturing business, as we see it , in 3Q and 4Q.
Moderator: The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: No, thanks. My question has been answered.
Moderator: We will take our next question from the line of Sandeep Shah from Equirus Securities . Please
go ahead.
Sandeep Shah: Just one question in terms of, you also said that TCV wins would be better in 3Q and 4Q, both
on a Q -on-Q, or that is only a comment for the revenue growth?
Angan Guha: So, revenue, we feel, and revenue, again, we can't obviously g ive guidance. Like I said, if the
furloughs remain at the current level, as we know, which is equivalent to the last year, Q3 we
definitely see a Q -o-Q revenue growth. Q4, a little too early to comment, but we feel structurally
our direction is that even in Q4, we will deliver quarter -over-quarter growth, which means our
revenue for H2 will be better than H1. That is comment number one.
On TCV, I said, please measure us on a year basis . Our endeavor is to deliver higher TCV than
what we delivered in FY'25. That is a given. FY'25 whatever we delivered, our endeavor will
be to deliver a higher TCV. But the comment that I had also made is that our endeavor is to try
and take the TCV past that 800 million, closer to 850. But I don't know whether we will achieve
that or not beca

use that is our internal aspiration. I may not achieve that. I may end up at 800 or
790 or whatever. I don't know tha t yet. But our endeavor will be to get there.
So, today , we are taking baby steps at a time. We are building our pipeline. We are trying to
increase our conversion ratio. We are trying to move work from rather than staff -aug kind of
work to more managed services, managed outcome -based model work. So , most of the deals
that we are now contesting are towards that region. So , that is the overall comment, Sandeep .
Sandeep Shah: And s ir, last thing on Time & Material, a follow -up question, when it goes up from 39% to 51%,
will it be a hurdle for higher impact through furlough s, because those businesses are being
stopped versus fixed -price project businesses continue even if clients ask for a furlough?
Angan Guha: So, Sandeep, like Chandru also mentioned, that is a commercial model. We don't believe that
that commercial model will impact our growth because of furlough s. And by the way, we are in

the month of November. We already have a fair idea in terms of what will be the furlough that we will go with. Currently, I can tell you, it is in the same levels as last year. But again, we don't know. Anything can happen. If it changes, we will come back to you. But currently, we don't believe furloughs will be any different than what it was last year, whether it is T&M or what have you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Angan Guha, CEO and Managing Director, Birlasoft Limited, for closing comments. Over to you, sir.

Angan Guha: Thank you very much. So, first of all, I would like to thank all of you once again for joining us on this call today and for your insightful questions. I appreciate your interest in Birlasoft . Our fundamentals, like I said earlier and Chandru alluded to as well, remain very solid. It is very strong. We now have a very reinforced team. We have added a lot of leadership to our team who can take us to the next phase of our growth journey.

Despite the challenges that our industry is facing, we expect the second half of FY ’26 to be operationally better than the first half. I look forward to speaking with you again next quarter. And in the meanwhile, please feel free to reach out to Abhinandan for any clarification or feedback. Thank you once again. And have a good evening, good morning, wherever you are.

Moderator: Thank you. On behalf of Birlasoft , that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: Feb 2026

February 4, 2026

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street,
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Scrip ID: BSOFT
Scrip Code: 532400
Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd. Exchange Plaza, C/1, G Block, Bandra - Kurla Complex, Bandra (E),
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Symbol: BSOFT
Series: EQ
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Subject: - Transcript of Earnings Call held on January 28, 2026.

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities an d Exchange Board of Indi a (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on January 28, 2026.

The same is also available on th e Company's website at the link https://www.birlasoft.com/ company/investors/policies-reports-filings# , under the head – Quarterly Reports ■ Earnings Call ■ Transcript.

Kindly take the same on record.

Thanking you. Yours faithfully,
For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No. A9678

Birlasoft Limited Q3 FY26 Earnings Conference Call

5.30pm IST, 28 January 2026

MANAGEMENT :
MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MR. CHANDRASEKAR THYAGARAJAN , CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

Note :
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(1 crore = 10 million)

Moderator: Ladies and gentlemen , good evening, and welcome to the Birlasoft Limited Q3 FY '26 Earnings Conference Call .

As a reminder, all participant s' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhinandan Singh, Head – Investor Relations, Birlasoft Limited. Thank you, and over to you, Mr. Singh.

Abhinandan Singh: Thank you, and welcome, folks. By now, you have received or seen our results that were announced earlier today. Those are also available on our website, www.birlasoft.com .

Joining me on this call this evening are our CEO and MD Mr. Angan Guha, and our CFO Mr. Chandrasekar Thyagarajan, or Chandru, as we call him.

We will begin the call today, as usual, with opening remarks from both Angan and Chandru.

Before I hand over the floor to Angan, a quick reminder that anything that we say on this call and the company's outlook for the future could be a forward -looking statement involving significant uncertainty and , therefore, that must be heard or read in conjunction with the disclaimer that appears in our investor update, which you woul d have received and is also uploaded on our website, as well as filed with the stock exchanges.

With this, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you, Angan.

Angan Guha: Thank you, Abhi. So , good evening, and good morning to all of you, wherever you are, and wish all of you a very Happy New Year. Thank you for joining us today as we share some perspectives on our Q3 FY '26 performance.

Our performance during the third quarter , which, as all of you know, is a seasonally weak quarter, demonstrates our ability to hold our revenue steady, secure solid order book, drive operating efficiencies, and generate strong cash flows.

Our revenue for the quarter grew 0.3% in constant currency and 0.1% in dollar terms to $150.8 million. We have delivered a stable performance despite it being a seasonally soft quarter, which is usually a quarter with a lot of furloughs.

Growth in our Manufacturing vertical, which reflects some ramp -ups in projects that were won earlier, enabled us to offset the impact of furloughs and weaker traction in other verticals including BFSI.

On the margin front, we have done much better, recording a quarter -on-quarter expansion of 212 basis points in our EBITDA margin, which now stands at 18.2%. You will recall that this comes on the back of a similar expansion even in Q2.

The margin expansion has been driven by several contributing factors, including improvement in the quality of our revenues, ongoing efforts to optimize our cost structures, and some one - offs. We have seen our cash collections, and as a result, our cash bal ances rise as well. Chandru, our CFO, will provide more color on all of this in his remarks.

On the deals front too, the story has been much better in Q3. You would recall that on the last call, we had called out that a couple of deals that were committed to us, but we couldn't sign it in Q2, had moved to Q3. That has now shown up in our third quarter results. As a result, our

TCV for the third quarter stands at $202 million, which is up 89% quarter -on-quarter . Out of the $202 million, nearly half of it is new engagements. Many of these deals were won on the back of our domain expertise and AI -led capabilities. For instance, in BFSI, we won a strategic engagement with a leading payments and card client to build c onversational AI and agentic capabilities for its eGRC

platform. Similarly, we have secured a multi -year engagement to design, build, and deploy AI agents across a customer's business ecosystem in the Manufacturing vertical, encompassing end -to-end business analysis and the development of scalable , packaged AI solutions. In the Manufacturing vertical, again, we have deployed an AI -enabled Smart Manufacturing material tracking solution, driving real -time inventory control for a large global company. These will add to our growing base of engagements where we are already de ploying advanced AI capabilities, and we will continue to make investments that are necessary to build a differentiated value proposition in the marketplace.

Now, in terms of the outlook going forward, as all of you know, from our perspective we have not seen any material change in the demand environment, and we have discussed this even in the past. Customers continue to focus on optimizing their spends , and discretionary spending therefore remains constrained.

While some verticals such as BFSI and Energy & Utilit ies (E&U) are steadier than others, our exposure is higher to manufacturing -led customers across both Manufacturing and Life Sciences & Services verticals . In this backdrop, our focus is on shoring up our deal pipeline and driving order book, while we are building on our capabilities on domain and technologies.

At this point, I would like to request Chandru, our CFO, to share his perspectives for the quarter. Chandru, over to you.

C. Thyagarajan: Thank you, Angan, and a very warm welcome to all of you joining us today on this call. Allow me to take you through the financial highlights for Quarter 3, FY '26:

As you would have all seen, we have reported consolidated revenue of $150.8 million for the third quarter , representing a dollar term growth of 0.1% and a constant -currency growth of 0.3%

quarter -on-quarter. In rupee terms, Q3 revenue was Rs. 13,475 million or Rs. 1,347.5 crore, a growth of 1.4% quarter -on-quarter . Sequential growth in our Manufacturing vertical enabled us to offset the impact of furlough s and softness in some of the other verticals, resulting in a stable revenue performance during the quarter.

Moving on to our EBITDA performance , this is the second consecutive quarter of healthy margin expansion, even after excluding the benefit s from exchange rate tailwind s and some one -offs. We have been putting in a serious effort over the past few months around our cost structure and continue to do so. This is clearly delivering results for us.

EBITDA for the quarter under review increased by 14.8% quarter -on-quarter and by 49.8% on a year -on-year basis in rupee terms to Rs. 244.8 crore, and up 13.3% quarter -on-quarter, 42.1% year-on-year, in dollar terms to $27.4 million.

Consequently, EBITDA margin expanded 212 basis points quarter -on-quarter from 16% in Q2 to 18.2% in Q3. This significant margin expansion was led by a combination of factors. We have seen the quality of our revenues improve, which is the outcome of a conscious effort to focus on a more profitable engagement and delivery model. We have also benefited from fav orable shifts in our revenue mix, with a rise in fixed price business and offshore work. In addition, better operational efficiencies and gains from ex change rate tailwind s, about 70 to 80 basis points, as well as from one -offs, about 110 basis points in Q3, helped us in our EBITDA story.

On a steady -state basis, and taking into account some accelerated investments we will be making going forward, EBITDA margin will be about 15%. Our EBIT performance for the quarter under review reflects the impact of a one -time provision that we have taken to conform to the changes in the Labor Code with regard to gratuity and leave encashment. That provision, which we have called out as

an exceptional item, amounts to $4.6 million or Rs. 40.7 crore.

As w e had mentioned on our earlier call s, during the current financial year our effective tax rate (ETR) has increased on account of a provision made for higher tax related to U.S. federal taxes. You will recall that we had said that this transitionary trend will sustain through the course of the current financial year before settling closer to historical ETR levels in the next financial year. The ETR for Q3 FY '26 reflects the same. Without the additional federal tax impact that we have seen Q1 onward s, our year -to-date ETR would have been about 28%. Adjusted for an incremental provision for tax and a one -time provision made on account of changes to the labor code, normalized PAT for the quarter was $20.2 million, up 20.4% quarter -on-quarter, and R s. 180.2 crore in rupee terms, up 22.1% quarter -on-quarter. This translates into an adjusted basic

non-annualized EPS of R s. 6.44 per share.
We also maintained our robust track record on collection and cash flow generation during the quarter, with the highest quarterly collection so far this financial year. As a result, our DSO has improved quarter -on-quarter and now stands at 54 days, which yo u would agree is amongst the best in our industry.

Cash and cash equivalents at the end of Q3 increased to R s. 2,491 crore, up 6% quarter -on-quarter and 21% year -on-year. We will continue with our efforts to enhance our operating efficiencies and improve our quality of revenue, while also making the investment in capabilities that are necessary for future growth. Thank you very much.
With this, let me open the floor for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Congratulations on great execution in a difficult time and quarter. First question is, if I look at the offshore revenue mix, it has jumped materially in this quarter. So , is it fair to assume volume growth is materially higher versus the headline growth in constant currency terms? And, this shift to offshore is a deliberate attempt where we want to diversify beyond our staff augmentation business to managed services kind o f a business?
Angan Guha: Sandeep, thank you for your question. Your analysis is exactly right. As you would have seen, even in the last quarter and this quarter, our endeavor has been to move away from staff aug and do more outcome -based work. Our clients are also challenging us to do more outcome -based work. And some of the deals that we have won last quarter as well as this quarter are really fixed - priced work. As a result, moving to offshore is easier for us, and that is reflected in the results that we have delivere d.
From a volume perspective, mathematically, yes, you are correct, the volume growth is higher, but since the offshore ratios are higher, that obviously suppresses growth, but improves margins.
Sandeep Shah: And sir, second question in terms of vertical mix. Which vertical you believe still carries some demand headwinds, and which vertical is giving you confidence in terms of a better growth starting from 4Q and next financial year?
Angan Guha: Sandeep, though Manufacturing has shown growth this quarter, we must not take that as a winning story, quite frankly. In my mind, the Manufacturing business will continue to show headwinds even in 4Q. There will be softness. You see the growth in Manufacturing and also ERP, because both businesses are quite related, because of some deals that we had won earlier, and we got to ramp them up now, and as a result, the revenue realization has happened. But that is more one time.
Sustainably, I think Manufacturing will continue to face headwind, at least for one more qu

arter.
And I expect the Manufacturing business to turn around sometime Q1 or Q2 onwards for the next financial year.
We strongly believe that E&U and Financial Services will continue the growth momentum. As you know, this was a furlough quarter, so optically you are seeing a degrowth in Financial Services . But I believe Financial Services will be steady in 4Q, and next year definitely we will see growth. Similar goes for E&U . Manufacturing will be a lot of headwind. Similarly, like we

have always said, our Life Sciences business is more a med devices business, which is also really Manufacturing . So, that holds true for Life Sciences as well. In Life Sciences , I feel there will be headwind in 4Q. And hopefully, in the next Q1 of next financial year, we should see it stabilize and then grow Q2 onwards.
Sandeep Shah: I have follow -ups. Will come in the second round.
Angan Guha: Thank you, Sandeep.
Moderator: We have the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Congrats on strong execution, particularly on margin side. I just want to understand if you can provide some margin walk. Last quarter, in Quarter 2, we ha d some one -off of roughly around 150 b ps. This time you indicated around 110 b ps. So, from Quarter 1 onwards, whether one should take almost 250 -260 bps kind of one -off benefit, which is in there in the Quarter 3 margin trajectory? That is question one. So , broadly, margin walk and one -off related, some explanation, what is driving this one -off, and how long this could sustain?
Second question is about our revenue growth side. Whether furloughs were similar to last year,

or we have seen higher than usual furloughs this quarter? If you can provide some color around intensity of furloughs.
And l ast question is about wage hike. Any decision we 've made on wage hike?
Angan Guha: So, Dipesh, I will ask Chandru to take the margin question first, and then I will attempt to answer your other two questions.
C. Thyagarajan: Dipesh, in terms of the one -off, you will recall that both in Quarter 1 and Quarter 2 , we did call out some of the overall one -offs, and therefore the steady -state EBITDA margins, right? So , if you look at third quarter and if I were to do that math from the second quarter onward, second quarter we spoke about a steady -state margin of about 13.5 %-14%, if you recall . From then to where we are today, I would believe that, net of some of the one-offs, there is a forex impact of 70 to 80 basis points that we spoke about , we spoke about the one -off of 110 basis points. If I were to remove those, my steady state EBITDA margin from 18.2% is down to 16.5%. And then what we believe is that the 14% has gone up to the 16 -odd%. There is a 200 basis point improvement from a ste ady-state standpoint. And from there, we do expect that we will continue to invest in our business. And our business I think requires an investment on a regular basis. And if I were to provide, say, 150 basis points on that, we believe that 15% EBITDA marg in should be a sustainable run rate margin as we go forward, Dipesh. I hope this answers your question.
Angan Guha: Dipesh, on the wage hike bit, look, we have already taken a decision that we will do a wage hike next financial year. We are doing promotions this year, this quarter, and we will affect a wage hike between Q1 and Q2, depending upon what level of employees there are in the organization. But that is a decision we have taken, and we have already communicated. Dipesh, on the growth question, can you repeat the question? Because I didn't quite catch the growth question.

Dipesh Mehta: In Quarter 3 , whether we face d furlough in line with the last year or furlou

ghs were higher than
last year?
Angan Guha: No, furloughs were in line, Dipesh.
Dipesh Mehta: So, broadly, if I refer to your last quarter earnings commentary, you said if furloughs were in line with last year, you expected some kind of revenue growth to continue in this quarter. Now, this 0.3% that we deliver ed, whether that was the expectation or it is higher, lower than what you anticipated at the beginning of quarter? And how one should look Quarter 4 to play out?
Angan Guha: Dipesh, it is exactly in line with what we had anticipated, because, as you know, if you recall, even last year, we had furloughs, which were to the tune of about 0.5% to 1%, and that held even for this financial year.
Now, it is hard for me to predict Q4 from a revenue standpoint, but our focus will be on generating pipeline and signings. What we are confident of is we will deliver better signings in Q3 and Q4. Now, how much out of that will be playing out on the revenue? We will have to wait and watch. But like I have always said, our problem, or rather, the focus of the management team has to be on revenue growth, but before that, we have to get the signings done. So, a s a management team, what I can commit is our ord er booking for Q4 will be better than Q3.
Moderator: We have the next question from the line of Abhishek Shindadkr from InCred Capital. Please go ahead.
Abhishek Shinda dkr: My question is related to the standalone business. If I look at, two quarter s number s for the standalone business, the revenue has been …[poor audio]
Moderator: I would request you to please rejoin the queue again. We have the next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.
Priyank Chheda: Congratulations to the management team for walking the talk about the growth in Q2, Q3, and Q4. I will first start with my first question on the verticals. Data and Digital has been the story across the sector, across the IT companies with respect to modernization as well as digital revenue . So, in this segment, we have seen a decline after a growth that was reported in H1. What has been the reading through this? How should we read this decline? Is it one -off or related to furloughs?
And the related question on Infra, which is again 10% of the revenues, and I am sure we had given up some pass -through revenues and given up some businesses over here in H1. But again, when I see Q3, we have seen a strong growth, and I suppose this is coming from the ROW market. So, how should we look across the growth in Data & Digital, which is segment number one, and the last segment, which is Infra, over a steady state?

Angan Guha: Thank you for that question. So, Priyank, look, our Data and Digital business fundamentally is strong. I don't think there is any structural issue in the business. The reason why you see a little bit of degrowth is because it is in line with Financial Services , which is affected by furloughs . So, furloughs have dented the growth a little bit. We are reasonably certain that that growth will be back in Q4 as far as Data and Digital is concerned. Structurally, there is no issue with that business.

As far as Infrastructure is concerned, as you can see, the major growth of Infrastructure is because of the deal that we signed in ROW, which was an infrastructure deal, which we are now executing, and that has contributed to the growth.

If I were to look forward, I continue to feel that Digital & Data will be steady. They will show growth , I mean, structurally, there is no issue. Infrastructure will be a strong growth area. Our ERP business will continue to lag . Though it has shown some growth this quarter, in line with our Manufacturing growth , but we will see softness in the ERP business for another quarter at least, before that turns around.

Priyank Chheda:

And j ust to appreciate the readings between the infrastructure segment, can we get details around what kind of work we do in Infrastructure as a broader vertical?

Angan Guha: So, we do all kind of work. We do desk -side services, though desk -side services is not a big focus area, but we have won some business on desk-side services. We also do data center management. Within data center, we manage the middleware, we manage storage . So, all kinds of infrastructure that runs a business, we manage. We have also forayed into the cybersecurity business, where we have started to serve our customers on the cybersecurity side . So, all in all, it is a growth -oriented business for us, Priyank.

Priyank Chheda: Coming to the deal wins, and I am congratulating the team for the $65 million two deals , and I suppose that has been reported now, from the signings that were pending in Q2. But if I have to carve out that deals which have been flown through from Q2 to Q3, the net new, after excluding that, again, has not been that great. How do you read through thi s?

And when I have to take a view on a YTD deal wins, which is there at around $450 million , and still it is far away than our aspirational numbers of $750 -$850 million for us to get a confidence around the growth for the coming year , how should we think about ending this year in, say, next 3 months, at what size and numbers we are looking out to end? And then given all the background around the sales engine that we are deploying now, what would be the growth outlook on the deal wins and the targets for FY '27?

Angan Guha: So, Priyank, you have asked three questions, and let me try and attempt to answer all three. First of all, the two deals that were supposed to get signed and slipped from Q2 to Q3 finally got signed in Q3, right? So , from that perspective, you are correct that those two deals had to get pushed out, but now finally got signed.

But, Priyank, you must also remember, both the deals were net new deals, right? They were not renewals . So, that is point number one. Which is why out of the total signings of $202 million, $94 million is net new, which is 46% almost of our signings is net new.

What we are confident of, Priyank, is our Q4 signings will be better than Q3 signings. Now, whether it will be $210 million, $250 million or more, I don't know. But from the looks of it, basis on the funnel, basis on our conversation with our clients, we are pretty confident that our Q4 signings will be better than Q3 signings.

Now, as far as revenue targets are concerned, it is a little too early for us to think about that. We have to first execute Q4 on all the parameters that Chandru spoke about: operational rigor, signings, revenue management, etc. And sometime towards the en d of March, we will be able to put our head together in terms of what would be our outlook for FY '27. But look, we don't give a guidance. Our job will be to execute for the quarter and take one quarter at a time.

Priyank Chheda: Sure, I get that. And when you say Q4 would be better than Q3, is it based on net new number that we should focus on? Because H2 is generally very heavy on renewals . So, maybe our renewals is something that you would want to call out. And if I have to remember my notes, in last quarter call, you did mention that the new renewals will come at lower margins, and this is what is making around our guidance of 15% versus what we have been delivering now.

Angan Guha: That is correct, Priyank . So, you are absolutely correct . So, look, renewals are important because as a company, as you know, Priyank, we have discussed it in the past, that we have faced a lot of headwind in terms of leaky bucket . So, from that perspective, renewals are important.

What we can say is that all the bad news is behind us. I don't think we will lose any exis

ting

business, but they will get renewed at a lower margin because we see pricing pressures, which

is why Chandru talked about a steady -state margin of about 15%.
In terms of the total signings and the percentage of the new signings within the total signings , that is something that we cannot guide at this point in time. I can only say that our overall signings in Q4 will be better than Q3.
C. Thyagarajan: And Priyank, if I may add to what Angan just said, one of the big reasons why we believe that a continuous exercise around, you know, it is a spring cleaning on our cost structure to make sure that we eliminate waste, we improve efficiency, is anticipating that we will have margin pressure and we still need to deliver the strong EBITDA margin for ourselves and our stakeholders . So, that is clearly an objective for us and one of the reasons why we are so maniacally focused on our cost takeout exercise, Priyank.
Priyank Chheda: If I can add to a similar follow -on question , despite being one of the good quarter s on new deal signings and also on the confidence that we carry forward, the number of clients , that rationalization exercise is yet not ending or it is not bottoming out ? In terms of the large few clients, we have lost a couple of clients over the quarters ? So, when should we see this

bottoming out along with the new signings that you are doing? Is it the existing clients being minted further more in their wallet share, or the strategy would be to see as the headcount on the sales has been added, this would also get reflected in the coming quarters in terms of the client's profile on the number of clients?
Angan Guha: Priyank, look, I mean, we have not lost a single client . The reason why you see the total clients coming down is we are rationalizing businesses that are not profitable for us or businesses that don't show potential for growth . So, we are trying to concentrate on lesser number of clients so that we can deliver and serve those clients meaningfully, which is why you will see the client list coming down.
Now, that doesn't mean that we are cutting a tail any further. I mean, we have done a lot of rationalization of clients, and I think we are at an optimum number. Now, three or four clients in a quarter, we add, or three or four clients we rationalize, is a call that we take based on what kind of margins we can do.
However, if you look at our million -plus clients, that has expanded from 78 to 85, which also should tell you that our focus on growing clients which have the potential is very, very sharp.
Moderator: We have the next question from the line of Abhishek Shinda dkr from InCred Capital. Please go ahead.
Abhishek Shinda dkr: My question is regarding the standalone business. You know, the growth rate in that business is phenomen al. The expansion in margin is even more better . So, can you give a color in terms of what is driving this efficiency in the standalone business?
And a part two question is, is it that it is being driven by any sales force or any other particular business, which was predominantly the old Birlasoft business? And the cost rationalization or the one -offs that are we reporting, are those the reduction in the employees predominantly being driven in this part of business? Thank you for taking my question.
C. Thyagarajan: Abhishek, thank you for the question. I am happy that you looked at the standalone results as well. The standalone results is where a lot of the ROW revenues are captured . Which is what you are seeing in the consolidated financials, it is ROW revenues having gone up on a quarter -on-quarter basis . Specifically, we had a couple of customers where we achieved milestones and , as a result, we were able to book additional revenue in the quarter. And these are customers in the ERP space, and theref

ore, you will find that the third quarter ERP revenue went up on a quarter -on-quarter basis. So, very precisely, that is the reason.
Also, the impact of forex benefit pretty much sits in the standalone financials, and that is the other reason why you are seeing the bottom line uptick on a big time in the standalone financials, Abhishek.

Abhishek Shinda dkr: Perfect, sir. This is helpful . So, just the second part of the question, can we relate the reduction in the employees to the standalone business? And is this any service line which is driving this business? You mentioned the geography, but any color on the service line would be helpful.
C. Thyagarajan: Yes, service line, I spoke about ERP, Abhishek. I said this geography, specifically the ERP service line is where we saw a growth , in the third Quarter . I also want to hasten to add that there were specific milestones that we hit that allowed us to book some revenues in ROW. We still need to steady our ERP business as Angan earlier mentioned, the Manufacturing and the ERP

businesses. And that is a work in progress as we speak. Yes, that is the short answer to your question on the service line part of it.

In terms of the headcount reduction, the headcount reduction, as you rightly said, is to a big part in the offshore side of our business. Having said that, not all offshore headcount actually gets accounted for in the standalone, right? Because a lot of them work for our global businesses, and therefore the accounting will be in the respective P&Ls of the countries from which the business accrues . That is point number one. Point number two, as you know, we have seen business shifting from on -site to offshore and so there is some rebalancing within this headcount portfolio as well that happen ed during the quarter, Abhishek.

Abhishek Shinda dkr: Perfect, b est wishes for 2026.

Moderator: We have the next question from the line of Vibhor Singhal from Nuvama Equities. Please proceed.

Vibhor Singhal: Angan, just one question, couple of questions, actually. One question was on the Healthcare segment. If you look at the Healthcare segment, right now it is undergoing turmoil . Even day before yesterday, the U.S. government spending on healthcare was increased very marginally year-on-year, whereas it has historically been around 5%. There were challenges from the One Big Beautiful Bill also, which came into the fore some time back . So, how are our conversations with the clients in this vertical looking like at this point of time? And what is the outlook that you have for this vertical, maybe over the next, two to three quarters?

Second question is on the deal wins part. As you mentioned, this quarter deal wins had a couple of large deals because of which that number got boosted . If I, let's say , look at the last three quarters, we have done approximately $150 million of deal wins every quarter. Now, this number used to be in the $250 million range some time back. You mentioned next quarter, we are looking at better than Q3, which should be north of $200 million . But the pipeline that we have, do you see us, let's say, post -Q4, do you see us maintaining that $200+ million trajectory and possibly reaching $250 million also in the coming quarters? Your outlook on that would be really helpful.

Angan Guha: So, Vibhor, first on the on the LSS business . Like I have always maintained, for us the majority, almost 80% , of our Life Sciences revenues come in from med devices, and the balance 20 % from pharma . So, from my perspective, I don't see an issue from a market standpoint . Our issue was more to do with the tariffs that the manufacturing companies and med device

companies faced. And as a result, we had a little soft quarter, not only this quarter but even , if you remember , 1Q. 2Q was okay, but 1Q also we had a soft quarter. I personally believe that one more quarter, we will see some softness . But equally, I am very bullish about this segment, and I think come 1Q, or worst case 2Q, of next financial year, this business will turn around and start showing growth.

Now, what was your second question, Vibhor? I forgot the second question.

Vibhor Singhal: On the deal wins. We have done $150 million of deal win. Do you think post -Q4, we can do north of $200 million and maybe touch $250 million sometime?

Angan Guha: So, again, Vibhor, look, our entire focus now is on pipeline creation, order booking, and revenue growth . As you heard Chandru say , that the rest of our business is very strong. We are generating great cash flows. Our DSOs are great. Our margins now have really come back . So, we are very pleased with the way we have executed on the other parts. But the one thing that ails the company is revenue growth, right? Keeping that theme in mind, what we are confident is the immediate quarter, which is 4Q. 4Q, we are pretty confident that we will deliver better order book than 3Q. And equally, we are working towards increasing our pipeline.

Now, as you know, 1Q for us, and quite frankly, for our industry, it is a little soft quarter when it comes to signings. So, I don't believe that in 1Q we will be able to deliver at the same levels of signings as 4Q. But our endeavor would be that we continue to build pipeline and win deals . So, that is all I can say for now. I mean, we are doing a lot of investment in sales, a lot of investment in capability building so that we can increase our pipelines and drive revenue . So, that is our endeavor.

Vibhor Singhal: Really, helpful, Angan. Just one last bookkeeping question for Chandru . You mentioned that we are looking at 15% sustainable margins . So, just on that part, you are talking about these margins excluding any one -off provisions ? And also , the provisions that we have taken in the last quarter and this quarter, are we done with those provisions, or there is still amount of provisions which are left, which would probably come in Q4 or Q1? I am sorry if you had answered this question before I come in that part, in the initial part.

C. Thyagarajan: Vibhor, just to clarify, we had received some one -off benefits in the last quarter and this quarter on account of some one -off items. So, I was trying to explain what would be our steady -state, net of those one -off items . And that is why from the 18.2% reported EBITDA margin, I am saying that the steady -state margin going forward should be looked at at 15%+ . So, that is one. What it also excludes is some forex benefit that we got . Because as you can imagine, we do not speculate on what forex is going to be . So, what we look at is at constant currency, and we are trying to look at what should be our sustainable EBITDA margin as we go forward. And that becomes our own internal benchmark as to how we should perform as a company . So, that is really what I was trying to explain.

Vibhor Singhal: And no more provisions in the next quarter, or you think there could still be some more provisions, reversal of provisions, I mean to say, in the coming quarters?
C. Thyagarajan: So, on that again, I am not aware of any one -timers in the next quarter unless there is something new that comes up based on any accounting practice changes or accounting requirement changes. But right now, I am not aware of any new one -timers, Vibhor.
Vibhor Singhal: And t he currency benefit in 3Q was around 7 0-80 basis points, right?
C. Thyagarajan: That is correct.
Moderator: We have the next question from the line of Ravi Menon from Macquarie. Please proceed.
Ravi Menon: Looking at the deal wins for this quarter

, looks like you actually signed up with some large customers, the payments client, for example, or even you mentioned a large U.S. P &C insurer. So, do you think that you have moved somewhat closer to your goal of trying to get into some large accounts with a huge addressable wallet?
Angan Guha: So, Ravi, ye s, that is exactly right. I mean, we are using our domain capability, the capability that we had invested in all this while. Now it is bearing some fruit, and we are able to win some outcome -based deals. Like I have said, we are moving away from staff aug work to more being outcome -based, and some of the deal wins that we have mentioned is an outcome of the investments that we have made. Now, they may be large or they may be medium -sized accounts. I mean, we can't comment on individu al clients, quite frankly, Ravi. But we are very pleased with the fact that now we are having conversations with our clients which are more domain - oriented, and most of our wins have an AI component built in.
Ravi Menon: And the employee numbers, does that include subcontractors as well? And the shift offshore, have you reduced subcontracting?
Angan Guha: Yes, I think what you are talking about is subcontracting. I didn't quite hear the question properly, but if subcontracting is the question, yes, our endeavor is to continue to reduce subcontractors. As a business today, about 8%, right Chandru? 8% of our population is subcontractors. But our endeavor will always be to reduce that even further. But we are within the industry norm, Ravi.
Ravi Menon: And I saw that the pass -through revenue, that is actually now practically nil, right? And that is another factor that , I guess , has aided margins. But as you do more fixed price, should we expect that to go up slightly, maybe is there a level that you think would be more natural, like 2 %, 3% or 4%, something like that?
Angan Guha: We want to deliver more outcome -based work for our clients . And to deliver that outcome we may work with technologies, or we may work with tech stacks, etc ., but we will have zero pass - through revenues going forward, outside of a one -off infrastructure deal, if it necessitates us to

do something. But we are very clear that we are moving away from staff aug work or pass - through work. It will be more linear than anything else, Ravi.
Moderator: We have the next question from the line of Manik Taneja from Axis Capital. Please go ahead.
Manik Taneja: I had a couple of questions. The first question was for both Angan and Chandru. You have spoken about investments, and that is where you are essentially guiding for about 15% EBITDA margins on a sustainable basis. How should we be thinking about these investments? Because you have also called out for certain pricing or margin concessions that you have given to certain top customers . So, how much of that is just pricing or margin concession, and how much of it is investments around sales, solution, delivery, etc .? Would be great to get your thoughts on that one. That is question number one.
The second question is specific to Q4. How should we be thinking about the lower number of working days? If you could just help us understand what is the exact number of lower number working days for Q4, and how does that impact you? Those are my questions for now.
C. Thyagarajan: So, Manik, let me take both questions . The first thing you talked about is on the margin concession. Truth be told, none of the investments that we are looking at have anything to do

with margin concession . As a company, we firmly believe that providing concession in margin is not a way to gain revenue . So, that is our stated objective.
Now, there will be pricing pressure is what Angan was explaining , from some of the new businesses and from the renewals, and that pricing pressu

re is coming from productivity improvement that we have already delivered, and we are expected to continue delivering as we go forward . So, that is point number one.
Point number two, the investment that we are talking about for the most part will be in people and in capabilities . So, these are specific capabilities that we will continue to acquire as we go forward based on where we see our business going and where we see our business coming from some of our existing and new customers. And the investments will be made in people, leadership, and in training of our resources in that direction, Ma nik.
Manik Taneja: And t he second question was with regards to Q4, in terms of what is the exact number of lower number working days and how does that impact , what is that on head winds ?
C. Thyagarajan: There are , I think , three working days lower in Q4 versus Q3, Manik. Yes, that will have an impact. But as we move more towards outcomes -based deals, and that is exactly why we are doubling our focus on fixed price, outcome -based deals where the working days should not necessarily have a direct impact. They will have some impact, but they will not have as much impact as we move more and more towards outcome -based work that we have started to measured on, Manik.
Moderator: We have the next question from the line of Manish Bhandari from Vallum Capital. Please go ahead.

Manish Bhandari : I have two questions. First is, it is so heartening to know about the cash pile -up which has happened and also the improvement in the DSO . So, I just wanted to know, this is a drag on the balance sheet, and the rightful owners are the shareholders of the company . So, what we have thought about a possible buyback, and what is restricting a possible buyback, which is so common with the other IT companies in general, unless until you have a plan for an acquisition and you are closer to doing an acquisition ? So, I would like to know the thoughts of the management on this.
C. Thyagarajan: Manish, thanks for the question. This is a topic that is for the Board of Directors to look at. And I can assure you that this is a topic that the Board is fully seized of, and we will continue to look for opportunistic capabilities, investments, and anything that fits into our strategies as we go forward, Manish. And capital allocation, which is the point that you are making, is certainly part of the entire exercise for us to ensure as we look at how we get the best outcome from our balance sheet . The Board will take the right decision at the appropriate time.
Manish Bhandari : I would be glad, Chandru, if you could offer a conference call with all the Board of Directors , and I could enlighten them that how to create value under the current circumstances. I will be very glad to do that.
My second question is related to the appointment of Komal , and if you could add up something about the role and responsibilities related to his role, and would he be a part of the conference calls going forward? Because he would be driving the critical relationships in the most critical market.
Angan Guha: Manish, as you know, the Americas contribute almost about 85% of our business and K omal has been hired to drive our Americas business. Manish, he's just joined the company. He's just four months in the company. He is meeting clients, meeting people. He is getting the right leadership hired . So, he is doing a lot of good things . And we are very pleased and we are privileged to welcome K omal to the team. As he settles down and starts driving the business, at some point in time, we will definitely ask him to speak to all of you and give his strategy. But please allow some time for him to settle down.
Also, Manish, you must have seen and Chandru also commented on, all our investment in the ROW region is playin

g out. ROW region has delivered amazing growth for us this quarter. And I think, they will continue to show great growth even next year. And the m argin profile has also significantly improved because of the revenue uptick .
So, we are very pleased with that investment. That is paying off now. Similarly, K omal is going to make a lot more investments in the U .S. And over quarters, you will see that business turn around as well.
Moderator: We have the next question from the line of Pulkit Chawla from B&K Securities. Please go ahead.

Pulkit Chawla: Angan, my first question is for you. In the last quarter, you did highlight that 3Q and 4Q will be sequentially growth quarters. I think today you are slightly shy of saying that. You have highlighted that you will see better deal wins in 4Q, but you are probably slightly shy of saying whether 4Q will be a growth quarter . So, if you could just confirm if that is still true?
And second, on the 110 b ps impact, the exceptional items that you reported in this quarter, if you could just throw some color around it. Is it similar to the last quarter? And will it continue for the next quarter as well? Sorry if I missed out on that part.
Angan Guha: Thank you for the question. Look, we still maintain that H2 will be better than H1 as far as signings are concerned . On revenue, you have to give us some time. We showed solid performance in a seasonally weak quarter . We hope to continue that performance even in Q4. The only reason I am not giving a number is because we do not guide anything. But our order booking performance should be an indication, both in 3Q and 4Q.
But look, I am also acutely aware of the fact that we have not shown great growth over the past many quarters, and our entire endeavor going forward, like I said earlier, is going to be order book and revenue growth because all the other parts of the business now is fixed . So, we will be sharply focused on that. We will execute and take one quarter at a time, and we will see where we go with it.
On the exceptional item, I will ask Chandru.
C. Thyagarajan: On the one-off that you talked about, the 110 basis point s that I was talking about comes from a few write -backs that we have done based on some provisions that we had made in the past quarter which, based on our assessment, were no longer required. And that constitute s the 110 basis point, and we do not expect that this will come up again for us in the following quarters, and therefore, I call it a one -off. So, the run rate EBITDA margin that I spoke about is net of this one-time item, Pulk it.
Moderator: We have the next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.
Sandeep Shah: Most of the questions been answered. Just one thing, Angan. Despite new business TCV being better in this quarter, plus you expect order intake could be better even in 4Q and there could be some recoup of furloughs , why the 4th quarter growth commentary is measure d? Is there any headwinds in some of the verticals you foresee, and what is the nature of such headwinds?
Angan Guha: Sandeep, we are cautiously optimistic and the reason we are cautiously optimistic is because of two things. One is , the Manufacturing growth that you see in 3Q will not be in 4Q, because it was a one -off growth that we saw from deals that we had won about two quarters ago. And the ramp -up had not happened because there was a stop on the program, which came to life sometime in October, w hich is why you see the growth in Manufacturing and ERP, and that will

not continue in Q4, which is why we feel both these segments, Manufacturing and ERP, will be soft in Q4. That is point number one.
Point number two, even though we will recoup all

the furloughs, like Chandru was mentioning,
we have three lesser working days. Though, like Chandru mentioned, that that doesn't have a complete impact on us because we have moved a lot of our business into fixed price and outcome -based, but still some part of our businesses will face lesser working days in Q4 .
So, it is a combination of all of this. And, again, I am not saying that we will not be focused on growing Q4. Far from it. I mean, that is the management's responsibility. I am just not being able to commit to what would be the growth percentage that we will work on as we go through the quarter.
But I am equally saying I am confident of the fact that we will see growth coming back in the future quarters if we do great signings in Q4. In Q4, if I can deliver 10%-20% extra signings over and above Q3, then we will be very certain of growth going forward.
Sandeep Shah: And anything to read about Healthcare in terms of growth headwind in the 4th quarter? And if yes, then it could be volume ramp down or could be pricing pressure because you are saying renewals are coming at lower rates ?
Angan Guha: I don't foresee any ramp downs, Sandeep. What will happen, though, is we will see immense pricing pressure in the healthcare business because of the uncertainties that my clients face , thanks to the tariff situation . So, I see that pressure continuing in 4Q and I see that pressure partly continuing in 1Q. But overall, I don't see any volume degrowth , if that was the question, Sandeep. We don't see that.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference

over to Mr. Angan Guha, CEO and Managing Director, Birlasoft Limited, for closing comments.
Thank you, and over to you, sir.
Angan Guha: Thank you . So, thank you once again for joining us on this call today and thank you for all your questions. We appreciate your interest in Birlasoft. I look forward to speaking with you again next quarter. In the meanwhile, please feel free to reach out to Abhinandan for any clarifications or feedback. Thank you once again, and I look forward to the conversation next quarter again.
Thank you.
Moderator: Thank you very much. On behalf of Birlasoft Limited, that concludes this conference. Thank you for joining with us today and you may now disconnect your line s.
(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com

Call: May 2026

May 13, 2026

BSE Limited
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Dalal Street,
Mumbai – 400001.

Scrip ID: BSOFT
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Kind Attn: The Manager,
Department of Corporate Services National Stock Exchange of India Ltd.
Exchange Plaza, C/1, G Block,
Bandra - Kurla Complex, Bandra (E),
Mumbai – 400051.

Symbol: BSOFT
Series: EQ

Kind Attn: The Manager,
Listing Department

Subject: - Transcript of Earnings Call held on May 6, 2026 .

Dear Sir/Madam,

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached the transcript of the earnings call of the Company organized on May 6, 2026 .

The same is also available on the Company's website at the link https://www.birlasoft.com/company/investors/policies -reports -filings# , under the head – Quarterly Reports → Earnings Call → Transcript.

Kindly take the same on record.

Thanking you .

Yours faithfully,

For Birlasoft Limited

Sneha Padve
Company Secretary & Compliance Officer
Membership No. A9678

Birlasoft Limited Q4 FY26 Earnings Conference Call

6.00pm IST, 06 May 2026

MANAGEMENT :
MR. ANGAN GUHA, CHIEF EXECUTIVE OFFICER & MANAGING DIRECTOR
MR. CHANDRASEKAR THYAGARAJAN , CHIEF FINANCIAL OFFICER
MR. ABHINANDAN SINGH , HEAD - INVESTOR RELATIONS

Note :
1. This is a transcription and may contain transcription errors. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.
2. Any of the statements made herein may be construed as opinions only and as of the date. We expressly disclaim any obligation or undertaking to release any update or revision to any of the views contained herein to reflect any changes in our expectations wi th regard to any change in events, conditions or circumstances on which any of these opinions might have been based upon.

(1 crore = 10 million)

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY ’26 Earnings Conference Cal l hosted by Birlasoft Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Abhinandan Singh, Head — Investor Relations, Birlasoft.
Thank you, and over to you, Mr. Singh.
Abhinandan Singh: Thank you, and welcome. By now, you would have received or seen our results that were announced earlier today. Those are also available on our website www.birlasoft.com in the “Investors ” section. Joining me on this call this evening are our CEO and MD Mr. Angan Guha and our CFO Mr. Chandrasekar Thyagarajan or Chandru , as we call him. We will begin the call today with opening remarks from both Angan and Chandru.
But before I hand over the floor to Angan, a quick reminder that anything that we say on this call on the company's outlook for the future could be a forward -looking statement involving significant uncertainty and . therefore, that must be heard or read in conjunction with the disclaimer that appears in our investor update, which you would have received and is also uploaded on our website as well as filed with the stock exchanges.
With this, let me hand over the floor now to Mr. Angan Guha, our CEO and MD. Over to you, Angan.
Angan Guha: Thank you, Abhi. Good morning and good evening to everyone wherever you are and thank you for joining us today as we share some perspectives of our fourth quarter and full year FY '26 performance. But before I delve into our results, I would like to point out that our performance during the quarter and year under review reflects a ve ry soft demand environment due to sustained macroeconomic headwinds, leading to some client -specific issues and as a result, erosion of revenue. In that backdrop, we remained focused on strengthening our AI -led capabilities, our domain expertise, while also driving operational efficiencies and focus on order booking.
At the same time, we have continued to invest in our management team. We recently onboarded Vikram Puranik as our Chief Operating Officer. Vikram joins us with a strong background in engineering services, delivery operations and capability building, havin g served as a senior leader at leading engineering services organizations. He comes in place of Selva, who's decided to step down on account of personal reasons.
In addition to that, in recent months, we have brought on many more leaders across various levels in the company. We brought in a leader for our data and AI practice. We brought in a leader for our overall ERP practice. We've brought a leader for our global partnerships and alliances based in San Francisco. And we also now have a new leader for our Lifesciences vertical. As you know, we had inducted Komal Jain as a leader for our Americas business back

in Q3.

These leaders that we have added have all com e in from Tier 1 companies, and we hope that they will bring a lot of expertise to the growth orientation that we want to have going forward.
Our ERP leader is a 25 -year-old veteran from SAP , and with the addition of this leader, we hope to look at our ERP business and get that back to growth as well.
At the same time, we are also making significant efforts to further strengthen our sales team and expect to see a substantial increase in that over the next few months. By the middle of FY '27, I reckon that our sales team strength would have gone up by 30 % to 40% on a year -on-year basis.

Many of these additions are in line with our intent to pivot to a growth -oriented “AI First” organization.
With that background and context, I would like to draw your attention to our Q4 results and our full year performance. On the revenue side, for Q4 FY '26, our revenues grew 0.1% quarter -on-quarter and 2.4% year -on-year in rupee terms, reaching INR 13,486 million. However, our revenues declined sequentially in dollar terms. For the full year FY '26, our revenues were down 1.2% in rup ee terms to INR 53,100 million.
That reflects the challenging demand environment that I had earlier alluded to, some headwinds because of that in account -specific issues that we have faced, upfront productivity benefits that we ha d to pass on because of AI deals that we have won and also adding to that, some bold decisions that we took of walking away from several non -profitable revenue streams that affected our overall revenue but contributed to our margin expansion.
Consequently, our EBITDA margins expanded further in Q4 on back of expansions recorded in Q2 and Q3 to 18.5%. EBITDA margins for the full year FY '26 increased to 16.3% from 13% in FY '25, a 333-basis points expansion. The strong margin performance has led to a 46.7% Q -o-Q rise in our profit after tax for Q4 to INR 1,759 million. The PAT for the full year FY '26 , adjusted for the onetime impact for Labor Code changes and higher U.S. federal tax , is up 27 .6% Y-o-Y, which came in at INR 6,595 million. Chandr u, our CFO, will provide some more color both on the margins and cash flows in his remarks.
On the deals front, I'm pleased to observe that after a significant spike in TCV volumes during Q3, we have recorded a further sequential increase in total deal signings in Q4, making it the second quarter in a row where we have registered order booking above the $200 million mark.
We've signed deals worth $208 million TCV during Q4, which is 3% higher than what we signed in Q3 of FY '26.
Across many of the deals that we have won and the engagements we are working on, we are deploying our AI -powered solution s, including our Cogito platform, which is designed to accelerate enterprise software development, automate processes and enhance decision -making through smart agents.
For instance, Birlasoft is executing a multi -horizon AI and data modernization program for a Fortune 500 MedTech customer leveraging Agentic AI to enable them to automate and orchestrate complex workflows across multiple business domains such as supply chain, commercial, sales, finance and manufacturing. This positions our engagement as a flagship

multi -domain AI -led transformation in the MedTech sector. Similarly, in the BFSI vertical , we are scaling our Gen AI services across the North American P&C market to help clients process more submission s and realize measurable efficiencies and business gains.
So, looking ahead, as I had mentioned earlier, the demand environment has been quite challenging, marked by a lot of uncertainty and added to it the development s related to trade, tariffs and geopolitics have made the situation even more volatile. From that standpoint, FY '26 has been somewhat unprecedented, where we fell short of our own expectations on the revenue front while improving margins significantly. Tha t said, we've taken measures t o strengthen our growth engine.
We've made significant investments in our team with the addition of several leaders. On the sales front, we've completed hiring of multiple additional sales talent across both the U.S. as well as Europe geos and across verticals and service lines. We are looking at expanding our sales teams further over the next couple of quarters. With these additions, we will significantly enhance our capacity and capability of our sales teams. We 've made significant investments in our AI

plat

forms, and we have won some marquee deals around our AI push.
We are further strengthening our “AI First” operating model with significant changes in our delivery mechanism and should be able to see benefits from that over the next couple of quarters.
Finally, we continue to invest in our people to build an enterprise for the long term. Our focus going forwar d will only be centered around sales, pipeline generation , and order booking, which will be around outcome -based and managed services engagements.
At this point, I will ask Chandru, our CFO, to share his perspectives on the quarter and the year under review. Chandru, over to you.
Chandrasekar T.: Thank you, Angan. Good day, everyone. It's a pleasure to talk to you again. Let me take you through the financial highlights for the fourth quarter of FY '26 and then for the full year FY '26.
First, the fourth quarter performance. As Angan said, our performance during the quarter has been mixed. While the top line reflects both macro and some client -specific issues, we've seen our margins continue to expand. We also have had healthy deal signing. In Q4, we had fewer working days than Q3. Additionally, an operational issue at one of our customers affected our volume growth. These factor s combined with the prevailing soft demand conditions that Angan spoke about, where customers have been holding back on discretionary spend and are pushing for productivity benefits , resulted in revenue for the quarter declining 3.7% quarter -on-quarter in constant currency and in dollar terms , to $145.3 million.
In INR terms, the revenues have been flat, up 0.1% quarter -on-quarter to INR 1,348.6 crore.
Among our verticals, E&U registered a sequential growth and was up 1.8% during the quarter.
The other vertical s witnessed a degrowth on account of the reasons I just mentioned.
Margin performance has been strong, reflecting the series of decisive actions that we have been taking over the past three quarters to enhance our quality of revenue a nd optimize our cost structure.

In addition, we have benefited by incremental one -offs in Q4 versus Q3. Also, we saw continued upside from currency tailwinds. As a result, EBITDA margin for Q4 increased to 18.5%, which is an expansion of 30 basis points quarter -on-quarter.
We continue to make investments in our business, including in the areas that Angan alluded to, i.e., augmentation of our sales team, focus on our AI orchestration layers and enhancement in our domain and service line capabilities. PAT for the quarter incre ased from $13.4 million in Q3 to $19 million in Q4. This was driven by two factors. One, there was a strong margin expansion at the operating level and two, we took the benefit of available tax concessions in some of our global operations.
Now to the full year performance. For the full year FY '26, we have reported consolidated revenue of $597.5 million and INR 5,310 crore, representing a degrowth of 6% in dollar terms and 1.2% in rupee terms, respectively , over the previous year. On the margin front, again, we have delivered significant expansion on the back of serious efforts that we have put in to drive operational efficiencies and to improve the overall quality of our revenue.
The measures we've taken included rationalizing those tail accounts that were not profitable or where we did not see potential to scale up. Our EBITDA for the year, which stood at $97.5 million , is up 18.2% year -on-year, translating into an EBITDA margin of 16.3%. This is a 333-basis point expansion over the previous year.
PAT for the year stood at $58.3 million, lower than $61.1 million in the previous year due to the combined impact of changes in Labor Code , which affected our Q3 numbers , and a provision made for incremental U.S. federal tax in FY ’26. The tax concession that ca me in Q4 did act

as
a tailwind.
The elevated ETR due to incremental U.S. tax, as I had called out on our earlier calls , was limited and will be limited to FY ’26, and we expect ETR to settle closer to our historical ETR level starting FY ’27. Adjusted for this incremental provision for U.S. federal tax and the onetime provision made on account of changes in Labor C ode, normalized PAT for the year would have been $74.2 million , up 21.5% year -on-year or INR 659.5 crore, up 27.6% year -on-year. This would translate into an adjusted basic EPS of INR 22.14 per share.
Let me conclude with a few observations on the balance sheet. We ended the year with cash and cash equivalents of INR 2,637.3 crore, up 19% year -on-year. While our DSO for the period under review increased sequentially to 62 days, the increase was caused by an unanticipated spillover of some collections in the first couple of days of April. If we would adjust for the collections realized by 3rd of April 2026, our DSO would have been 55 days.

We remain committed to staying focused on sustained cash flow generation. In line with our track record of rewarding shareholders and allocating capital prudently, the Board of Directors has proposed a final dividend of INR 4 per share, subject to shareholders' approval. This, combined with the interim dividend paid out after our Q2 Board meeting , takes our overall dividend for the full financial year to INR 6.50 per share. We are entering the new financial year

with a strong margin profile and a robust balance sheet, allowing us to make continued investments in AI capabilities and in talent required to fuel growth.

With this, we'll just open the floor for question and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: Angan, the year was down – revenue was down negative 6.5% in constant currency terms. How do you see FY '27 play out? Do you think growth in FY '27 will be positive? And if so, how will that growth play out across the 4 quarters or the two halves?

Angan Guha: Girish, thank you for your question, and thank you for your interest in our company. If you really analyse our 6.5% degrowth , like we called out, a part of it was because we ourselves walked away from some revenue that was not profitable, right? So that is one. Second, like I said, because a lot of our deals are now AI related, where we have to give productivity benefits right up front , that also dented our revenue. And quite frankly, we were not able to win too much business to compensate for t he negativity that happened, which are very account specific.

Now going forward, as you know, Girish, we do not give ou t guidance. But if you look at the investments that we have made, we've gotten a large number of leaders who have come in at the leadership level, like a new leader for our Life Sciences vertical, a new leader for ERP, which has not been doing well over the last so many quarters. We've got a new leader in Vikram himself. So we've got a lot of new leaders.

Even the sales motion, like I said, almost we'll have a 40% increase in our sellers in the market. So we are hoping with that, our pipeline will improve, our order book will improve and eventually the revenues will improve. So we are hoping that the bad ne ws is behind us now and FY'27 will be better for us. Now , we will not give a guidance in terms of how much revenue going forward, and the market is also very volatile, but at least we are getting the input parameters corrected, Girish.

Girish Pai: And between H1 and H2, which would be a better half?

Angan Guha: So in order booking, Girish, as you know, H1 is always soft and H2 is better from an order booking perspective. I don't see that changing. From a revenue standpoint, it's hard to say at this sta

ge. But our endeavour will be to first get the pipeline fixed and getting the order booking going . Revenues will automatically follow.

Girish Pai: You spoke about sales engine being ramped up. How will this impact the SG&A -related costs and the EBIT margins in FY ’27?

Angan Guha: I'll ask Chandru to comment on that part. But look, we've done a lot operationally to increase our EBITDA. As you have seen, our EBITDA performance has been very, very strong over the last 4 quarters, and the team has done an excellent job, which enables us to kind of invest in our business going forward. So going forward, our entire endeavour will be , the entire focus will be to generate more pipeline, more order booking. So it will be a completely growth -oriented, sales -

oriented organization going forward. And we'll make a lot more investment. That obviously will have an impact on our margins. But to quantify that, I'm just going to ask Chandru for his comments.

Chandrasekar T.: You will recall, Girish, that in the past quarter as well, we've said that our steady -state EBITDA margin performance for us would be in the 15% range, right? So, if you look at our numbers, we are at 18.5% for Q4. And my expectation is that as we make some of these investments, we will continue to do that for the required growth that we need , our business model already bakes in this ramp -up in sales and the investments that we committed to make while I spoke about the 15% plus that we will make on a consistent basis.

Girish Pai: Okay. My last question is regarding your ERP business. There have been comments made by Palantir on compression in efforts and stuff like that with SAP migration , SAP implementation.

What are you seeing in the market today? What are you seeing yourself in terms of AI impact on your ERP business? Is that compressing or deflating your ERP revenues in a material fashion? Or do you see it happening going forward?

Angan Guha: Girish, first of all, our ERP business has been very challenged irrespective of Palantir's announcement or the AI -related stories . We've consistently not performed on our ERP business. Now the good news is, I think finally we've been able to get a l eader to lead our ERP business. He's going to be based out of New York. Like we said in our earlier commentary, he's worked 25 years with SAP, and we are quite delighted to welcome him to lead our ERP business. We strongly believe our ERP business will only continue to improve from here. System of records is not going away. And of course, we have looked at the Palantir announcement. We are closely monitoring it. But at least in our conversations with our clients, we are seeing a lot of interest in terms of the overall ERP landscape, whether it is SAP, whether it's JD E, et cetera. And we will continue to stay invested in this business. We see a lot of long -term potential here.

Moderator: The next question is from the line of Sudheer Guntupalli from Kotak Mahindra.

Sudheer Guntupalli: First question is, if you can throw some more color on which exact vertical you face d this operational issue with the client or a client -specific issue impacting your overall revenue? Is it BFSI or Life Sciences?

Angan Guha: It is Life Sciences. And within Life Sciences, it is the MedTech sector, medical devices sector. So it is more manufacturing -orientated. So that's where we face the issue, which is why it is reflected in our Life Sciences business. But our Life Sciences business, as Sudheer, you know that it is more manufacturing orientated. So that's where our biggest degrowth has been.

Sudheer Guntupalli: Sure, Angan. And is this issue completely behind? That is question number one. And question number two is , the net New TCV booking seem to be a bit on the softer side for this quarter. So any further color that you may want to add on th

at?

Angan Guha: Sudheer, I intuitively feel that the bad news in both manufacturing and med devices sector is behind us. We've taken a lot of hit because of the macroeconomic situation, also the situation related to the operational issues at one of our clients, which I can't delve into too much. But

suffice to say that it's very client -specific, which is why we are now seeing a turnaround there, and we feel that this will not occur going forward. So that is point number one. Point number two is, from our perspective the entire focus now , having delivered strong margin performance , will be growth orientation. And all the investments that we are doing are only to deliver greater growth going forward.

Moderator: Sudheer, sorry to interrupt. Can I request you to come back, please, for a follow -up?

Angan Guha: No, no , let him please. Sudheer, please go ahead. Please go ahead with the other question.

Sudheer Guntupalli: My question is more specific to the TCV, net New TCV, which appears a bit soft in this quarter. Is there any particular reason or deal slippage into the June quarter because of which this happened? Or is there any any other specific issue? And last question from my end is on margins. So for the last 2 -3 quarters, we have been consistently surprising on the positive side on margins. So 15% plus looks like a bit of a low-ball expectation at this stage? So we understand that there is a bit of an FX benefit that we have gotten in terms of this margin expansion. But even if you exclude that, Chandru if you can help us understand what is the more sustainable level of margin since we are way above the aspirational range of 15% plus? That would b e from me.

Angan Guha: So Sudheer, first, let me talk about the TCV performance. First of all, second quarter in a row we've delivered above the $200 million mark. Now , I agree with you that only at an overall year level, roughly about 38% of our order booking is really from existing new and net new. So which, to my mind, is a reasonably good performance. But Q4 specifically, our net new is obviously very soft. But I don't think there is anything more to read towards it. It is only because so many of our clients are delaying decision -making because of the uncertainty. It's not that we have lost any deals. It's just getting pushed to Q1. And our entire focus will be to kind of convert all those deals in this current quarter. On the margins, I will just ask Chandru for his comments.

Chandrasekar T.: Thanks, Angan. Back on the margins, one of the points that I did make to Girish's earlier question was that we are making the investment s not only in sales, but also in leadership across our service lines , in our partnerships. We are making investment in our AI orchestration layer and in some of our capabilities.

All of this is going to be a drain on our margins and that is why I did mention, I continue to believe , that our steady state margins that we should expect is going to be upward of 15% and there will be an erosion from where we are today, obviously, because of these investments. And secondly, you should also recognize the fact that when we're looking at add itional growth, there will be a ramp -up, which will be natural from the way we do our business. And third, when we're

looking at some of the productivit y benefits that some of our existing and new clients are
expecting of us, there will be some front ending of some of those benefits, which will have an
initial drain on our margins. Taking all of this into consideration is why I said that 15% would
be a su stainable number as I see it at this point in time.
Moderator: Next question is from the line of Dipesh Mehta from Emkay Global Financial Service s. Please
go ahead.

Dipesh Mehta: Just two que

stions. First is , can you give quantify impact of exit from low -margin business on
FY’26 growth rate? And second , what kind of deal intake is required for you to get confidence
on Q -o-Q growth resuming for us, some ballpark number in terms of deal intake number?
Angan Guha: Dipesh, thank you for your question. We cannot give exact numbers because that is very client -
specific, Dipesh. But we can only say that at least 200 basis points of growth roughly went away
because we walked away from low -margin, non -strategic deals. And there are 2 aspects to it.
One is low -margin deals. The others are also non -strategic deals where we didn't see any further
opportunity to grow. Now exact numbers, we can't obviously give, but it is around that figure.
What was your second ques tion, Dipesh?
Chandrasekar T.: Before you get to the second question, Dipesh, just to add to what Angan said. We also talked
about the lower working days in the fourth quarter versus the third quarter. So the 200 basis
points that Angan just spoke about takes into consideration that one element as well.
Angan Guha: Yes. And what was your second question, Dipesh?
Dipesh Mehta: What kind of deal intake on a quarterly basis required for you to get confidence about Q -o-Q
growth on a sustainable basis returning?
Angan Guha: So Dipesh, look, first quarter always is a little soft on order booking, correct? But from our
perspective, our endeavour will be to deliver strong order booking performance. Again, I can't
give you exact figures on this. Internally, obviously, we have a target, which is why we are hiring
30%-40% more sales people because now the focus of the company is going to be clearly
revenue growth. That's important for us because we have not performed for the last almost 6 -7
quarters. I would not like to give the exact number, but it will definitely be substantially better
than the order book we delivered in FY26.
Moderator: Next question is from the line of Sandeep Shah from Equirus Securities.
Sandeep Shah: Angan, as you rightly said, this is the sixth quarter in a row where we see Q -on-Q growth is flat
or declining. Macro issues are common for the industry; at our base it should not have impacted
so much. Despite that, the decline of 6.5% is one of the highest in revenue across many stocks.
So in terms of creating a team around sales, delivery, AI, when you joined we also had done a
restructuring round by making investment in new leaders, churning leaders, both on sales and
delivery. So what has gone wrong in previous restructuring cycle and why you are confident this
time in terms of again, a second round of restructuring?
Angan Guha: Sandeep, look, we ourselves are pretty disappointed with our performance. Let me start by
saying that. And there's no hiding away the fact that 6 quarters, we've not grown, right? So
clearly, the leaders that we had hired earlier have not delivered. And w e had to make changes at
multiple levels . So from that perspective, the reason why I'm now — well, let me not even say
from a confidence perspective , but the one thing that I can tell you is the following that we have
invested for growth . Now , we are hiring leadership. We've already hired a lot of leadership.
We'll continue to hire more sellers. And by end of Q2, we'll probably have 40% more sellers
than we have today , with the objective that as we have more and more sellers, our pipeline will
improve and eventually, our order booking will improve. That's what I'm betting on.

Now if you look at the kind of talent that we've been able to attract, the leaders in Data and AI,
leaders on our ERP business, I at least feel and I get great confidence from the kind of talent we
have got . So from that standpoint, I am confident that with the kind of talent that we have got,
the bad news being already baked in, having the

money to invest in our business, in our “AI
First” operating model , can only get the company better because, quite frankly, we are at the
bottom of the pit right now, a s you said.

So I'm only hoping that the company will get better from here on. And which is why we continue to stay invested and we are putting in so much more investment as we go forward. So Sandeep, I don't know whether I've answered your question exactly. But at lea st the management team is confident that with all the investments that we are making, the company should turn around sooner rather than later.
Sandeep Shah: Just a follow -up. You said most of the client -specific issues are behind now entering FY27. And second, as you had said, the team expansion on the sales will be over 40% by the middle of this financial year. In that scenario, pipeline creation and TCV conversion may not happen in the starting 1H of FY27. So, is it fair to assume because of all these changes, the benefits would be visible in FY28 rather than FY27? And most of the pains on the client -specific issues are behind? Or do you still b elieve those client -specific issues to continue in FY27 in the near term?
Angan Guha: Sandeep, if the situation continues as is today, then the client -specific issues are behind us. Now we don't know what we don't know. If something more drastic were to happen going forward, then we cannot comment. But I can only tell you two things that we've already done a lot of the hiring. They are already behind us. And we will continue to add sellers as we go forward , by end of Q2. So you're correct , for some of these sellers to settle down, build the pipeline and then get the orders booked is going to be crucial . And then the revenue will follow. Now , we'll have to see how the sequencing happens. But look, our view is that quarter -on-quarter pipeline improvement we are already starting to see. Now we have to show that up in order booking and eventually revenue will come.
Moderator: Next question is from the line of Ravi Menon from Axis Capital.
Ravi Menon: Angan, your top 5 customers have been growing. And finally, this quarter, we've actually seen that flatline. So I just wanted to check, is there anything that's temporarily stopping this, and when we can expect growth to resume?
Angan Guha: Ravi, your voice broke up. I couldn't quite understand the question. Can you repeat the question again, please?
Ravi Menon: Yes, I was saying that the top 5 customers have been growing quite well. And now we've had a quarter where this has flatlined. So I just want to check if there is anything within the top 5 that's been a client -specific issue this quarter , and when we can expect this to resume growth?
Angan Guha: Ravi, I don't think we have a client -specific issue in our top 5 clients. I think the top 5 clients are pretty strong. It is a seasonal issue. I don't see that to be a problem. The growth will be back on the top 5. I think the next 5 and the next 10 is wh ere we need to put a lot of focus to get new real

estate and new clients, which is why we are investing so much more in sales than we have ever done before.
Ravi Menon: I saw that although you talked about investment in sales this quarter, the sales and support headcount is slightly down. So should we think about that as more G&A cut while you're actually adding sales and marketing personnel?
Angan Guha: That is correct.
Moderator: Next question is from the line of Priyank Chheda from Vallum Capital Advisors.
Priyank Chheda: A few observations which have been quite a bit of contrasting when it comes to IT sector. First is, we've been generating 500 crore of annual cash flow, which is after tax, after all the working capital requirement and still the dividend payout has been flat for the full year, which , ultimately what happens is , we load up a

lot of cash on our balance sheet and then we have a restructuring program which is going on internally , wherein we plan to grow organically , right? And when it comes to t he industry, the same pattern . A lot of the players in this industry have returned the cash on balance sheet to the rightful owners, which is the equity shareholder. What's our thoughts around this trend and the contrasting observation that I have observed?
The second observation that I would like to share is again , within this industry be it from a $20 billion dollar size of revenue company to $40 billion , almost everyone would share the pipeline number, guidance , maybe even more granular details , while it's been difficult for us to judge what could be the trend that we should also judge . Because we also are responsible to answer our princip als. So, these are the two contrasting observations and would like to know your thoughts on this.
Chandrasekar T.: Let me take the question on cash and dividend, Priyank. I think this question had come up earlier too, right? So , clearly, the dividend payout that the Board has recommended, which is, as you rightly said, in line with what we did declare d in FY25 is based on performance.
And if you look at our PAT, it's been a very similar PAT on a year -on-year basis. And therefore, the consideration was on the dividend in relation to our PAT and therefore, the dividend payout ratios . So that was one.

And second, overall, the cash in the balance sheet, you're right that it rightfully belongs to the shareholders, and this is a call that the Board is taking on behalf of the shareholders and recommending to the shareholders. And everything that you said is certainly in consideration and is in play with the Board. And we are sure as a leadership team that the Board will take the right call on the cash on a go -forward basis.
Angan Guha: Priyank, on the second question, in terms of the guidance, look, the situation is very, very volatile currently. Specifically for a smaller company, the volatility is hard to predict which is the reason we do not give guidance. But like we have said in th e last half an hour, Priyank, we will continue to focus on investing for growth and investing for sales.

We've done a lot on the operating margin front in the last 4 quarters. We've done significant cost takeout, and we now feel more comfortable and have the money to invest in sales. That's all we can do. Our focus will be to generate pipeline and order book and automatically revenues will follow. So we are trying to get the company back on the growth track, and that is what the management will stay focused on.
Priyank Chheda: Sure. Just to add on this, again by when should we expect that the Board would start thinking about a positive generation o f incremental return on capital, which means that the cash that we generate doesn't just sit on the balance sheet, rather it's either used for growth or maybe it's given back to the rightful owners. So I just want to know what would be the timeline that we should think of , by when Board would think in the favour of minority shareholder as of now, it doesn't look like. And on second observation, again, sir, just a follow -up, w e completely trust your strategy. There's no doubt and hence, we have remain ed invested. What we would like to now know is , after a series of discussions that we have done, what would be the timeline that we should think of?
If not the numbers , if not guidance , or if not maybe any specific metric that you would like to call out, maybe you would like to call out what would be the timeline that we should think of wherein we start witnessing growth ? Or maybe the aspirations that you would hold for the company , to be a part of a successful company within the whole of the IT system ? What would be the timeline that we

should also think going ahead? That's all.
Angan Guha: So Priyank, the second question I'll take, and then I'll ask Chandru to comment on the first question. So Priyank, as you will know, right, which you already know that revenue is a manifestation of the pipeline and the order book that we can generate . Now we are fixing the basics. We have hired leaders. We are hiring sellers. We are adding more sellers as we go into Q1 and Q2 with the hope that all the sellers are coming in and will generate more pipeline and hence, generate more order book. And then the revenue will come.
Now it's hard to say which quarter onwards it will happen. But at least we've recognized it, and we earlier did not have the margins to invest, but now our margin situation is better. So we're investing for growth. So give us some time. Our endeavour as a management team is to focus and get the company back to quarter -on-quarter growth, which we will all be focused on, and we will deliver that.
On the cash part, again, I'll defer to Chandru for his comments.
Chandrasekar T.: On the cash, Priyank, rest assured that we will immediately let the shareholders know as soon as a call is taken. Unfortunately, at this time, I will not be able to say anything on behalf of the Board, and we will certainly let you know as soon as we get m ore information.
Priyank Chheda: If I can just say , a quarter 4 specific one question. Just on the Manufacturing side and just referring back to the notes of Q3. In Q3, we did say that Manufacturing had a previous deal ramp -up and so in Q4 it would not be witnessing that growth. But we have seen that growth coming up in Manufacturing. So what should be that consistency that we should think of when it comes to Manufacturing ? And again , a contrasting thing in BFSI , where in Q3 had furloughs

and we did mention that from the base of Q3, Q4 will see definitely a good growth coming up in BFSI, which we are yet to see? So this is again a contrasting observation which you would like to clarify ?
Angan Guha: Priyank, on Manufacturing, the issue is more about more macroeconomic headwind rather than anything else. So hard to predict, but so many sellers that we are adding, a large portion of it is

going to be added in the U.S. in the Manufacturing domain. On Financial Services, though Q3 had furloughs, Q4 had lesser working days. And as you know, in the BFSI business, it is more time & material than anything else. So there is a natural effect. But I'm not so worried about BFSI. BFSI will be a strong g rowth vertical for us going forward. But we are fixing our Life Sciences and Manufacturing businesses, which ha ve been a drag on us. And that is where most of our investments are going.

Moderator: Next question is from the line of Gaurav Nigam from Tunga Investments.

Gaurav Nigam: I just have one question on the demand environment. I mean , leaving aside the one -off client issues and the client trimming that we are undertaking , I wanted to hear your comments on the overall end client spending in the BFSI sector specifically. Are we seeing any sustainable uptick in spending in this client segment? And any colo ur on what would drive that? Because I think in the previous question, you mentioned that you are not so concerned about that segment. So any colour or further drill down would be helpful.

Angan Guha: Gaurav, I'm sure you know that our BFSI business is more tuned towards payments, asset management, and more non -life, which is the P&C business , on the insurance side. That is what we focus on. We don't focus on traditional banking. We don't focus on traditional investment banking business . We are very focused on these three segments.

Now from a client perspective, the spending is continuing to be stable, but the spending is shifting from more traditional businesses to mor

e AI -related work, which is why in my opening commentary, we talked about doing a lot of marquee AI -related work on a P&C insurer in the U.S. We are doing the same not only on the asset management side, but even on the payments and the card s side. So I don't see a spending pattern change per se. The spending remains to be strong. Only the shift of the spending pool is moving from the more traditional side of the businesses to more AI -oriented work, and we are participating in that and winning our share of the business.

Gaurav Nigam: Got it. Just a quick follow -up, sir. So while there's shift of pool from one bucket to another, are we seeing any increased pool size or the pool size remains similar across the end client industries within BFSI?

Angan Guha: So within , again, not BFSI but the markets that we serve and the subsectors that we serve, we don't see an increase in spending. We see the spending to be pretty much even , only the shift that I spoke about from traditional services to new age services. That's our view at this stage.

Gaurav Nigam: Got it. And if I may ask a second question. Sir, on the productivity deflation part, which you mentioned, I just wanted to get a sense that when we are seeing this net new TCV wins as well,

this productivity deflation, how it will characterize in terms of our revenue growth, any sense or any colo ur on that would be helpful?

Angan Guha: So Gaurav, as AI is becoming more and more prevalent in our industry and most of the deals that we are discussing with our clients is infused with a lot of AI, which means we have to commit and deliver a lot of productivity through our AI tools that we are working with our customers with. Now what happens in an AI deal is we have to commit to the savings and underwrite some of the savings right up front , which is why you see revenue deflation in the immediate and the medium term. But more and more as we do these deals, Gaurav, you will see the revenue catching up in the future quarters. And that is our hope, which is why we are pretty confident and investing in people or investing in sellers to drive some of those kind of conversations with our clients.

Moderator: Next question is from the line of Girish Pai from BOB Capital Markets.

Girish Pai: Angan, one of your peers of a similar size said that the competitive intensity has gone up so much that some of the larger players are coming and competing for the smaller orders, which it has not seen in the past. So , are you seeing something similar happening where because of market – I mean, the demand not increasing or remaining stagnant, you're seeing larger vendors competing with you on smaller deals?

Angan Guha: Yes. So that is absolutely happening, Girish, because what happens is in an AI world, it becomes a level playing field for all partners to try and bid for all kind of work because it is more outcome - based or nonlinear kind of revenue streams. So we are ab solutely seeing larger players also bidding for midsized deals. But equally, it also is an opportunity for smaller -sized companies because for the first time, I guess there is a level playing field between the larger companies and the smaller co mpan ies. So if we invest and get our AI story right, which we are doing and which is why we are making so many investments at every level, we are hoping that we will be able to compete and win our fair share as the AI stream goes ahead.

Girish Pai: When you talk about outcome -based deals, are these fixed price deals or are they based on some

operational outcomes that you're talking about or some financial outcomes that you're discussing with clients?
Angan Guha: It is operational outcome, not so much financial outcome. And these will be more fixed price deals, which would also mean you deliver an outcome to a client and your fees is linked t

o that
outcome, which to me, in the medium term is a revenue deflation kind of a situation. But over a longer term, it will help us control the work, will help us deliver an outcome , and eventually hopefully help us make more money.
Girish Pai: Is there an upside and a downside to these outcome -based deals? Do you – if you outperform, you get more? Is that the situation?
Angan Guha: Yes, absolutely. That's the situation, but which also means that if you don't execute well, it could mean that you will not be able to make the kind of money. But if you have a great execution engine and if you deliver well, that can augur very well for the client as well as for ourselves.

Moderator: Next question is from the line of Pulkit Chawla from 360 ONE Capital.
Pulkit Chawla: Angan, my first question is , if I refer to your commentary on each of the verticals where you mentioned that Life Sciences and MedTech the bad news seems to be behind , and BFSI really should grow well from here on and the fact that Energy & Utilities continues to do well, what really stops you from coming to sort of saying that in Q1 there should be growth coming up? Is there something that you're seeing or some client -specific issues that you're still seeing in some of these verticals, which really stops you from coming to that? And the second question is on the margins part. If I heard correctly, you did allude to the fact that Q4 margins also did have some one -offs. If you could just quantify them and what was the nature of those one -offs?
Angan Guha: Pulkit, first, let me answer the first question. The only reason I am holding back on committing anything is because the market is very uncertain and it's volatile. And every quarter, I come and say something and there is a market event that happens that disrupts the equation. So our game plan now as a management team is to focus on the input parameters. So investing in sales, driving order book, driving pipeline is the first port of call as an organization. Chandru talked about the work that we have done in terms of fixing our margins . So now the entire focus is going to be to do what I just said, fixing sales, driving more order book, driving more pipeline. And the margins will eventually follow. We are confident if we get these three things right, margins will come, but we have to get these three things right. Now on the one -off as far as margins is concerned, I will ask Chandru for his comments.
Chandrasekar T.: Sorry, I missed the question.
Pulkit Chawla: There were one -offs in margins in Q2 as well as Q3 and Q4. So will the one -offs continue? Or what is it sustainable? And if you could just please quantify them also.
Chandrasekar T.: I will be able to quantify them in a moment, Pulkit. But before that , one-off by definition, we do not expect for them to come back . So we have not baked in the one -off when we talk about the steady -state margins going forward . So there are some one -offs. I'll give you some of these items. While I may not be able to give you line -by-line data points, I will give you the total impact and some of the items that caused the one -off. So we have made lower provisions , and you should expect that , based on the performance -based compensation, which was at a certain level until third quarter. And then in the fourth quarter, we did take a reversal of those provisions because of the performance . So that's one. Also, there were some leave encashment provisions that we make on a quarter -on-quarter basis . Given the fourth quarter and where we landed in the fourth quarter, we did afford more leaves than third quarter. And as a result of that, the amount of leave encashment provision that we had to take also consequently came down. Of course, we talked about the forex tailwind.
In addition, we also had a lower employee equi

ty compensation spend, again, coming from the
fact that we had three exits in the past quarter, as you know, and that we had called out earlier. So all of this to ld, I would say the forex tailwind gave us a 170-basis point benefit. And the other items that I talked about gave us another 170 points benefit. So it's about a 340 -point benefit that we got in the fourth quarter. While forex, given where it is, I don't know what will happen in the

first quarter, so we're not punting on it. The other part of it certainly will not repeat itself in the first quarter and beyond.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Angan Guha, CEO and MD, Birlasoft, for closing comments.

Angan Guha: Thank you. First of all, I would like to thank all of you once again for joining us on this call today and for your insightful questions. I appreciate your interest in Birlasoft. While the demand conditions have been challenging, we have seen an uptick in our deal wins during the second half of the year. We won several marquee AI -led engagements and have seen a noticeable expansion in our operating margin.

We continue to generate strong cash flows and have a solid balance sheet. We are investing in our people and our capabilities, including significant enhancement of our sales teams. This collectively strengthen s our confidence as we start the new financial year. I'm looking forward to speaking with you again next quarter. And in the meanwhile, please feel free to reach out to Abhinandan for any clarifications or feedback. Thank you once again, and good evening, everyone.

Moderator: On behalf of Birlasoft Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for readability purpose)

Contact information:
Mr. Abhinandan Singh, Global Head – Investor Relations
Email: abhinandan.singh@birlasoft.com

Registered office:
35 & 36, Rajiv Gandhi Infotech Park, Phase – 1, MIDC ,
Hinjawadi, Pune (MH) 411057, India
CIN: L72200PN1990PLC059594
www.birlasoft.com